TOGETHER
FOR NATION BUILDING

ANNUAL REPORT
2021-22

Global IME Bank
ग्लोबल आइएमई बैंक लि.
सबैका लागि बैंक

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ABOUT US

The journey of the Global IME Bank Ltd (GIBL) that we know today began as "Global Bank Limited" in 2007. The bank was established as a Class "A" commercial bank in Nepal with the highest capital base of 1 billion at that time. Even today, after 16 years of operation, the bank continues to have the largest paid-up capital of NRs.23.79 billion (Mid-Jul 2022) in the industry.

With a vision of becoming "The Bank for All", the bank has been extending its reach both internally and externally. It is the first private bank in Nepal to provide banking services in all 77 districts. It is also the only bank in Nepal to have an international presence. The bank has three international representative offices in London, Delhi, and Sydney. The bank is in the process of extending its representative office in Korea.

GIBL has established itself as one of the most profitable commercial banks in the industry with a net profit of Nrs.4.96 billion (Mid-Jul 2022). The bank, not only boasts an ever-growing business and profitability but also maintains a well-diversified asset. Through its healthy and balanced exposure in various areas including priority sectors of the economy (hydropower, deprived sectors, exports, agriculture, and micro-finance projects), the bank also contributes towards balanced economic growth.

Global IME Bank is a trusted name amidst a group of diverse stakeholders. Not to forget, the Bank has been listed among a few commercial banks trusted by the Government of Nepal for handling government revenue transactions. The bank truly recognizes the value of its dedicated and committed staff base as the most valuable of all resources it has; as a result, it has placed its undivided attention on the enhancement of skills, competencies, and capabilities of its manpower. Through the collective effort of the staff, an adequate degree of safety, and timely servicing of financial obligations, the bank has been able to upgrade the credit rating to [ICRANP-IR] A from [ICRANP-IR] A-. This is an important milestone for the bank given a large exposure in Retail & SMEs (49% Mid-Jul 2022) and the difficult situation on account of the pandemic.

The bank has been able to achieve this feat through an integrated approach toward digitalization, sustainability, and inclusion. A 5-year strategic plan steers the bank's digitalization efforts to modernize the workplace and services. At the heart of sustainability lies the bank's partnership with international organizations such as British International Investment (erstwhile CDC), International Finance Corporation (IFC), and KFW Development Bank, to mobilize soft loans for green trade and finance, sustainable development projects, and to build MSMEs.

INTERNATIONAL RECOGNITION

The Banker
Bank of the Year 2014
NEPAL

IFM
BEST ISLAMIC FINANCE TECHNOLOGY PROVIDER - GLOBAL
AWARDS 2016

13th EMPLOYER BRANDING AWARDS
BEST EMPLOYER 2018-2019
EMPLOYER BRANDING INSTITUTE - INDIA

EUROMONEY
AWARDS FOR EXCELLENCE 2022
NEPAL
BEST BANK

CREDIT RATING

ICRA

ICRA Nepal Limited has assigned Rating of "[ICRANP - IR] A"



VISION STATEMENT

The Bank shares a common vision of "The Bank for All" among its Promoters, Directors, Management Team, and Staff in commitment to providing the highest standard of services for customers from all regions and societies.

MISSION STATEMENT

To win a respectable market share through customer focused quality products and services, innovative business solutions, and technology-driven banking thereby enhancing the growth and profitability of the bank so as to ensure the optimum benefit to all stakeholders at all times.

STRATEGIC OBJECTIVES

The Bank aims to fulfill the needs and expectations of its valued customers and all other stakeholders while assisting the Government in its nationwide drive to ensure economic transformation in various sectors of the economy. In order to achieve the stated objective, the Bank plans to implement some key strategies as follows:

- Development of innovative technology-based products and services
- Diversification of deposit and credit portfolio
- Expansion of new streams of revenues as well as an emphasis on deposit mobilization
- Healthy growth of the capital fund

MERGER **TREE**

The bank has consistently adopted both internal and external growth strategies to remain relevant to its customer base and the banking industry as a whole. Since its establishment, there has been 20 mergers and acquisition including the number of entities merged with merged institutions. This includes the merger with the Bank of Kathmandu (BOK).

Recently, the bank has done merger agreement with the Bank of Kathmandu Ltd (BoK). The joint operation with BoK is expected to begin by the first week of Jan 2023. With this combined strength, the bank strives to be the Bank for All through its financial reach, financial access, and wide range of product and services tailored for different segments of the market. Based on the recent developments in the industry (merger and acquisition), the bank will be the largest bank in the industry in terms of capital funds, assets, deposits, and total loans.

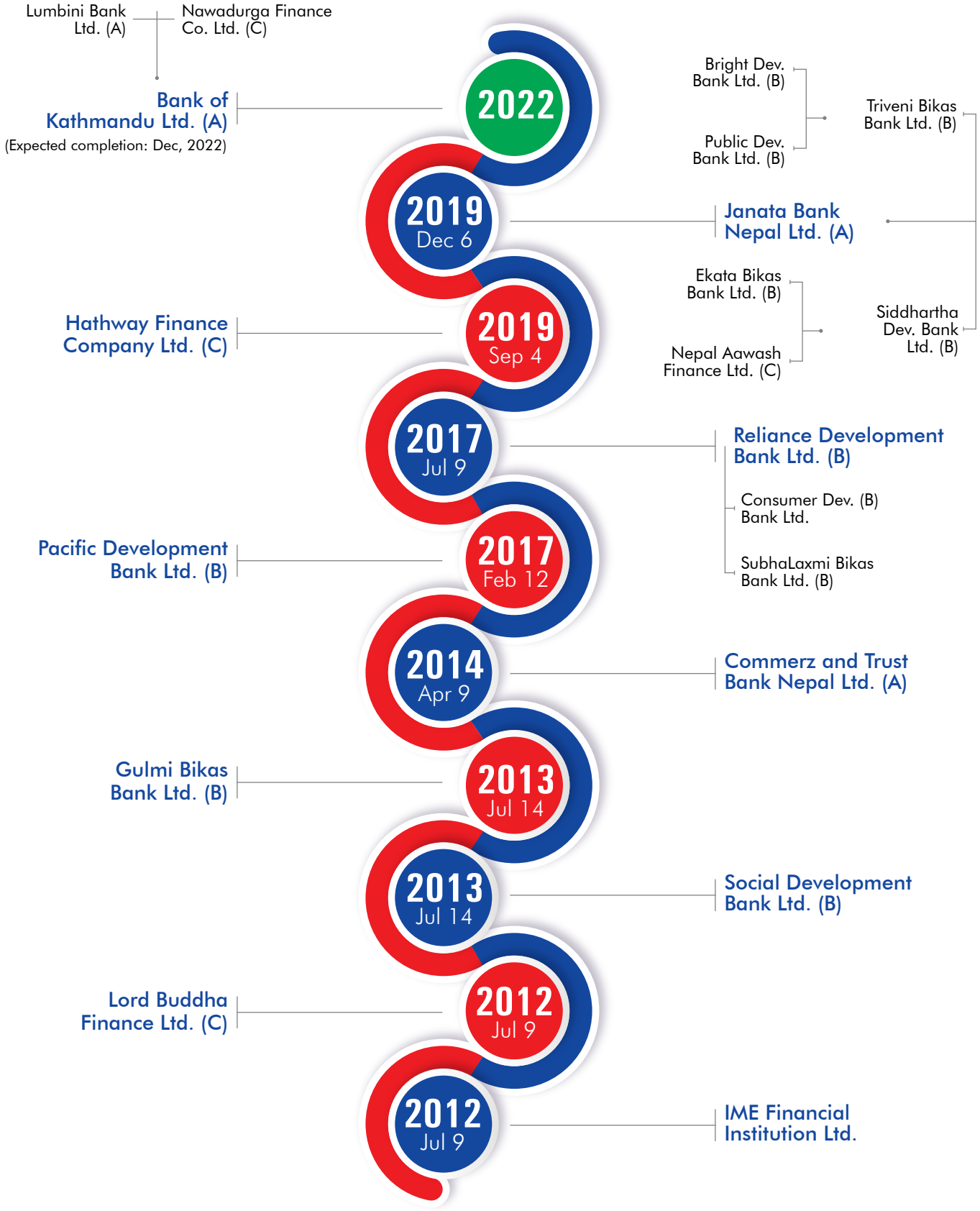


Types of institutions* the bank merged/acquired:

- 03 "A" Class Commercial Banks
- 12 "B" Class Development Banks
- 05 "C" Class Finance Companies

*Nepal Rastra Bank (NRB), the Central Bank of Nepal, issues license and provides regulatory guidelines to Bank and Financial Institutions (BFIs) in Nepal.

Global IME Bank



OVERVIEW





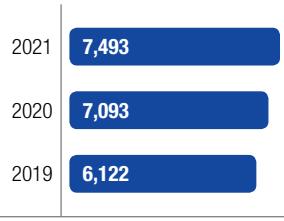
FINANCIAL PERFORMANCE (FY 2021/22)

NPR Million

Effective Income Generation

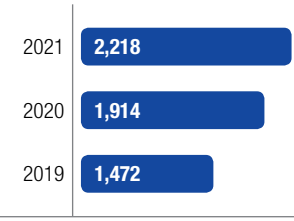
Operating Profit

7,493
+5.6%
Y-o-Y



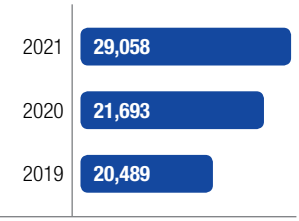
Net Fee & commission income

2,218
+15.8%
Y-o-Y



Interest Income

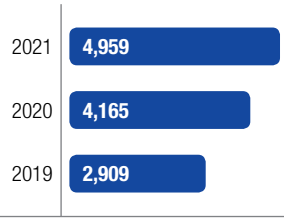
29,058
+33.9%
Y-o-Y



Excellent Profitability

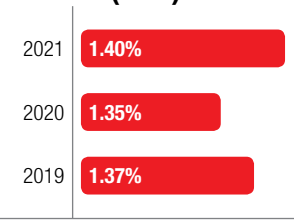
Net Profit

4959
+19.06%
Y-o-Y



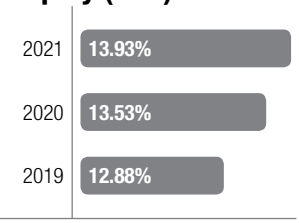
Return on Assets (ROA)

1.40%
+4.45
Y-o-Y



Return on Equity (ROE)

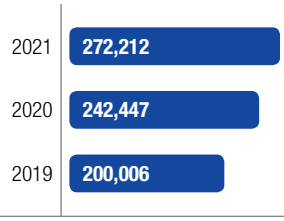
13.93%
+4.17%
Y-o-Y



Outstanding Business Growth

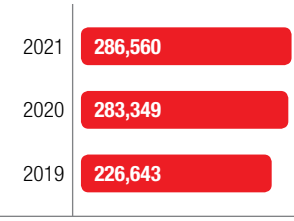
Deposit

286,560
+1.13%
Y-o-Y



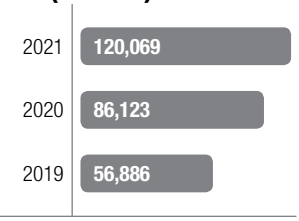
Loan and Advances

272,212
+12.28%
Y-o-Y



Non-Funded (LC&BG)

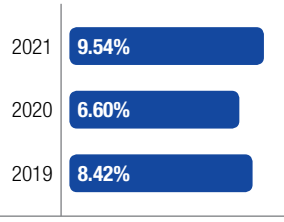
120,069
+39.42%
Y-o-Y



Competitive Financial Intermediation Cost

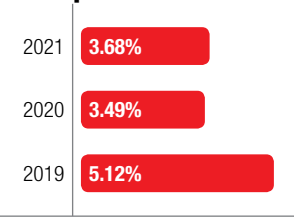
Base Rate

9.54%



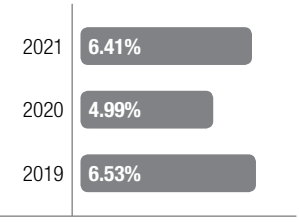
Interest Rate Spread

3.68%



Cost of Fund

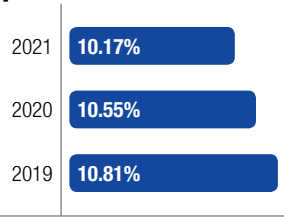
6.41%



Strong Prudential Standing

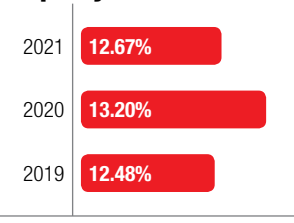
Tier – I Capital Ratio

10.17%



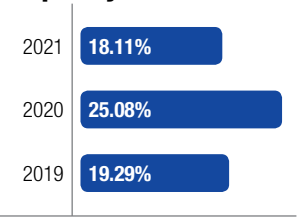
Capital Adequacy Ratio

12.67%



Statutory Liquidity Ratio

18.11%



NPR Million (FY 2021/22)

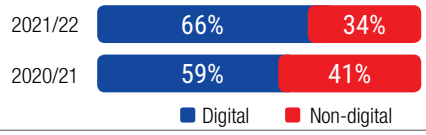
DIGITAL TRANSFORMATION

The financial year 2021/22 has been eventful and exciting. After the implementation of the strategic plan "Lakshya 2025", the bank has gone through massive digitalization. The perks of this increase in digital footprint and its adoption by our customer base have been reflected in the year's operational highlight.

+51.88% Y-o-Y
31+ MILLION
Digital Transactions

+6.48 ppts Y-o-Y
66 PERCENTAGE
Share of transactions through digital channels

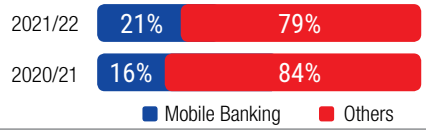
SHARE OF TRANSACTION DIGITAL VS OTHERS



+86.03% Y-o-Y
10+ MILLION
Mobile Banking Transaction

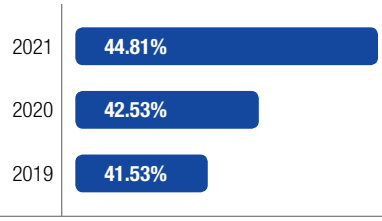
+5.66 ppts Y-o-Y
21 PERCENTAGE
Share of transactions through Mobile Banking

SHARE OF TRANSACTION MOBILE BANKING VS OTHERS

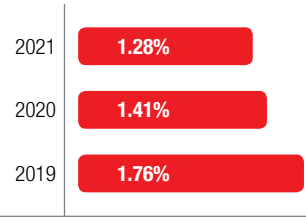


EFFICIENT OPERATION

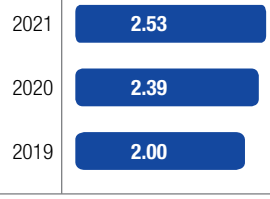
Cost to Income
44.81%
+5.38% Y-o-Y



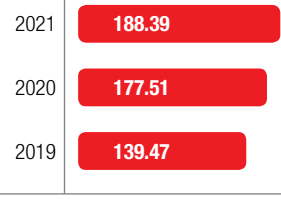
NPL to Total Loans
1.28%
+9.49% Y-o-Y



Operating Profit Per Emloyee
2.53 Million
+5.49% Y-o-Y



Total Business per employee
188.39 Million
+6.14% Y-o-Y

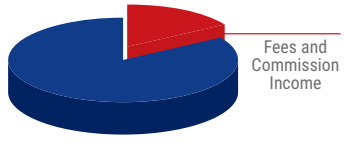


STRONG GROWTH/RETURNS FROM FUNDED/NON-FUNDED BUSINESS

Non-funded Issuance
19+ THOUSAND
+7.01% Y-o-Y

Share of Fees and Commission Income to Total Income
16.33 PERCENTAGE
0.82 % ppts Y-o-Y

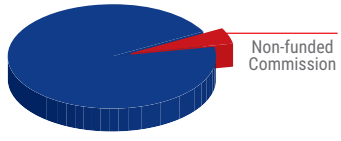
Fees and Commission Income to Total Income



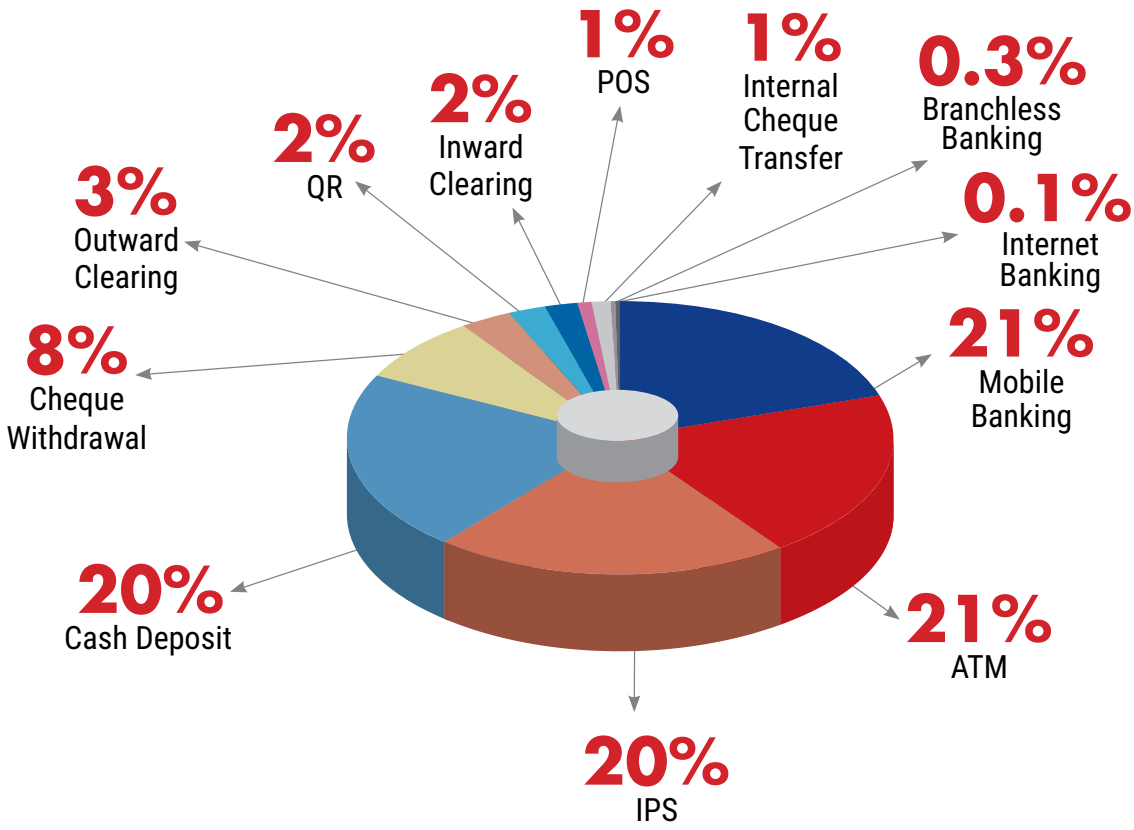
Non-funded Commission
648+ MILLION
+50.51% Y-o-Y

Non-Funded Commission to Total Income
4.78 PERCENTAGE
+1.29 ppts Y-o-Y

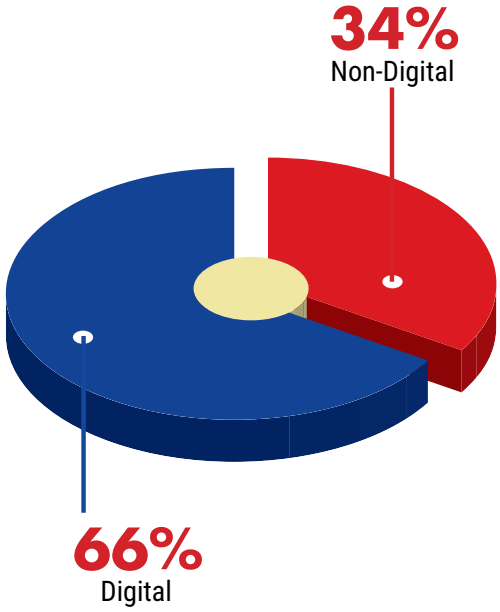
Non-funded Commission to Total Income



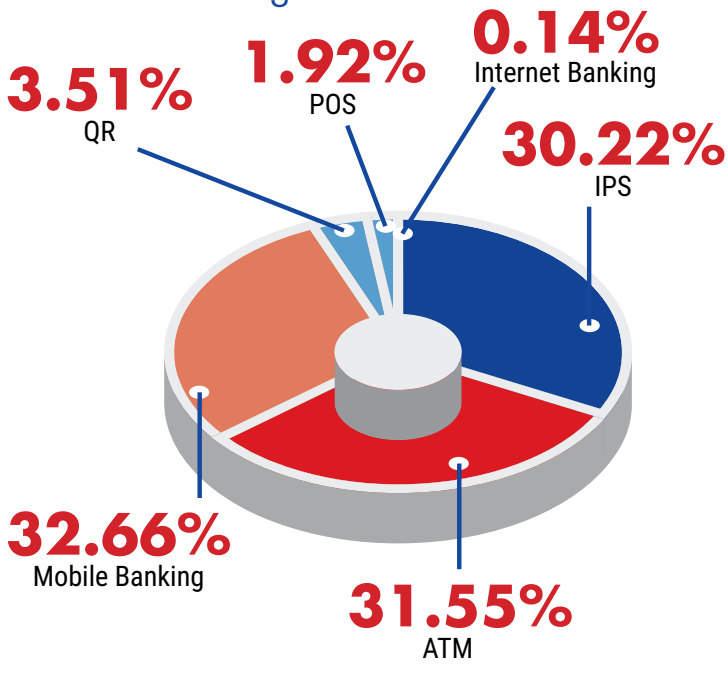
Mode of Transaction



Digital vs Non-digital



Mode of Digital Transaction



FINANCIAL ACCESS

Global IME Bank is the first commercial bank in Nepal to establish a branch in all 77 districts of Nepal. The bank's access point locally and globally has been summarized below:

292
Branches

275
Branchless Banking Agents (BLB)

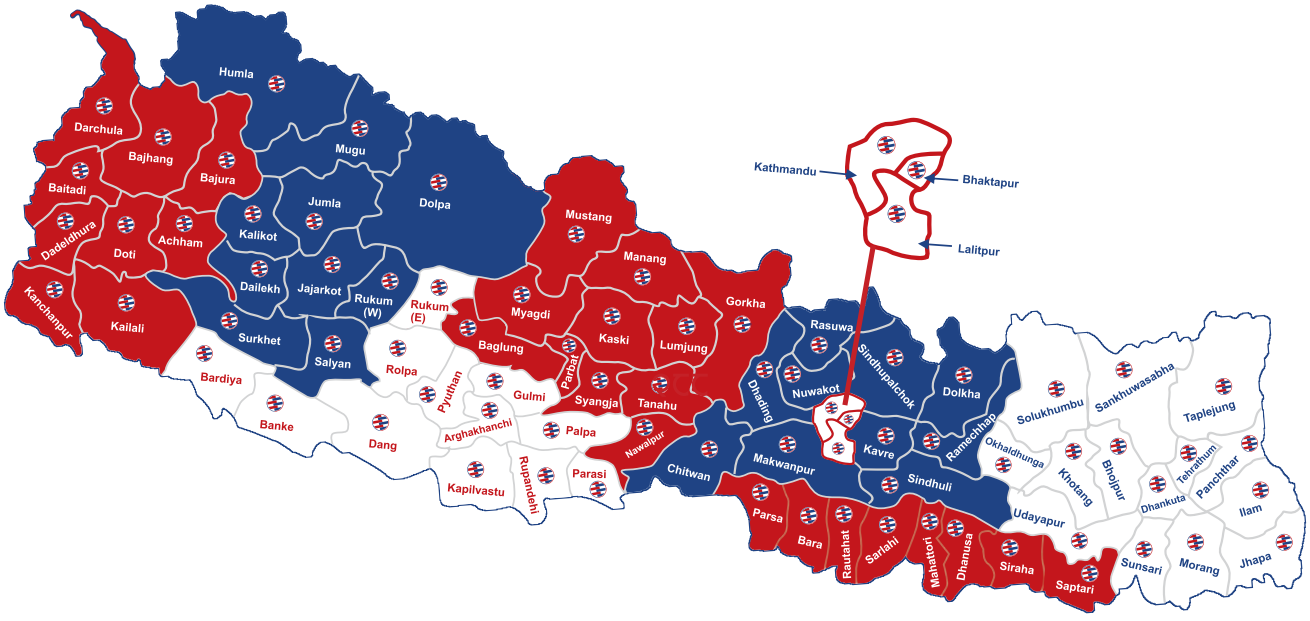
51
Extension and Revenue Counters

This Fiscal Year the bank increased the access point with

16
New Branches

18
New BLB Agents

4
New Extension and Revenue Counters



INTERNATIONAL
REPRESENTATIVE OFFICE



OUR GLOBAL PRESENCE



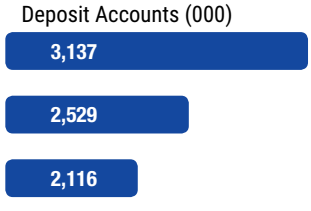
Relationship officers have been deployed in 12 countries.

● Representative Office

Customer Base

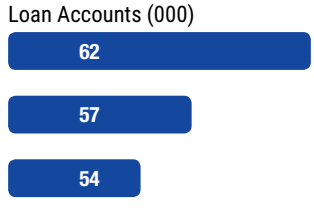
DEPOSIT ACCOUNTS

CUSTOMERS
3.1+
MILLION
GROWTH
24.01%
MARKET SHARE
8.1%



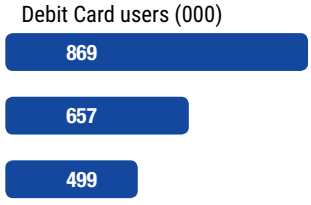
LOAN ACCOUNTS

CUSTOMERS
61+
THOUSAND
GROWTH
9.12%
MARKET SHARE
4.1%



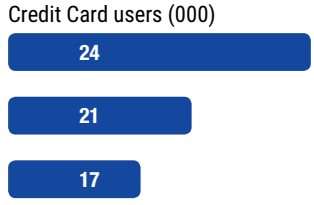
DEBIT CARD USERS

USERS
865+
THOUSAND
GROWTH
+32.1%
MARKET SHARE
8.5%



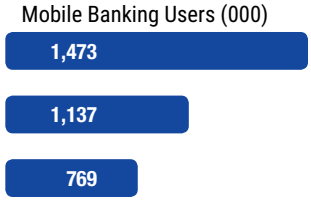
CREDIT CARD USERS

USERS
24+
THOUSAND
GROWTH
+17.1%
MARKET SHARE
10.2%



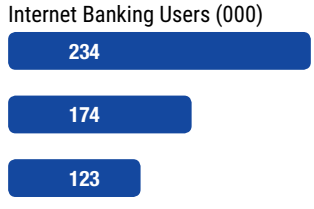
MOBILE BANKING USERS

USERS
1.4+
MILLION
GROWTH
+29.5%
MARKET SHARE
9.2%



INTERNET BANKING USERS

USERS
234.4
THOUSAND
GROWTH
34.3%
MARKET SHARE
18.3%



CHAIRMAN'S **STATEMENT**



Chandra Prasad Dhakal
Chairman

Steered by our vision "The Bank for All", the Bank is well positioned to support country and our stakeholders during the uncertain times. From the inception the bank has built culture of belief which extends beyond numbers, for which we have remain true.

Financial Year 2021-22, proved to be more challenging than the previous year, where we saw a new normal after the pandemic, then the sudden change in the economic environment followed by liquidity crunch in the market, higher cost of funds. Despite the challenges the Bank rose up to the national duty with a shared responsibility. The Bank's deliverable during those time addresses the commitment to support the national economy and its role in reviving the economy. The improved and self-reliant digital infrastructure of the bank has help weather the pandemic situation and absorbed the economic shock on behalf of our customers.

Amidst the challenges, the Bank's results have been satisfactory as we were able to harness the opportunities created by these uncertain challenges. The results presented in this annual report demonstrates the achievement of our efforts.

During the year we witnessed a decline in our income stream with liquidity crisis from the second quarter of fiscal year. The rise in cost of funds, low remittance flow, almost negligible economic activities and lower recovery rate had impacted on the income stream. Despite these challenges the bank was able to report a commendable net profit of Rs. 4.96 Billion, a 19% growth in compared to previous year. The bank's deposit base grew by mere 1% to Rs. 286 Billion, and lending portfolio increased by 12% to Rs. 272 Billion during the fiscal year.

The challenges in these year did not detract the Bank from its goal of building a new-age financial institution, equipped to master the challenges of the pandemic era. Our transition towards a fin-tech platform has gained momentum and elevated Global IME Bank to a leading, digitally enabled, financial services provider within the Banking industry in Nepal. In fact, our advanced IT platforms were instrumental in ensuring uninterrupted operations during the third wave of the pandemic. With the strategy "LAKSHYA 2025", Global IME Bank has envisioned and initiated the digital journey for the customers, operational activities faster than other institution towards building a true cashless economy. Our online payments ecosystem continued to focus on leveraging its digital capabilities to make banking a simple, secure and convenient offering that enhance customer convenience and efficiency.

Among all the challenges Bank has always remain as leader in merger and acquisition strategy in the Nepalese Banking industry. The Bank has once again entered into merger agreement with long serving an "A" class commercial Bank, Bank of Kathmandu Ltd. The Bank has already obtained the principal approval and completed the valuation process for swap ratio. This has proved once again that the Bank is always focused on remaining the top position to serve the nation despite the hurdles it bears.

The bank has been able to reach a diverse customer base through our more than 800 service outlets in all over 77 districts of Nepal that includes 292 branches, 270 ATMs, 3 foreign representative offices, 51 extension /revenue collection counters and 275 branchless banking centers. Our network is further strengthened by our 7 provincial offices that is contributing towards a sustained de-centralization strategy in line with the federal system adopted by the country.

I must place on record my appreciation for the cooperation extended by my fellow Board Members for their professionalism in providing a strategic guidance to the bank. I would also like to convey my appreciation to all the employees for their dedication and passion, which has become a great source of competitive advantage.

I express my sincere gratitude for the guidance and support received from Nepal Rastra Bank, Securities Board of Nepal, Nepal Stock Exchange, Office of Company Registrar, Ministry of Finance, Government of Nepal and all other regulatory bodies.

My sincere gratitude to our shareholders – your support over the years has been a source of immense strength for the Bank and I look forward to your continued support in moving forward in this journey of excellence.

To our loyal customers, the Bank is infinitely grateful for the trust and confidence you have placed in Global IME Bank. You remain the reason we are driven to succeed, innovate and grow.

CEO Says

Global IME Bank has again demonstrated strong resilience in the 2021-22, the year that proved to the year of numerous challenges, by delivering the commitments and shared value to its stakeholders. The achievement well resembles the continuous growth of business, services, network and brand image.

The New Journey

The year that just passed by marked the second consecutive year of "new normal" brought about by the pandemic. This gave us an opportunity to prove the Bank's resilience to sail through a challenging business and operating environment as also to lay the foundation for future growth. As we look back at the last year's performance, it is evident that the Bank is emerging as a leading player in the banking space by leveraging its inherent strengths as well as capitalizing on emerging opportunities.

With the midterm corporate strategic plan of "Lakshya (Target) -2025" already in place the bank is already in the midst of a transformational journey of where it wants to be by the year 2025 and how the goals set in various parameters and avenues shall be achieved along with a clear timeline for each initiative envisioned. The key thrusts of the plan is to increase business, diversify its income streams, cost control through digitization and innovation and enhance efficiency at all fronts.

With the achievement of the goals set under LAKSHYA 2025, Global IME Bank is expected to set a different standards in terms of digitization, efficiency and profitability.

Our Vision towards digitization

The digital revolution in financial services has occurred at an unprecedented rate, transforming the way banks interact with their customers. Strengthening digital capabilities remains a key medium for our long term objectives. Given our unmatched customer reach, geographical presence we are mindful of the role we can play in driving digital literacy across our customers. The deliverable have been already seen through active participation of our branches in delivering the financial and digital literacy across the country. With the launch of our new "Global Smart Plus" mobile baking application we believe the banking service has more been quick and convenient. Which is evident from the reduced footfall of customers at our branch counters. More specifically, out of total daily customer transactions, more than 50% has already been through digital!

The Bank has envision the digitization not only with the customer base, but also within the organization's department (automation of workflows). With the foresight of "Lakshya 2025" we believe our reach can only be fulfilled if we are to be digitized in our every work process and within ourselves. The Bank's internal work process have been digested to the great extent which has contributed in our additional capability enhancement. Though the digitization is a continuous process we aim to be front runners in every business automation.

Way forward

My stepping into Global IME Bank at this juncture has given many challenges in terms of post-merger mobilization of its dynamic yet diversified work force as well as streamlining the business pattern/ culture and focus on growth. Successful emergence out of COVID-19 effects will remain center stage. One good thing about Nepalese economy is, there remain plenty of good business scope, which needs to be explored and focused on. An example would be, penetration in SMEs and Agriculture sector – the backbone of Nepalese economy. As mentioned earlier, the availability of more skilled manpower has to be looked upon as the potential partners in this progress. The expanded network of Global IME Bank and its workforce has been considered very much ideal for venturing into the sector successfully. We intend to emerge as the most successful retail banking institution in Nepal.

Being one of the largest banks in the economy, we shoulder a greater responsibility in showing the path towards a prudent banking and highest standards of corporate governance. We are committed and prepared to lead the way in all functional areas from standing tall with exemplary corporate governance practices, digitization, reaching to far-flung denizens satisfying their need for their business, accomplishing targets in prioritized areas for economic development.

Merger Milestones

It has been three years when we complete the historic merger with then Janata Bank Nepal Ltd making one of the highest capital base, highest customer base Bank. With the instrumental synergy of this merger the Bank has again stood in forefront in terms of merger. The Bank has already obtained the approval from Nepal Rastra Bank for merger with another long existing "A" Class commercial Bank "Bank of Kathmandu Ltd. With this merger, the bank will stand as The Largest bank in Nepal with total assets exceeding NRs. 500 billion !!

Acknowledgement

We would like to express sincere gratitude to Board of Directors for their support, and strategic vision, which informs and strengthens our own belief in achieving new heights. Not to forget the tireless effort and effective leadership displayed by the Management Team and entire staff members. Only through our continued perseverance, dedication, and teamwork can we overcome the challenges facing us today. Special thanks to Nepal Rastra Bank and other regulatory authorities also for their oversight, as well as to our cherished customers who are the key source of our impetus for continuous betterment.



Ratna Raj Bajracharya
Chief Executive Officer

STRATEGY





CORE VALUES AND CODE OF CONDUCT



ETHICS AND PROFESSIONAL INTEGRITY

The underlying business philosophy of the Bank is to conduct each and every business practice following higher standards of ethics and professional integrity.

TEAMWORK AND COLLABORATION

The Bank's success lies in its uncompromising emphasis on teamwork and collaboration. It is only through the combined efforts and contributions of all the concerned stakeholders that the Bank can achieve its vision, mission, and its fundamental business philosophies. The Bank has always considered its customers as its business partners and valued members of its core team. As such it is continuously involved in an exchange of ideas, skills, competencies, and information with its valued clientele, which has enabled the Bank to scale greater heights not only in terms of business growth but also in aspects of customer loyalty.

RESPECT AND HUMILITY

The Bank strongly abides by the fact that an individual can achieve his/her strategic aims and aspirations by following the virtues of respect and humility. The Bank's focus has always been on creating an amicable atmosphere where it offers equal respect to various cultures, languages, races, ethnicity, social values, and beliefs of diverse individuals and offers them equal opportunities so as to create synergistic effects in all of its activities.

PROFESSIONALISM

The Bank conducts each of its operations with strict adherence to the highest benchmarks of service excellence and professionalism. The Bank has been continuously strengthening its relationship with its varied stakeholders by offering them qualitative, dependable, and safe banking services and this was achievable only because of the Bank's utmost focus on customer-oriented, research-based innovation in its market offerings and business processes.

CORPORATE GOVERNANCE

The Bank abides by the directives, guidelines, and regulations necessitated by Nepal Rastra Bank with respect to corporate governance so that it is able to further strengthen transparency in its business and regular operations and create an empowering and robust internal control mechanism.

LOYALTY

The Bank has always been a loyal partner for its diverse stakeholders. It is fully committed to serving as a reliable partner for its business stakeholders, especially its customers even during tough times. The Bank intends to falsify the age-old belief of banks being there for customers only during favorable times and intends to validate the concept that 'bankers are partners for their customers at all times.

BANK'S PERFORMANCE
ALIGNMENT WITH STRATEGIES

In the mere 16 years of its establishment, the Bank has gained infinite trust and credibility. Resonating the financial aspirations of our nation we reach out to a diverse spectrum of customers from SMEs, and corporates to individuals representing all aspects of growth. With infinite trust earned through our robust performance and our contribution to the society we stand strong as "The Bank for All".

The bank has also been able to make its international presence with its Representative Offices in Sydney (Australia), New Delhi (India), and Hampshire (United Kingdom). The bank has been maintaining harmonious correspondent relationships with more than 90 different international banks from various countries to facilitate trade, remittance, and other cross-border services.

With the leverage of international presence and relationships with international institutions, Global IME Bank has been able to execute the loan agreement with International Finance Corporation (IFC), Commonwealth Development Corporation (CDC), and KFW Development Bank. The Bank has executed a loan agreement of USD 20 million with the International Finance Corporation (IFC) and USD 25 million with the Commonwealth Development Corporation (CDC).

Due to the strength of GIBL in increasing its SME/ Agriculture portfolio, KFW Development bank has entrusted the bank as one of the partner banks with the soft loan in order to increase M-SME business under Sustainable Economic Development in Rural and Semi-urban Areas (SEDRA project)

On September 28, 2022, the bank additionally signed the Green Global Trade Finance Agreement with IFC. This is the first-ever Green Finance facility extended by IFC globally. The bank believes this agreement is a step toward promoting and building a sustainable and resilient economic system in Nepal.



CUSTOMER-CENTRIC BUSINESS MODEL

The Bank has always kept its customers at the forefront of its business philosophy and has always emphasized on developing qualitative, cost-effective, and reliable products and services to cater to their varied needs. Some of the key highlights of the customer-centric initiatives of the Bank are presented below:

- Easily accessible digital banking services like mobile banking, internet banking, and connect-IPS along with the facility of self-generated password facilities to customers for services like mobile banking and connect-IPS
- Availability of customer-friendly and prompt banking services namely online account opening, online loan application, online checkbook requests, and so on to offer banking service on the go for its customers
- Introduction of a new fixed deposit product entitled 'Meri Unilai' to enhance the financial inclusion of the female customers.
- The bank has 275 BLB agents providing banking facilities in remote parts of the country. This has greatly helped in increasing financial literacy and financial reach in the country.
- The bank has 3 international offices and deployed representative officers in 12 different countries to promote remittance through formal channels and disseminate lucrative banking products and services to Nepalese living abroad.
- Introduction of "Hybrid Bachat Khata" where the saving deposit will automatically convert into a Fixed Deposit on reaching a balance of Rs. 100,000.
- Introduction of NRN saving and Fixed Deposit products making access for Non-Resident Nepali to open their accounts in their respective residing country's currency.

The customer-centric business model of the Bank has not only enabled it to create a diverse pool of dependable customers but also enabled it to enhance its sustainability and profitability



TECHNOLOGY AND DIGITAL SOLUTION

The strategy department has set the roadmap of the digital journey of the bank for the Five Years in the Strategic Plan of the bank (Lakshya 2025) in July 2021. The document guides the programs and projects to be undertaken with specific timelines. The aim taken of the Strategic Plan-is to onboard customers into digital banking platforms and workflow automation. Based on the proposed plans and new initiations during the year, the digital department has been guiding the digital journey of the bank.

For operational efficiency the bank has upgraded its Core Banking System to Finacle 10th version. With this, the bank has gained a comprehensive set of capabilities, including flexible product factories, extensive parameterization, product bundling, and reusable business components, to help accelerate innovation-led growth. With its real-time processing engine, open APIs, and embedded customer insights, Finacle delivers one of the most advanced digital banking foundations.

Digital User Base

Digitalization has led to an increase in user base. Mobile banking users and Internet banking users have increased to 1.4 million and 234 thousand users respectively. This is a growth 29% in mobile banking and 34% internet banking userbase. In reference to the commercial banks in Nepal, the bank's mobile banking and internet banking userbase represents 9.2% and 18.3%.

The rapid adoption of digital services has drastically reduced the footfall in branches. This is largely attributed by digital adoption and development of digital payment gateways. Most notably, the QR payment system has started the journey towards the cashless economy. The bank alone has boarded more than 25,000 QR merchants in this fiscal year. The QR transaction represented 2.3% of the bank's total transactions and 4% of the total digital transaction this year.

GOVERNANCE





BOARD OF **DIRECTORS**



Mr. Chandra Prasad Dhakal is one of the reputed names when it comes to entrepreneurship and responsible business in the country. Mr. Dhakal leads the IME Group of Companies which is one of the rapidly growing business conglomerates in the country. Mr. Dhakal pioneered the Nepalese remittance industry thereby creating a dependable medium for numerous Nepalese citizens residing abroad to transfer funds to their families back home. He established International Money Express (IME) in 2001 in Nepal and Malaysia to offer remittance services to Nepalese migrant workers in Malaysia. The establishment not only proved to be an innovative move but also paved a strong avenue for the institutionalization of remittance inflow in the country that was mostly routed through informal channels till then.

Mr. Dhakal has been conferred with many prestigious awards from the Nepal Government, and different bodies for his exemplary contribution to the economic development, on various fronts of the nation. His visionary leadership has represented a benchmark for the merger policy of the Government of Nepal and Nepal Rastra Bank through Global IME Bank – an institution that has been formed through the merger and acquisition of 18 different financial institutions. Mr. Dhakal is the Honorary Consul of the Republic of Indonesia to Nepal and is currently Vice Chairman and "Chairman in waiting" of the Federation of Nepalese Chambers of Commerce and Industry (FNCCI).

MR. CHANDRA PRASAD
DHAKAL
Chairman

Mr. Cabinet Shrestha is among the successful young entrepreneurs, who leads the Agni Group of Companies. Mr. Shrestha had previously served as a Board member of then Commerz and Trust Bank Nepal, which was later merged with Global IME Bank Ltd. Mr. Shrestha is a visionary leader with extensive work experience and a proven track record in various areas, including automobiles and energy sectors just to name a few.



MR. CABINET
SHRESTHA
Director



Mr. Radhesh Pant is a highly accomplished individual with a wealth of experience in the financial and business industries. He holds a Master's in Business Administration (MBA) with a focus in finance and strategy from the University of California, USA, 1991. He also holds a Bachelor of Technology from the Indian Institute of Technology (Bombay, India, 1987). He has successfully led Kumari Bank Ltd (2011-2016) and erstwhile Bank of Kathmandu Ltd (2002-2009) in the capacity of Chief Executive Officer. Mr. Pant also served as a Financial Analysts at Pacific Rim Interface Member Enterprises, Inc. from 1990 to 1992, and as a Planning Analyst at Royal Nepal Airline Corporation from 1987 to 1989.

In addition to his professional engagements, Mr. Pant is actively involved in several other organizations. He was past President of the Nepal Bankers Association, Co-Chairman of the United Nations Association of Nepal, a Founding Director and Adjunct Professor at the South Asian Institute of Management in Nepal, and Board of Director of Kathmandu Medical College Public Ltd.

MR. RADHESH
PANT
Director

Mr. Ram Bahadur Bhandari is a distinguished expert in the field of solar energy in Nepal. He is the managing director of Suryodaya Urja Pvt. Ltd. and had previously served as a Board member of the Janata Bank Nepal Ltd. and the Chairman of the Board in then Siddhartha Development Bank Ltd before its merger with erstwhile Janata Bank Nepal Ltd. He serves as coordinator in the Board of Audit Committee.



MR. RAM BAHADUR
BHANDARI
Director



Mr. Krishna Prasad Sharma is a leading banker with more than 33 years of experience in banking operations, business management, and human resource management. Mr. Sharma served as the Chief Executive Officer at Rastriya Banijya Bank as well as the Director in Nabil Bank Ltd., Nepal Investment Bank Ltd., Employees Provident Fund, National Life Insurance, NLG General Insurance, Credit Information Center, Deposit Insurance Credit Guarantee Company to name a few.

MR. KRISHNA PRASAD
SHARMA
Director

Mr. Madan Lal Joshi is a business professional with wealth of experience in the corporate sector. He holds a Bachelor's degree in Management from Tribhuvan University. Mr. Joshi is also the Managing Director of Furniture Land Pvt. Ltd. Mr. Joshi previously served as a Director of erstwhile Lumbini Bank Ltd., 2004-2016 AD.

In addition to professional engagements, Mr. Joshi served as President of Narayangarh Chamber of Commerce & Industry from 2004 to 2006 AD, and President of Rotary Club of Chitwan from 1997 to 1998 AD. Mr. Joshi is also a Life Member of the Family Planning Association in Chitwan.



MR. MADAN LAL
JOSHI
Director



Mr. Devendra Pratap Shah is one of the pioneers in the Nepalese banking industry. Mr. Shah, a qualified Chartered Accountant, also holds a Master's Degree in Commerce and Bachelor's Degree in Law. In more than 36 years of working in financial sectors, Mr. Shah has served in different capacities, notably as Chief Executive Officer of Agricultural Development Bank Nepal Ltd. and Nepal Bank Ltd. as well as the Executive Chairman of the Insurance Board of Nepal.

MR. DEVENDRA PRATAP
SHAH
Independent Director

DIRECTOR'S **REPORT**

It gives us great pride to share with all our stakeholders again in 2022, Global IME Bank Ltd was able to mark the remarkable and consistent achievements as it has done over the past 15 years. It gives us honor to share with all that Bank completes its 16 years of service in coming January. It is a fact that the Bank's excellence and success, despite of ever present challenges and opportunities has been possible only because of the constant support and encouragement received from its diverse stakeholders including but not limited to shareholders, customers, regulatory authorities and employees.

On behalf of the Board of Directors, I present to you the Annual Report for the Financial Year 2021-22, along with Statement of Financial Position (Balance Sheet), Statement of Profit or Loss, Statement of Cash Flows, Statement of Changes in Equity and various activities and disclosures as at 16th July 2022. This Financial Statements has been prepared in conformity with the provisions laid down in the Bank and Financial Institution Act, 2073, Companies Act, 2063 and Nepal Rastra Bank's Directives.

Overview of the National Economy

Though the effect of pandemic of COVID-19 in earlier period of FY 2021-22 was fearful, but these condition in later period have been improved so as the economic activities of the country. With the completion of local level election on 12th May 2022 and Parliament & Provincial Election on 20th November 2022 it is believed that there will be positive economic activities in the country.

Central Bureau of statistics has estimated the national economic growth by 5.84 % for FY 2021-22. The growth in previous year was 4.25%. In the year of review, the growth in agriculture, industry and service sectors remained at 2.30%,10.19% and 5.93% respectively. The growth in these sectors was 2.85%, 4.51% and 4.19% respectively for agriculture, industry and service sectors in previous year. Though there has been slight decrement for the agriculture sector but the positive growth in industry and service sector has contributed in the GDP growth in the year of review. In this context there has been significant contribution from the industry sector for the economic growth achievement by the country.

In the year of review, low production and huge consumption habit saw the Gross Domestic Product being hit still hard by the high import of the country. Increase in import and decrease in foreign exchange reserves has created external pressure in management of the external sectors. Gross foreign exchange reserves decreased 13.1 percent to Rs.1,215.80 billion in mid-July 2022 from Rs.1,399.03 billion in mid-July 2021. Huge gap is being created in terms of the foreign currency that is being withdrawn out of the country for the import of goods and service as and foreign currency that is being brought to the country from the export of goods & services, remittance, foreign direct investment and foreign aid. The current account remained at a deficit of Rs.623.33 billion during 2021/22 compared to a deficit of Rs.333.67 billion in the previous year. Balance of Payments (BOP) remained at a deficit of Rs.255.26 billion in the review year against a surplus of Rs.1.23 billion in the previous year.

The review year saw deposits at banks and financial institutions (BFIs) increased 9% percent in compared to a growth of 21.4% in the previous year. Low deposit collection has eventually lead to the low growth of credit. Private sector credit from BFIs increased 13.1 percent in the review year compared to a growth of 27.3 percent in the previous year. With the expectation of deposit growth to remain at normal level, BFIs had aggressively flown the credit during the first quarter of Fiscal year 2021-22. But the resource mobilization could not be maintained as expected which led to the contraction in liquidity. This effect continued till the completion or review period and the signs of bounce back are not seen as that encouraging. Remittance inflows increased 4.8 percent to Rs.1,007.31 billion during 2021/22 compared to 9.8 percent in the previous year.

From the January 2021, the world economy too has been affected severely due to the ongoing Russia and Ukraine War. There has been steep rise in the prices of petroleum and food prices. World business activities and capital flow has been hugely impacted. These changes in the world economy has been witnessed directly or indirectly in the Nepalese economy as well. Low resources for investments has created a huge challenge to achieve the expected economic growth and the rising economic activities which was slowly bouncing back from the effect of Covid 19 pandemic.

Review of the Bank's overall performance in the FY 2021/22:

Financial Position: **Rs in Million**

Description	Mid July		Growth	
	2022	2021	Amount	Percentage (%)
Paid up Capital	23,796	21,633	2,163	10.00
Deposits	286,560	283,349	3,211	1.13
Loans and Advances	272,212	242,447	29,764	12.28
Investment	47,537	49,917	(2,380)	(4.77)
Reserve and Fund	13,944	11,806	2,137	18.10
Debenture	4,500	4,500	-	-
Capital Adequacy (%)	12.67	13.20	-	-

As evident the Bank has been able to register satisfactory growth in its capital base as well as deposit and credit portfolio. With the increase in credit risk assets from the effect of increase in credit portfolio in comparison to deposit growth, capital adequacy ratio too has decreased slightly in comparison to previous year end.

Operational Performance:

In the FY 2021/22, the Bank was able to generate Operational Profit of Rs. 7.03 billion against Rs 5.97 billion in comparison to previous year. A brief snapshot of the Bank's profitability has been highlighted in the following table:

Rs in Million

Description	Mid July		Growth	
	2022	2021	Amount	Percentage (%)
Interest Income	29,058	21,694	7,365	33.95
Interest Expenses	18,769	12,554	6,214	49.50
Net Interest Income	**10,290**	**9,139**	**1,150**	**12.59**
Fees, Commission and Operating Income	3,288	3,203	86	2.67
Operational Expenses	2,794	2,084	710	34.10
Employees Cost excluding Staff Bonus	2,510	2,502	8	0.33
Employees Staff Bonus	781	663	118	17.74
Provision for loss against loans and other financial assets	466	1,125	(659)	(58.55)
Operating Profit	**7,027**	**5,968**	**1,059**	**17.74**
Income Taxes	2,067	1,803	264	14.67
Net Profit	4,959	4,165	794	19.06

The positive growth in the Bank's overall revenue base has contributed to the satisfactory rise in its net profit to 4.96 Billion in compare to 4.16 Billion of previous financial year which is 19% increment to of previous year. The Bank has been able to register satisfactory growth even amidst the challenges created by the pandemic namely increased market competition in terms of interest rates and the decline in economic activities in Nepal during the review period.

Merger and expected effect

To help the Merger and Acquisition policy of Nepal Government and Nepal Rastra Bank, the Bank has successfully completed the merger and acquisition along with 18 financial institutions along with 2 "A" class commercial banks. In continuation to this policy the bank has entered into merger agreement with Bank of Kathmandu Ltd a "A" class commercial Bank on 16th June 2022. The two banks have already obtained the Letter of Intent for merger from the Nepal Rastra Bank. It is believed that merger with Bank of Kathmandu Ltd will be the big positive step towards business expansion.

After the merger the paid up capital of the bank will be 35.77 Billion and the total equity will be more than 54 Billion. With the total deposit crossing 400 Billion and loans crossing 375 Billion, the Bank will be largest in terms of business expansion along with the capital base. The Bank's network will spread over 375 Branches and will be boost with more than 4000 employees. We believe that after merger, the joint synergy will improve the banking business thereby contributing the expected return of our shareholders. With the vast experience of past merger and acquisition we are confidence that these experience will be

fruitful for making the stable and biggest bank in Nepal after merger with Bank of Kathmandu Ltd.

For the purpose of merger, independent valuator has conducted the valuation of assets and liabilities of both the banks. On the basis of the valuation the swap ratio for merger of the banks has been proposed as 1:1 by the joint merger committee. The swap ratio has been duly approved by the board meeting dated 14th November 2022 and the final agreement for merger too has been completed.

Not only the Bank will be the biggest Bank after the merger with Bank of Kathmandu Ltd. the Bank will strategically establish itself as the specific contributor to Nepal's financial sector. The Bank will be established as one of the striking and competent bank for fulfilments of its duties towards stakeholders need.

With eyesight in increasing resources, the bank will play leadership role in investment in bigger industries which are of national importance. With these the business area of the bank too will expand gradually. After the merger the bank will invest not only in the productive sector but also in the national importance agriculture sector, small medium industries, energy sector along with the sector like deprived sector, women entrepreneurship, youth employment sector where the nation too has been providing different beneficial packages to uplift these sector. The Bank has taken aim to achieve these through a sustainable banking in all the present 77 districts with the establishment of branches, extension counter and branchless banking rural and in most developed rural areas as well.

The bank is investing in greenfield projects with the proper assessment of environmental and social risk analysis. The Bank has established separate unit for these assessment of risk. With the merger additional resource will contribute further in strengthening the unit.

Development in Technology

The rapid changing technology in banking sector has not only created abundance possibility but has also added challenges in similar ways. Bank is always dedicated to provide the modern banking services to the customers through the optimum utilization of the technology. With these direction Bank has upgraded its Core Banking System to Finacle Version 10 and other developments to accommodate any new changes.

Business Process Management and Loan Origination System has been brought into operation by the bank during this review period. Use of Document Management System, Business Intelligence and Big IP Edge Client has strengthened record management and also aided in effective analysis of available information.

Along with this, the use of modern and advanced technology of the software, the bank has been able to minimize the cost on fixed assets and human resources. In order to enhance the customer service bank has been working on to provide Internet Banking, QR Code Payment System within one platform by upgrading Mobile Banking, Likewise Digital Banking Department has been carrying on various activities for adapting new technology based on Fintech. Bank has assimilated the challenges faced in past and also been alert to forecast the probable threats and prevent them. Therefore, Bank has been conducting Information System Audit every year.

Future Plans

The Bank has policy to achieve healthy and balanced growth in its deposit base, credit portfolio and business expansion in line with its strategic objectives in the days to come as well. The Bank aims to enhance the effectiveness of its products and services by adopting customer friendly and robust digital technologies so that it is able to minimize the adverse effects of COVID-19 in its overall business and the entire economy and provide the maximum return and safeguard of investments of our investors. Bank has accepted the change as an opportunity and implemented policies to provide easy, efficient and reliable banking service through the digital medium. This has made banking service quick and cost effective both to the customers and service providers and also assured easy banking service during the pandemic/ (havoc).

The bank has implemented its strategic plan as "Lakshya 2025". The fundamental aim of this plan is to double its business resources and loans and advances along with the net profit by end of 2025. In order to achieve the goal, the bank has been adopting policies to enhance the business capability of the employees, trainings to enhance the knowledge, skill and automating the internal activities and also connecting the customers digitally for banking activities.

Additionally, the bank has vigorous plan to enhance the employee's working capacity through the training module and the transformation of Bank's internal work module through digital modes. With this the bank aims to enhance the digital banking service among its customers and make the easy banking service accessible to all.

The Bank aims to implement allowing plans and strategies in the upcoming days:

The Bank aims to further enhance the scope of its business through expansion of branch network as well as representative offices within and beyond the country so as to enhance the financial inclusion and also fulfill its motto of becoming 'Bank for All' for its diverse stakeholders. Bank has been serving more than 3 million customers via 891 outlets in the form of Branches, revenue counter, branchless banking, ATM, Extension Counter and Representative Offices. The Bank is committed as ever to bring the larger mass of customers still beyond the reach of the formal banking channels.

Bank has the policy to provide technology based banking service by standardizing and diversifying the combination of deposit and credit, conduct Risk Based Audit and has zero tolerance for activities against Corporate Governance. This shall be given continuity.

In order to assure a dependable source of capital generation, the Bank is in the process for issuance of debenture worth Rs. 5 billion in the FY 2022/23. Considering prevalent interest rates, the interest rate of debenture shall be 11.25% and the maturity period shall be 5 years.

On visualization of the problems faced during the resource mobilization in Nepal economy the Bank has mobilized the resources from the international financial institutions using the facilities provided by Nepal Rastra Bank and has further plans to mobilize additional resources from such sources this year as well. During this process bank has availed loan amounting USD 20 million from British International Investment (former CDC) and has been continuously in process to collect funds from renowned International Financial Institutions. These additional resources from the international market shall not only enable the Bank to enhance its credibility but also help to identity itself in the international market.

Bank has been providing Credit to the targeted group as per the directives of Nepal Rastra Bank. Bank shall promote Green Financing in accordance with Green Economic Strategy adopted by Government of Nepal. Bank has been dedicated to provide sector wise investment as directed by regulatory body. Though the Bank has been facing

challenges like lack of resources to flow the loans to targeted groups, inability to complete the power purchase agreement by Nepal Electricity Authority, lack of manpower in Agriculture Sector has incorporated more challenges to provide additional loan to these small entrepreneurs within the prescribed limit. But the Bank shall continue to achieve the minimum loans to be flown to these deprived sectors.

Bank has always prioritized its investment in the Agriculture Sector, which is the major contributor in the economy of the country. Bank has been coordinating with the local bodies to provide loans to different groups under various programs through its branches. Through these programs bank assumes to play a significant role to uplift the lifestyle of the local level.

Ever since the inception, the Bank has prioritized in offering suitable credit facilities to the small and medium enterprises on the basis of underlying geographical structure, as the Bank believes that the country's economy can prosper only with the prosperity of small and medium enterprises. This will help develop the entrepreneurship in the country which will create additional employment. This can help diversify the portfolio of the bank which will finally results in efficient management of Credit Risk.

On the direction of Nepal Rastra Bank to provide the refinance facility for COVID 19 affected customers in previous years, still more than 1000 customers have been directly benefited as on date. The refinance facility flown to the customers as on mid November 2022 is more than Rs. 8 Billion.

In the present context where one can see continuous growth in infrastructure development activities, the Bank aims to forge fruitful collaborations with concerned businesses and stakeholders in the sector of construction and infrastructure development. In order to enhance the effectiveness of the reach of the service to be extended to this profitable sector, the Bank has established a separate department to cater the unique financial needs of the construction sector. Bank has already initiated the process to incorporate this unit in digital banking channel to smoothen the trade business. Despite of some restrictions in import areas and scarcity of source, bank is strived to not slow down the trade investment activities.

Apart from being backbone of the domestic economy, remittance is a vital and reliable source of business for Global IME Bank Limited. The Bank has played an active role in ensuring the inflow of significant remittance income in the country through establishment of representative offices, remittance agents and strategic partners in different countries throughout the globe. The Bank shall continue prioritizing the systematic and effective management of its remittance business in the days to come so as to generate substantial remittance income for the overall country.

Apart from streamlining its business processes, the Bank has equally emphasized the fact that the Bank's core strength lies in the skills and competence of its dedicated employees. Enhancing their knowledge and capacity and their proper mobilization can aid in attainment of business objective of the bank. With regard to this bank has scheduled training calendar but due to COVID - 19, conducting physical training has not been easy so bank has adopted digital medium to strengthen knowledge exchanging mechanism.

The Bank has always prioritized risk management and has taken a proactive role to identify and implement several risk management strategies and activities. For the intense focus on risk management, the Bank has a separate Risk Management Committee that is actively involved in identification of sources and incidences of risk as well as implementation of proper corrective measures to minimize those risks to which the Bank is exposed to.

With the objective to bring positive change in the culture and process of promoting employee motivation, bank had organized a National Branch Managers Conference at Sauraha with active participation of around 400 members including Branch Managers across the country, Head of Department, Management Team and Board of Directors from 2nd to 4th June 2022 with the motto "Better Thought for Better Performance". This conference has provided an opportunity of direct interaction among the Branch Managers and Management. Besides this Bank assumes the conference has developed an emotional connection within the staff which will aid in attaining the goal of the bank. Bank has planned to continue such programs considering the effectiveness of such program.

Nepal being a developing country, it is necessary to mobilize the economy and also expand the access of everyone in the formal Economy. It is necessary to convert all the informal sector of economy to formal sector and expand the access of banking service in every sector and category. In order to provide banking service in such level the bank will face the utmost challenges in managing the resources required to fulfill the excessive demand of credit. For this there is no alternative that to move in different direction than existing traditional banking activities and deposit based resources mobilization. Bank shall be determined to bring policy based improvements in such matters.

Euromoney Awards, The Best bank in Nepal.

A well-recognized British Magazine Euro Magazine conducts a deep research and analysis on various factors with the help of experts of financial sector and provides Euromoney Awards on different category at international level.

Global IME Bank has been awarded Euromoney Awards for The Best Bank in Nepal 2022. Bank is privileged to receive the awards received by big and recognized banks of the world in past few years and assumes to make a positive impact in the recognition of the bank in national and international level.

Bank's Credit Rating

The Bank's credit rating has remained as "A" category as in previous year's rating. This reflects the strength of the Bank"s banking activities and fulfillment of its financial obligations towards the stakeholders.

Bank's Network:

The Bank has always remained in prominent position to provide the easy, user friendly, and multiple banking products and services in terms of deposit, lending to national importance sector and development of financial access. The Bank currently is operating with 891 outlets in all 77 districts of the country with 292 branches, 51 extension and Revenue Collection counters, 270 ATMs, 275 Branchless Banking Services and 3 representative offices in India, UK and Australia. These outlets are equipped with more than 3,000 dedicated manpower.

During the review period the Bank has decided to open the first foreign branch of Bank in South Korea. Nepal Rastra Bank too has granted the preliminary approval for the foreign branch opening. To open the foreign branch in South Korea, regulatory body of South Korea Financial Supervisory Service (FSS) has to grant the approval. The

Bank has already filed the process for approval from FSS.

Corporate Building and Provincial Office

The business of the Bank has been regularly increasing, due to which the present corporate office has been congested and some of the corporate level department too have been scattered in different location. To overcome this the bank had purchased a bigger land to accommodate all the departments along with sufficient parking. During the review period the corporate building structural layout has been already finalized and the same is in the approval process with Land Revenue Offices.

Further, The Bank is in the process to construct the provincial office in Bharatpur equipped with branch office and regional training center. The Office is being constructed in the land owned by the Bank.

After the completion of corporate office and regional office, working structure and environment will be aided with the full facilities which will in turn add to the brand value of the Bank.

Contribution in the National Economy

In the FY 2021/22, the bank has paid more than Rs.3 billion in the forms of corporate tax and tax deducted at source. In the review period, the Bank has made significant contribution in strengthening the industrial development of the country via collection and disbursement of funds in the form of loans and advances through its extensive branch network spread all over Nepal. The Bank has been able to generate employment opportunities for more than 3,000 Nepalese citizens creating a positive impact in the standard of living.

Corporate Social Responsibility

In addition to assisting in the overall economy of the country through financial and economic services with different groups of stakeholders, the Bank has effectively fulfilled its corporate social responsibility. The Bank has contributed almost Rs. 30 million in the FY 2021/22 in the sectors of education, health, sports, pandemic control, banking awareness, financial literacy, natural calamities, and environmental conservation.

Apart from this, the credit facilities those are targeted to the small and medium enterprises has played a vital role in economic empowerment of the marginalized communities of the country by giving them a chance of self-employment. Likewise the Bank has been satisfying the banking needs of its customers in the far flung area via its branchless banking service and also assisted the government in revenue collection especially for Department of Transportation Management, Department of Immigration, Department of Passport, Department of Foreign Employment, Traffic Police Department to name a few.

Corporate Governance

The Bank's board of directors and management team have always focused on maintaining highest standards of corporate governance in the organization. It has also imparted enough attention on making timely and needed updates in the corporate governance mechanism of the Bank in view of the expansion in the business base and points of representation of the Bank. The members of the Board of directors as well as employees are subject to the Code of Conduct, including the one issued by Nepal Rastra Bank which is being complied with in full.

On the basis of the Bank's extended businesses and other operating activities, internal process control and other workforce areas are being further strengthened. Additionally, for further extending the employee's capabilities, the bank's organizational structure and official responsibilities are being amended as per the necessity. The Audit Committee of the Bank monitors all activities and ensures that the processes and procedures in place are adequate and operational along with the compliance of the Nepal Rastra Bank directives. The Bank has always adopted a proactive approach towards good corporate governance practice with a commitment to operate in a very transparent manner.

Stock Dividend Recommended

Utilizing the profit of the Financial Year 2021-22 and retained earnings of previous years, the Board has recommended for the approval of the issuance of bonus shares equivalent to NPR 713,872,600 (3.00 percent of Paid up Capital) and cash dividend of NPR 2,522,349,854 (10.60 percent of Paid up Capital) inclusive of applicable taxes to our valued shareholders. With this development in capital structure, we believe that we will be able to gain confidence from all the concerned parties which will indeed support us in increasing the business.

The fraction share shall be kept as it is in the name of the respective shareholder until it is converted into a whole share.

Financial Statements and Audit

The Consolidated Statement of Financial Position as at year ended 16 July 2022 (32nd Ashad 2079), Consolidated Statement of Profit or Loss for FY 2021-22, Consolidated Cash Flow Statement, Consolidated Statement of Changes in Equity, Related Annexure, as well as the Auditor's Report have been attached herewith and placed as an integral part of this report. The various details as required by the Companies Act, 2063 B.S. is presented in "Annexure A".

Change in Board of Directors

The Bank's Board of Directors consists of 6 members, Mr. Chandra Prasad Dhakal (Chairman, Promoter Shareholder Group), Mr. Cabinet Shrestha (Promoter Shareholder Group), Mr. Ram Bahadur Bhandari (Promoter Shareholder Group) Mr. Sudarsun Krishna Shrestha (General Shareholder Group), Mr. Krishna Prasad Sharma (General Shareholder Group) and Mr. Devendra Pratap Shah (Independent Director).

Board of Directors prepares the required policies, manuals for the workflow of the Bank by considering the Banking and Finance Act, 2073, Nepal Rastra Bank's directives, Bank's AOA MOA. To manage the cumulative risk of the Bank, to conduct the services for the benefit of customers and stakeholders of the Bank remains added responsibility of the Board. Maintaining good corporate governance, collection of deposits, investments, management of employees, approving the Bank's budget and business plan, delegation of duties to chief executive officer for smooth running of bank's business, implementation of direction provided by Nepal Rastra Bank, Securities Board of Nepal, statutory audit and other regulatory are the areas where the Board plays pivotal roles.

Audit Committee has remained always active in accountability of Board Committee. The committee conducts internal control plan, audit plan, termly review of the remarks provided by internal and external audit and direction for improvement to the management along with necessary advice to the Board. Any irregularities, effectiveness and presence in the Bank's business are regularly monitored and reviewed

by the committee along with the review of quarterly financial position and its submission of review report to the Board Committee are the important work areas of the audit committee.

The Bank has in place a well-defined risk management mechanism that is involved in creating an organizational culture that is not only aware of the inherent risks involved but also in the minimization of such risk through effective and integrated efforts. Under the supervision of its risk management department, the Bank not only identifies risk areas effectively and efficiently but also ensures full adherence to the various guidelines of Nepal Rastra Bank as well as its own internal policies and procedures that are developed in line with the risk management guidelines issued time and again by various national and international regulatory bodies.

Employee Benefit Committee has been actively involved in the management of employees like new recruits, transfer, placement, promotion, performance analysis, capability building. Along with this the committee prepares the review report on the policy and manuals related to employee services and present them to Board. The review report is study report on structure of employee's remuneration, remuneration of the peer industries and its impact on any changes in remuneration structure. Addition to this the committee provides the necessary suggestion on the above study, succession planning management as well.

Anti-Money Laundering/ Combating Financing of Terrorism (AML/ CFT) committee has been formed and is active in accountability of Board Committee. The committee prepares the review report and submit to the Board Committee on the work performance based on the directions as per Money Laundering Prevention Act, 2064 and Nepal Rastra Bank Directives. Besides these the committee overlooks the effectiveness of AML/CFT system in Bank, effectiveness of provision regarding Know Your Customer, work mechanism on investment done for money laundering and financing terrorism act as per the policies of Bank, Act and internal policy.

ACKNOWLEDGEMENT

Lastly, I on the behalf of Board would like to express our sincere gratitude to all our shareholders. Your patronage over the years has been a source of immense strength for the Bank, and for our customers to perpetually believe in us. We would like to appreciate the Government of Nepal, Ministry of Finance, Nepal Rastra Bank, Company Registrar's Office, Securities Exchange Board of Nepal, Nepal Share Exchange Limited, other regulatory bodies, and the media for guiding us on the road map towards success, towards benefit, and towards progress. Similarly, we would like to thank all the dedicated employees who have worked tirelessly for the growth and prosperity of the Bank. We would like to once again reiterate our commitment to providing the highest quality services and to providing increasing returns to our respected shareholders in the years ahead.

On Behalf of Board

Chandra Prasad Dhakal
Chairman

MANAGEMENT **TEAM**



Mr. Ratna Raj Bajracharya has rejoined the bank as Chief Executive Officer in 2020 September. He was CEO of this bank during 2011-2015 as well.

Mr. Bajracharya is a leading figure in the Nepalese banking industry with an impactful career spanning various esteemed institutions. He holds an MBA degree and is a qualified Chartered Accountant. Mr. Bajracharya started his career with Nepal Rastra Bank. After serving for 20 years in various capacities, he opted out of employment and founded his own accounting firm in 1992. He also pioneered in setting up a training institution in the field of practical accounting, taxation, finance, and general banking. He was a senior member of the foreign management team (2002-2005) that undertook the management contract for the reform of Nepal Bank Ltd, the oldest commercial bank in the country under the World Bank funded Financial Sector Reform Project.

Before rejoining the bank, he has served as the Chief Executive Officer in Sunrise Bank Ltd. (2015-2019) and Nepal Credit and Commercial Bank Ltd. (2007- 2011).

During his professional career, Mr. Bajracharya has served as the President of the Association of the Chartered Accountants of Nepal and the President of the Institute of Chartered Accountants of Nepal. He has also served as a member of the Board of Directors of the Securities Board of Nepal (twice), as Chairman of Nepal Clearing House Ltd and Mero Micro Finance Ltd.

MR. RATNA RAJ
BAJRACHARYA
Chief Executive Officer

Mr. Shrawan Lal Maskay joined the Bank in the year 2006 as Deputy Chief Executive Officer of erstwhile Lumbini Bank Ltd which merged with Bank of Kathmandu Ltd. He has more than 35 years of banking experience in various areas including, Treasury & Correspondent Banking, Operations, Business, Liability Portfolio management with leadership roles. Currently, he serves as Senior Deputy Chief Executive Officer. Mr. Maskay prior to merger of Bank of Kathmandu Ltd with Global IME Bank Ltd, served as Chief Executive Officer of erstwhile Bank of Kathmandu Ltd.



MR. SHRAWAN LAL
MASKAY
Senior Deputy Chief Executive Officer



Mr. Surendra Raj Regmi joined Global IME bank in the year 2008. During his tenor, he has experience serving in various leadership roles such as Chief Credit Officer, Chief Operating Officer, and Chief business officer. Altogether, Mr. Regmi brings 34 years of banking experience with him. He holds a degree in Economics and an MBA from the University of Wales, Bangor, UK. As Deputy Chief Executive Officer of the Bank, Mr. Regmi is responsible for leading the credit business, especially SME/ Mid Corporate/Retail, ensuring robust Branch Operations of the Bank and other general administrations for cost optimization and media management. He is also serving as Chief Information Officer of the Bank and as Chairman of First Microfinance Laghubitta Bittiya Sanstha Limited representing the Bank.

MR. SURENDRA RAJ
REGMI
Deputy Chief Executive Officer



Mr. Bimal Daga joined Bank in the year 2019 with more than 3 decades of banking experience. During his service tenor Mr. Daga served as Chief Business Officer and currently as Assistant Chief Executive Officer of the Bank leading the Strategy, Performance Monitoring and General Compliance of the Bank. During his Banking career Mr. Daga has held the various leadership roles such as Chief Business Officer, Chief Risk Officer, etc. Mr. Daga is a strong leader carrying the reputation for building highly motivated team members and he is considered to be an excellent trainer in the industry. Mr. Daga holds a degree in Finance from Shri Ram College of Commerce, University of Delhi and a MBA from Kathmandu University.

He is currently representing the Bank as Chairman of BOK Capital Limited.

MR. BIMAL **DAGA**

Assistant Chief Executive Officer



Mr. Chandra Raj Sharma is a senior Chartered Accountant and also holds MBA degree from the Tribhuvan University, Nepal. He is in banking industry since 2003. During his service tenure, he served in various areas including, Internal Audit, HR, Finance, Operations, Business, Risks etc. and also held various leadership roles such as Chief Financial Officer, Chief Operating Officer. Currently, he serves as Assistant Chief Executive Officer and also entrusted with the role of Chief Financial Officer of the Bank.

Mr. Sharma also serves as Director of RSDC Laghubitta Bittiya Sanstha Limited and BOK Capital Limited representing the Bank.

MR. CHANDRA RAJ **SHARMA**

Assistant Chief Executive Officer



Mr. Kalyan Bikram Pande brings 18 years of banking experience with him. He has an MBA from Bangalore University and a Bachelor of Technology in Electrical Engineering. Mr. Pande began his banking career at Kumari Bank Ltd. as a Corporate Credit Relationship Manager in 2004. Since then, he has assumed various senior roles including Senior Corporate Relationship Manager at Laxmi Bank Ltd. He then joined erstwhile Janata Bank Nepal Ltd. (now Global IME Bank Ltd.) in 2009. Mr. Pande currently leads Corporate Banking Hub, Infrastructure Financing, Digital Banking, Transaction Banking, Trade Promotion, and Strategy Department in the capacity of Chief Business Officer. He also serves as a Board member of Mero Microfinance Laghubitta Bittiya Sanstha Ltd as a Global IME Bank Ltd representative

MR. KALYAN BIKRAM **PANDE**

Deputy General Manager



Mr. Deep Chandra Regmi with more than 15 years of banking career started his career at Standard Chartered Bank of Nepal as second in charge of Central Trade Finance prior to joining Global IME Bank Ltd in 2009. He has assumed various senior roles including senior relationship manager, Head- Trade Finance, and Chief Financial Officer. Currently, he has been working as the Chief Human Resource Officer.

Mr. Regmi graduated from Asian Institute of Technology, Thailand with a Master's Degree in Business Administration. He serves as a board member of IME Life Insurance Company Ltd representing Global IME Bank Ltd. as well.

MR. DEEP CHANDRA **REGMI**

Assistant General Manager

EXTENDED MANAGEMENT **TEAM**



DEEPAK GAUTAM
Chief of Credit Administration and Legal
Deputy General Manager



BHAWANI DHAKAL
Chief of Internal Audit
Assistant General Manager



BUDDHI AKELA
Chief Risk Officer
Assistant General Manager



ANIL JOSHI
Chief Information Technology Officer
Assistant General Manager



RAJA ARYAL
Head - Bagmati Province
Assistant General Manager



ANIL SHRESTHA
Chief of Corporate Business
Assistant General Manager



DILIP POKHAREL
Chief Marketing Officer
Assistant General Manager



KAMAL RAJ PATHAK
Chief of General Services
Assistant General Manager



RITESH LAMICHHANE
Chief of Digital and
Transaction Banking
Assistant General Manager



SANTOSH PRADHAN
Chief of Mid Corporate, Retail
and Deprived Sector Lending
Assistant General Manager



SHANTA SIWAKOTI
Provincial Office Coordinator
Chief Manager



RUPENDRA WAGLE
Chief SME and Agriculture
Lending
Chief Manager



SULAV HARI JOSHI
Chief of Country Operations
Chief Manager

CORPORATE GOVERNANCE





The Bank's board of directors as well as the management team have always emphasized on maintenance of vigorous corporate governance in the organization. The Bank has always taken a proactive approach to streamline and make necessary adaptations in its organizational structure and processes so as to further enhance the state of governance especially in the light of expansion of the overall service network and business portfolio of the Bank. The Bank fully abides by all the national and international directives, principles and regulations pertaining to corporate governance. The Bank's board of directors have a strict adherence to the expected roles and behaviors as necessitated by Nepal Rastra Bank for enhancement of the culture of corporate governance in the organization.

With the growth in the business base, operations and overall network of the Bank, necessary amendments are made in the internal control mechanism of the Bank including but not limited to change in the organizational structure, amendments in the roles and responsibilities of high-ranking officials and enhancement of necessary skills and competence of the employees. The Bank's Audit Committee diligently scrutinizes the regular operations of the Bank and also ensures that the Bank is working at par with the various regulations and policies of the supreme regulator – Nepal Rastra Bank. The Audit Committee also ensures suitability and sufficiency of the Bank's workflow and processes with reference to such directives and policies. The Bank has always been committed to ensure transparency in each and every operation so as to enhance the state of corporate governance in the organization, thereby creating higher benchmarks of service and operational excellence.

Some of the major highlights that portray the Bank's adherence to Corporate Governance are shown below:

- The Bank conducts the meetings of the board of directors as well as other sub-committees reporting to the board of directors on a regular basis with main areas of discussion on strategy formulation, Information Technology, cyber security, risk management, and preserving portfolio quality.
- The Board also reviewed and revised several key policies with due consideration to best practices, changes in the operating areas, and regulatory developments
- The Bank has streamlined and strengthened the composition and role of the Bank's internal audit department.
- The Bank's Management Committee (MAN-COM) meeting is held on a regular basis to discuss the prevailing issues and challenges faced and the strategic decisions that might be required to address the internal and external market dynamics.

It is an inevitable fact that corporate governance helps a bank to create a sense of direction, regularity, and control in its operations. The Bank has clearly defined the rights, roles, and responsibilities of its board of directors, shareholders, employees as well as all other concerned stakeholders so as to ensure the effective implementation of corporate governance throughout the organization. The Bank's board of directors and the management team share a common vision to ensure a higher degree of corporate governance in the Bank. The bank also maintains a watchful eye to initiate and implement suitable measures to adapt to the new realities resulting from the expansion in its business and branch base to maintain its adherence to corporate governance principles and mechanisms.

The Bank has in place various committees and sub-committees such as an audit committee, risk management committee, employee welfare committee, anti-money laundering committee as well as various other managerial committees to enhance the effectiveness of its internal procedures while marinating the corporate governance and transparency standards necessitated by various national and international organizations. All of these committees and subcommittees are effectively fulfilling their designated roles and responsibilities while taking care of the authority entrusted to them by the Bank.

In order to ensure the effective implementation of corporate governance, the Bank has developed and implemented a comprehensive code of conduct for its employees and also has a dedicated governance unit in place for monitoring and initiation of corrective actions as and when necessary. The Bank regularly updates all of its concerned stakeholders on the relevant information about the Bank and its activities through various notices and information sources.

RISK MANAGEMENT

Appropriate measures to timely identify and analyze various kinds of potential risks play an instrumental role in downsizing the risk exposure of a bank as well as to initiate and implement timely corrective measures to outplay the adverse impacts of the various risk categories. The Bank has in place a well-defined risk management mechanism comprising various committees and policies.



BOARD LEVEL COMMITTEE

The primary purpose of any risk management practice is to protect the quality of its assets by being fully aware of the inherent risks that might arise during the course of operation of a bank. There are various categories of risks to which any bank is exposed to. Some of the major categories of risks that a commercial bank has to curtail in the course of its operations includes credit risk, operational risk, market risk, liquidity risk, technological and human resource related risk to name a few. A commercial bank has to timely identify, analyze and minimize the triggers of these kinds of risks in order to ensure sustainability of its business and regular operations.

The Bank has in place both board level and management level committees for management of risks that address the various inherent risks that might arise in the course of business and operations and implements appropriate risk management measures depending on the severity of the risk incidents.

- Risk Management Committee (Board level committee)
- Integrated Risk Management Committee (Managerial Level committee)

The Board Level Committee is led by Director Devendra Pratap Shah as coordinator and Director Krishna Prasad Sharma as the Member of Committee. Further Chief Risk Officer serves as Member Secretary to the committee.

RISK MANAGEMENT & CONTROL ENVIRONMENT

The Bank has in place a well-defined risk management mechanism that is involved in creating an organizational culture that is not only aware of the inherent risks involved but also in the minimization of such risk through effective and integrated efforts. Under the supervision of its risk management department, the Bank not only identifies risk areas effectively and efficiently but also ensures full adherence to the various guidelines of Nepal Rastra Bank as well as its own internal policies and procedures that are developed in line with the risk management guidelines issued time and again by various national and international regulatory bodies.

The Bank's Integrated Risk Management Department has assisted the Bank to develop a proactive internal culture that supports effective risk management. The Department assists the Risk Management Committee with respect to credit risk, operational risk, market risk, and management risks so as to ensure a risk management mechanism that is self-regulated as well as regulated by the relevant risk management directives and policies issued by various regulatory authorities. The Department is also responsible for the development of a proactive risk management system inside the Bank in full coordination with various departments and divisions of the Bank. The Integrated Risk Management Department primarily emphasizes:

- Credit Control
- Credit Risk
- Operational Risk
- Market Risk & Data Security
- Risks associated with the Bank's Goodwill

ENVIRONMENT AND SOCIAL RISK MANAGEMENT (E & S)

The bank has its own E&S Risk Management Policy and Guidelines integrated with the Credit Risk Management System. For efficient planning, smooth implementation, and effective monitoring, the bank has appointed a dedicated E&S Risk Officer. The bank is also planning to further strengthen the E&S unit in terms of manpower and capacity.

Currently, the E&S unit is digitizing ESMS for proper recording, review, and reporting. The bank is committed to contributing to sustainable banking practices. The bank shall continue to strengthen ESMS with adherence to national laws and regulations as well as global E&S standards/ practices as applicable

HUMAN RESOURCE MANAGEMENT



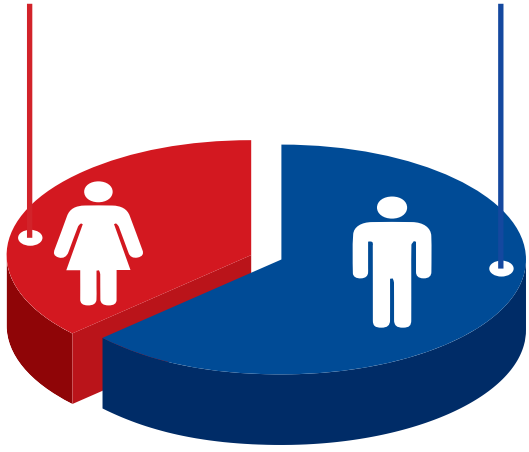


Any commercial bank can offer qualitative banking services to meet the unique banking needs of its varied customers only through effective management of its available workforce. The Bank has in place a dedicated Human Resource Department that is actively involved in enhancement of skills and competence of its active employee base of around 3,000 employees through various kinds of training and development activities so that it can keep its promise of 'Bank for All' for its internal stakeholders as well.

One of the major tasks entrusted to the Human Resource Department includes identification and management of competent employees. To ensure this, the Department is involved in various activities and operations including recruitment and selection, promotion, annual performance review, compensation and benefits, compliance to employee bylaws, induction of new employees, training and development, employee database, salary and allowances, employee transfers to name a few.

1,088
TOTAL NUMBER OF FEMALE EMPLOYEES

1,878
TOTAL NUMBER OF MALE EMPLOYEES



KEY HR INDICATORS

The sustainable development and progress of any organization depends on clear understanding of the employees of the organization on what is expected of them in terms of their performance. It is also necessary that the organization has proper performance benchmarks in place as well as there is a proper mechanism to identify and ensure transparency and effectiveness of the performance of its employees. For this, the Bank has kept in place a few performance indicators to evaluate the overall performance of its employees working in various divisions and departments

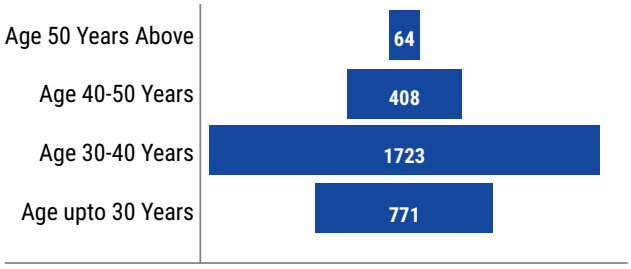
The key performance indicators of the Bank shall also assist in enhancing the effectiveness of the performance evaluation mechanism of the Bank while at the same time increase the transparency in the regular work processes of the Bank. These indicators also play a vital role in promoting effective coordination amidst various departments and divisions of the Bank.

HUMAN RESOURCE COMMITTEE

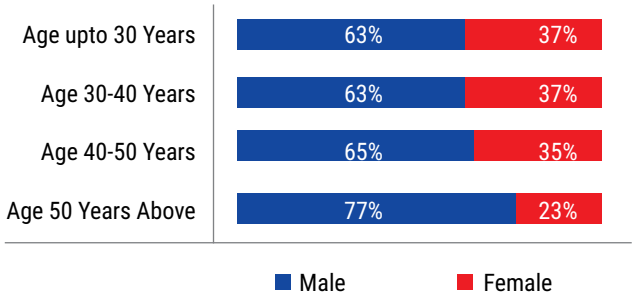
As per the guidelines of Nepal Rastra Bank, the Bank has established a board level employee welfare committee. The committee has been fulfilling its roles and responsibilities in line with the provisions mentioned in Nepal Rastra Bank's Unified Directives No 6. Section 67. Director Krishna Prasad Sharma is the coordinator and director Cabinet Shrestha is member of the committee and Chief Human Resource Officer is the Member Secretary of the Committee. The committee has conducted a total of 5 meetings in the review period. The working scope of the committee has been highlighted below:

- Assist the management committee in development of 'Compensation Determination Policy'
- Identify and analyze pay scale of the employees at regular intervals as well as recommend amendments in the pay scale of the employees
- Recommend the management committee of the bank for necessary increment in the salary and benefits of the employees ranging from Chief Executive Officer to junior level staffs as per the prevalent policies and market trends
- Evaluate the performance of the employees on the basis of the performance evaluation mechanism of the Bank and the roles and responsibilities assigned to each staff
- Recommend necessary policies, procedures and mechanism to the management committee regarding employee recruitment and selection, job division, promotion and transfers, skills development, rewards and punishment and labor laws
- Recommend the management committee regarding the roles and authorities assigned to staffs on the basis of their designation and work scope

AGE DEMOGRAPHY



COMPOSITION OF AGE DEMOGRAPHY BY GENDER






HR
NAGER

CORPORATE SOCIAL RESPONSIBILITY

1



Over the last fifteen years, the Bank is continuously involved in contributing back to the society especially in corporate responsibility initiative targeting the overall society, general public and environmental conservation.

Global IME Bank is guided by not just bridging communities but also giving back to the Nepalese people. The bank views its Corporate Social Responsibility (CSR) as a means of strengthening the surrounding communities that it endeavors to serve. This ethos is reflected in the proactive initiatives taken by the bank. The theme and nature of these activities are based on the community assessment. For this, the bank has set up a dedicated committee chaired by the Senior Deputy Chief Executive Officer. The Committee periodically identifies the target communities, creates an action plan, and ensures effective execution of the program.

Based on the bank's objectives and the national need, the CSR committee prioritizes on the following sectors:

2



3



- Financial Literacy
- Community Health
- Education
- Conservation and Promotion of Cultural Heritage
- Natural Calamities management

The nature of the activities ranges from financial assistance programs to procurement and distribution of essential commodities to awareness programs.

In FY 2021/22, the bank carried out 48 CSR activities. Of these, 11 initiatives were at the national level, and 37 initiatives were at regional and local levels. The scope and the reach of these programs varied based on the intent which ranged from financial literacy to "Save our daughters' campaign to disaster relief assistance. The bank has apportioned 5% of the Corporate Social Responsibility Fund for financial inclusion initiatives targeting women and socially disadvantaged communities. During the pandemic, the Bank also provided COVID-19 insurance facilities as well as incurred all the expenses related to the prevention and cure of COVID-19 for its staff members.



4



5



6

Highlights of some important campaigns

The bank launched "Sabai Nepali ko Bachhat Khata" translation "Savings Account for all Nepalese". The purpose of this scheme was to bank the unbanked. In order to incentivize this segment of the population, the bank has offered the highest interest among its saving schemes. According to the Mid Jul 2022 figures, there are 44,747 accounts under this scheme. Of the total, 14% of the total accounts were opened in remote Nepal and 38% of the total accounts belonged to the female population.

The bank initiated "GIBL Chori Surakshya Bachat Khata" translation "Bank Account for Daughters, Life-long security" (Bank Khata Chhoriko Surakshya Jeevan Bhariko) campaign in the Karnali Province. The aim is to discourage child marriage and the abortion rate in the region. As of Mid Jul 2022, there are 1,684 active accounts under this scheme where 1,438 (99.9%) accounts were opened in the rural part of the country. Of the account holders, 97.5% were female of age up to 20 years.

PHOTO CAPTIONS:

1. Computer handover to Thula Pokhara Adharbhut School
2. Educational and sports materials handover to Bal Kalyan Secondary School
3. Food supply to Balmandir school
4. Support to rennovate Chamardhap School
5. Three seater for bhaktajan for temple
6. Water Dispenser Handover to Devshidhha Khanepani Upobhokta Samiti

SERVICES


BANK



One Bank | Unlimited Happiness

(1.13%) **286 BILLION** TOTAL DEPOSITS

(24.01%) **3.14 MILLION** DEPOSIT CUSTOMERS

GIBL offers unique products and services to cater to the banking needs of its diverse customers. Its deposit products offer a unique blend of banking and technological services and facilities and are thus highly referred by both individual and institutional customers.

Under the saving deposit category, the bank has a variety of saving schemes targeting different segments of the market. The product that has been doing extremely well and gaining popularity in the market is "Meri Unilai" translation "To my Beloved" recurring fixed deposit. This scheme is designed for women and females above 18 years with a vision of increasing inclusion and financial empowerment among women in Nepal. This was also covered by the Banker Magazine (Jan 2022) which states "To my Beloved: the goal is to give women financial security and a greater sense of confidence in managing household expenses."

Another product that has been equally important to the nation and successful is the NRN (Non-Residential Nepalese) savings schemes. The aim of this product is to encourage Nepalese living abroad to save here in Nepal. Our representative offices and representative officers deployed in different countries have been effectively marketing this product. With this scheme, the bank is not only influencing remittance inflow in Nepal with attractive interest rate but also encouraging remittance through formal channels.

GIBL offers Fixed Deposit facility to its customers who wish to maintain comparatively longer-term deposits with the Bank. The Bank has various kinds of fixed deposit products namely Global General Fixed Deposit, Global Top-Up Fixed Deposit, Meri Unilai Fixed Deposit (a special term deposit for female customers) and Global IME Retirement Fund. In addition to the saving and fixed deposit, the Bank also offers current deposit services to cater to the short-term fund placement requirements of both its individual and institutional customers by offering them a dependable banking platform backed by world-class infrastructure.

Other notable deposit products custom tailored for different market segments are:

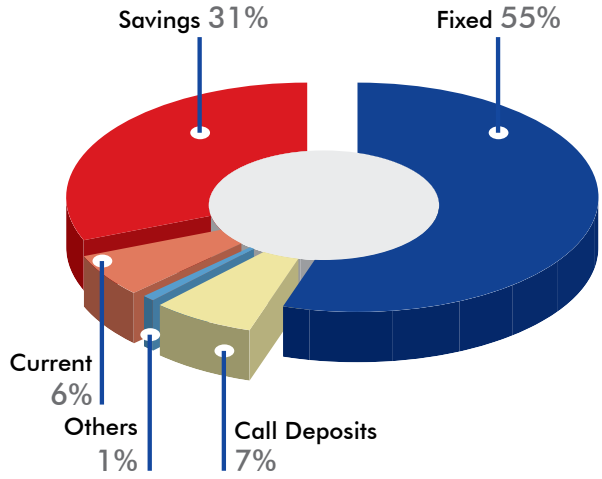
Segments	Purpose	Deposit Scheme
General	target small individual savers seeking higher returns	Sabai Nepali ko Bachat Khata Global Navaratna Bachat Khata Global Premium Savings Account
Institutions	Targeting investors, nonprofits, and employees.	Global Share Lagani Bachat Khata Global Sansthagat Bachat Khata Global Karmachari Bachat,
Remittance and NRNs	Encourage inward remittance and encourage the use of formal channels	Global Remittance Bachat Khata, Global Janmabhumi Bachat, Foreign Currency Savings Deposit Account, Global NRN Deposit Account
Women	To improve financial inclusion and empowerment	Global Nari Bachat, Global Nari Shakti Bachat Khata,
Children	To create a financial cushion and financial awareness	Global Students Saving Account, Global Balbalika Bachat,
Remote Segment	To increase access in remote parts of the country	Global Branchless Banking Savings Account

DEPOSIT MIX

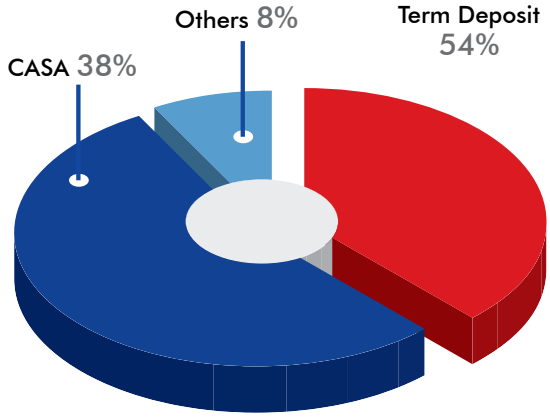
Global IME Bank is the third largest BFI in the deposit segment of the market. Due to the recent merger and acquisition, the bank dropped its rank from the second place. However, the bank is in the merger process with the Bank of Kathmandu. The merger process is expected to be completed by end of December 2022 and joint operation is expected to begin from first week of January 2023. The combined deposit then is expected to be 421 billion which shall significantly improve our market share and rank in the industry.

Of the 286 billion deposits collected in the FY 2021/22, 98.9% was in the form of local currency and 1.1% was in foreign currency. The deposit mix of the respective currency is highlighted in the pie charts. These deposits are cost as well as source for credit creation in the market. Due to Covid-19 pandemic, disruption in economic activities, and fall in remittance, the liquidity scenario has been tight in the economy. In order to meet both the short term and long-term obligations in these scenarios, the bank as maintained a sustainable deposit mix of 38% CASA deposits and 54% of term deposits.

DEPOSIT MIX



CASA VS TERM DEPOSIT





LOAN AND ADVANCES

In order to cater to the needs of the customers who seek financial assistance to fulfill their personal as well as professional aspirations, GIBL offers loans and advances facilities of various nature, magnitude and length. These credit services are strategically built to meet the fund deficit of individual customers, small and medium enterprises, corporate houses, manufacturing organizations, infrastructure projects and so on.

Global IME also promotes corporate and trading sector along with international banking. The Bank offers credit facilities like Letter of Credit, Letter of Guarantee/Bank Guarantee, documentary collection to name a few so as to fulfill the trade finance requirements of its valued customers. In addition to this, the Bank offers facilities of funded loans to meet the fund requirement of corporate houses, infrastructure/project and consortium loans to back up large projects, Global IME Krishi Karja to empower the agricultural sector. It also uplifts the businesses of various small and medium enterprises by offering them credit facilities like Global Small Business Loan, Global IME SME Loan and so on.

(12.28%)

272
BILLION
TOTAL LOANS AND ADVANCES

(9.12%)

62
THOUSAND
LOAN CUSTOMERS

LOAN MIX

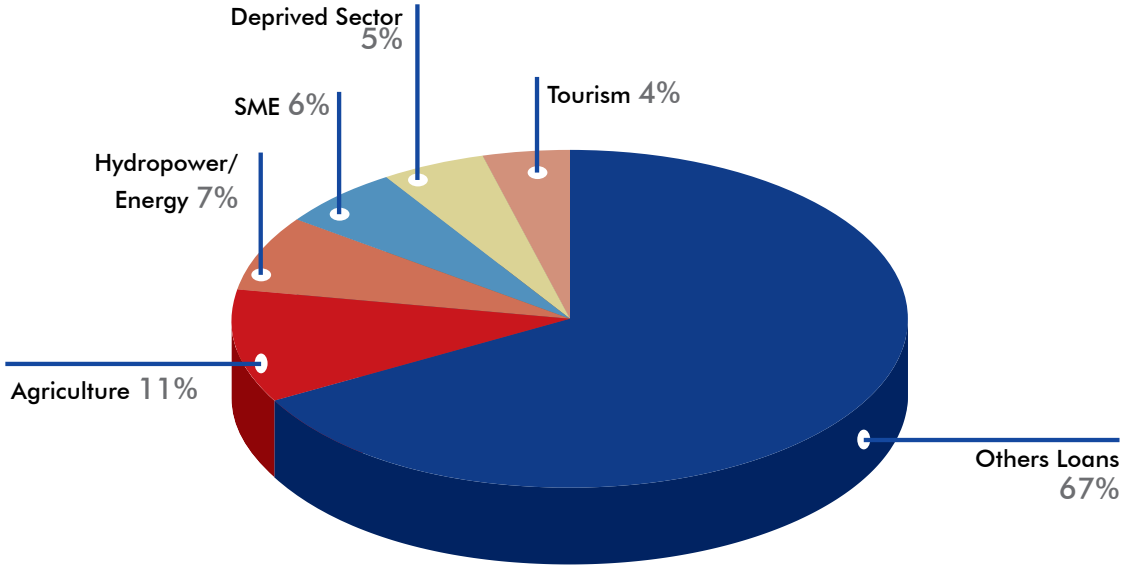
In FY 2021/22, Global IME Bank held a loan portfolio size of Rs.272 billion. This is the second largest loan portfolio among the BFIs in Nepal and represents 6.5% of the total market loan portfolio of Class "A" Commercial banks in Nepal. After the completion of merger with BOK, the bank has projected the loan portfolio size to be Rs. 395 billion.

The bank has a diversified loan exposure based on product, economic sector, and priority sector as mandated by NRB. The largest exposure based on:

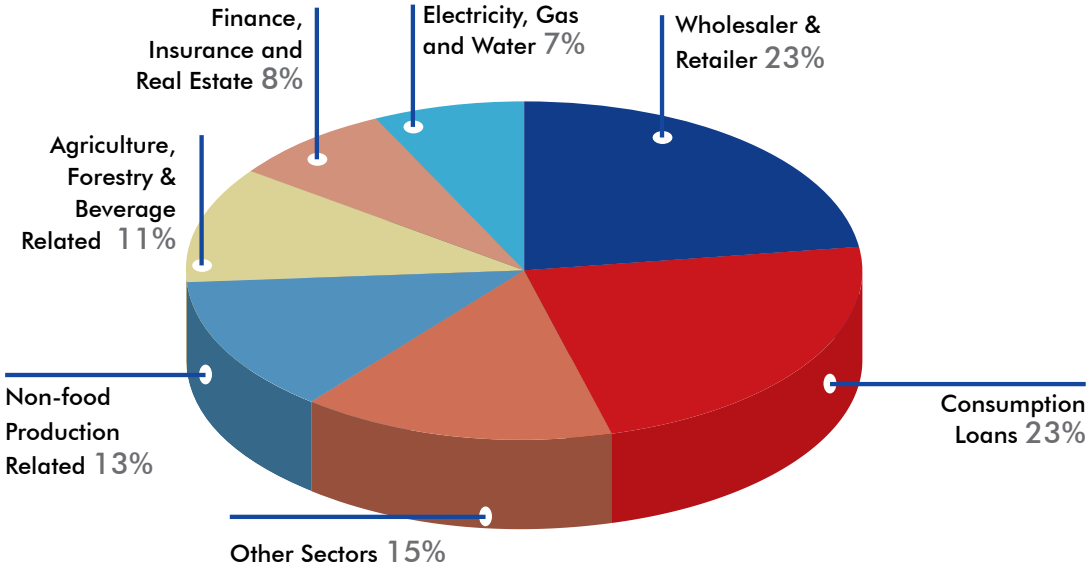
- the product-wise exposure: Term Loan (29.2%) followed by Demand & Working Capital Loan (22.3%);
- the economic sector is Wholesaler & Retailer (23.3%) followed by Consumption loan (23.1%).

Based on the NRB directives, the bank has sizeable loan exposure in the priority sector (23.7%) and deprived sector (5.6%). The bank has committed to fulfilling NRB and national mandates through national and international initiatives. The bank has initiated foreign borrowing from British International Investment (erstwhile CDC), IFC, and KFW to pump in liquidity in the economy. With these funds, the bank aims on promoting and supporting sustainable development projects and SMEs/ MSMEs in Nepal. The bank has also signed the Green Global Trade Finance Agreement with IFC. This is the first-ever green trade finance extended by IFC in the world. With this credit line, the bank is hoping to create a sustainable loan portfolio in both funded and non-funded exposures.

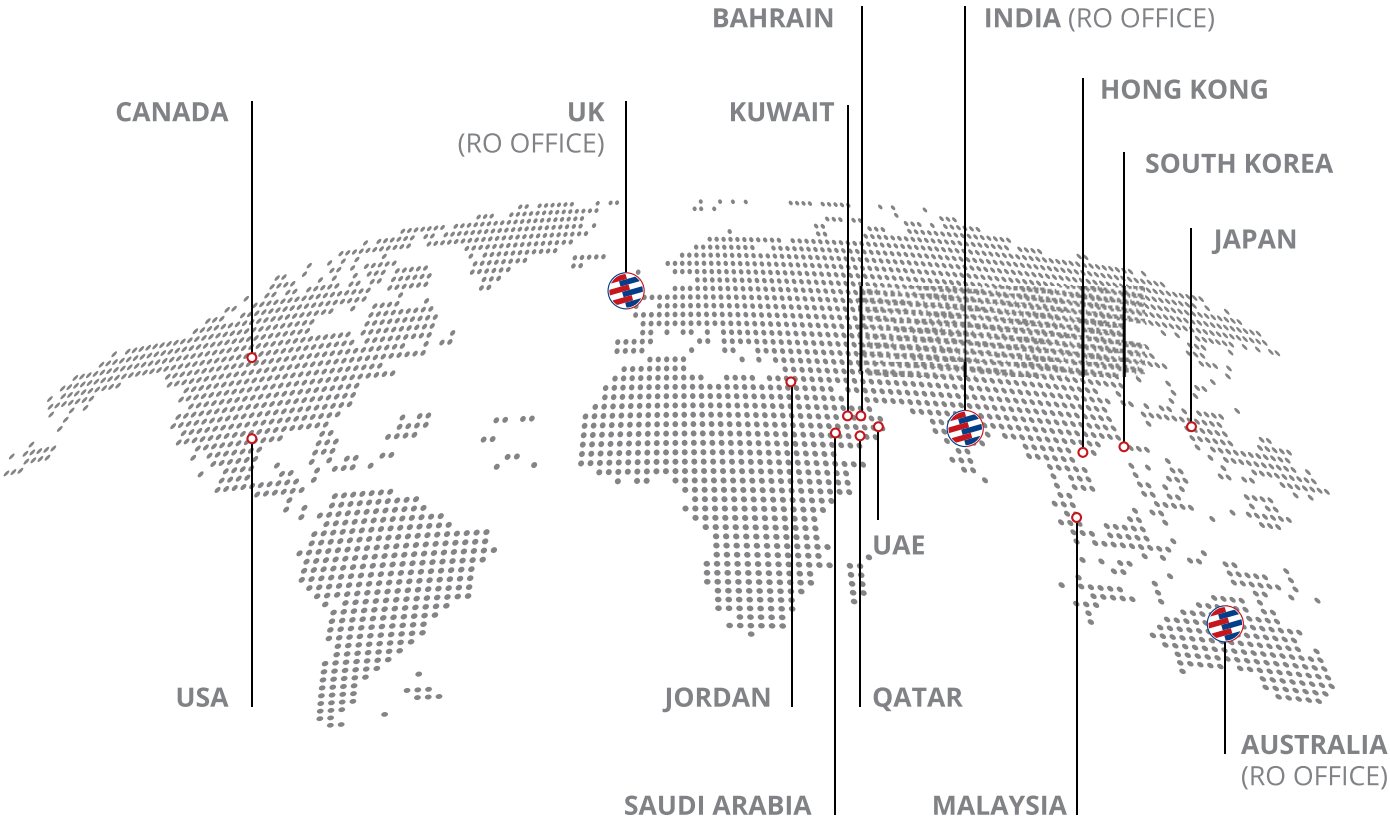
PRIORITY SECTOR **LOAN**



ECONOMIC SECTOR-WISE **LOAN EXPOSURE**



REMITTANCE



Global Remit is dedicated to provide fastest and safest way of money transfer and very competitive in terms of offering remittance with lowest sending fee and highest exchange rate. So far with the lowest sending fee and highest exchange rate offered to its customers, Global Remit has established a strong bond amongst its customers.

GIBL has been one of the strong market players in terms of offering premium customer centric, technology-oriented remittance services to its customers. It offers a robust web-based remittance service equipped with the latest security and technological features that support remittance from various international destinations to any bank's accounts and any locations in Nepal. Customer can send money through our international remittance partner using their branches or using digital platform.

With the presence of 3 representative offices in United Kingdom, Australia and India, Global IME Bank has tie up with licensed partners from more than 13 countries for international remittance to Nepal which consist of more than 40 receiving partners/banks. The remittance payment of the bank can be collected from more than 30,000 IME and GME's agents along with banks own 289 branches. In addition, Bank also provides domestic remittance service in Nepal via all its branches.

In an effort to increase inward remittance and to promote remittance through formal channels, the bank has launched deposit schemes which offers 1% extra interest rate on FD. Along with this, our representative offices and officers deployed in different countries have been marketing our NRN deposit, Janmabhumi Bachat, and FCY deposit schemes with attractive interest rates. In FY 2021/22, the bank opened 101 FCY NRN accounts, 258,025 Janmabhumi Bachat Khata, and 6,695 IME Remitters Term Deposit Accounts.

TRADE PROMOTION & MARKETING

The trade promotion and marketing unit facilitates domestic and international trading activities in Nepal. It focuses on leveraging market opportunities to benefit Nepal's socioeconomic transformation. This fiscal year the bank oversaw over 19 thousand clients throughout the country through its extensive branch network and coordination. This combined effort led to the issuance of NPR 120 billion LC and BG in volume. This marks a 50.5% y-o-y increase in non-funded businesses which has contributed to the bank's increase in fees and commission income. Of the bank's total income, the non-funded commission is 4.8% which signifies a growth of 36.8% y-o-y.

The department carries out the following task to diversify trading activities.

1. Contribute to strengthening the profitability of the bank by developing and expanding the trade business via aggressive marketing.
2. Conduct training, seminars, and workshops related to trade transactions.
3. Assist business units in identifying the potential market.
4. Coordinate tie-ups and programs with relevant stakeholders in the domestic as well as international stakeholders to attract and support trade business.
5. Create an information pool by collecting and disseminating trade-business data from the market and our branches.

NON-FUNDED BUSINESS

NPR **120+** BILLION

+39.4% Y-O-Y GROWTH

LC **92+** BILLION

BG **27+** BILLION

NON-FUNDED COMMISSION

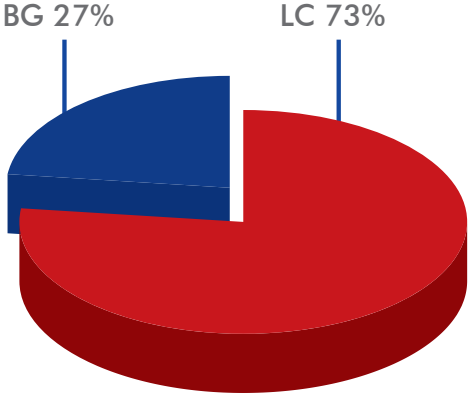
NPR **648+** MILLION

+50.5% Y-O-Y GROWTH

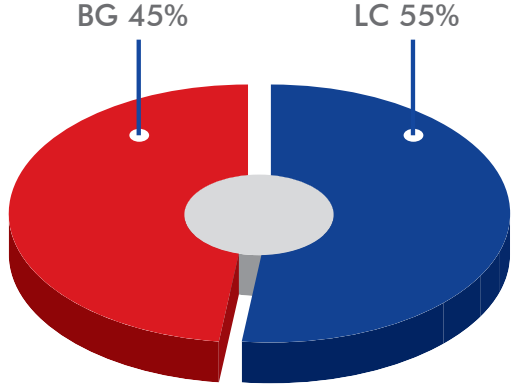
LC **293+** MILLION

BG **355+** MILLION

Composotion of Non-funded Business



Composotion of Commission



BRANCHLESS BANKING



BRANCHLESS BANKING CENTRE

274
CENTERS

7%
GROWTH

18%
MARKET SHARE

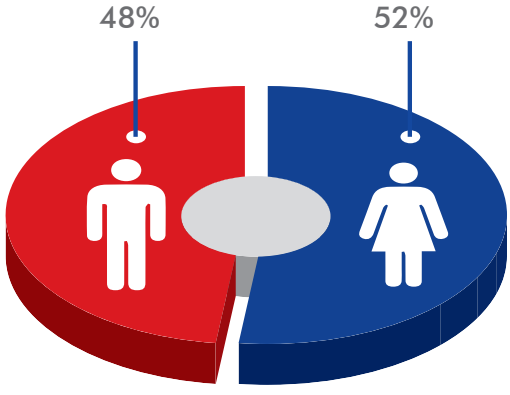
BRANCHLESS BANKING CUSTOMERS

65+
THOUSAND
Customers

16.2%
GROWTH

22.95%
MARKET SHARE

BLB Account Holders by Gender



The Bank has played a crucial role in catering to the rural customers who were earlier devoid of formal banking services because of their geographical location. The Bank has been offering apt products and swift services to empower these rural customers by inculcating a habit of saving in them. The Bank's technologically robust and operationally efficient branchless banking service has not only served the banking needs of its rural customers but also played a major role in economic empowerment of the rural communities who were earlier untouched by the formal banking channels.

The bank has attempted to provide three types of accounts under BLB scheme to meet depositors' day-to- day and savings needs: Global Branchless Banking (Normal Savings), Branchless Banking Fixed Deposit, and BLB Current Account. Within these three schemes, the bank has opened over 65 thousand accounts. This fiscal year, the bank saw 16.2% increase in accounts. The highest growth was in observed in Branchless Banking FD with 96.5% growth.

All of these three products have been equally popular among the communities across the country- with equal exposure and access. Of the total accounts, on aggregate, 52% were of female and 48% were of male. The growth in account opening has also been positive and symmetric with 16.8% growth in male users and 15.6% growth in female users. This shows the progress of our BLB agents and the prospect of opening branches in the future.

MOBILE AND INTERNET BANKING

(29%) **1.47 MILLION** MOBILE BANKING USERS

(34%) **0.234 MILLION** INTERNET BANKING USERS





Global Smart - the mobile banking service of GIBL has been a great tool for its varied customers to carry out their banking transactions at their fingertips. Though the quick, simple and convenient platform of mobile banking, the Bank has been offering services of fund transfer, bank statements, interbank fund transfer, missed call banking, utility payment, credit card payment, account information, information on exchange rates, bank branches, offers and discounts of the Bank to name a few.

The use of mobile banking and internet banking has been widely adopted post pandemic in Nepal. In order to accommodate this trend, the bank has newly launched Global Smart Plus application. This is an upgrade to our previous application which covers wide range of services and is convenient to use. In this FY 2021/22, the bank recorded a growth of 29% in mobile banking users and a growth of 34% in internet banking users.

This increase in user base has drastically reduced the footfall in our branches. Of the total customer transaction in the fiscal year, 21% of those were done through mobile banking. This is fueled by a growth in transaction of 86%. In the last FY 2020/21, the share of mobile banking transaction was 16%.

The use of internet banking is also gradually increasing. It only represented 0.1% of the total transaction but the growth in internet banking transactions is 10,361%. This is due to the abrupt jump in adoption of internet banking as a mode of a transaction from thousands to now tens of thousands of transactions.

ASBA AND DEMAT SERVICES

CASBA is centralized application on ASBA (Application Supported By blocked Amount) Based issuance. Main objective of this system is to eliminate the invalid and error data by verifying the demat account number and bank account number before applying for public issues through ASBA system. Securities Board of Nepal (SEBON) provides the license for ASBA services. Global IME Bank is one of the leading ASBA member in Nepal to provide ASBA services to customers for share apply

DP CASBA Unit performs the functions of supporting, guiding, coordinating, and controlling the DP/ CASBA related activities carried out in branches and DP unit. We have now two separate DPs and one subsidiary companies/ Merchant Banking (Global IME Capital). This unit coordinates with capitals and branches. Main focus of this unit is to provide the support to branches and quality services to the customers related to DP/CASBA.



SERVICES OFFERED

- Demat Account Opening and renewal, Mero Share Registration and renewal.
- Providing Demat statement/ detail of customer.
- Reset of Mero Share password of customers upon request.
- Dematerialization of Share certificate.
- Collection DRN DIS request from outside valley branches and provide to Global IME Capital Ltd and Global IME Bank Ltd. DP (erstwhile Janata Bank Ltd. DP) for needful action.
- Pledge and release of shares as per request of customers on Global IME Bank Ltd.DP (erstwhile Janata Bank Ltd. DP) only.
- Grievance handling of customer related to Demat, Mero Share, bonus, tax etc.

TREASURY AND
INTERNATIONAL BANKING

"Treasury & International Banking is pivotal department of a bank dealing with acceptable level of risk and utilizing the consolidated fund of the bank optimally and profitably. The purpose of the department is to manage a bank's overall liquidity and to mitigate its financial and operational risk. The overall objective of the department is to safeguard the bank's holdings optimally and to follow the long-term strategy set out by the bank for obtaining desired results.

The Bank operates Treasury & International Banking within the parameters of the foreign exchange rules and regulations issued by Nepal Rastra Bank (NRB) and Foreign Exchange and Money Dealers' Association of Nepal (FEDAN). The department is accountable for balancing and managing the daily cash flow and liquidity of funds within the bank. The department also handles the bank's investments in securities, foreign exchange and cash instruments. The department is also highly focused on market research and development. The department recognizes and plans for the potential impact of deviations in market scenarios, banks operations, and the financial situation in which a bank operates. Treasury & International Banking has served as centralized function of the bank who administers buy/sell of foreign exchange currencies (FX), money market dealings, investment in government treasury bills/bonds, and bullion trading and transfer pricing.

Treasury & International Banking is also looking after the bank's correspondent banking relationship. Through correspondent banking relationships, the bank has access to financial services in different jurisdictions and provides cross-border payment services to their customers, supporting international trade and financial inclusion. Treasury department facilities the branches/units with the management and funding of required nostros, cross-border payment, and pricing of international trade deals. The department also acts as a communication bridge with a correspondent bank for various kinds of issues like payment process, pricing, RMA, and compliance requirement for both parties."





INTERNATIONAL CORRESPONDENT BANKS

List of International Correspondent Banks SWIFT/BIC Codes

For Settlement through: GLBB NP KA

Currency	Correspondent Bank	SWIFT/BIC
AED	**Standard Chartered Bank**, Dubai	SCBL AE AD
AED	**Mashreq Bank**, Dubai	BOMLAEAD
AUD	**Standard Chartered Bank,** Singapore	SCBL SG 22
CAD	**Commerz Bank AG**, Frankfurt am Main	COBA DE FF
CNY	**China Construction Bank**, Shanghai, China	PCBCCNBJSHX
EUR	**Standard Chartered Bank,** Frankfurt am Main	SCBL DE FX
EUR	**Commerz Bank AG**, Frankfurt am Main	COBA DE FF
GBP	**Standard Chartered Bank**, London	SCBL GB 2L
INR	**HDFC Bank Ltd**, Mumbai	HDFC IN BB
INR	**Standard Chartered Bank**, Mumbai	SCBL IN BB
INR	**AXIS Bank**, Mumbai	AXIS IN BB FIC
INR	**IDBI Bank**, Ashok Nagar, Chennai	IBKL IN BB 005
INR	**YES Bank**, Mumbai	YESB IN BB
INR	**RBL Bank** , Mumbai	RATNINBB
INR	**ICICI Bank**, Mumbai	ICICINBBA
INR	**Mashreq Bank**, Mumbai	MSHQINBB
JPY	**Standard Chartered Bank**, Tokyo	SCBL JP JT
JPY	**Sumitomo Mitsui Banking Corporation**, Tokyo	SMBC JP JT
KRW	**Kookmin Bank**, Seoul	CZNB KR SE
SGD	**Standard Chartered Bank,** Singapore	SCBL SG 22
USD	**Mashreq Bank PSC**, New York	MSHQ US 33
USD	**Standard Chartered Bank**, New York	SCBL US 33
USD	**Habib American Bank**, New York	HANY US 33
USD	**Kookmin Bank**, Seoul	CZNB KR SE
USD	**KEB Hana Bank**, Seoul, Korea	KOEX KR SE
USD	**Industrial Bank of Korea** ,Seoul, Korea	IBKO KR SE
USD	**ICICI Bank**, Hong Kong	ICICHKHHCLR

GLOBAL CONNECT
CUSTOMER CARE SERVICES

Global IME Bank has launched Call Center Service called Global Connect from Bhadra 1, 2077. The Call Center is an important communication link to customers and is an important source of contact for requesting information and support services. The call center will be the primary contact point for responding to public enquiries. The Call Center centrally manages all calls coming into the Bank via a dedicated hotline telephone number.

This age of digitization, we need to have a digital platform where the customers are attended by the Bank therefore the Global Connect has been established. In the initial phase, customers can contact Global Connect from 8:00 a.m. in the morning to 7:00 p.m. in the evening in weekdays and 8:00 a.m. in the morning to 4:00 p.m. in the evening during Fridays. Customers can also put up their query and complaints as well as request for information and give suggestions to the Bank via Global Connect.



RELATIONSHIP WITH SHAREHOLDERS

We are in forever gratitude to all of our shareholders for making this great journey possible



Global IME Bank Ltd has always maintained the close relationship among its shareholders and other stakeholders to envision the long corporate journey. We focus on stabilizing the business and earnings so as to maximize our shareholders earnings and their confidence on us.

SHAREHOLDER'S QUERIES AND CURIOSITY

Global IME Bank Ltd addresses all the queries and curiosity raised by our shareholder during the time of our Annual General Meeting and other queries raised through various channels. All the necessary information that will be required by the shareholders for their decision making or being informed about the Bank's activities are shared through our official website, newspapers and information officer.

GRIEVANCE AND THEIR HANDLING

Global IME Bank Ltd addresses all the queries and grievances raised by our customers, for which the Bank has established the information and grievance handling desk. The details related to grievance handling desk are updated on website. During the year the Bank received 5,562 grievances from its customers which has been addressed immediately on the raise.

Distribution of Ownership

	Ashad 2078		Ashad 2078	
	No. of Shares	Percent	No. of Shares	Percent
Nepal Government			248,698	0.11%
Public Shareholders			105,242,989	48.65%
Promoter Shareholders			110,833,344	51.24%
Total			**189,758,799**	**100%**

Dividend 2078-79

15th AGM Notice Date	19th November 2021
15th AGM Holding Date	13th December 2021
Dividend Approved	
Cash (%)	3.50
Bonus (%)	10.00

Dividend tax on the dividends

Tax on dividends declared by the Bank had been exempt for the period of two years from the date of merger with then Janata Bank Nepal Ltd (i.e. 6th December 2019). However, tax on dividend was exempt for only those shareholders who held the shares on the date of merger. Since the 2 years of exemption on tax on dividend has elapsed on 5th December 2021, tax on dividend declared for FY 2078-79 (FY 2021-22) will be taxed accordingly.

Stock Details

Particulars	NEPSE
Stock Symbol	GBIME
Market Category	Banking "A"
Year of Listing	25/12/2065
Face Value	100
Market Value as on 16th July 2022	251.40

Market Price Information

Month	Highest Price	Lowest Price	No. of Shares Traded	No. of Days Traded
Shrawan 2078 (Mid-August 2021)	510.00	445.00	6,576,435	21
Bhadra 2078 (Mid-September 2021)	503.20	422.00	3,666,933	20
Ashwin 2078 (Mid October 2021)	461.00	390.70	1,875,163	16
Kartik 2078 (Mid November 2021)	403.00	363.00	1,306,991	19
Mangsir 2078 (Mid December 2021)	380.00	275.00	1,709,528	21
Poush 2078 (Mid-January 2022)	338.00	294.00	1,584,903	19
Magh 2078 (Mid February 2022)	375.00	328.00	2,698,371	19
Falgun 2078 (Mid March 2022)	350.00	309.10	1,289,375	19
Chaitra 2078 (Mid April 2022)	331.90	295.00	1,760,543	20
Baisakh 2079 (Mid May 2022)	316.00	289.00	773,876	18
Jestha 2079 (Mid June 2022)	305.00	258.00	766,575	21
Ashad 2079 (Mid July 2022)	255.50	250.30	100,402	1

Share trading of the Bank was suspended after the Bank entered into merger agreement with Bank of Kathmandu Ltd. on 15th June 2022.

CREDIT RATING

ICRA Nepal Limited has assigned Issuer Rating of "[ICRANP - IR] A" as on August 2021. Issuer with rating of "[ICRANP - IR] A" are considered to have adequate degree of safety regarding timely servicing of financial obligations and the rated entity carries very low credit risk.

QUARTERLY FINANCIALS

Quarterly Results	Period	Published Date	EPS (Rs.)
Unaudited Results of 1st Quarter	16th July 2021 to 17th October 2021	1st November 2021	20.57
Unaudited Results of 2nd Quarter	18th October 2021 to 14th January 2022	21st January 2022	22.39
Unaudited Results of 3rd Quarter	15th January 2022 to13th April 2022	20th April 2022	20.88
Unaudited Results of 4th Quarter	14th April 2022 to 16th July 2022	22nd July 2022	21.88

FIVE YEARS FINANCIAL HIGHLIGHTS

	FY 2017/18	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22
INCOME STATEMENT					
Interest Income	11,481.73	13,530.88	20,489.40	21,693.58	29,058.37
Interest Expenses	7,604.85	8,288.54	12,267.39	12,554.46	18,768.81
Net interest income	**3,876.88**	**5,242.35**	**8,222.01**	**9,139.13**	**10,289.56**
Fees and Commission Income	933.46	1,181.10	1,472.135	1,914.286	2,217.828
Operating Income	462.01	602.47	776.970	1,288.279	1,070.322
Operating Expenses	2,650.21	2,893.81	4,348.803	5,248.357	6,084.690
Operating Profit (profit before provision and tax)	**2,622.14**	**4,132.11**	**6,122.31**	**7,093.34**	**7,493.02**
Provision for Loans, Investments and other Assets	(289.84)	198.19	1,954.43	1,125.26	466.43
Profit Before Tax	**2,911.98**	**3,933.92**	**4,167.89**	**5,968.08**	**7,026.58**
Tax Expense (Income Tax and Deferred Tax)	810.61	1,171.96	1,259.22	1,802.93	2,067.36
Profit After Tax	**2,101.36**	**2,761.95**	**2,908.66**	**4,165.15**	**4,959.22**
BALANCE SHEET					
Authorized Capital	10,000.00	16,000.00	25,000.00	25,000.00	25,000.00
Paid-up Capital	8,888.38	10,310.52	18,975.88	21,632.50	23,795.75
Shareholders' Equity	13,578.68	16,332.17	28,834.40	33,438.86	37,739.46
Deposits	106,510.44	124,499.32	226,643.08	283,348.58	286,559.78
Borrowings NRB	1,034.65	1,231.80	1,339.36	10,894.00	14,438.91
Borrowings Foreign	-	-	2,404.00	2,371.77	5,747.23
Debenture	400.00	1,500.00	1,500.00	4,500.00	4,500.00
Loans & Advances (Excl Staff Loans and Accrued Interest)	93,373.42	114,060.45	200,006.02	242,447.29	272,211.67
Accrued Interest	292.29	298.89	1,953.70	1,554.76	1,867.21
Investments	16,838.49	13,692.50	27,362.72	49,916.64	47,537.12
Fixed Assets (Net)	1,324.47	1,373.57	2,543.21	3,252.01	5,884.77
Total Assets	**125,847.43**	**151,653.56**	**273,876.59**	**345,423.28**	**360,537.22**
Total Liabilities	**112,268.75**	**135,321.39**	**245,042.19**	**312,702.84**	**322,797.76**
Total Off-balance Sheet Items	44,309.06	43,822.64	58,313.12	71,767.63	82,600.88
CAPITAL MEASURES					
Risk Weighted Exposures	117,890.25	140,948.19	237,628.88	278,717.95	326,987.91
Core Capital (Tier-I)	12,165.79	14,884.90	25,695.10	29,418.23	33,259.37
Supplementary Capital (Tier-II)	1,357.60	2,465.72	3,966.18	7,384.39	8,163.53
Total Regulatory Capital	13,523.39	17,350.62	29,661.28	36,802.62	41,422.90
Capital Adequacy Ratio	11.47%	12.31%	12.48%	13.20%	12.67%
Tier-I Capital Ratio	10.32%	10.56%	10.81%	10.55%	10.17%
CREDIT QUALITY					
Non Performing Loans (NPL)	717.44	622.52	3,520.71	3,422.24	3,477.64
NPL to Total Loans and Advances (%)	0.77%	0.55%	1.76%	1.41%	1.28%
Provision for Non Performing Loans	529.42	491.09	2,193.17	2,516.38	2,671.93
Provision for Performing Loans	1,035.49	1,272.01	2,979.84	3,782.26	4,093.15

	FY 2017/18	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22
DISTRIBUTION TO SHAREHOLDERS					
Earnings per Share	23.64	26.46	17.99	19.25	20.84
Market value per Share (Public)	290.00	295.00	239.00	441.00	251.40
Price to Earning Ratio	12.27	11.15	13.29	22.90	12.06
Total Assets Value Per Share	1,415.87	1,470.86	1,443.29	1,596.78	1,515.13
Net Worth Per share	152.77	158.40	151.95	154.58	158.60
Return on Equity (%)	16.19	18.47	12.88	13.38	13.93
Dividend Paid					
Cash (%)	0.00	12.75	2.00	3.50	10.60
Stock (%)	16.00	12.75	14.00	10.00	3.00
PROFITABILITY & PERFORMANCE RATIO					
Net Interest Margin (Spread) (%)	4.86	4.47	5.12	3.49	3.68
Credit to Deposit Ratio (%)	75.35	78.69	73.18	73.18	-
Credit to Deposit Ratio (%)					89.21
Cost of Fund (%)	7.43	7.18	6.53	4.99	6.41
Cash Reserve Ratio (%)	6.21	4.34	5.72	7.59	3.18
Statutory Liquidity Ratio (%)	23.77	17.39	19.29	25.08	18.11
Total Cost to Total Income Ratio (%)	50.27	41.19	41.53	42.53	44.81
Operating Profit per Employee (Rs in Million)	1.60	2.44	2.00	2.39	2.53
Operating Profit per Branch (Rs in Million)	20.02	29.94	23.82	25.98	25.93
OTHER INFORMATION					
Number of Branches	131	138	257	273	289
Number of ATMs	134	148	233	247	262
Number of Represetative Offices	3	3	3	3	3
Number of BLB Agents	100	171	249	257	275
Number of Extension and Revenue Counters	21	29	38	47	51
Number of Deposit Accounts	964,841	1,136,122	2,116,464	2,529,309	3,136,603
Number of Loan Accounts	24,983	29,433	54,306	56,510	61,663
Debit Card reg	222,383	310,890	498,534	657,416	868,748
Credit Card reg	12,672	15,271	17,437	20,817	24,385
Mobile Banking Customer	425,707	656,154	768,894	1,137,218	1,472,526
Internet Banking Customer	81,577	105,943	123,290	174,237	233,988
Number of Employees	1,638	1,696	3,059	2,962	2,966
Male Employees	1,062	1,125	1,966	1,887	1,878
Female Employees	576	571	1,093	1,075	1,088
Managerial Level Female Employees	9	10	11	12	14
Managerial Level Male Employees	57	59	98	85	96

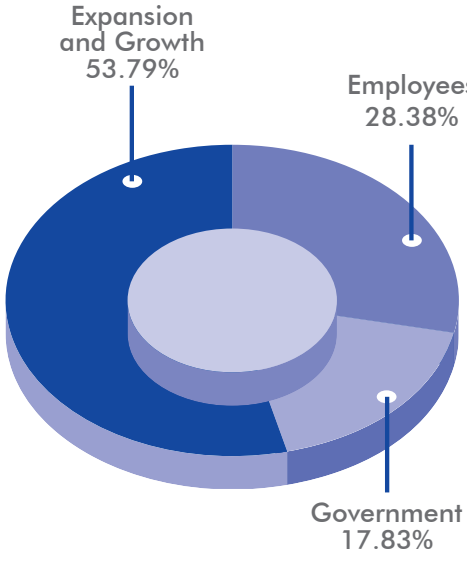
MARKET SHARE OF GLOBAL IME BANK

	Current Year			Previous Year		
	All Commercial Banks	Global IME Bank	Share of Global IME Bank	All Commercial Banks	Global IME Bank	Share of Global IME Bank
	NPR in Million			NPR in Million		
Total Loans and Advances	**4,182,299**	**272,212**	**6.51%**	**3,719,600**	**242,447**	**6.52%**
Growth Rate of Loans	12.44%	12.28%		27.81%	21.22%	
Total Deposits	**4,545,157**	**286,560**	**6.30%**	**4,204,912**	**283,349**	**6.74%**
Growth Rate of Deposit	8.09%	1.13%		20.48%	25.02%	
Term Deposit	2,436,953	156,512	6.42%	1,919,565	135,617	7.06%
Saving Deposit	1,261,715	89,117	7.06%	1,426,355	101,239	7.10%
Current Deposit	453,605	18,633	4.11%	475,545	21,591	4.54%
Call Deposit	329,895	18,784	5.69%	338,330	22,612	6.68%
Other Deposit	62,988	3,515	5.58%	45,117	2,290	5.08%
Financial Reach	**Actual Numbers**			**Actual Numbers**		
Total Branches	5,009	289	5.77%	4,753	273	5.74%
Deposit Account	38,892,532	3,136,603	8.06%	32,927,622	2,529,309	7.68%
Loan Account	1,491,767	61,663	4.13%	1,366,442	56,510	4.14%
Branchless Banking	1,526	275	18.02%	1,706	257	15.06%
Mobile Banking Users	16,091,464	1,472,526	9.15%	12,638,366	1,137,218	9.00%
Internet Banking Users	1,279,475	233,988	18.29%	1,115,532	174,237	15.62%
ATM	4,235	262	6.19%	3,983	247	6.20%
Debit Card Users	10,274,413	868,748	8.46%	8,459,435	657,416	7.77%
Credit Card Users	238,794	24,385	10.21%	192,370	20,817	10.82%

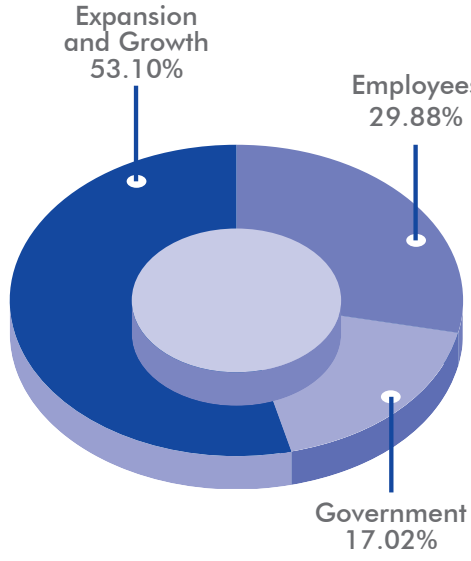
VALUE ADDED STATEMENT AND WEALTH DISTRIBUTION

Vale Added Statement	FY 2021-22		FY 2020-21	
	RS. MILLION	IN PERCENTAGE	RS. MILLION	IN PERCENTAGE
Revenue	32,346.52		24,896.15	
Net Cost for the Services	(20,751.19)		(14,304.13)	
Total Wealth Created	**11,595.33**	**100.00%**	**10,592.02**	**100.00%**
Wealth Distributed as				
To Employees				
Benefits and Remuneration	3,290.73	28.38%	3,164.82	29.88%
To Government				
Current Taxation	2,067.36	17.83%	1,802.93	17.02%
To Expansion and Growth				
Depreciation, Amortization and Loan Impairment	1,278.02	11.02%	1,459.12	13.78%
Profit for the Year Attributable to Shareholders	4,959.22	42.77%	4,165.15	39.32%
		100.00%		**100.00%**
Employees	28.38%		Employees	29.88%
Government	17.83%		Government	17.02%
Expansion and Growth	53.79%		Expansion and Growth	53.10%

WEALTH DISTRIBUTION 2022



WEALTH DISTRIBUTION 2021



AS REQUIRED BY SEC 109 OF COMPANIES ACT 2063, TO BE INCLUDED SEPARATELY WITH BOARD'S REPORT

1. Information on shares forfeited by the Bank during the year:

There is no forfeiture of share during the fiscal year 2021-22.

2. Financial position of the Bank and its subsidiary in the previous year ended:

The detailed financial position of the bank and its subsidiaries have been provided in the Director's Report and Audited Consolidated Financial Statements for the fiscal year 2021-22. The Bank's Performance has also been highlighted in the Board Report for FY 2021-22.

3. Major transactions carried out by the Bank and its subsidiary during the financial year 2021-22, and any significant changes in the business of the Bank during the period:

The major transactions carried out by the bank and its subsidiary and the change in transactions is provided in the attached Consolidated Statement of Financial Position, Consolidated Statement of Profit or Loss, Consolidated Statement of Other Comprehensive Income, Consolidated Cash Flow Statement, Statement of Changes in Equity, Significant Accounting Policies and Notes to Accounts.

4. Information provided by key shareholder to the company during the previous fiscal year.

No such transaction noted.

5. Information regarding the purchase and ownership of shares by the Directors and high officials of the company, and further information received by the company from the directors if involved in the share transactions.

The Directors and members of management team are not involved in the share transaction of the company. Management team has not taken any shares apart from the ones separated for the employees. Shareholding patterns of the Directors are as follows:

S.No.	Name of Shareholder	Representative	No. of Shares
1	Mr. Chandra Prasad Dhakal	Promoter Shareholder	8,705,253
2	Mr. Cabinet Shrestha	Promoter Shareholder	2,206,641
3	Mr. Ram Bahadur Bhandari	Promoter Shareholder	136,851
4	Mr. Sudarsun Krishna Shrestha	General Shareholder	416
5	Mr. Krishna Prasad Sharma	General Shareholder	2,308
6	Mr. Devendra Pratap Shah	Independent Director	4,191

6. Information provided to the company by any directors or his close relatives on their personal interest in the company related agreements in the previous fiscal year.

No such information have been provided to the company.

7. If company has purchased its own shares, the reason for purchasing its own shares, the number of shares purchased and the amount and also the payment by the company for such kind of purchase details.

No such transaction has taken place.

8. Distribution of Profit:

The bank has recommended distributing bonus shares of Rs. 713,872,600.17 (i.e. 3.00%) and cash dividend of Rs. 2,522,349,853.92 (i.e. 10.60%) from its net profit of current year and retained earnings. Net profit has been transferred to statutory and regulatory reserves as directed by Nepal Rastra Bank. These distribution has been shown in the financial statements accordingly.

9. Statement of the total management expenses for the financial year

Particulars of the total management expenses for the financial year 2020-21 are as follows:

Particulars	Amount
Staff Expenses *	3,290,725,813.00
Other Operating Expenses	2,793,964,081.00
Total	**6,084,689,894.00**

* Staff Expenses include provision for annual staff bonus of Rs 780,731,661.

10. Details on the members of the Audit Committee; salary, bonus and facilities provided to the members; work carried out by the committee and any suggestions given:

The Bank has Audit Committee comprising of the following members:

Mr. Ram Bahadur Bhandari - Coordinator

Mr. Krishna Prasad Sharma – Member

Mr. Sushil Shrestha - Member Secretary (Chief – Internal Audit Department)

For every audit meeting held, the audit committee members get Rs. 15,000/- allowance. In this current fiscal year, a total allowance of Rs. 360,000/-has been presented to the audit committee members. Audit committee in regular intervals discusses internal and annual audit report prepared by Internal Audit Department and presents it to the Board of Directors. During the review year, Audit Committee meeting was held 12 times with different agenda. As a result, the committee has given suggestions to the Board of Directors on various areas such as financial position, internal control operation, legal compliance and risk minimization.

11. Payments due to the Bank from any Directors, Managing Director, Chief Executive or the key shareholders of the Bank and their close relatives, or from any firm, company or corporate body in which they are involved in.

No payment is due to the Bank from any Directors, Managing Director, Chief Executive or the basic shareholders of the Bank or any of their close relatives, or from any firm, company or corporate body in which they are involved in.

12. Remuneration, allowances and facilities provided to the Directors, Managing Director, Chief Executive Officer and other official of the bank.

The amounts paid as remunerations, allowances and facilities to the Directors, Chief Executive Officer and other office bearers are as provided below:

a. **Chairman and Board members:**

Chairman of the Board of Directors and the Board members get Rs. 17,000 and Rs. 15,000 respectively as meeting allowance per meeting and the sub-committee members get Rs. 15,000 as meeting allowance per meeting. Sum of Rs. 10,000 per month is provided to directors for communication and travelling facilities.

During the fiscal year a sum of Rs 1,678,000 has been paid to the Chairman and the board members as allowance and Rs 810,000 for sub-committee members (including audit committee members). Rs. 2,446,090.87 has been incurred as other expenses.

b. **Chief Executive Officer, Company Secretary and other officials:**

i. The detail of salary and allowance paid to CEO is as below:

Particulars	Amount
Salary	7,596,000.00
Allowance	5,040,000.00
Provident Fund	759,600.00
Dashain Allowance	1,053,000.00
Others	-
Total	**15,501,600.00**

The performance based salary provided to the CEO is as follows:

Staff Bonus	Rs. 4,976,334.00

Other Facilities

a)	Telephone & Mobile Expense	Rs. 66,270.40
b)	Repair and maintenance of vehicle	Rs. 55,413.43
c)	Fuel	258,874.33

ii. **Company Secretary and other officials**

- For staffs up to the position of assistant manager, salary, allowance and provident fund totaling to Rs. 242,261,607.68 and in addition to this, fuel and mobile facility is provided as per the bank's rule.
- Company Secretary has been paid remuneration of Rs 1,950,000.00 during the year.
- Remuneration and facilities so provided has been paid only after deducting income tax and TDS as per Income Tax Act.
- Other facilities and allowances have been provided as per the company's employee bye- laws and any decision made by the board of directors.

13. Dividend yet to be collected by the Shareholders:

The dividend yet to be collected by shareholders is Rs. 63,018,681.75.

14. Details of property purchased or sold u/s 141 by the Bank during the year:

a) The details of assets required by the bank such as vehicle, office equipment, capital expenditure, leasehold improvement purchased and sold has been shown under schedule 4.13 of the attached financial statement.

b) The bank has purchased or sold the assets as per the prevailing market price and the procedures prescribed in the financial policy of the bank.

15. Details of transactions between related companies u/s 175.

The details of transaction between the related companies have been provided in Note 5.7 of the financial statement published with this annual report.

16. Details to be disclosed in Board of Director's report as per the Company Act and other related acts:

There are no additional details for disclosure.

17. Any other issues:

There are no other issues for disclosure.

DISCLOSURE RELATED TO SUB RULE (2) OF RULE 26 OF SECURITIES REGISTRATION AND ISSUANCE REGULATION, 2073

1. **Report of Board of Directors:**

   Included in the Annual Report

2. **Report of the Auditors:**

   Included in the Annual Report

3. **Audited Financial Details:**

   Included in the Annual Report

4. **Details relating to Legal Action**

   a. **Law Suits filed by/against the Bank:**

      No such except business cases.

   b. **Law Suits filed by/against the promoters/directors involving charge of regulatory violations or criminal offences:**

      No information received by the Bank.

   c. **Case filed against any promoters/directors for financial fraud:**

      No information received by the Bank.

5. **Analysis of share transaction and progress of organized institution:**

   a. **Management view on share transactions of the bank on Nepal Stock Exchange:**

   Since the share prices are determined by open market operations at Nepal Stock Exchange under the supervision of Securities Board of Nepal, management has no comment on the same.

   b. **Maximum, minimum and closing share price of organized institution including total transacted number of shares and transacted days during the Year 2021-22:**

Quarter (Months)	Maximum Share Price	Minimum Share Price	Closing Share Price	Total Transacted Number of Shares	Total Number of Trading days
I Quarter (Shrawan- Ashwin)	510	390.70	399.50	12,118,531	57
II Quarter (Kartik- Poush)	403	275	326	4,601,422	59
III Quarter (Magh- Chaitra)	375	295	299.70	5,748,289	58
IV Quarter (Baisakh- Ashad)*	316	250.30	251.40	1,640,853	40

** Share transaction was suspended from 17th June 2022 after the Bank entered into merger agreement with Bank of Kathmadu Ltd.*

6. Problems and Challenges

a. Problems and Challenges Faced:

Internal

- Maintaining good credit quality and maintain the NPA at lowest possible level.
- Minimising the effect of recent liquidity crisis in the expansion of business.
- Minimising the inherent operational risk and cost due to increase in transactions and branches.
- Inherent risk arising due to use of technology in Banking transactions and related problems.
- Safety of customers and employees during the period of pandemic and providing Banking Service.

External

- Adverse effect in national economy as result of ongoing liquidity crisis and its direct effect in repayment by the borrowers.
- Creating sustainable banking transaction in current situation and expected level of profitability by the shareholders.
- Unhealthy competition among the Banks for resource collection, ongoing liquidity crisis and increased cost for resources.
- Contraction on the expected profitability with the introduction of new policies and directions from the regulators.

b. Strategy followed by the management in solving such problems and challenges:

- Assets and liabilities management and diversification of portfolio on the basis of risk.
- Management of economic crisis by collaborating with business house and individual who are directly affected by the economic crisis.
- Effectively monitoring of Bank's Expenses and management of high risk assets
- Assessment of Operation, market and business risk and effectively managing such risks
- High priority in recovery and management of Non-Performing Loan.
- Strengthening of Bank's Capital adequacy and risk tolerance capacity.
- Strategic Work schedule regarding employee's training.

7. Corporate Governance

- Complying with the directions, guidelines issued by Nepal Rastra Bank regarding corporate Governance.
- Regular Central Management Committee meetings to review progress in various areas of operations.
- Bank's Internal Audit Department has been strengthened.
- Board of Directors and its Committees' meeting are held on regular basis.
- Asset Liabilities and Committee and Risk Management Committee (Operation, Credit and Market) meetings are held regularly.
- Board of Directors and Management are committed to maintain corporate governance.

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Independent Auditor's Report

To the Shareholders of Global IME Bank Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying separate Financial Statements of Global IME Bank Ltd (the "Bank") and the Consolidated Financial Statements of the Bank and its subsidiaries (the "Group"), which comprise the Consolidated Statement of Financial Position as at Ashad 32, 2079 (July 16, 2022), and the Consolidated Statement of Profit or Loss, Consolidated Statement of Other Comprehensive Income, Consolidated Statement of Changes in Equity and Consolidated Statement of Cash Flows for the year then ended, and notes to the Consolidated Financial Statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the consolidated financial position of the Group as at Ashad 32, 2079 (July 16, 2022), and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with Nepal Financial Reporting Standards.

Basis for Opinion

We conducted our audit of the consolidated financial statements in accordance with Nepal Standards on Auditing (NSAs). Our responsibilities under those Standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the Handbook of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Nepal (ICAN) and we have fulfilled other ethical responsibilities in accordance with ICAN's Handbook of the Code of Ethics for Professional Accountants. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the consolidated financial statements.

Other Matters

1. We draw attention to the attached Notes No. 4.14: Goodwill, 4.27(j): Other Reserves and 4.27(k): Assets Revaluation Reserve forming part of the consolidated financial statements where the Bank had acquired Hathway Finance Ltd and merged with Janata Bank Nepal Ltd in the previous fiscal year 2076/77. The Bank had followed the procedures for the business combinations as per Nepal Rastra Bank (NRB) Merger and Acquisition Bylaws 2073 and accounted such acquired assets at book value instead of fair value at acquisition date as per applicable NFRS 3: Business Combination. Audit report dated 2078.07.01 of the previous financial year 2077/78 was qualified under the "B*asis for Opinion*" paragraph. In the current financial year, the Bank has adjusted this matter retrospectively from the financial year 2076/77 as per the Explanatory Note on Accounting for Business Combination issued by ICAN.





2. We did not audit the financial statements of subsidiary companies, namely Global IME Capital Ltd, Global IME Laghubitta Bittiya Sanstha Ltd, and JBNL Securities Ltd. The financial statements and other financial information have been audited /certified by other auditors/ management whose reports have been furnished to us by the management. Our opinion on the financial statements so far as it relates to the accounts and disclosures included in respect of the subsidiaries are based solely on the report of other auditors or as certified by the Management.

Our opinion on the consolidated financial statements is not modified in respect of the above matters.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of the most significant in the audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matter described in the "*Other Matters*" section, we have determined the matters described below to be the key audit matters to be communicated in our report.

S.N	Key Audit Matters	Auditor's Response
1.	**Interest Recognition** *(Ref. Note 3.20, 4.23 and 4.29 of Financial Statements)* The interest income of the bank is recognized on an accrual basis and follows the Interest Income Recognition Guidelines 2019 issued by NRB. Recognition of interest income on bad loans involves the judgments on calculating the net realizable value of loans and advances. As an automated system is yet to be used to suspend recognition of income on the basis of the overdue status of loan and fair value of collateral as well as a review of fair valuation of collateral on a regular basis, manual intervention is required in the interest recognition process and hence create a risk of improper application of the guidelines and determination of the Fair Value of the collateral. Other liabilities include excess interest payable to loan customers reversing the interest income which may vary when bank commences the refund. This may, in turn, have an effect on recognition of interest income of the bank. thus, considered them as key audit matters.	Our audit approach regarding verification of the process of interest recognition included: a. Obtaining a clear understanding of the process of accrual of interest income on loans and advances in the Core Banking Software of the bank. b. For fair value of collateral, we relied on the latest available valuation report of the collateral and have test-checked it as per NRB Income Recognition guidelines 2019. c. Test checked the interest income recording with manual computation on sampled borrowers. d. Test-checked the premium charged on sampled borrowers from the report provided and basis taken by the management to arrive at the excess interest payable.
2.	**Investment Valuation and Impairment** *(Ref. Note 4.8, 4.10 and 4.11 of Financial Statements)*	Our audit approach regarding verification of the process of investment valuation, identification and impairment included:

	Investment of the bank comprises investment in government bonds, T-bills, development bonds, and investment in quoted and unquoted equity instruments. The valuation of the aforesaid securities has been done in compliance with NFRS and NRB Directive. Given the varieties of treatments recommended for the valuation of investment based on the nature of cash flow, the business model adopted, the complexity of calculations and the significance of the amount involved in such investments, we have considered this as Key Audit Matter.	a. Review of the investment of the bank and its valuation having reference to NFRS and NRB Directives. b. Assess the nature of the expected cash flow of the investments as well as the business model adopted by the management on the basis of available evidence/circumstances and ensured that the classification of investment is commensurate with the nature of cash flow and management's intention of holding the investment. c. Test check the Effective Interest Rate and amortization schedule on a test basis for the investment valued at amortized cost. d. Ensure that fair valuation has been done at the closing rate in NEPSE at the year-end for quoted investment and for the unquoted investment, net assets value based on the financial reports.
3.	**Impairment of Loans and Advances** *(Ref. Note 4.6, 4.7 and 4.35 of Financial Statements)* As per NRB Directive 4, the bank shall measure impairment loss on loans and advances at the higher of: ▪ Amount derived as per norms prescribed by Nepal Rastra Bank for loan loss provisioning; and ▪ Amount determined adopting Incurred Loss Model as per the Carve out provided on NFRS 9 financial instruments -impairment. Impairment of loans and advances under incurred loss model requires assessment of future cash flows as well as historical loss experiences of portfolios. On the other hand, impairment of loans and advances under NRB norms for loan loss provisioning require assessment of the overdue status of loans and advances and proper utilization of loans for the intended purpose. Significant estimates and assumptions used by the management in such calculations. Hence, the assessment of the availability and accuracy of required data for impairment of loans and advances under incurred loss model as well as NRB provisioning norms are considered as key audit matter.	Our audit approach regarding verification of impairment of loans and advances included: a. Test the operating effectiveness of key controls established by the bank to identify loss events and for determining the extent of provisioning required against non-performing loans and advances. b. Review the overdue status of loans and advances by obtaining data from the system and matching the same with the NRB 2.2 report. c. Review of sampled credit files, among other things, from the perspective of utilization of loans and advances for the intended purpose by way of scrutiny of financial statements, account movement, account turnover etc. including the business visits of the selected borrowers. d. Review of credit files of sampled borrowers for expected future cash flows with an indication of impairment are assessed on the basis of realizable value of collateral securities based on management estimate. e. Assess the grouping of homogeneous group of loans on the basis of the nature and purpose of loans including data of historical loss experience in portfolios based on past due data from the system as well as data of loan loss provisioning of the defined group in the past.

4.	**Information Technology (IT) System and Controls over financial reporting** IT controls with respect to recording transactions, generating various reports in compliance with NRB guidelines and other compliances to regulators is an important part of the process. Such reporting is heavily dependent on the effective working of Core Banking Software (CBS) and other allied systems. We have considered this a key audit matter as any control lapses, validation failures, incorrect input data, and errors in the extraction of data may result in incorrect financial reporting.	Our audit approach regarding the information technology of the bank is based upon the Information Technology Guidelines issued by NRB and it included: a. Understanding of the business processes, IT Systems used to generate and support those balances and associated IT application controls and IT dependencies in manual controls. b. Understanding the coding system adopted by the bank for various categories of customers c. Evaluating and testing the design and operating effectiveness of certain control activities over the integrity of the material IT systems that the relevant to the financial reporting. d. Understanding the feeding of the data in the system and going through the extraction of the financial information and statements from the IT system existing in the bank. e. Checking the user /authority matrix for any changes in the regulations/ policy of the bank f. Reviewed the reports generated by the system on a sample basis and verified the interest income and expense booking regarding loan and deposit on a test basis with the CBS of the bank. g. Reliance on the independent Information System Audit of the bank.
5.	**Goodwill on Merger and Acquisition** *(Ref. Note 3.10 and 4.14 of Financial Statements)* Following the acquisition of Hathway Finance Ltd and the merger with Janata Bank Nepal Ltd in FY 2076/77, the bank has calculated and restated the goodwill retrospectively. The bank is required to annually test the amount of goodwill for impairment, which is complex, highly judgmental and based on several assumptions and indicators which are affected by expected future market or economic conditions. Thus, we have considered this as a key audit matter.	Our audit approach regarding recognition of goodwill on business combination is based upon NFRS 3 with interpretation, explanatory notes issued by ASB, and guidance notes issued by ICAN and it included: a. Reviewing the calculation and recognition of goodwill based on the agreed prices (as per due diligence report) including the terms and conditions of the merger and acquisition in line with the above guidance note. b. Reviewing impairment testing of goodwill including the assumptions and other indicators taken by the bank.

Information other than the Consolidated Financial Statements and Auditor's Report thereon

The Bank's management is responsible for the preparation of the other information. The other information comprises the information included in the Management Report, Report of the Board of Directors, and Chairman's Statement but does not include the consolidated financial statements and our auditor's report thereon. Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated. As the other information documents are in the process of completion, the management has provided written representation that final version of the documents will be provided when available thus we have nothing to report to this regard.

Responsibility of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Nepal Financial Reporting Standards and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations or has no realistic alternative but to do so. Those charged with Governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Nepal Standards on Auditing (NSAs) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with NSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

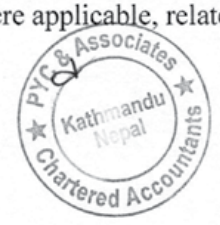
- Identify and assess the risk of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from

fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purposes of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision, and performance of the group audit. We remain solely responsible for our audit opinion.

We have communicated with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identified during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.





Report on the requirements of Banks and Financial Institutions Act, 2073 and Company Act, 2063

We have obtained satisfactory information and explanations asked for, which to the best of our knowledge and belief were necessary for the purpose of our audit; the returns received from the branch offices of the bank, though the statements are independently not audited, were adequate for the purpose of the audit; the consolidated financial statements including the consolidated statement of financial position, consolidated statement of profit or loss, consolidated statement of other comprehensive income, consolidated statement of changes in equity, consolidated statement of cash flows including a summary of significant accounting policies and other explanatory notes have been prepared in all material respect as per the procedures and format prescribed by Nepal Rastra Bank and are in agreement with the books of accounts of the Bank; and the accounts and records of the Bank are properly maintained in accordance with the prevailing laws.

To the best of our information and according to the explanations given to us, in the course of our audit, we did not come across cases where the business of the Bank and transactions were not conducted within the scope of its authority. We observed that the loans have been written off as specified and we did not come across cases of accounting-related fraud and cases where the board of directors or any director or any office bearer of the Bank has acted contrary to the provisions of law or caused loss or damage to the Bank or committed any misappropriation of the funds of the bank.

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

UDIN No.: 221031CA00185L23m3

Prakash Jung Thapa, FCA
Partner
P.J.P.N. & Co.
Chartered Accountants

UDIN No.:221031CA00052Lwu1l

Place: Kathmandu, Nepal
Date: 31 October 2022

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As on 32nd Ashad 2079 (16th July 2022)

Amount in Rs.

	Note	Group		Bank	
		Current Year	Previous Year Restated	Current Year	Previous Year Restated
		Rs	Rs	Rs	Rs
Assets					
Cash and Cash Equivalents	4.1	18,721,982,747	15,731,886,191	18,221,952,024	15,593,942,410
Due from Nepal Rastra Bank	4.2	11,930,868,071	25,370,514,039	11,930,868,071	25,336,114,039
Placement with B/FIs	4.3	-	-	-	-
Derivative financial instruments	4.4	1,265,935,824	5,663,649,824	1,265,935,824	5,663,649,824
Other trading assets	4.5	867,969,808	909,799,615	-	-
Loan and advances to B/FIs	4.6	8,800,199,800	8,509,957,841	10,751,322,217	10,367,176,716
Loans and advances to customers	4.7	266,410,628,989	234,828,689,895	258,087,531,601	228,651,426,527
Investment securities	4.8	46,527,011,373	48,929,339,990	46,513,511,373	48,901,734,964
Current Tax Assets	4.9	2,429,317,076	2,449,733,516	2,238,645,152	2,232,790,396
Investment in subsidiaries	4.10	-	-	370,695,250	370,695,250
Investment in associates	4.11	1,078,397,513	1,012,568,378	652,916,735	644,186,910
Investment property	4.12	570,893,919	366,094,589	559,448,275	354,648,945
Property and equipment	4.13	5,995,838,713	3,939,360,846	5,884,766,979	3,897,051,795
Goodwill and intangible assets	4.14	498,247,610	510,274,727	495,782,678	506,654,465
Deferred Tax Assets	4.15	313,329,644	67,418,902	180,132,467	85,873,988
Other Assets	4.16	3,440,050,086	3,825,145,985	3,383,711,824	3,535,752,722
Total Assets		**368,850,671,172**	**352,114,434,339**	**360,537,220,470**	**346,141,698,952**
Liabilities					
Due to B/FIs	4.17	12,252,188,597	16,042,436,185	9,594,870,797	14,914,792,251
Due to Nepal Rastra Bank	4.18	14,438,907,756	11,320,998,526	14,438,907,756	10,893,998,526
Derivative financial instruments	4.19	1,271,009,520	5,440,370,187	1,271,009,520	5,440,370,187
Deposit from customers	4.20	279,600,259,178	270,114,842,725	276,964,909,623	268,433,791,603
Borrowings	4.21	5,747,233,648	2,371,769,589	5,747,233,648	2,371,769,589
Current tax liabilities	4.9	2,364,798,682	2,074,181,931	2,203,840,353	1,845,212,017
Provisions	4.22	-	-	-	-
Deferred Tax Liabilities	4.15	-	-	-	-
Other Liabilities	4.23	9,305,061,704	5,281,806,290	8,084,119,351	4,310,912,217
Debt securities issued	4.24	4,492,869,348	4,491,996,856	4,492,869,348	4,491,996,856
Subordinated Liabilities	4.25	-	-	-	-
Total Liabilities		**329,472,328,434**	**317,138,402,290**	**322,797,760,397**	**312,702,843,247**
Equity					
Share capital	4.26	23,795,753,339	21,632,503,035	23,795,753,339	21,632,503,035
Share premium					-
Retained earnings	4.27	4,026,504,269	4,052,273,607	3,239,226,171	3,183,715,393
Reserves	4.27	10,993,992,848	8,786,548,501	10,704,480,563	8,622,637,276
Total equity attributable to equity holders		**38,816,250,456**	**34,471,325,143**	**37,739,460,073**	**33,438,855,704**
Non-controlling interest		**562,092,282**	**504,706,906**		
Total Equity		**39,378,342,738**	**34,976,032,049**		
Total Liabilities and Equity		**368,850,671,172**	**352,114,434,339**	**360,537,220,470**	**346,141,698,952**
Contingent Liabilities and Commitment	4.28	**82,600,879,928**	**66,163,022,248**	**82,600,879,928**	**66,163,022,248**
Net Assets Value per Share				**158.60**	**154.58**

The accounting policies and notes on pages 88 to 162 form an integral part of the Financial Statements

As per report attached.

Ratna Raj Bajracharya
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Sudarsun Krishna Shrestha
Director

Cabinet Shrestha
Director

Prakash Jung Thapa, FCA
Partner
P.J.P.N. & Co.

Raja Aryal
Chief Financial Officer

Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Devendra Pratap Shah
Director

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

Date: 23/10/2022
Place: Kathmandu

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For Year ended 32nd Ashad 2079 (16th July 2022)

Amount in Rs.

	Note	Group		Bank	
		Current Year	Previous Year	Current Year	Previous Year
Interest Income	4.29	30,050,080,076	22,326,142,857	29,058,367,013	21,693,582,784
Interest Expenses	4.30	19,139,302,233	12,744,201,379	18,768,811,399	12,554,455,241
Net interest income		**10,910,777,842**	**9,581,941,477**	**10,289,555,615**	**9,139,127,543**
Fees and Commission Income	4.31	2,628,277,994	2,132,609,842	2,217,827,855	1,914,286,460
Fees and Commission Expenses	4.32	649,159,961	375,008,511	535,516,508	380,249,905
Net fee and commission income		**1,979,118,033**	**1,757,601,332**	**1,682,311,347**	**1,534,036,555**
Net interest, fee and commission income		**12,889,895,875**	**11,339,542,809**	**11,971,866,961**	**10,673,164,098**
Net Trading Income	4.33	256,623,182	1,170,646,621	594,205,883	666,455,087
Other Operating Income	4.34	491,875,750	643,541,615	472,847,798	611,276,969
Total operating income		**13,638,394,806**	**13,153,731,045**	**13,038,920,643**	**11,950,896,155**
Impairment charge/(reversal) for loans and other losses	4.35	513,665,966	1,156,228,292	466,431,088	1,125,258,433
Net Operating Income		**13,124,728,840**	**11,997,502,752**	**12,572,489,555**	**10,825,637,721**
Operating Expenses					
Personnel Expenses	4.36	3,604,218,445	3,436,521,404	3,290,725,813	3,164,815,841
Other Operating Expenses	4.37	1,517,131,545	1,466,228,983	1,446,858,511	1,369,428,420
Depreciation and Amortization	4.38	677,499,470	344,518,720	647,131,708	333,862,753
Operating profit		**7,325,879,381**	**6,750,233,645**	**7,187,773,523**	**5,957,530,707**
Non operating income	4.39	69,097,913	236,676,507	3,268,779	10,547,342
Non operating expense	4.40	164,457,354	-	164,457,354	-
Profit before income tax		**7,230,519,940**	**6,986,910,152**	**7,026,584,948**	**5,968,078,049**
Income Tax Expense	4.41				
Current tax		2,326,402,704	2,073,359,331	2,165,532,758	1,844,541,228
Deferred tax		(238,095,272)	(50,187,427)	(98,172,554)	(41,615,019)
Profit for the Year		**5,142,212,509**	**4,963,738,248**	**4,959,224,743**	**4,165,151,840**
Profit attributable to:					
Equity holders of the Bank		5,066,365,291	4,785,499,612		
Non-controlling interest		75,847,218	178,238,637		
Profit for the Year		**5,142,212,509**	**4,963,738,248**	**4,959,224,743**	**4,165,151,840**
Earnings per Share	4.42				
Basic earnings per share				**20.84**	**19.25**
Diluted earnings per share				**20.84**	**19.25**

The accounting policies and notes on pages 88 to 162 form an integral part of the Financial Statements

As per report attached.

Ratna Raj Bajracharya
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Sudarsun Krishna Shrestha
Director

Cabinet Shrestha
Director

Prakash Jung Thapa, FCA
Partner
P.J.P.N. & Co.

Raja Aryal
Chief Financial Officer

Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Devendra Pratap Shah
Director

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

Date: 23/10/2022
Place: Kathmandu

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For Year ended 32nd Ashad 2079 (16th July 2022) Amount in Rs.

	Note	Group		Bank	
		Current Year	Previous Year	Current Year	Previous Year
Profit for the year		**5,142,212,509**	**4,963,738,248**	**4,959,224,743**	**4,165,151,840**
Other comprehensive income, net of income tax					
a) Items that will not be reclassified to profit or loss					
Gains/(losses) from investments in equity instruments measured at fair value	4.8	6,008,897	352,087,782	19,543,990	338,611,496
Gains/(losses) on revaluation					-
Actuarial gain/(losses) on defined benefit plans	4.23	122,104,602	(190,368,517)	121,194,912	(190,368,517)
Income Tax relating to above items	4.15	(38,434,050)	(49,048,279)	(42,221,671)	(44,472,894)
Net other comprehensive income that will not be reclassified to profit or loss		**89,679,449**	**112,670,986**	**98,517,232**	**103,770,086**
b) Items that will be reclassified to profit or loss					
Gains/(losses) on cash flow hedge					
Exchange gains/(losses) (arising from translating financial assets of foreign operation)					
Income Tax relating to above items					
Reclassify to profit or loss					
Net other comprehensive income that will be reclassified to profit or loss				**-**	**-**
c) Share of other comprehensive income of associate accounted as per equity method					
Other comprehensive income, net of income tax		**89,679,449**	**112,670,986**	**98,517,232**	**103,770,086**
Total comprehensive income for the year		**5,231,891,958**	**5,076,409,234**	**5,057,741,975**	**4,268,921,926**
Total comprehensive income attributable to:					
Equity holders of the Bank		5,158,226,641	4,895,868,565		
Non-controlling interest		73,665,317	180,540,670		
Total comprehensive income for the period		**5,231,891,958**	**5,076,409,234**	**5,057,741,975**	**4,268,921,926**

The accounting policies and notes on pages 88 to 162 form an integral part of the Financial Statements

As per report attached.

Ratna Raj Bajracharya
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Sudarsun Krishna Shrestha
Director

Cabinet Shrestha
Director

Prakash Jung Thapa, FCA
Partner
P.J.P.N. & Co.

Raja Aryal
Chief Financial Officer

Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Devendra Pratap Shah
Director

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

Date: 23/10/2022
Place: Kathmandu

STATEMENT OF CHANGES IN EQUITY

For Year ended 32nd Ashad 2079 (16th July 2022)

Amount in Rs.

	Group										
	Attributable to Equityholders of Bank										
	Share Capital	Share Premium	General Reserve Fund	Exchange Equalization Fund	Regulatory Reserve	Fair Value Reserve	Accumulated Profit/Loss	Other Reserve	Total Shareholders' Funds	Non Controlling Interest	Total Equity
Balance as at Shrawan 1, 2078 (16th July 2021)	**21,632,503,035**	**-**	**5,328,505,718**	**190,223,701**	**1,267,348,532**	**261,205,205**	**4,050,066,301**	**1,741,472,651**	**34,471,325,143**	**504,706,907**	**34,976,032,049**
Opening Reinstatement	-	-	-	-	-	-	-	(4,415,977)	(4,415,977)	2,269,882	(2,146,095)
Comprehensive Income for the year									-		-
Profit for the year	-	-	-	-	-	-	5,066,365,291	-	5,066,365,291	75,847,218	5,142,212,509
Other Comprehensive income, net of tax											
Gains/(losses) from investments in equity instruments measured at fair value	-	-	-	-	-	6,934,543	(432,521)	-	6,502,022	(2,568,701)	3,933,321
Gains/(losses) on revaluation	-	-	-	-	-						-
Actuarial gains/ (losses) on defined benefit plans							522,890	84,836,438	85,359,328	386,800	**85,746,128**
Gains/(losses) on cash flow hedge									-		**-**
Exchange gains/ (losses) arising from translating financial assets of foreign operation)									-		**-**
Total comprehensive income	**-**	**-**	**-**	**-**	**-**	**6,934,543**	**5,066,455,659**	**84,836,438**	**5,158,226,641**	**73,665,317**	**5,231,891,958**
Transfer to reserve during the period											-
General Reserve Fund	-	-	1,040,359,244	-	-	-	(1,040,359,244)	-	-	-	-
Exchange Fluctuation Fund	-	-	-	13,621,820	-	-	(13,621,820)	-	-	(57,510)	(57,510)
Corporate Social Responsibility Fund	-	-	-	-	-	-	(20,293,542)	20,121,013	(172,530)	-	(172,530)
Training Reserve	-	-	-	-	-	-	(39,723,507)	39,723,507	-	0.00	0
Regulatory reserve	-	-	-	-	386,785,795	-	(387,151,818)	366,023	(0)	-	(0)
Debenture Redemption Reserve	-	-	-	-	-	-	(708,333,333)	708,333,333	-	(2,367,313)	(2,367,313)
Client Protection Fund	-	-	-	-	-	-	(1,531,871)	(1,668,345)	(3,200,216)	-	(3,200,216)
Transfer from reserve during the period									-		-
Investment Adjustment Reserve	-	-	-	-	-	-	-	-	-	-	
Fair Value reserve	-	-	-	-	-	(89,760,354)	89,760,354	-	-	-	-
Other Reserve	-	-	-	-	-	-	-	-	-	-	-
Transactions with owners, directly recognised in equity									-		-
Dividends to equity holders											
Bonus shares Issued	2,163,250,304	-	-	-	-	-	(2,163,250,304)	-	-		-
Cash Dividend Paid	-	-	-	-	-	-	(805,512,606)	-	(805,512,606)	(16,125,000)	(821,637,606)
Balance at Ashad end, 2079 (16th July 2022)	**23,795,753,339**	**-**	**6,368,864,962**	**203,845,520**	**1,654,134,328**	**178,379,395**	**4,026,504,269**	**2,588,768,644**	**38,816,250,456**	**562,092,282**	**39,378,342,738**

The accounting policies and notes on pages 88 to 162 form an integral part of the Financial Statements

As per report attached.

Ratna Raj Bajracharya
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Sudarsun Krishna Shrestha
Director

Cabinet Shrestha
Director

Raja Aryal
Chief Financial Officer

Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Devendra Pratap Shah
Director

Date: 23/10/2022
Place: Kathmandu

Prakash Jung Thapa, FCA
Partner
P.J.P.N. & Co.

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

STATEMENT OF CHANGES IN EQUITY

For Year ended 32nd Ashad 2079

Amount in Rs.

	Bank								
	Attributable to Equityholders of Bank								
	Share Capital	Share Premium	General Reserve Fund	Exchange Equalization Fund	Regulatory Reserve	Fair Value Reserve	Retained Earning	Other Reserve	Total Shareholders' Funds
Balance as at Shrawan 1, 2078 (16th July 2021)	**21,632,503,035**	**-**	**5,240,888,345**	**190,223,700**	**1,221,538,366**	**255,414,240**	**3,183,715,394**	**1,714,572,625**	**33,438,855,704**
Comprehensive Income for the year									
Profit for the year							4,959,224,743		4,959,224,743
Other Comprehensive income, net of tax									-
Gains/(losses)from investments in equity instruments measured at fair value						13,680,793			13,680,793
Gains/(losses) on revaluation									-
Actuarial gains/(losses) on defined benefit plans								84,836,438	84,836,438
Gains/(losses) on cash flow hedge									-
Exchange gains/(losses) arising from translating financial assets of foreign operation)									-
Total comprehensive income	**-**	**-**	**-**	**-**	**-**	**13,680,793**	**4,959,224,743**	**84,836,438**	**5,057,741,975**
Transfer to reserve during the period									
General Reserve Fund			1,009,721,826				(1,009,721,826)		-
Exchange Fluctuation Fund				13,621,820			(13,621,820)		-
Corporate Social Responsibility Fund							(20,206,124)	20,206,124	-
Training Reserve							(39,723,507)	39,723,507	
Regulatory reserve					281,103,834		(281,103,834)		
Debenture Redemption Reserve							(708,333,333)	708,333,333	-
Transfer from reserve during the period									-
Investment Adjustment Reserve							-	-	-
Fair Value Reserve						(89,384,388)	89,384,388		-
Other Reserve							-		
Transactions with owners, directly recognised in equity									-
Dividends to equity holders									
Bonus shares Issued	2,163,250,304						(2,163,250,304)		-
Cash Dividend Paid							(757,137,606)		(757,137,606)
Balance at Ashad end, 2079 (16th July 2022)	**23,795,753,339**	**-**	**6,250,610,171**	**203,845,520**	**1,502,642,200**	**179,710,644**	**3,239,226,171**	**2,567,672,028**	**37,739,460,073**

The accounting policies and notes on pages 88 to 162 form an integral part of the Financial Statements

As per report attached.

Ratna Raj Bajracharya
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Sudarsun Krishna Shrestha
Director

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Prakash Jung Thapa, FCA
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Chief Financial Officer

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Director

Krishna Prasad Sharma
Director

Devendra Pratap Shah
Director

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

Date: 23/10/2022
Place: Kathmandu

CONSOLIDATED STATEMENT OF CASH FLOWS

For Year ended 32nd Ashad 2079 (16th July 2022) Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
CASH FLOW FROM OPERATING ACTIVITIES				
Interest Received	27,417,084,417	21,081,090,641	26,280,535,393	20,438,863,025
Fees and Other Income Received	2,528,556,477	2,212,925,892	2,074,739,467	1,989,454,446
Dividend received	-	-	-	-
Receipts from other operating activities	866,367,485	1,243,956,000	866,367,485	754,011,688
Interest Paid	(18,485,298,598)	(12,487,304,575)	(18,327,046,994)	(12,359,594,233)
Commission and Fees Paid	(535,516,508)	(375,008,511)	(535,516,508)	(380,249,905)
Cash Payment to Employees	(3,165,914,886)	(2,965,721,922)	(2,905,531,187)	(2,757,122,835)
Other Expenses Paid	(1,701,244,381)	(1,471,222,918)	(1,448,354,959)	(1,372,433,897)
Operating cash flows before changes in operating assets and liabilities	**6,924,034,007**	**7,238,714,606**	**6,005,192,697**	**6,312,928,289**
(Increase) / Decrease in operating assets				
Due from Nepal Rastra Bank	13,405,245,969	(13,567,101,288)	13,405,245,969	(13,560,619,825)
Placements with B/FIs	-	2,500,000	-	-
Other trading assets	(305,208,454)	(554,000,624)	-	-
Loans and advances to B/FIs	(294,676,483)	(872,009,165)	(389,816,850)	(2,753,689,890)
Loans and advances to customers	(31,802,702,585)	(42,509,299,263)	(29,700,943,977)	(39,793,661,588)
Other assets	4,589,144,248	2,304,609,097	4,350,031,149	2,316,661,333
	(14,408,197,304)	**(55,195,301,244)**	**(12,335,483,709)**	**(53,791,309,970)**
(Increase) / Decrease in operating liabilities				
Due to Nepal Rastra Bank	3,544,909,230	9,554,637,155	3,544,909,230	9,554,637,155
Due to bank and financial institutions	(5,319,921,454)	(1,294,586,623)	(5,319,921,454)	587,094,103
Deposit from customers	9,519,816,452	56,482,089,293	8,531,118,020	56,118,406,543
Borrowings	4,478,137,925	865,071,552	3,375,464,059	-
Other liabilities	(246,152,010)	(2,555,289,174)	(422,223,262)	(2,729,500,884)
	11,976,790,143	**63,051,922,203**	**9,709,346,593**	**63,530,636,917**
Net cash flow from operating activities before tax paid	**4,492,626,846**	**15,095,335,566**	**3,379,055,581**	**16,052,255,236**
Income taxes paid	(1,967,884,056)	(2,081,637,707)	(1,812,759,177)	(1,886,853,864)
Net cash flow from operating activities	**2,524,742,790**	**13,013,697,859**	**1,566,296,404**	**14,165,401,372**
CASH FLOW FROM INVESTING ACTIVITIES				
Purchase of investment securities	2,243,074,021	(22,528,752,095)	2,360,703,326	(22,533,913,783)
Receipt from sale of investment securities	328,112,452	1,177,242,926	327,542,518	683,586,341
Purchase of property and equipment	(2,619,754,613)	(851,223,350)	(2,602,682,157)	(829,272,923)
Receipt from sale of property and equipment	369,900	-	-	-
Purchase of intangible assets	(22,106,946)	(31,975,346)	(21,705,690)	(30,280,816)
Receipt from sale of intangible assets	-	-	-	-
Purchase of investment properties	(195,260,487)	(8,147,509)	(195,260,487)	(8,147,509)
Receipt from sale of investment properties	-	-	-	-
Interest received	2,222,358,436	1,522,844,947	2,222,348,851	1,522,844,947
Dividend received	42,167,003	14,199,713	47,734,533	14,199,713
Net cash used in investing activities	**1,998,959,766**	**(20,705,810,715)**	**2,138,680,894**	**(21,180,984,030)**
CASH FLOW FROM FINANCING ACTIVITIES				
Receipt from issue of debt securities	-	2,994,253,246	-	2,994,253,246
Repayment of debt securities	-	-	-	-
Receipt from issue of subordinated liabilities	-	-	-	-
Repayment of subordinated liabilities	-	-	-	-
Receipt from isssue of shares	-	-	-	-
Dividend paid	(788,597,591)	(460,241,685)	(724,097,591)	(446,266,685)
Interest paid	(407,357,371)	(102,509,799)	(407,357,371)	(95,095,571)
Other receipt/payment	(392,138,315)	143,109,497	-	-
Net cash from financing activities	**(1,588,093,277)**	**2,574,611,259**	**(1,131,454,962)**	**2,452,890,990**
Net increase/(decrease) in cash and cash equivalents	2,935,609,279	(5,117,501,597)	2,573,522,336	(4,562,691,668)
Cash and Cash Equivalents as at 1st Shrawan	**15,731,886,191**	**20,776,412,504**	**15,593,942,410**	**20,083,658,794**
Effect of exchange rate fluctuation on Cash & Cash Equivalents	54,487,278	72,975,284	54,487,278	72,975,284
Cash and Cash Equivalents as at Ashad End	**18,721,982,747**	**15,731,886,191**	**18,221,952,024**	**15,593,942,410**

The accounting policies and notes on pages 88 to 162 form an integral part of the Financial Statements

As per report attached.

Ratna Raj Bajracharya
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Sudarsun Krishna Shrestha
Director

Cabinet Shrestha
Director

Prakash Jung Thapa, FCA
Partner
P.J.P.N. & Co.

Raja Aryal
Chief Financial Officer

Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Devendra Pratap Shah
Director

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

Date: 23/10/2022
Place: Kathmandu

Statement Of Distributable Profit Or Loss

For Year ended 32nd Ashad 2079 (16th July 2022) (As per NRB Regulation)

Amount in Rs.

	Current Year	Previous Year
Opening Balance	3,183,715,394	1,867,121,851
Net profit or (loss) as per statement of profit or loss	**4,959,224,743**	**4,165,151,840**
Appropriations:		
a. General reserve	(1,009,721,826)	(833,030,368)
b. Foreign exchange fluctuation fund	(13,621,820)	(26,301,424)
c. Capital redemption reserve	(708,333,333)	(300,164,474)
d. Corporate social responsibility fund	(20,206,124)	(11,549,720)
e. Employees' training fund	(39,723,507)	-
f. Investment adjustment Reserve	-	18,420,000
g. Interest capitalise Reserve		43,720,000
h. Other		
i. Fair Value Reserve (Sale of Shares)	89,384,388	5,181,421
ii. Issue of Stock Dividend for FY 2077-078	(2,163,250,304)	(1,205,100,227)
iii. Payment of Cash Dividend for FY 2077-078	(757,137,606)	(379,517,597)
Profit or (loss) before regulatory adjustment	**3,520,330,005**	**3,343,931,302**
Regulatory adjustment :		
a. Interest receivable (-)/previous accrued interest received (+)	(142,658,215)	(16,957,752)
b. Short loan loss provision in accounts (-)/reversal (+)	-	-
c. Short provision for possible losses on investment (-)/reversal (+)	-	-
d. Short loan loss provision on Non Banking Assets (-)/resersal (+)	(129,023,578)	(12,187,281)
e. Deferred tax assets recognised (-)/ reversal (+)	(94,258,479)	2,187,086
f. Goodwill recognised (-)/ impairment of Goodwill (+)	-	-
g. Bargain purchase gain recognised (-)/resersal (+)	-	-
h. Actuarial loss recognised (-)/reversal (+)	84,836,438	(133,257,962)
i. Other		
Total Distributable profit or (loss) as on year end date	**3,239,226,171**	**3,183,715,394**

NOTES TO CONSOLIDATED **FINANCIAL STATEMENTS**

1. BANK

1.1 Corporate Information

Global IME Bank Limited (hereinafter referred to as "The Bank") is a public limited company, incorporated on 29th May 2006 as per the then Companies Act 1964 of Nepal. The Bank obtained its operating license from Nepal Rastra Bank on 31st December 2006. The registered office of the Bank is located at Kamaladi, Kathmandu, Nepal. Its ordinary shares are listed on the Nepal Stock Exchange Limited (the sole stock exchange in Nepal) for public trading.

1.2 Consolidated Financial Statements

The Consolidated Financial Statements of the Bank as at and for the year ended 32nd Ashad 2079 (16th July 2022) comprise the Bank (Parent Company) and its Subsidiaries (together referred to as the "Group"). The subsidiaries of the Bank as at 32nd Ashad 2079 were Global IME Capital Ltd, Global IME Laghubitta Bittiya Sanstha Ltd and JBNL Securities Ltd. Global IME Bank Ltd is the ultimate parent of the Group. The Financial Statements of all companies in the Group have a common financial year which ends on 32nd Ashad.

1.3 Principal Activities and nature of operations Bank

The principal activities of the Bank are to provide commercial banking services including, agency services, trade finance services, remittance, card services, e-commerce products and services to its customers through its strategic business units, branches, extension counters, ATMs and network of agents.

Subsidiaries

a. Global IME Capital Ltd

The principal activities of the Global IME Capital Ltd are to provide merchant banking services that include management of public offerings, portfolio management, registrar to shares, underwriting of securities, and fund management of mutual fund schemes, depository participant's service under Central Depository Service (CDS), corporate advisory services and administration and record keeping of securities of its clients.

b. Global IME Laghubitta Bittiya Sanstha Ltd

The principal activities of the Global IME Laghubitta Bittiya Sanstha Ltd (Previously Reliable Microfinance Bittiya Sanstha Ltd) is to provide the sustainable microfinance services to the deprived group of people and small entrepreneurs and mostly to the female entrepreneurs to help them in developing self-employment opportunities and various income generating activities. This microfinance is offering a broad range of microfinance products, to the public, who do not have access to mainstream financial services.

c. JBNL Securities Ltd

The principal activities of the JBNL Securities Ltd are to provide the share broker services. The entity is yet to obtain the business license.

2. Basis of Preparation

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1. Statement of compliance

The Consolidated Financial Statement of the Group and separate Financial Statement of the Bank which comprises of Statement of Financial Position, Statement of Profit or Loss and Statement of Other Comprehensive Income shown as two separate statements, Statement of Changes in Equity, Statement of Cash Flows, Notes to the Financial Statements have been prepared in accordance with Nepal Financial Reporting Standards 2018 as issued by the Nepal Accounting Standard Board and in compliance with the requirements of the Companies Act, 2006, directives issued by Nepal Rastra Bank and required disclosures as per Securities Board of Nepal.

The format used in the preparation and presentation of the Financial Statements and disclosures made therein also complies with the specified formats prescribed in the directives of Nepal Rastra Bank. The Consolidated Financial Statements which comprise of the Bank and its subsidiaries have both adopted the uniform accounting policy for all like transactions.

2.2. Reporting period and approval of financial statements

The Group reporting period is from 1st Shrawan 2078 to 32nd Ashad 2079 (16th July 2021 to 16th July 2022) with the corresponding previous year from 1st Shrawan 2077 to 31st Ashad 2078 (16th July 2020 to 15th July 2021. These financial statements have been approved by the Board of Directors on 6th Kartik 2079 (23rd October 2022).

2.3. Functional and presentation currency

Items included in these Financial Statements are measured using the currency of the primary economic environment in which the Group operates. These Financial Statements are presented in Nepalese Rupees, the Group's functional and presentation currency. Financial information presented in Nepalese Rupees has been rounded to the nearest Rupees unless indicated otherwise. There was no change in the Group's presentation and functional currency during the year under review.

2.4. Use of judgments and estimates

In preparing the Financial Statements of the Group in conformity with NFRSs and NASs, the management has made judgments, estimates and assumptions which affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized prospectively. Significant areas of critical judgments, assumptions and estimation uncertainty, in applying accounting policies that have most significant effects on the amounts recognized in the Financial Statements of the Group are explained below separately. The significant areas where the estimates and judgments have been used in applying accounting policies that have the most significant effects on the amounts recognized in these

Financial Statements are as below:

- Classification of Financial Assets and Financials Liabilities
- Fair value of financial instruments
- Impairment losses on financial and non-financial assets
- Useful economic life of property and equipment
- Defined benefit obligations
- Provisions for liabilities, commitments and contingencies

Information about significant areas of estimation and critical judgments in applying accounting policies, other than those stated above, and which have significant effects on the amounts recognized in the financial statements are described in respective notes.

2.5. Changes in Accounting Policies

Changes in accounting policies if any have been followed after the accounting standards were issued by the Institute of Chartered Accountants of Nepal.

2.6. New standards issued and effective

Following are the new standards issued by Accounting Standards Board, Nepal effective from Financial Year 2078-79:

a. NFRS 9- Financial Instruments (with carve-outs on impairment)
b. NFRS 15 Revenue from contracts with Customers
c. NFRS 16 Leases

2.7. Discounting

Financial assets and liabilities which are of long term nature i.e. either receivable/payable after more than a year have been discounted using the appropriate discount rate which reflects the market rate of borrowings. Interest income or expenses has been recognized on the unwinding of the financial assets and financial liabilities using the Effective Interest Rate appropriately.

2.8. Going concern basis

The management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue its business for the foreseeable future. Management is not aware of any material uncertainties that may cast doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements of the Group continue to be prepared on going concern basis.

2.9. Fair value of financial instruments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position, for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The Group measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements.

2.10. Impairment losses on loans and advances

The impairment losses on loans and advances have been calculated as per incurred loss model as per the alternative treatment to the existing provisions of NFRS 9, carve out issued by Institute of Chartered Accountants of Nepal. Impairment charge however has been higher of the Nepal Rastra Bank Provision as per directives 2 or as calculated for "Incurred Loss Model to measure the Impairment Loss on Loan and advances". These are explained in detail in Note 4.7.

The Group reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided in the Statement of Profit or Loss. In particular, the management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and hence, actual results may differ, resulting in future changes to the provisions made.

The individual impairment provision applies to financial assets evaluated individually for impairment and is based on management's best estimate of the present value of the future cash flows that are expected to be received. In estimating these cash flows, management makes judgments about a borrower's financial situation and the net realizable value of any underlying collateral. Each impaired asset is assessed on its merits, and the workout strategy and estimate of cash flows are considered recoverable.

A collective impairment provision is established for:

- groups of homogeneous loans and advances that are not considered individually significant; and
- groups of loans and advances that are individually significant but that were not found to be individually impaired

The collective provision for groups of homogeneous loans is established using statistical methods (such as, net flow rate methodology, risk migration analysis) or a formula approach based on historical loss rate experience, using the statistical analysis of historical data on delinquency to estimate the amount of loss. Management applies judgment to ensure that the estimate of loss arrived at, on the basis of historical information is appropriately adjusted to reflect the economic conditions and portfolio factors as of the reporting date. The loss rates are regularly reviewed against actual loss experience.

In assessing the need for collective impairment, management considers factors such as credit quality, portfolio size, concentrations and economic factors. To estimate the required allowance, assumptions are made to define how inherent losses are modeled and to determine the required input parameters, based on historical experience and current economic conditions. The accuracy of the provision depends on the model assumptions and parameters used in determining the collective provisions.

2.11. Impairment of financial investments measured at fair value

The Group also records impairment charges on equity investments when there has been a significant or prolonged decline in the fair value below their cost along with the historical share price movements, duration and extent up to which the fair value of an investment is less than its cost.

2.12. Useful lives of property & equipment

The Group reviews the residual values, useful lives and methods of depreciation of property & equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty. Detail of useful lives of property and equipment are disclosed in Note 4.38 "Depreciation and Amortization".

2.13. Deferred tax liabilities and assets

Deferred tax liabilities are the amounts of income taxes payable in future periods in respect of taxable temporary differences. Whereas, Deferred tax assets are the amounts of income taxes recoverable in future periods in respect of:

a. deductible temporary differences;
b. the carryforward of unused tax losses; and
c. the carryforward of unused tax credits.

Differences between book profits and tax profits that can be reversed in subsequent periods are known as temporary differences for which a deferred tax asset (DTA) or a deferred tax liability (DTL) is created.

A deferred tax asset represents a financial benefit, while a deferred tax liability indicates a future tax obligation or payment due. Deferred tax assets are recognized in respect of tax losses to the extent that it is probable that future taxable profit will be available and can be utilized against such tax losses. Judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

2.14. Defined benefit obligation

The cost of the defined benefit plans is determined using an actuarial valuation. Post-employment benefits of the bank like gratuity and leave services for carryforward sick and annual leave are the defined benefit obligation of the bank. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, salary escalation rate, withdrawal rate, mortality rates, etc. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty.

2.15. Provisions for liabilities, commitments and contingencies

The Group may receive legal claims in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amount of possible outflow of economic benefits. Timing and cost ultimately depend on the due processes in respective legal jurisdictions.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies other than those stated above that have significant effects on the amounts recognized in the financial statements are described in Note 4.28.

2.16. Presentation of financial statements

The assets and liabilities of the Group presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. Previous year's figures presented in the financial statements are restated due to the retrospective accounting of Business Combinations from financials year 2076-77.

2.17. Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or to realize the assets and settle the liabilities simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by Nepalese Financial Reporting Standards or Interpretation (issued by the International Financial Reporting Interpretations Committee (IFRIC) and Standard Interpretations Committee (SIC)) and as specifically disclosed in the Significant Accounting Policies of the Group.

2.18. Materiality and Aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately, unless they are immaterial as permitted by the Nepal Accounting Standard – NAS 1 on 'Presentation of Financial Statements'.

Notes to the Financial Statements are presented in a systematic manner which ensures the understandability and comparability of Financial Statements of the Group. Understandability of the Financial Statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

3. Significant Accounting Policies- General

3.1. Basis of measurement

The financial statements have been prepared under the historical cost convention, except for following material items stated in the Statement of Financial Position:

- Fair value and impairment of financial instruments as per NFRS 13 and NFRS 9.
- Defined Benefit Obligation where, net liability for defined benefit obligations are recognized as the present value of the defined benefit obligation, less net total of the plan assets, plus recognized actuarial gains, less recognized past service cost and recognized actuarial losses as per NAS 19.

3.2. Basis of consolidation

The Group's Financial Statements comprise consolidation of the Financial Statements of the Bank and its Subsidiaries in accordance with the Nepal Accounting Standard - NFRS 10 (Consolidated Financial Statements).

a. Non-Controlling Interest

Non-controlling interest is "the equity in a subsidiary not attributable, directly or indirectly, to a parent". The similar term **"minority interest"** was previously used. Non-Controlling Interest (NCI) refers to ownership of a company which does not give the shareholder the control of the company.

b. Subsidiaries

The Financial Statements of subsidiaries are fully consolidated from the date on which control is transferred to the bank and continue to be consolidated until the date when such control ceases. The Financial Statements of the bank's subsidiaries are prepared for the same reporting year as the bank, using consistent accounting policies.

c. Loss of Control

The loss of control of a subsidiary is a transaction or another event in which a parent company sells its controlling interest in a subsidiary to another party.

If a parent loses control of a subsidiary, the parent:

- derecognizes the assets and liabilities of the former subsidiary from the Consolidated Statement of Financial Position
- recognizes any investment retained in the former subsidiary when control is lost and subsequently accounts for it and for any amounts owed by or to the former subsidiary in accordance with relevant IFRSs. That retained interest is remeasured and the remeasured value is regarded as the fair value on initial

recognition of a financial asset in accordance with NFRS 9 Financial Instruments or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.

- recognizes the gain or loss associated with the loss of control attributable to the former controlling interest.

d. Transaction elimination on consolidation

All the intergroup transactions between subsidiary and parent are eliminated on preparing consolidated financial statements.

e. **Investment in Associates**

An associate is an entity over which the Group has significant influence but not control. Significant influence is the power to participate in the financial and operating policy decisions of the investee but does not have control or joint control over these policies. The Group's investments in associates, are accounted at cost as per NAS 28 "Investment in Associates and Joint Ventures" and with the principles of NAS 27 "Separate Financial Statements". Equity accounting is based on the profit reported by associate entities on their financial statements using the policy disclosed in the financial statements.

3.3. Business Combinations

Business combinations are accounted for using the acquisition method as per the requirements of Nepal Financial Reporting Standard - NFRS 3 (Business Combinations), interpretation and explanatory notes issued by the Accounting Standards Board (ASB) and Explanatory note on Accounting for Business Combination issued by the Institute of Chartered Accountants of Nepal (ICAN) dated 31st July 2022.

The Bank acquired then Hathway Finance Company Ltd a "C" Class Financial Institution on 17th Bhadra 2076 and merged with then Janata Bank Nepal Ltd an "A" Class financial Institution on 19th Mangsir 2076. Business Combination for those entities has been recognized with retrospective restatement of financial statements from FY 2076-77, where goodwill and fair value has been measured in accordance with the measurement principles of NFRS 3 Business Combinations together with explanatory note as mentioned above. The Group has adopted the interpretation, explanatory and guidance notes as above to calculate the goodwill on business combinations. Goodwill may be measured in a business combination effected through exchange of equity interest of the acquirer by considering the business valuation of acquiree computed based on the similar terms as for the purpose of computing swap ratio. The excess of consideration paid by the acquirer over the business value of the acquiree is only considered as goodwill as it represents the expected synergies and other benefits arising from combining the businesses.

The Group measures goodwill as the fair value of the consideration transferred including the recognized amount of any non-controlling interest in the acquire, less the net recognized amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When excess is negative, a bargain purchase gain is recognized immediately in profit or loss, if controlling power is acquired. The changes in parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary are equity transactions. Detail of goodwill measurement and fair value measurement is disclosed in Notes 4.14 and 4.27

3.4. Cash and cash equivalents

Cash and cash equivalents as referred to in the cash flow statement comprise of cash on hand, non–restricted balances with Nepal Rastra Bank, amounts due from financial institutions and investments with an original maturity of three months or less.

3.5. Financial Instruments- Initial recognition, Classification and subsequent measurement

3.5.1. Date of recognition

Financial Instruments, including loans and advances to customers and balances due from customers, are initially recognized on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. This includes regular-way trades: purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

3.5.2. Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention when acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss.

3.5.3. Classification of Financial assets or liabilities

The Group classifies its financial assets into the following measurement categories as per NFRS 9:

- those to be measured at fair value (either through other comprehensive income or through profit or loss); and
- those to be measured at amortized cost.

The classification depends on the Group's business model for managing financial assets and the contractual terms of the financial assets' cash flows. The Group classifies its financial liabilities at amortized cost unless it has designated liabilities to be classified at fair value.

3.5.4. Financial instruments measured at amortized cost

Financial instruments are measured at amortized cost where they have:

- contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and interest on the principal amount outstanding; and
- are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These financial instruments are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the Effective Interest Rate (EIR) less impairment. The measurement of credit impairment is based on the incurred loss model of financial assets.

3.5.5. Financial instruments measured at fair value through profit or loss

Instruments measured at fair value through profit or loss comprise:

- Instruments held for trading and
- Instruments specifically designated as fair value through profit or loss on initial recognition;

Financial instruments measured at fair value through profit or loss are initially recognized at fair value, with transaction costs recognized in the income statement as incurred. Subsequently, they are measured at fair value and any gains or losses are recognized in the income statement as they arise.

3.5.6. Financial instruments measured at fair value through other comprehensive income (FVTOCI)

Investment in equity instruments that are not held for trading is measured at fair value through other comprehensive income, where an irrevocable election has been made by management.

Amounts presented in other comprehensive income are not subsequently transferred to profit or loss. However as per the clarification from Accounting Standard Board Nepal dated 4th Kartik 2077, for sale of investments measured at FVTOCI, fair value gain on investments recognized up to previous year of sale will be recognized in Other Comprehensive income and additional realization after recognizing in OCI will be recognized in profit and loss. The bank has recognized such sale proceeds accordingly which are disclosed in Notes 4.8. Dividends on such investments are recognized in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment.

3.5.7. De recognition of financial assets and liabilities

a. Financial Assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognized when the rights to receive cash flows from the asset have expired. The Group also derecognizes the assets if it has both transferred the asset, and the transfer qualifies for de recognition.

The group has transferred the asset if and only if, either:

- The group has transferred its contractual rights to receive cash flows from the asset; Or
- It retains the rights to the cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass–through' arrangement.

A transfer only qualifies for de recognition if either:

- The group has transferred substantially all the risks and rewards of the asset; or
- The group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

b. Financial Liabilities

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as de-recognition of the original liability and the recognition of a new liability.

3.5.8. Reclassification of Financial Instruments

The Group will choose to reclassify its financial assets when and only when an entity changes its business model for managing financial assets. When the entity changes its business model all the affected financial assets are reclassified in accordance with Note 3.5.2.

Reclassifications are made at fair value as of the reclassification date. Fair value becomes the new cost or amortized cost as applicable, and no reversals of fair value gains or losses recorded before re-classification date are subsequently made. Effective interest rates for financial assets reclassified to financial assets measured at amortized cost are determined at the reclassification date. Further increases in estimates of cash flows adjust effective interest rates prospectively.

The Group has not made any reclassification among its financial assets from the initial recognition.

3.5.9. Determination of fair value

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability or
- In the absence of principal market, in the most advantageous market for asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- **Level 1 - financial instruments –**
  Those where the inputs used in the valuation are unadjusted quoted prices from active markets for identical assets or liabilities that the Group has access to at the measurement date. The Group considers markets as active only if there are sufficient trading activities with regards to the volume and liquidity of the identical assets or liabilities and when there are binding and exercisable price quotes available on the balance sheet date.

- **Level 2 - financial instruments –**
  Those where the inputs that are used for valuation are significant, are derived from directly or indirectly observable market data available over the entire period of the instrument's life. Such inputs include quoted prices for similar assets or liabilities in active markets, quoted prices for identical instruments in inactive markets and observable inputs other than quoted prices such as interest rates and yield curves, implied volatilities, and credit spreads. In addition, adjustments may be required for the condition or location of the asset or the extent to which it relates to items that are comparable to the valued instrument. However, if such adjustments are based on unobservable inputs which are significant to the entire measurement, the Group will classify the instruments as Level 3.

- **Level 3 – financial instruments –**
  Those that include one or more unobservable input that is significant to the measurement as a whole. The group evaluates the leveling at each reporting period on an instrument-by-instrument basis and reclassifies instruments when necessary based on the facts at the end of the reporting period.

3.5.10. Effective interest rate

The effective interest rate (EIR) is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate at a shorter period, to the net carrying amount of the financial asset or financial liability. The amortized cost of the financial asset or financial liability is adjusted if the Group revises its estimates of payments or receipts. The adjusted amortized cost is calculated based on the original or latest re-estimated EIR and the change is recorded as 'Interest income' for financial assets and 'Interest expense' for financial liabilities if any arises. The accounting policies for the EIR method vary by instruments and are further explained in the Notes:

- for 'Financial Assets Measured at Amortized Cost'
- for 'Financial assets measured at fair value through other comprehensive income'

- for 'Financial assets measured at fair value through other profit or loss'
- for 'Due from banks and loans and advances to customers'
- for 'Debt securities issued and other borrowed funds'

3.5.11. Impairment of financial assets

The Group assesses at the end of each reporting period whether there is any objective evidence that a financial asset or group of financial assets has impaired. A financial asset or group of financial assets is impaired and impairment losses are incurred if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

Objective evidence that financial assets are impaired can include:

- significant financial difficulty of the obligor
- default or delinquency by a borrower
- breach of loan covenants or conditions, restructuring of a loan or advance
- indications that a borrower or issuer will enter bankruptcy,
- the disappearance of an active market for a security,
- deterioration in the value of collateral,
- or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers in the group, or economic conditions that correlate with defaults in the group.

i. Financial assets carried at amortized cost

The group's impairment methodology for financial assets carried at amortized cost, such as amounts due from banks, held to maturity investments comprises:

A. Specific impairment losses for individually significant or specifically identified exposures
B. Collective impairment of:

   i. Individually not significant exposures
   ii. Incurred but not yet identified losses

A. Specific impairment losses for individually significant or specifically identified exposures

It is the Group's policy to regularly monitor its loan portfolio. For retail and consumer lending, a specific assessment is made on an individual basis for loans that are 180 days past due. For the corporate and small business portfolio impairment indicators include:

- internal rating of the borrower indicating default or near-default,
- the borrower requesting emergency funding from the Bank;
- the borrower having past due liabilities to public creditors or employees;
- a material decrease in the underlying collateral value where the sale of the financed asset is required to repay the loan;
- a material decrease in the borrower's turnover or the loss of a major customer;
- a material decrease in estimated future cash flows;
- any material facility at the debtor level falling beyond 90 past due;
- a covenant breach not waived by the Bank.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the assets carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognized in "Impairment charges for Loans" in the income statement.

Loans and advances together with the associated allowances are written off when there is no realistic prospect of future recovery and all collateral has been realized or has been transferred to the Group. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced (but only up to the extent of the carrying amount had the impairment not been recognized) by adjusting the allowance account.

B. Collective Impairment

For the purposes of a collective evaluation of impairment, financial assets are grouped on the basis of similar credit risk characteristics (that is, on the basis of the product characteristics, industry, past-due status and other relevant factors). Those characteristics are relevant to the estimation of future cash flows for groups of such assets by being indicative of the debtors' ability to pay all amounts due according to the contractual terms of the assets being evaluated. Collective impairment losses reflect impairment losses that have been incurred in the performing portfolio but have not yet been identified by either the specific or collective assessment. These loans, similar to the 'individually not significant' exposures, are grouped into smaller homogenous portfolios by risk drivers. The methodology combines probability of default (PD), exposure at the time of default (EAD) and loss given default (LGD) over the loss emergence period (the period between the loss event and the impairment being identified). The loss emergence period is determined and regularly monitored by the Bank for each portfolio.

The Group uses the principles of Unified Directives issued by Nepal Rastra Bank for providing impairment for loans and advances to customers together with the carve-out issued by Institute of Chartered Accountants of Nepal as mentioned in Note 3. 26.

3.6. Trading Assets

A financial instrument is classified as trading assets if it is acquired or incurred principally for the purpose of selling or repurchasing in the near term or forms part of a portfolio of financial instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative.

3.7. Derivative assets and derivative liabilities

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, and foreign exchange rates. Derivatives are categorized as trading unless they are designated as hedging instruments. All derivatives are initially recognized and subsequently measured at fair value, with all revaluation gains recognized in income statement. Fair value is based on the quoted market price, quotes from brokers or dealers, or estimates based upon discounted expected cash flows as appropriate.

3.8. Property and Equipment

Property and equipment is stated at cost excluding the costs of day–to–day servicing less accumulated depreciation and accumulated impairment in value. An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its

cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, or replace part of an item of property, plant and equipment. The Group applies cost model to property, plant and equipment and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation (except for freehold land) and any accumulated impairment losses. Bank Assets including acquired/ transferred on account of business combination have been recorded at fair value on the date of acquisition/merger.

Capital Work in Progress

These are expenses of capital nature directly incurred in the construction of buildings and system development, awaiting capitalisation. Capital work-in-progress would be transferred to the relevant asset when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management. Capital work-in-progress is stated at cost less any accumulated impairment losses.

Changes in the expected useful life are accounted for by changing the amortization period or methodology, as appropriate, and treated as changes in accounting estimates. Subsequent expenditures are included in the asset's carrying amount or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred.

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of property, plant and equipment is included in the Statement of Profit or Loss when the item is derecognised. The estimated useful lives are included in Note 4.38 "Depreciation and Amortization"

3.9. Leases

The Group has applied NFRS 16 Leases for all the right to use identifiable assets effective from 1st Shrawan 2078. The recognition exemption for the short term leases have been applied accordingly.

The determination of whether an arrangement is a lease, or contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or whether the arrangement conveys a right to control the use of an identified asset for a period of time in exchange for consideration.

To assess whether a contract conveys the right to control the use of an identified asset, the Group considers whether:

- The contract involves the use of an identified asset. This may be specified explicitly or implicitly and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- The Group has right to obtain substantially all of the economic benefits from the use of the asset throughout the period of use; and
- The Group has right to direct the use of the asset. The Group has this right when it has the decision making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Group has the right to direct the use of the asset if either;
  - The Group has the right to operate the asset; or
  - The Group designed the asset in a way that predetermines how and for what purpose it will be used.

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date. The right to use of assets is the present value of the total lease payments up to the contract date from the start of contract inclusive of any increments on the payment of the rent. The present value has been derived using the discount rate equal to the Group's incremental borrowing rate. The Group has applied cost model after initial recognition on the commencement date and subsequent measurement. The Group has measured the right-of-use asset at cost:

a. Less accumulated depreciation and accumulated impairment and
b. Adjusted for any reameasuremnt of lease liabilities if any.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Groups' incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate. The lease liability is subsequently measured at amortized cost using the effective interest method.

The Group presents right of use assets under Note 4.13 to the financial statements while the corresponding lease liability is presented in Note 4.23, 'Other Liabilities'. The detail explanation for the charge of right-of-use assets and lease liabilities has been explained in Notes. 4.23.8.

Short term leases and leases of low value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for short term leases (that have a lease term of 12 months or less) and leases of low value assets. The Group recognizes lease payments associated with these leases as an expense on a straight line basis over the lease term.

3.10. Goodwill and Intangible assets

An intangible asset is recognized only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Group.

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses. The useful lives of intangible assets are assessed to be either finite or indefinite.

Goodwill on business combination is recognized on the acquisition date at the excess of (a) over (b) below:

(a) The aggregate of:
(i) The consideration transferred measured in accordance with the NFRS 3, which generally requires acquisition-date fair value
(ii) The amount of any non-controlling interest in the acquiree measured in accordance with the NFRS 3; and
(iii) In a business combination achieved in stages, the acquisition-date fair value of the acquirer's previously held equity interest in the acquiree.
(b) The net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed measured in

accordance with the NFRS 3.

The Group has adopted the interpretation, explanatory notes issued by ASB and ICAN to calculate the goodwill on business combinations. Goodwill is measured in a business combination effected through exchange of equity interest of the acquirer by considering the business valuation of acquiree computed based on the similar terms as for the purpose of computing swap ratio. The excess of consideration paid by the acquirer over the business value of the acquiree is only considered goodwill as it represents the expected synergies and other benefits arising from combining the businesses.

The carrying amount of an item of intangible asset is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset is included in the Statement of Profit or Loss when the item is derecognised.

3.11. Investment Property

Non-Banking Assets which are acquired as part of recovery of loans are classified as investment property and are carried at cost i.e. acquired value. Assets determined to be useful for internal operations are transferred to their relevant asset category at the repossessed value. Repossessed collateral is classified as investment property as per NAS 40.

3.12. Income tax

i. Current tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid to, the taxation authorities. The tax rates and tax laws used to compute the amount are rates applicable as per Income Tax Act 2058.

Current income tax relating to items recognized directly in equity is recognized in equity and not in the statement of profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

ii. Deferred tax

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred taxes are recognized as income tax benefits or expenses in the income statement except for tax related to the fair value re measurement of financial instruments measured at fair value through other comprehensive income, actuarial gains/losses, which are charged or credited to Other Comprehensive Income.

3.13. Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of past events, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. When the effect of the time value of money is material, the Group determines the level of provision by discounting the expected cash flows at a pre-tax rate reflecting the current rates specific to the liability. The expense relating to any provision is presented in the income statement net of any reimbursement in other operating expenses.

3.14. Financial Guarantee and loan commitment

In the ordinary course of business, the group issues financial guarantees, consisting of letters of credit, guarantees and acceptances. Financial guarantees are initially recognized in the financial statements at fair value, being the premium received. The premium received is recognized in the income statement in net fees and commission income on a straight line basis over the life of the guarantee.

3.15. Share Capital and Reserves

Share capital is increased when dividends in form of scrip (bonus shares) are paid to the shareholders. Proposed bonus shares are not shown as increment to share capital until approval by annual general meeting. Reserves are the accumulation of profit over the years which comprises statutory reserves and regulatory reserves created with the direction of Nepal Rastra Bank and the retained earnings after the allocation of statutory reserve and distribution of dividend to shareholders.

3.16. Earnings per share

The Group presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to the ordinary equity of the Group by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares, if any.

3.17. Segment Reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenue and incur expenses, including revenue and expenses that relate to transactions with any of the Group's other components, whose operating results are reviewed regularly by the chief operating decision maker to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available. For management purposes, the Group has identified 7 provinces as operating segments. The detailed disclosure regarding segment reporting is reported in Notes 5.4.

3.18. Impairment of non-financial assets

The Group assesses the impairment requirement at each reporting date when there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's fair value less costs to sell and its value in use. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

3.19. Collateral valuation

The Group seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting agreements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Group's annual reporting schedule.

To the extent possible, the Group uses active market data for valuing financial assets held as collateral. Other financial assets which do not have readily determinable market values are valued using models. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as valuators, government - published price indices, audited financial statements, and other independent sources.

3.20. Revenue Recognition

a. Interest Income

Interest income is booked on accrual basis using the effective interest rate (EIR) method as allowed by carve-outs on NFRS. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset.

b. Fees and Commission Income

Fees and commission income earned from services that are provided over a certain period of time which includes fees and commission collected from issuance of letter of credit, guarantees, and card related fees are recognized on time proportion basis. The Bank has availed the option provided as per the Carve-out on NFRS for transactions cost to be included in computing the EIR,

c. Dividend Income

Dividend income from assets is recognized when the Group's right to receive the payment is established.

d. Net trading Income

All the realized gains/loss and unrealized mark to market gains/loss generated by trading activities are recognized as net trading income.

e. Net changes in financial instrument at fair value through Other Comprehensive Income

Changes in fair value of equity instruments and mutual funds which are measured at fair value through other comprehensive income are charged to Other Comprehensive Income

3.21. Interest Expense

Interest expense is recorded using the effective interest rate (EIR) method to the extent material and practicable. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial liability.

3.22. Employee Benefits

a. Short Term Employee Benefits

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Defined Contribution Plans

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee services in the current and prior periods, as defined in the Nepal Accounting Standard - NAS 19 (Employee Benefits). The Group contributes 10% of the basic salary of each employee as additional provident fund to the entities managing the contribution plans.

b. Post Employee Benefits

Post employee benefits are the Defined Benefit Plans, measured on discounted basis using the actuarial valuation as defined in the Nepal Accounting Standard - NAS 19 (Employee Benefits) and are expensed over the service period of the employees. These benefits are gratuity and leave encashment which are settled at the time of resignation of staff or completion of service period of the employee.

3.23. Foreign currency translation

Transactions in foreign currencies are translated to the functional currency of the relevant Group's entity at the foreign exchange rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the foreign exchange rates at the respective reporting date. Non-monetary items that are measured at historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

All foreign exchange gains and losses recognized in the income statement are presented on net basis in the statement of profit or loss within the corresponding item. Foreign exchange gains and losses on other comprehensive income items are presented in other comprehensive income within the corresponding item.

As at 32nd Ashad 2079, the principal rates of exchange used for translating foreign currency balance is NPR 127.90 to USD 1 (31st Ashad 2078: NPR 119.15 to USD 1)

3.24. Dividend on ordinary shares

Dividend on ordinary shares is recognized as a liability and deducted from equity when they are approved by the Group's shareholders, through annual general meeting. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

3.25. Cash Flow Statement

The cash flow statement has been prepared using 'The Direct Method', whereby gross cash receipts and gross cash payments of operating activities, finance activities, and investing activities have been recognized.

3.26. Carve out on NFRS taken by Group

i. Calculation of Effective Interest rate

Transaction cost and fees incurred and received in obtaining deposits and lending to customers are not included in calculating the effective interest rate. Those costs and fees are not material items and the effect of these will not materially differ in the original effective interest rate and re-calculated effective interest rate.

ii. Impairment Loss on Loans and advances.

Group has applied carve out provided on NFRS 9: Financial Instruments – impairment, which allows to measure impairment loss on loan and advances as the higher of amount derived as per the norms prescribed by Nepal Rastra Bank and Incurred Loss Model as per alternative treatment – carve-out.

4 Notes to Consolidated Financial Statements

4.1 Cash and cash equivalent

Cash and cash equivalents include cash in hand, balance with local and foreign financial institution and money at call and short notice. Cash and cash equivalents are carried at amortised cost in the Statement of Financial Position. Bank has classified financial investments with original maturities of less than three months as cash and cash equivalents. These investments are investments in treasury bills and placements with local financial institutions and foreign financial institutions which are considered highly liquid and held for the purpose of managing short term commitments of the Bank.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-cash in hand	5,866,898,223	5,503,627,635	5,866,408,718	5,500,089,873
-balance with financial institution	6,179,897,815	2,272,417,626	5,720,356,597	2,138,011,608
-money at call and short notice	40,000,000	-	-	-
-other cash and cash equivalent	6,635,186,709	7,955,840,929	6,635,186,709	7,955,840,929
	18,721,982,747	**15,731,886,191**	**18,221,952,024**	**15,593,942,410**

4.2 Due from Nepal Rastra Bank

Due from Nepal Rastra Bank includes the balance maintained with Nepal Rastra Bank in local currency and convertible foreign currency. These balance are also used in maintaining the cash reserve and liquidity ratio required by Nepal Rastra Bank. As required by the Directives no. 13 (Mandatory Cash Reserve and Statutory Liquidity Ratio) issued by Nepal Rastra Bank, minimum cash balance is maintained with the Nepal Rastra Bank. As at 32nd Ashad 2079, the minimum cash reserve requirement was 3 % (2078: 3 %) of the total local currency deposit liabilities. As at 32nd Ashad 2079, the statutory liquidity ratio to be maintained was 10 % (2078: 10 %) of the local currency deposit liabilities. For the purpose of calculating statutory liquidity ratio mandatory cash reserve is also included. Balances with Nepal Rastra Bank are carried at amortised cost in the Statement of Financial Position.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-statutory balance with Nepal Rastra Bank	11,930,868,071	25,370,514,039	11,930,868,071	25,336,114,039
-securities purchased under resale agreement	-	-	-	-
-other deposit and receivable from NRB	-	-	-	-
	11,930,868,071	25,370,514,039	11,930,868,071	25,336,114,039

4.3 Placements with Bank and Financial Instituitions

Placement with bank and financial institutions are the inter bank deposits within Nepal and outside Nepal placed for short term. This includes placements in Nepalese rupees and foreign currency within the commercial bank of Nepal and foreign currency placements with international banks outside Nepal. Placements with maturities of less than 3 months are classified as cash and cash equivalents as these are highly liquid in nature. Placements are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and are measured at amortised cost using the EIR, less provision for impairment.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-placements				
-with domestic B/FIs Nepal	-	-	-	-
-with foreign B/FIs	-	-	-	-
less: allowances for impairment	-	-	-	-
	-	**-**	**-**	**-**

4.4 Derivative financial instruments

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorised as trading unless they are designated as hedging instruments. The Group uses the derivatives presented below for risk management purposes.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Held for trading				
-interest rate swap	-	-	-	-
-currency swap	-	-	-	-
-forward exchange contract	-	-	-	-
-others	-	-	-	-
Held for risk management				
-Interest rate swap	-	-	-	-
-Currency swap	-	-	-	-
-forward exchange contract	1,265,935,824	5,663,649,824	1,265,935,824	5,663,649,824
-others	-	-		-
	1,265,935,824	**5,663,649,824**	**1,265,935,824**	**5,663,649,824**

4.5 Other trading assets

Trading assets are securities held by bank for the purpose of reselling them for profit. These assets include treasury bills, government and NRB bonds, equities, mutual fund units and other securities held for trading. These assets are initially recorded at fair value and are subsequently measured at fair value through profit or loss with any realized and unrealized gains and losses included in net trading income. The bank has not acquired any assets with the intention of trading them in short term.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Treasury bills	-	-	-	-
Government bonds	-	-	-	-
NRB Bonds	-	-	-	-
Domestic Corporate bonds	63,118,440	46,686,328	-	-
Equities	804,851,368	863,113,288	-	-
Other	-	-	-	-
	867,969,808	909,799,615	-	-
Pledged			-	-
Non-pledged	867,969,808	909,799,615	-	-
	867,969,808	**909,799,615**	-	-

4.6 Loan and advances to B/FIs

Loans and advances to banks and financial institutions includes loans provided to class "D" financial institutions and cooperatives. These loans are in the form of short term lending or term loan. These loans are initially measured at fair value and subsequently measured at amortized cost using effective interest rate. Loan loss provisions on loans and advances to banks and financial institutions are provided on the basis of directives issued by Nepal Rastra Bank. These loans are categorised under pass, watchlist, sub-standard, doubtful and loss category for providing the loan loss provisions. Using the principles of NFRS, Loan loss provision are calculated separately. Bank has applied both collective and individual assessment for calculating the impairment for loans and advances to banks and financial institutions. Loans and advances to banks and financial institutions are individulally tested for impairment. No any specific impairment has occur for the year and the previous years. Collective impairment has been provided based on the loan clasess falling in the loan products with similar risk characteristics to the loan products classified for lons and avances to customers as no historical loss existed for the loans and advances to financial institutions. Loans to microfinance institutions and others include interest income accrued on such loans. Loan Loss provision is provided at higher of loan loss provision as per NRB directives and loan loss provision calculated using the principles of NFRS.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Loans to microfinance institutions	8,720,423,496	8,521,035,060	10,697,244,588	10,402,715,784
Others	195,677,104	100,389,057	195,677,104	100,389,057
Less: Allowances for Impairment	(115,900,800)	(111,466,276)	(141,599,474)	(135,928,126)
	8,800,199,800	**8,509,957,841**	**10,751,322,217**	**10,367,176,716**

4.6.1: Allowances for impairment

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Balance at Shrawan 1	111,466,276	62,757,460	135,928,126	77,378,432
Impairment loss for the year:				
Transfer from Merger/Acquisition		-		
Charge for the year	18,273,514	84,701,143	19,510,339	109,162,992
Recoveries/reversal	(13,838,991)	(35,992,327)	(13,838,991)	(50,613,299)
Amount written off			-	-
Balance at Ashad end	**115,900,800**	**111,466,276**	**141,599,474**	**135,928,126**

4.7 Loans and advances to customers

Loans and advances to customers comprises of non-derivative financial assets with fixed or determinable payments that are not quoted in an active market which includes short term lending, term based lending, hire purchase lending, mortgage lending, personal lending, loans to employees and others. Loans and advances are initially measured at fair value and subsequently measured at amortised cost.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. Bank has not taken in account of upfront service fees collected on the individual loans to customers for calculating EIR, as the upfront service fees collected in terms of term based loans are less than 1% of the loan amount. Total income from service fees earned from term based loan is not material to the net interest earned by the bank. As per carve out on NFRS 9 (EIR) these service fees are taken to the income and not taken for recalculating the EIR of loans on the basis of materiality. Loan loss provisions on loans and advances to customers are provided on the basis of directive number 2 issued by Nepal Rastra Bank. These loans are categorised under pass, watchlist, sub-standard, doubtful and loss category and provisions are made accordingly. Loan loss provisions are provided on the basis of percentage of total loan outstanding or on the basis of their overdue days or other criteria set out in the directives of Nepal Rastra Bank.

Staff loans which are fair valued at initial recognition and subsequently measured at amortized cost are included in loans and advances to customers measured at amortized cost. Loans and advances to customers include accrued interest on these loans.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Loan and advances measured at amortized cost	273,285,773,688	241,175,698,617	264,711,009,707	234,814,144,895
Less: Allowances for Impairment				
Collective impairment	(4,227,211,692)	(3,561,451,300)	(3,975,545,099)	(3,353,811,150)
Individual impairment	(2,647,933,008)	(2,785,557,422)	(2,647,933,008)	(2,808,907,218)
Net amount	**266,410,628,989**	**234,828,689,895**	**258,087,531,601**	**228,651,426,527**
Loan and advances measured at FVTPL				-
Total	**266,410,628,989**	**234,828,689,895**	**258,087,531,601**	**228,651,426,527**

4.7.1: Analysis of loan and advances - By Product

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Product				
Term loans	72,950,275,935	60,557,442,803	64,490,933,821	54,195,889,081
Overdraft	45,187,384,902	45,933,208,534	45,187,384,902	45,933,208,534
Trust receipt/Import loans	5,549,191,070	15,895,631,584	5,549,191,070	15,895,631,584
Demand and other working capital loans	60,828,864,935	48,775,887,900	60,828,864,935	48,775,887,900
Personal residential loans	23,875,648,525	20,256,304,926	23,871,678,308	20,256,304,926
Real estate loans	10,456,607,654	4,131,984,435	10,456,607,654	4,131,984,435
Margin lending loans	4,999,438,912	7,144,013,848	4,999,438,912	7,144,013,848
Hire purchase loans	11,253,835,392	11,043,342,516	11,253,835,392	11,043,342,516
Deprived sector loans	4,365,018,678	4,168,575,992	4,365,018,678	4,168,575,992
Bills purchased	-	-	-	-
Staff loans	1,542,274,079	1,315,195,655	1,525,059,189	1,315,195,655
Other	30,316,445,637	20,446,440,956	30,316,445,637	20,446,440,956
Sub total	**271,324,985,718**	**239,668,029,149**	**262,844,458,498**	**233,306,475,427**
Interest Receivable	1,960,787,970	1,507,669,468	1,866,551,210	1,507,669,468
Grand total	**273,285,773,688**	**241,175,698,617**	**264,711,009,707**	**234,814,144,895**

4.7.2: Analysis of loan and advances - By Currency

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Nepalese rupee	270,634,371,082	226,918,558,499	262,153,843,861	220,557,004,777
Indian rupee	-	-	-	-
United State dollar	690,614,636	12,749,470,650	690,614,636	12,749,470,650
Great Britain pound	-			
Euro	-			
Japanese yen	-			
Chinese yuan	-			
Other	-			
Sub total	**271,324,985,718**	**239,668,029,149**	**262,844,458,498**	**233,306,475,427**

4.7.3: Analysis of loan and advances - By Collateral

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Secured				
Movable/immovable assets	213,066,039,397	208,253,346,613	211,216,726,269	201,891,792,891
Gold and silver	5,531,813	14,959,528	5,531,813	14,959,528
Guarantee of domestic B/FIs	-	-	-	-
Government guarantee	115,855,000	21,940,258	115,855,000	21,940,258
Guarantee of international rated bank	-	-	-	-
Collateral of export document	-	-	-	-
Collateral of fixed deposit receipt	3,859,099,609	1,213,311,847	3,859,099,609	1,213,311,847
Collateral of Governement securities	-	-	-	-
Counter guarantee	-	-	-	-
Personal guarantee	767,917,793	369,202,828	767,917,793	369,202,828
Other collateral	53,510,542,107	29,795,268,076	46,879,328,014	29,795,268,076
Sub total	**271,324,985,718**	**239,668,029,149**	**262,844,458,498**	**233,306,475,427**
Unsecured				-
Grand Total	**271,324,985,718**	**239,668,029,149**	**262,844,458,498**	**233,306,475,427**

4.7.4: Allowances for impairment

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Specific allowances for impairment				
Balance at Shrawan 1	2,808,907,218	2,154,079,246	2,808,907,218	2,177,429,042
Impairment loss for the year:				
Transfer from Merger/Acquisition	-	-		
Charge for the year	1,030,986,950	1,210,172,148	1,030,986,950	1,210,172,148
Recoveries/reversal during the year	(1,191,961,160)	(578,693,972)	(1,191,961,160)	(578,693,972)
Write-offs			-	-
Exchange rate variance on foreign currency impairment			-	-
Other movement			-	
Balance at Ashad end	**2,647,933,008**	**2,785,557,422**	**2,647,933,008**	**2,808,907,218**
Collective allowances for impairment				
Balance at Shrawan 1	3,558,242,864	3,064,667,011	3,353,811,150	2,918,202,312
Impairment loss for the year:				
Transfer from Merger/Acquisition	-	-		
Charge for the year	2,134,954,277	2,252,856,145	2,019,733,686	2,191,680,695
Recoveries/reversal during the year	(1,465,985,449)	(1,756,071,857)	(1,397,999,736)	(1,756,071,857)
Exchange rate variance on foreign currency impairment				
Other movement				
Balance at Ashad end	**4,227,211,692**	**3,561,451,300**	**3,975,545,099**	**3,353,811,150**
Total Allowances for impairment	**6,875,144,699**	**6,347,008,721**	**6,623,478,107**	**6,162,718,368**

Impairment of loans and advances to customers under NFRS

Bank applies the principles of incurred loss model for measurement of impairment of loans and advances to customers based on the carve out on NFRS 9 for measurement of impairment.

Impairment of individually assessed loans

Bank has reviewed its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided in the Statement of profit or loss. The bank has assessed its total loan portfolio for the specific impairment of individually significant loans under the five loan products namely hire purchase loans, home loans, term loans, mortgage loans and short term loans. All the possible objective evidence are assessed on such significant loans which the bank has designed in assessing the specific impairment tests. Reasonable estimates and assumptions are made on assessing the objective evidence, so that there is no understatement or overstatement of the impairment amount on the individually assessed loans. Bank reviews its non-performing loans and receivables at each reporting date to assess whether an allowance for impairment should be recorded in the statement of comprehensive income. In particular, the judgment of the management is required in estimating the amount and timing of future cash flows when determining the level of allowance required. Such estimates are based on assumptions about a number of factors, and actual results may differ, resulting in future changes to the allowance.

Additionally the bank has conducted specific assessment on the 100% provisioned loans as per NRB directives. These assessments are made on the judgment and estimates of the management for the amount and timing of future cash flow recovery from such loans on the basis of the security value possessed and the projected cash flows to be received from such loans.

Impairment of collectively assessed loans

All other loans where no specific impairment is established are assessed collectively based on the products which bear similar type of risk characteristics. The bank has segregated five major products with similar risk characteristics namely:

a. Hire Purchase Loans
b. Home Loans
c. Mortgage Loans
d. Short term Loans
e. Term Loans

Collective impairment losses reflect impairment losses that have been incurred in the performing portfolio but have not yet been identified by either the specific or collective assessment. Collective assessment is performed on the net flow rate method where the bank assesses the movements of outstanding principal as per overdue days. This establishes the bank's historical trend for the amount of loans moving to default zone from the issue of loans. The bank has identified default zone as 180 days. The methodology combines probability of default (PD), exposure at the time of default (EAD) and loss given default (LGD) over the loss emergence period (the period between the loss event and the impairment being identified).

Impairment amount calculated with the principles of NFRS 9 together with carve-outs are as below:

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Impairment under NFRS				
Collective impairment	1,850,897,985	2,023,884,989	1,729,229,416	1,868,582,331
Individual impairment	329,355,483	378,112,924	329,355,483	378,112,924
Total Impairment under NFRS	**2,180,253,467**	**2,401,997,913**	**2,058,584,898**	**2,246,695,255**
Loan Loss Provision under NRB	**6,939,716,966**	**6,367,150,082**	**6,765,077,581**	**6,162,718,368**

4.7.5: Forbearance/Relaxation

	Current Year		Previous Year	
	No. of Customers	Amount	No. of Customers	Amount
Accrued Interest Received after Ashad end	1,462	122,105,970	33,029	240,323,049
Additional 0.3% Loan Loss Provision created on Pass Loan Portfolio	44,365	757,109,390	NA	653,970,920
Extension of moratorium period of loan provided to Industry or Project under construction	3	817,337,124	9	4,378,104,561
Restructured/Rescheduled Loan with 5% Loan Loss Provision			1,117	10,196,645,788
Enhancement of Working Capital Loan by 20% to COVID affected borrowers	21	201,725,000	28	313,989,000
Enhancement of Term Loan by 10% to COVID affected borrowers	3	262,895,600	3	155,700,000
Expiry Date of Additional 20% Working Capital Loan (COVID Loan) extended for up to 1 year with 5% provisioning			-	-
Expiry Date of Additional 10% Term Loan (COVID Loan) extended for up to 1 year with 5% provisioning			-	-
Time Extension provided for repayment of Principal and Interest for up to two years as per clause 41 of NRB Directives 2	14	4,668,754,598	12	235,423,449

4.7.6: Business Continuity Plan

	Current Year		Previous Year	
	No. of Customers	Amount (NRs.)	No. of Customers	Amount (NRs.)
Refinance Loan	949	7,038,145,190	2,885	11,344,484,475
Business Continuity Loan	-	-	2	8,000,000

4.7.7: Subsidized Loan

	Current Year		Previous Year	
	No. of Customers	Amount (NRs.)	No. of Customers	Amount (NRs.)
Subsidized Loan	4,649	9,841,752,131	2,704	6,820,930,253

4.7.8: Classification of Loans and Advances and their Provisioning (excluding Staff Loans)

Amount in Rs.

	Current Year		Previous Year	
	BFIs	Others	BFIs	Others
1. Performing Loan and Advances	10,892,267,260	257,841,759,941	10,456,009,679	228,569,042,286
Pass Loan	10,892,267,260	246,146,284,156	10,456,009,679	220,091,193,168
Watch List	-	11,695,475,785	-	8,477,849,118
2. Non-Performing Loan and Advances	**-**	**3,477,639,368**	**-**	**3,422,237,486**
Restructured / Rescheduled	-	248,939,177	-	1,294,089
Sub-standard	-	463,694,341	-	783,210,099
Doubtful	-	488,807,031	-	632,603,659
Loss	-	2,276,198,819	-	2,005,129,640
A. Total Loan and Advances (1+2)	**10,892,267,260**	**261,319,399,309**	**10,456,009,679**	**231,991,279,772**
B. Total Loan Loss Provision	**141,599,474**	**6,623,478,107**	**135,928,126**	**6,162,718,368**
Pass	141,599,474	3,366,882,428	135,928,126	3,222,488,319
Watch List	-	584,670,533	-	423,847,595
Restructured / Rescheduled	-	31,117,397	-	161,761
Sub-standard	-	115,270,414	-	195,802,525
Doubtful	-	244,403,515	-	316,301,829
Loss	-	2,281,133,819	-	2,004,116,339
C. Total Provision up to Previous Year	**135,928,126**	**6,162,718,368**	**77,378,433**	**5,095,631,354**
Pass	135,928,126	3,222,488,319	77,378,433	1,806,926,041
Watch List	-	423,847,595	-	1,111,276,270
Restructured / Rescheduled	-	161,761	-	-
Sub-standard	-	195,802,525	-	220,861,999
Doubtful	-	316,301,829	-	620,539,591
Loss	-	2,004,116,339	-	1,336,027,453
D. Net Provision Additional/ Writeback for this Year	**5,671,349**	**460,759,739**	**58,549,693**	**1,067,087,014**
E. Net Loans and advances to Customers and BFIs	**10,750,667,786**	**254,695,921,202**	**10,320,081,553**	**225,828,561,404**
F. Staff Loans And Advances	-	1,525,059,189	-	1,315,195,655
G. Interest Receivable on Loans	654,431	1,866,551,210	47,095,163	1,507,669,468
H. Net Loans and advances	**10,751,322,217**	**258,087,531,601**	**10,367,176,716**	**228,651,426,527**

4.8 Investment securities

Investment in securities comprises of Investments in government securities like development bonds, treasury bills, Nepal Rastra Bank bonds, deposit instruments with Nepal Rastra Bank, equity instruments and units of mutual funds and others. Investment securities like are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the Effective Interest Rate (EIR) less impairment. All the listed ordinary equity shares and mutual fund units are measured at fair value using Level 1 input as described in NFRS 13 "Fair Value Measurement". Level 1 inputs are quoted prices (unadjusted) in active that the entity can access at the measurement date. For the promoter shares where the quoted prices cannot be accessed at the measurement date, they are at cost. All of equity securities whose fair value cannot be obtained from the Level 1 and Level 2 inputs are valued using the most recent available Networth per shares to represent the fair value of these investments at the reporting date. Management carried out an impairment assessment of the unquoted share investments held by the Bank and concluded that no impairment is required as there is no evidence for a permanent decline in value of the investment because of the higher fair value than the purchase cost. During the previous year the Bank had purchased the equity shares and mutual funds for the purpose of trading and such shares were disposed within the financial year. Gains realised on those shares have been recorded in the profit/loss. Nepal Rastra Bank later issued the circular, restricting commercial bank's to enter into short term share trading activities. Subsequently the Bank has reclassified its investment purchased for held for trading, if any remained after the issue of circular under fair value through other comprehensive income and any change in fair value has been recorded through other comprehensive income.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Investment securities measured at amortized cost	44,551,073,161	46,847,958,987	44,551,073,161	46,847,958,987
Investment securities measured as at FVTOCI	1,975,938,212	2,081,381,003	1,962,438,212	2,053,775,977
	46,527,011,373	**48,929,339,990**	**46,513,511,373**	**48,901,734,964**

4.8.1: Investment securities measured at amortized cost

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-debt securities	1,741,386,307	1,707,247,075	1,741,386,307	1,707,247,075
-government bonds	32,747,101,433	26,819,874,929	32,747,101,433	26,819,874,929
-government treasury bills	10,062,585,421	18,320,836,984	10,062,585,421	18,320,836,984
-nepal rastra bank bonds	-	-	-	-
-nepal rastra bank deposit instruments	-	-	-	-
	44,551,073,161	**46,847,958,987**	**44,551,073,161**	**46,847,958,987**
Less: specific allowances for impairment			-	-
Total	**44,551,073,161**	**46,847,958,987**	**44,551,073,161**	**46,847,958,987**

4.8.2: Investment in equity measured at fair value through other comprehensive income

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Equity Instruments				
-unquoted equity instruments	23,007,147	10,996,179	23,007,147	9,996,179
-quoted equity instruments	1,501,458,898	1,500,228,475	1,501,458,898	1,498,973,449
Mutual Funds	451,472,166	570,156,349	437,972,166	544,806,349
	1,975,938,212	**2,081,381,003**	**1,962,438,212**	**2,053,775,977**

4.8.3: Information relating to investment in equities

4.8.3.1 Investment securities measured at FVTPL

	Group						Bank					
	Current Year			Previous Year			Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Aarambha Chautari Laghubitta Bittiya Sanstha Ltd				2,000	3,182,100	3,148,000						
Agricultural Development Bank Ltd.	1	331	331	2,824	1,372,145	1,352,696						
Api Power Company Ltd.	1	244	244	1		403						
Arun Valley Hydropower Development Co. Ltd.				2	100	960						
Century Commercial Bank Ltd.				39,427	11,665,537	11,473,257						
Chandragiri Hills Limited	39,294	60,779,007	41,254,771	30,093	51,676,836	45,289,965						
Chhimek Laghubitta Bikas Bank Ltd.				6,800	11,842,105	11,818,400						
Citizaen Investment Trust.	5,168	17,680,694	12,997,520	1,636	6,925,648	5,711,276						
Civil Bank Ltd.	25,262	6,313,028	5,380,806	72,000	21,224,097	20,592,000						
Deprosc Development Bank Ltd.				4,000	6,998,136	6,744,000						
Everest Bank Ltd.	6,294	3,906,846	2,763,802	1	2	738						
Everest Insurance Co. Ltd (Po)	106,856	46,307,809	34,749,571	59,904	24,012,243	30,011,904						
First Micro Finance Development Bank Ltd.	103,495	100,343,555	68,823,992	11,001	9,113,208	9,053,823						
Forward Community Microfinance Bittiya Sansthan Ltd.	270	643,950	643,950	2,677	6,702,498	7,415,290						
Garima Bikas Bank Ltd.	35	13,545	13,545									
Greenlife Hydropower Ltd	295,757	155,353,104	89,614,371									
Himalaya Urja Bikas Company Ltd	169,025	91,024,306	38,706,725									
Himalayan General Insurance Company Ltd	564	400,874	293,280									
Himalayan Distillery Ltd.	1,270	4,837,191	4,330,700									
Himalayan Power Partner Limited	160,786	77,323,252	51,773,092	106,473	50,629,087	47,806,377						
Hydroelectricity Investment and Dev. Co. Ltd .				11	3,021	4,939						
IME General Insurance Ltd.	2,226	1,752,877	823,620	7,105	6,359,103	8,589,945						
Jyoti Bikas Bank Ltd.	1	455	302	64	26,905	30,592						
Kamana Sewa Bikas Bank Ltd	17,990	9,999,459	6,294,701									
Kisan Laghubitta Bittiya Sanstha Limited				879	1,480,153	1,529,460						
Lumbini Bikas Bank Ltd.	6,447	3,349,190	2,198,427									
Machhapuchhre Bank Ltd.	25,301	8,503,566	6,426,454	632	158,029	243,320						
Mahila Sahayatra Laghubitta Bittiya Sanstha Ltd.				243	190,890	305,937						
Madhya Bhotekoshi Jalavidyut Co Ltd	1,130	499,142	263,855									
Manjushree Finance Ltd	7,348	5,886,599	3,284,556									
Mero Microfinance Laghubitta Bittiya Sanstha Ltd.	3,785	5,119,231	3,205,895	7,000	12,209,811	10,822,000						
Mithila Laghubitta Bittiya Sanstha Ltd.	1,710	2,766,700	2,337,570	204	328,552	478,380						
Mountain Energy Nepal Ltd	38,505	45,348,956	30,804,000									
Mountain Hydro Nepal Ltd.	960	481,050	261,120									
Muktinath Bikas Bank Ltd.	1	440	440									
Nepal Bangladesh Bank Ltd	22,750	9,105,100	9,077,250									
National LIfe Insurance Company Ltd.				29,695	35,599,163	34,178,945						
Nepal Credit And Commercial Bank Ltd.				1		367						
Nepal Doorsanchar Company Ltd.				60,834	82,668,292	79,935,876						
Nepal Infrastructure Bank Limited (NIFRA)	2,718	972,607	652,320	42,000	21,583,044	20,664,000						
Nepal Investment Bank Ltd.	17,515	7,188,154	4,641,475	15,865	7,331,794	7,297,900						
Nepal Investment Bank Ltd. (P)	3,011	1,077,614	730,168	26,009	10,383,851	10,481,627						
Nepal Life Insurance Co. Ltd.	3,456	4,650,933	2,581,632	26,666	57,449,901	51,172,054						
Nepal Reinsurance Co. Ltd.	56,151	73,948,229	41,270,985	42,787	76,504,686	68,202,478						
Nepal Reinsurance Co. Ltd. (P)	352,252	76,195,476	76,195,476	302,363	76,195,476	76,195,476						
Nerude Laghubitta Bikas Bank Limited				237	293,922	379,200						
Ngadi Group Power Ltd.	165,132	55,074,819	49,044,204	90,857	45,957,359	51,788,490						
Nrn Infrastructure And Development Ltd	1,177	934,391	607,921									

	Group						Bank					
	Current Year			Previous Year			Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Nirdhan Utthan Bank Limited				1,442	2,145,924	2,307,200						
Panchakanya Mai Hydropower Ltd.	1,512	556,459	334,152									
Prabhu Insurance Company	425	335,598	181,900									
Prabhu Life Insurance Limited	28,361	21,805,255	10,124,877	16,814	13,915,252	12,677,756						
Premier Insurance Co. Ltd.				5,530	6,307,934	6,470,100						
Prime Life Insurance Company Ltd	47,614	40,855,638	27,092,366	35,099	36,699,219	33,484,446						
Prudential Insurance Co. Ltd.				7,769	5,737,264	6,292,890						
Rastriya Beema Company Ltd. Po	11,489	202,794,539	129,699,321									
Ridhi Hydropower Co. Ltd.	265	222,070	222,070	265	42,610	152,640						
Rural Microfinance Development Centre Ltd.	1,931	2,295,962	1,618,178	2,000	2,733,750	2,746,000						
Sadhana Laghubitta Bittiya Sanstha Ltd				10,000	18,181,696	16,820,000						
Sahara Bikas Bank Ltd.				168	72,680	77,280						
Sahas Urja Ltd	760	519,649	349,600									
Sana Kisan Bikas Bank Ltd.	2,980	3,727,399	3,173,700	27,035	46,165,618	44,337,400						
Shangrila Development Bank Ltd.	6,890	2,840,703	1,998,100									
Shikhar Insurance Co. Ltd.				6,422	8,872,339	12,535,744						
Shivam Cement Ltd.	1,923	2,619,684	1,461,480									
Shrijana Finance Financial Institution Ltd.				312	57,540	65,520						
Standard Chartered Bank Ltd.	22,521	11,529,475	8,925,072	24,519	15,774,580	14,466,210						
Sunrise Bank Ltd.	811	237,748	168,075	811	232,229	294,393						
Surya Life Insurance Company Ltd.	5,857	4,902,415	2,266,659	6,584	6,570,243	6,070,448						
Swabalamban Bikas Bank Limited	611	875,652	714,259	623	972,432	1,033,557						
Swabhimaan laghubitta Bittiya Sanstha				2,000	4,955,586	5,016,000						
Tinau Mission Development Bank Ltd.	1,923	378,831	24,532	1,923	-	378,831						
Upper Tamakoshi Hydropower Ltd	2,815	1,880,029	1,880,029									
Womi Microfinance Bittiya Sansthan Ltd.				-	-	150,248						
Nabil Balance Fund 2				73,800	842,056	1,040,580						
Nabil Equity Fund				34,226	348,890	499,700						
NIBL Pragati Fund-ordinar share				693,799	7,644,674	10,302,915						
NIC Asia Balance Fund				379,700	4,141,098	5,213,281						
NIC Asia Growth Fund				32,200	339,886	483,000						
NMB 50 Mutual Fund	198,600	2,969,070	2,561,940	786,300	8,368,061	11,755,185						
Nmb Hybrid Fund 1				98,707	1,171,460	1,347,351						
Prabhu Select Fund	408,950	4,123,408	3,930,010	500,000	5,000,000	5,070,000						
Sanima Equity Fund	319,238	5,312,795	4,070,285	880,700	10,714,085	14,786,953						
Sanima Large Cap Fund	525,400	5,485,060	4,896,728	500,000	5,000,000	5,250,000						
Siddhartha Equity Fund				440,880	4,782,950	6,194,364						
Siddhartha Investment Growth Scheme-2	88,160	1,251,872	863,086	324,760	3,675,643	4,611,592						
Sunrise Bluechip Fund	490,000	4,900,000	4,282,600	500,000	5,000,000	5,000,000						
Sunrise First Mutual Fund	170,720	2,674,385	1,963,280	341,720	4,491,651	5,467,520						
8% Nabil Bank Debenture	10,300	10,275,734	8,782,810									
10% Sunrise Bank Debenture	6,250	6,734,630	6,093,750	6,250	6,734,630	6,550,000						
10% Sanima Bank Debenture	75	83,325	81,000	75	79,200	83,325						
10% Himalayan Bank Debenture	2,525	2,875,307	2,734,575	2,525	2,875,307	2,848,200						
10.25% Nepal Banladesh Bank Debenture	25,911	30,932,307	27,698,859	25,270	30,244,304	28,934,150						
10.25% Kumari Bank Ltd Debenture	220	231,417	221,320	120	125,277	125,277						
10.35% Agriculture Dev. Bank Debenture	6,279	7,277,951	6,693,414	5,469	6,406,926	5,922,927						
10.50%Century Commercial Bank Ltd Debenture		8,030,000	8,030,000									
10.50% Siddhartha Bank Ltd Debenture	275	304,179	286,440	25	26,036	29,658						
11% NIC ASIA Bank Ltd Debenture	2,295	2,591,140	2,496,272	150	169,616	186,900						
		1,272,212,406	**867,969,808**		**917,686,342**	**909,799,615**						

4.8.3.2 Investment securities measured at FVTOCI

	Group						Bank					
	Current Year			Previous Year			Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Quoted Equity Investments												
Asian Life Insurance Co. Ltd .	3,830	2,213,663	2,198,420	-	-	-	3,830	2,213,663	2,198,420	-	-	-
Aarambha Chautari Laghubitta Bittiya Sanstha Ltd.	83,592	6,000,000	11,578,328	60,000	6,000,000	6,000,000	83,592	6,000,000	11,578,328	60,000	6,000,000	6,000,000
Chhimek Laghubitta Bikas Bank Ltd.	1	-	1,100	1	-	1,738	1	-	1,100	1		1,738
Chilime Hydropower Company Ltd.	11,312	3,380,546	4,615,296	15,677	5,029,893	10,770,099	11,312	3,380,546	4,615,296	15,677	5,029,893	10,770,099
Citizen Investment Trust	3,880	9,754,158	9,758,200	-	-	-	3,880	9,754,158	9,758,200	-	-	-
General Insurance Company Ltd.	200,000	20,620,000	29,726,000	200,000	20,620,000	20,620,000	200,000	20,620,000	29,726,000	200,000	20,620,000	20,620,000
Gurans Life Insurance Co. Ltd.	1,878	147,859	910,830	43,178	3,586,785	32,772,102	1,878	147,859	910,830	43,178	3,586,785	32,772,102
IME General Insurance Ltd.	-	-	-	1,330	1,348,711	1,607,970	-	-	-	1,330	1,348,711	1,607,970
Jalvidhyut Lagani Tatha Bikas Company Ltd.	1,796	158,731	359,200	15,930	1,448,200	7,152,570	1,796	158,731	359,200	15,930	1,448,200	7,152,570
Kalika Microcredit Development Bank Ltd.	53	1,444	63,494	31	1,444	44,361	53	1,444	63,494	31	1,444	44,361
Laxmi Laghubitta Bittiya Sanstha Ltd.	13,260	26,663,250	16,906,500	11,050	26,663,250	25,304,500	13,260	26,663,250	16,906,500	11,050	26,663,250	25,304,500
Mirmire Laghubitta Bikash Bank Limited	29	959	30,450	27	959	49,950	29	959	30,450	27	959	49,950
Mithila Laghubitta Bikash Bank Ltd.	166	4,570	226,922	79	4,570	185,255	166	4,570	226,922	79	4,570	185,255
National Life Insurance Co. Ltd.	-	-	-	3,337	27,809	3,840,887	-	-	-	3,337	27,809	3,840,887
Neco Insurance Co. Ltd.	7,969	9,545,593	5,530,486	6,930	9,545,593	9,341,640	7,969	9,545,593	5,530,486	6,930	9,545,593	9,341,640
Nepal Doorsanchar Company Ltd.	-	-	-	96,760	83,752,623	127,142,640	-	-	-	96,760	83,752,623	127,142,640
Nepal Infrastructure Bank Ltd	11,826,000	1,095,000,000	1,277,681,040	10,950,000	1,095,000,000	1,095,000,000	11,826,000	1,095,000,000	1,277,681,040	10,950,000	1,095,000,000	1,095,000,000
Nepal Life Insurance Co.Ltd	17,826	7,365,825	13,316,022	16,649	7,686,450	31,949,433	17,826	7,365,825	13,316,022	15,995	7,365,825	30,694,405
Nepal Reinsurance Co. Ltd.	4,000	3,002,740	2,940,000	-	-	-	4,000	3,002,740	2,940,000	-	-	-
Nepal Reinsurance Co. Ltd. (P)	704,505	60,472,562	113,080,098	604,726	60,472,562	60,472,562	704,505	60,472,562	113,080,098	604,726	60,472,562	60,472,562
Nerude Laghubitta Bikas Bank Ltd.	12		10,560	6		9,600	12	-	10,560	6	-	9,600
Ngadi Group Power Ltd.	4,390	1,334,796	1,303,830	699	57,900	398,430	4,390	1,334,796	1,303,830	699	57,900	398,430
NLG Insurance Company Ltd.	17,072	599,455	8,160,416	53,660	3,117,683	65,465,200	17,072	599,455	8,160,416	53,660	3,117,683	65,465,200
NLG Insurance Company Ltd (P)	2,944	151,262	628,338	2,434	151,262	243,400	2,944	151,262	628,338	2,434	151,262	243,400
Rastriya Beema Company Limited (P)	50	535,137	564,450				50	535,137	564,450	-	-	-
Ridi Hydropower Development Company Ltd.	-	-	-	442	26,000	254,592	-	-	-	442	26,000	254,592
Rural Microfinance Development Centre Ltd.	124	47,423	103,912	102	47,423	140,046	124	47,423	103,912	102	47,423	140,046
Sarathi Nepal Laghu Bitta Bikas Bank Ltd.	49	1,503	41,479	19	1,503	35,435	49	1,503	41,479	19	1,503	35,435
Soaltee Hotel Limited	495	98,140	100,238	5,443	1,079,180	1,426,066	495	98,140	100,238	5,443	1,079,180	1,426,066
Upper Tamakoshi Hydropower Ltd	2,995	1,545,244	1,623,290	-	-	-	2,995	1,545,244	1,623,290	-	-	-
		1,248,644,858	**1,501,458,897**		**1,325,669,798**	**1,500,228,475**		**1,248,644,858**	**1,501,458,897**		**1,325,349,173**	**1,498,973,448**
Quoted Mutual Fund Investments												
Global IME Samunnat Yojana-I	15,230,328	165,153,280	152,303,280	15,230,328	152,303,280	308,871,052	13,980,328	139,803,280	139,803,280	13,980,328	139,803,280	283,521,052
Kumari Equity Fund	1,000,000	10,000,000	10,070,000	1,000,000	10,000,000	10,500,000	1,000,000	10,000,000	10,070,000	1,000,000	10,000,000	10,500,000
Kumari Dhanabriddhi Yojana	5,000,000	50,000,000	50,000,000	-	-	-	5,000,000	50,000,000	50,000,000	-	-	-

	Group						Bank					
	Current Year			Previous Year			Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Laxmi Equity Fund	1,169,916	11,699,160	11,582,168	1,169,916	11,699,160	16,144,841	1,169,916	11,699,160	11,582,168	1,169,916	11,699,160	16,144,841
Laxmi Unnati Kosh	1,000,000	10,000,000	9,560,000	1,000,000	10,000,000	12,620,000	1,000,000	10,000,000	9,560,000	1,000,000	10,000,000	12,620,000
Nabil Balance Fund-2	1,000,000	10,000,000	10,780,000	1,000,000	10,000,000	14,100,000	1,000,000	10,000,000	10,780,000	1,000,000	10,000,000	14,100,000
Nabil Equity Fund	788,550	7,885,500	7,885,500	788,550	7,885,500	11,512,830	788,550	7,885,500	7,885,500	788,550	7,885,500	11,512,830
NIBL Samriddhi Fund -1	-	-	-	173,890	1,738,900	2,497,060	-	-	-	173,890	1,738,900	2,497,060
NIBL Samriddhi Fund -2	3,672,123	36,721,230	31,837,306	3,672,123	36,721,230	39,695,650	3,672,123	36,721,230	31,837,306	3,672,123	36,721,230	39,695,650
NIC ASIA Balance Fund	750,000	7,500,000	8,032,500	750,000	7,500,000	10,297,500	750,000	7,500,000	8,032,500	750,000	7,500,000	10,297,500
NIC ASIA Select 30	4,500,000	45,000,000	39,465,000	-	-	-	4,500,000	45,000,000	39,465,000	-	-	-
NMB 50 Mutual Fund	1,500,000	15,000,000	19,350,000	1,500,000	15,000,000	22,425,000	1,500,000	15,000,000	19,350,000	1,500,000	15,000,000	22,425,000
NMB Hybrid Fund -1	946,441	9,464,410	10,600,139	946,441	9,464,410	12,918,920	946,441	9,464,410	10,600,139	946,441	9,464,410	12,918,920
Prabhu Select Fund	1,468,090	14,680,900	14,108,345	1,468,090	14,680,900	14,886,433	1,468,090	14,680,900	14,108,345	1,468,090	14,680,900	14,886,433
Sanima Large Cap Fund	1,000,000	10,000,000	9,320,000	1,000,000	10,000,000	10,500,000	1,000,000	10,000,000	9,320,000	1,000,000	10,000,000	10,500,000
Siddhartha Investment Growth Scheme II	2,000,000	20,000,000	19,580,000	2,000,000	20,000,000	28,400,000	2,000,000	20,000,000	19,580,000	2,000,000	20,000,000	28,400,000
Sunrise Blue Chip Fund	4,605,026	46,050,260	40,247,927	4,605,026	46,050,260	46,787,064	4,605,026	46,050,260	40,247,927	4,605,026	46,050,260	46,787,064
Sunrise First Mutual Fund	500,000	5,000,000	5,750,000	500,000	5,000,000	8,000,000	500,000	5,000,000	5,750,000	500,000	5,000,000	8,000,000
		474,154,740	**450,472,166**		**368,043,640**	**570,156,349**		**448,804,740**	**437,972,166**		**355,543,640**	**544,806,349**
Unquoted Equity Investments												
ICRA Nepal Ltd.	22,800	760,000	5,726,220	19,000	760,000	1,900,000	22,800	760,000	5,726,220	19,000	760,000	1,900,000
National Banking Training Institute P. Ltd	12,000	1,200,000	4,483,440	12,000	1,200,000	1,200,000	12,000	1,200,000	4,483,440	12,000	1,200,000	1,200,000
Care Ratings Nepal Ltd.	25,000	2,500,000	5,572,000	25,000	2,500,000	2,500,000	25,000	2,500,000	5,572,000	25,000	2,500,000	2,500,000
Karja Suchana Kendra Ltd.	11,813	94,500	3,520,865	9,450	94,500	945,000	11,813	94,500	3,520,865	9,450	94,500	945,000
SWIFT	5	3,704,623	3,704,623	5	3,451,179	3,451,179	5	3,704,623	3,704,623	5	3,451,179	3,451,179
Nepal Finsoft Company Ltd.	10,000	1,000,000	1,000,000	10,000	1,000,000	1,000,000						
		9,259,123	**24,007,148**		**9,005,679**	**10,996,179**		**8,259,123**	**23,007,148**		**8,005,679**	**9,996,179**
Total Investment in Securities measured at FVTOCI		**1,732,058,721**	**1,975,938,212**		**1,702,719,116**	**2,081,381,003**		**1,705,708,721**	**1,962,438,212**		**1,688,898,491**	**2,053,775,975**

4.9 Current tax assets

Current tax assets consist of amounts paid to the Inland Revenue Department in respect of the current year and the carried forward balance of advance taxes paid in previous years net off of those years, income tax payable on those years using the tax rates enacted on the reporting date and any adjustment to tax payable in respect of prior years. Current tax liabilities consist of the amount of self assessed tax liabilities by the bank for the current year.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Current Tax Assets				
Current year income tax assets	2,429,317,076	2,449,733,516	2,238,645,152	2,232,790,396
Tax assets of prior periods	-	-		-
Current Tax Liabilities				-
Current year income tax liabilities	2,364,798,682	2,074,181,931	2,203,840,353	1,845,212,017
Tax liabilities of prior periods	-	-		-
Net tax assets / (liabilities)	**64,518,393**	**375,551,585**	**34,804,799**	**387,578,379**

4.10 Investment in subsidiaries

Subsidiaries are entities in which the Bank directly or indirectly holds the majority of the voting rights and where it determines their financial and business policies and is able to exercise control over them in order to benefit from their activities. At each reporting date the Bank reassess whether it controls an entity, if facts and circumstances indicate that there are changes to one or more elements of control mentioned. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date on which control ceases. Inter-company transactions, balances and intergroup gains on transactions between group companies are eliminated. Intergroup losses are also eliminated unless the transaction provides evidence of impairment of the asset transferred.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Investment in quoted subsidiaries	-	-	145,695,250	145,695,250
Investment in unquoted subsidiaries	-	-	225,000,000	225,000,000
Total investment	**-**	**-**	**370,695,250**	**370,695,250**
Less: Impairment allowances				
Net carrying amount	**-**	**-**	**370,695,250**	**370,695,250**

4.10.1: Investment in quoted subsidiaries

Amount in Rs.

	Current Year			Previous Year		
	Units	Cost	Fair Value	Units	Cost	Fair Value
Global IME Laghubitta Bittiya Sanstha Limited	3,176,283	145,695,250	317,628,300	2,481,470	145,695,250	248,147,000
		145,695,250	**317,628,300**		**145,695,250**	**248,147,000**

4.10.2: Investment in unquoted subsidiaries

Amount in Rs.

	Current Year			Previous Year		
	Units	Cost	Fair Value	Units	Cost	Fair Value
Global IME Capital Limited	2,741,299	165,000,000	274,129,900	1,612,529	165,000,000	165,000,000
JBNL Securities Limited	600,000	60,000,000	60,000,000	600,000	60,000,000	60,000,000
		225,000,000	**334,129,900**		**225,000,000**	**225,000,000**

4.10.3: Investment in unquoted subsidiaries

	Percentage of ownership held by the Bank	
	Current Year	Previous Year
Global IME Capital Ltd	75.00%	75.00%
Global IME Laghubitta Bittiya Sanstha Ltd	57.48%	57.48%
JBNL Securities Ltd	100.00%	100.00%

4.10.4: Non Controlling Interest of the Subsidiaries

	Current Year		Previous Year	
	GILBSL	GICL	GILBSL	GICL
Equity interest held by NCI (%)	42.52%	25%	42.52%	25%
Profit/(loss) allocated during the year	113,384,785	(39,719,468)	88,447,101	89,791,536
Accumulated balances of NCI as on Ashad end	456,767,217	105,325,065	343,485,031	161,221,875
Dividend paid to NCI	-	-	-	-

4.11 Investment in associates

An associate is an entity over which the investor has significant influence where significant influence is defined as power to participate in the financial and operating policy decisions of the investee but is not control or joint control of those policies. If an entity holds 20% or more of the voting power (directly or through subsidiaries) on an investee, it will be presumed the investor has significant influence unless it can be clearly demonstrated that this is not the case. If the holding is less than 20%, the entity will be presumed not to have significant influence unless such influence can be clearly demonstrated. A substantial or majority ownership by another investor does not necessarily preclude an entity from having significant influence. The Group has accounted its investment in associates using equity method. Equity accounting is based on the profit reported by associate entities on their unaudited financial statements using the policy disclosed in the financial statements.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Investment in quoted associates	297,702,500	333,821,780	131,033,235	141,593,610
Investment in unquoted associates	780,695,013	678,746,598	521,883,500	502,593,300
Total investment	**1,078,397,513**	**1,012,568,378**	**652,916,735**	**644,186,910**
Less: Impairment allowances	-	-	-	-
Net carrying amount	**1,078,397,513**	**1,012,568,378**	**652,916,735**	**644,186,910**

4.11.1: Investment in quoted associates

Amount in Rs.

	Current Year			Previous Year		
	Units	Cost	Fair Value	Units	Cost	Fair Value
First Microfinance Dev Bank Limited	980,823	56,987,235	101,033,448	944,828	67,547,610	156,784,174
Mero Micro Finance Bittya Sanstha Ltd	1,680,000	74,046,000	196,669,052	1,400,056	74,046,000	177,037,607
		131,033,235	**297,702,500**		**141,593,610**	**333,821,781**

4.11.2: Investment in unquoted associates

Amount in Rs.

	Current Year			Previous Year		
	Units	Cost	Fair Value	Units	Cost	Fair Value
IME Life Insurance Co. Limited	2,000,000	200,000,000	277,681,984	2,000,000	200,000,000	245,767,930
Reliable Nepal Life Insurance Co. Limited	2,000,000	200,000,000	309,092,100	2,000,000	200,000,000	284,354,125
Smart Choice Technologies Ltd	771,608	77,160,800	67,642,495	578,706	57,870,600	45,372,344
Nepal Clearing House Limited	405,795	10,722,700	73,431,166	294,055	10,722,700	60,184,157
Nepal Electronics Payment System Ltd.	310,000	31,000,000	48,381,767	310,000	31,000,000	39,451,279
Banking Finance And Insurance Institution Ltd.	33,000	3,000,000	4,465,501	33,000	3,000,000	3,616,763
		521,883,500	**780,695,013**		**502,593,300**	**678,746,598**

4.11.3: Information relating to associates of the Bank

Percentage of ownership held by Bank

	Current Year	Previous Year
First Microfinance Dev Bank Limited (P)	10.00%	12.05%
Mero Micro Finance Bittya Sanstha Ltd (P)	14.00%	14.00%
IME Life Insurance Co. Limited	10.00%	10.00%
Reliable Nepal Life Insurance Co. Limited	10.00%	10.00%
Nepal Clearing House Limited	7.15%	7.15%
Smart Choice Technologies Ltd	15.50%	15.50%
Nepal Electronics Payment System Ltd.	17.61%	17.61%
Banking Finance And Insurance Institution Ltd.	6.67%	6.67%

4.12 Investment Property

Bank classifies the non-banking assets as repossessed collateral which are non-financial assets acquired by the Bank in settlement of overdue loans. The assets are initially recognized at fair value when acquired and included in investment property or other assets depending on their nature and the bank's intention in respect of recovery of these assets and are subsequently re-measured and accounted for in accordance with the accounting policies for these categories of assets. Land and Building are classified as investment property and all other assets repossessed for settlement of overdue loans are classified as other assets.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Investment properties measured at fair value				
Balance as on Shrawan 1				
Additions during the year				
Disposal during the year				
Net changes in fair value during the year				
Adjustment /transfer				
Net Amount	**-**	**-**		**-**
Investment properties measured at cost				
Balance as on Shrawan 1	366,094,589	346,749,699	354,648,945	335,304,055
Additions during the year	323,583,381	50,145,240	323,583,381	50,145,240
Disposal during the year	(118,784,050)	(30,800,350)	(118,784,050)	(30,800,350)
Adjustment/transfer	-	-		-
Accumulated depreciation				
Accumulated impairment loss				
Net Amount	**570,893,919**	**366,094,589**	**559,448,275**	**354,648,945**
Total	**570,893,919**	**366,094,589**	**559,448,275**	**354,648,945**

4.13 Property and Equipment

Property and equipment is stated at cost excluding the costs of day–to–day servicing, less accumulated depreciation and accumulated impairment in value. Changes in the expected useful life are accounted for by changing the amortization period or methodology, as appropriate, and treated as changes in accounting estimates.

Subsequent expenditures are included in the asset's carrying amount or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the bank and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred. Depreciation on freehold land has not been calculated. Depreciation on other property and equipment is calculated using the straight–line method to allocate their cost to their residual values over their estimated useful lives. The estimated useful lives are included in Note 4.38 "Depreciation and Amortization". The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date of the statement of financial position. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. The recoverable amount is the higher of the asset's fair value less costs to sell and value in use. No property and equipment were impaired as at 32nd Ashad 2079 (2079: nil). Gains and losses on disposals are recorded by comparing proceeds with carrying amount.

During the acquisition of then Hathway Finance Company Ltd and merger with then Janata Bank Nepal Ltd in the financial year 2076-77 the bank had accounted the merger and acquisition of these two entities as per the Merger Bylaws issued by Nepal Rastra Bank. The Bank now has restated the same as per NFRS 3 Business Combinations read with interpretation and explanatory notes issued by Accounting Standards Board (ASB) and explanatory notes on accounting for business combination issued by the Institute of Chartered Accountants of Nepal (ICAN) in current year and restated the financials accordingly. As a result asset revaluation reserve of Rs. 645,039,590 has been created on account of fair value recognition of Bank's property. The same has been restated from Financial Year 2076-77.

The Group has recognized a *right of use* of asset as per NFRS 16 Leases. The right to use of assets is the present value of the total lease payments up to the contract date from the start of contract inclusive of any increments on the payment of the rent. The right to use of assets is depreciated over the lease term on straight line basis. The net value after the depreciation is shown under property and equipment.

Amount in Rs.

Cost:	Group								
	Land	Buildings	Machinery	Office Equipments	Motor Vehicles	Right to use of Assets	Leasehold Improvement	Total	Total Ashad 31 2078
As on Shrawan 1, 2078	2,405,504,547	332,751,774	343,886,795	1,373,029,624	668,963,200		939,487,885	6,063,623,825	5,126,019,704
Additions	45,418,587	52,761,902	26,232,520	116,416,114	110,385,099	2,234,405,403	137,998,937	2,723,618,561	1,336,524,594
Transfer from Merger/ Acquisition	-	-	-	-	-		-	-	16,375,591
Disposals	-	-	-	(18,848,088)	(42,799,065)		(10,728,617)	(72,375,770)	(415,296,067)
Balance on Ashad end 2079	**2,450,923,134**	**385,513,676**	**370,119,315**	**1,470,597,649**	**736,549,233**	**2,234,405,403**	**1,066,758,205**	**8,714,866,616**	**6,063,623,822**
Accumulated Depreciation									
As on Shrawan 1, 2078	-	43,078,779	248,110,367	981,417,786	349,472,559		502,183,487	2,124,262,979	1,902,829,399
Transfer from Merger/ Acquisition	-	-	-	-	-		-	-	7,245,888
Depreciation charge for the year	-	8,123,793	22,879,754	154,195,182	82,181,362	314,132,726	63,229,146	644,741,964	312,951,590
Disposals	-	-	-	(16,501,619)	(33,475,421)		-	(49,977,040)	(98,763,898)
Balance on Ashad end 2079	**-**	**51,202,572**	**270,990,121**	**1,119,111,349**	**398,178,500**	**314,132,726**	**565,412,634**	**2,719,027,902**	**2,124,262,979**
Capital WIP								-	
Net book value:									
As on Ashad 31, 2077 Restated	**1,525,052,070**	**297,765,330**	**116,400,674**	**468,529,223**	**388,803,019**		**438,085,635**	**3,234,635,952**	**1,419,110,762**
As on Ashad 31, 2078 Restated	**2,405,504,547**	**289,672,995**	**95,776,428**	**391,611,838**	**319,490,640**	**-**	**437,304,398**	**3,939,360,846**	**3,223,190,306**
As on Ashad 32, 2079	**2,450,923,134**	**334,311,104**	**99,129,194**	**351,486,300**	**338,370,733**	**1,920,272,678**	**501,345,571**	**5,995,838,713**	**3,939,360,843**

Cost:	Bank								Amount in Rs.
	Land	Buildings	Machinery	Office Equipments	Motor Vehicles	Right to use of Assets	Leasehold Improvement	Total	Total Ashad 31 2078
As on Shrawan 1, 2078	2,405,504,547	332,751,774	319,187,438	1,341,442,881	645,889,056		931,323,610	5,976,099,306	5,057,485,318
Additions	45,418,587	52,761,902	26,232,520	102,731,060	107,349,199	2,152,502,762	137,288,307	2,624,284,335	1,322,209,720
Disposals	-	-	-	(18,590,088)	(41,345,565)		(10,728,617)	(70,664,270)	(403,595,733)
Balance on Ashad end 2079	**2,450,923,134**	**385,513,676**	**345,419,958**	**1,425,583,852**	**711,892,689**	**2,152,502,762**	**1,057,883,300**	**8,529,719,371**	**5,976,099,306**
Accumulated Depreciation									
As on Shrawan 1, 2078	-	43,078,779	231,362,062	965,373,339	337,483,879		501,749,453	2,079,047,511	1,869,232,288
Depreciation charge for the year	-	8,123,793	22,879,754	144,775,453	78,617,135	298,801,041	61,357,055	614,554,231	303,055,547
Disposals	-	-	-	(16,323,935)	(32,325,415)		-	(48,649,350)	(93,240,323)
Balance on Ashad end 2079	**-**	**51,202,572**	**254,241,816**	**1,093,824,857**	**383,775,599**	**298,801,041**	**563,106,508**	**2,644,952,392**	**2,079,047,511**
Capital WIP								-	
Net book value:									
As on Ashad 31, 2077 Restated	**1,513,606,426**	**297,765,330**	**109,927,901**	**460,513,717**	**374,451,542**		**431,988,114**	**3,188,253,030**	**3,188,253,030**
As on Ashad 31, 2078 Restated	**2,405,504,547**	**289,672,995**	**87,825,375**	**376,069,542**	**308,405,177**	**-**	**429,574,158**	**3,897,051,795**	**3,897,051,795**
As on Ashad 32, 2079	**2,450,923,134**	**334,311,104**	**91,178,141**	**331,758,995**	**328,117,091**	**1,853,701,721**	**494,776,793**	**5,884,766,979**	

4.14 Goodwill and Intangible Assets

The Group's intangible assets include the value of computer software, Core Banking Software and other software used in Banking. An intangible asset is recognized only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the group. The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortized over the useful economic life. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life, or the expected pattern of consumption of future economic benefits embodied in the asset, are accounted for by changing the amortization period or methodology, as appropriate, which are then treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is presented as a separate line item in the income statement. Amortization is calculated using the straight–line method to write down the cost of intangible assets to their residual values over their estimated useful lives, as mentioned in Note 4.38 "Depreciation and Amortization".

The Group has restated the value Goodwill and Intangible Assets for the business combinations of then Hathway Finance Company Ltd and then Janata Bank Nepal Ltd during the financial year 2076-77 and acquisition of Sparsha Laghubitta Bittiya Sanstha by subsidiary Global IME Laghubitta Bittiya Sanstha during

financial year 2077-78. Goodwill on business combination is recognized on the acquisition date at the excess of purchase consideration paid over business value. The Group has adopted the interpretation, explanatory notes issued by ASB and ICAN to calculate the goodwill on business combinations. Goodwill is measured in a business combination effected through exchange of equity interest of the acquirer by considering the business valuation of acquiree computed based on the similar terms as for the purpose of computing swap ratio. The excess of consideration paid by the acquirer over the business value of the acquiree is only considered goodwill as it represents the expected synergies and other benefits arising from combining the businesses. The goodwill thus calculated has been tested for impairment on each previous reporting period. When performing the impairment test of Goodwill we rely mostly on the publicly traded shares value which has been consolidated after the merger and acquisition of two entities. The qualitative synergy effect of those merger and acquisition is considered in taking the judgement for calculating the fair value of those merged and acquired entities. Applying the certain judgements to arrive at the acceptable level of fair value for the merged and acquired entities we then compare the value with the carrying amount of those entities. Greater the fair value indicates the goodwill is not impaired. During those reporting period there were no indication of goodwill impairment.

Amount in Rs.

Particulars	Group					
	Goodwill	Software		Other	Total	Total Ashad 31 2078
		Purchased	Developed			
As on Shrawan 1, 2078	266,954,356	458,987,614			725,941,970	692,866,619
Additions		21,797,717			21,797,717	31,265,470
Transfer from Merger/Acquisition		-			-	1,846,041
Disposals		(208,936)			(208,936)	(36,160)
Balance on Ashad end 2079	**266,954,356**	**480,576,395**	**-**	**-**	**747,530,751**	**725,941,970**
Accumulated Amortization						
As on Shrawan 1, 2078		215,667,243	-	-	215,667,243	183,294,708
Transfer from Merger/Acquisition		-	-	-	-	816,496
Amortization for the year		33,615,898	-	-	33,615,898	31,560,860
Disposals		-			-	(4,821)
Balance on Ashad end 2079	**-**	**249,283,141**	**-**	**-**	**249,283,141**	**215,667,243**
Net book value:						
As on Ashad 31, 2077 Restated	**266,911,056**	**242,660,855**			**509,571,911**	**35,817,032**
As on Ashad 31, 2078 Restated	**266,954,356**	**243,320,371**	**-**	**-**	**510,274,727**	**509,571,911**
As on Ashad 32, 2079	**266,954,356**	**231,293,254**	**-**	**-**	**498,247,610**	**510,274,727**

Amount in Rs.

Particulars	Bank					
	Goodwill	Software		Other	Total	Total Ashad 31 2078
		Purchased	Developed			
		Rs			**Rs**	
As on Shrawan 1, 2078	266,911,056	447,568,347			714,479,403	684,198,587
Additions		21,914,626			21,914,626	30,280,816
Transfer from Merger/Acquisition					-	-
Disposals		(208,936)			(208,936)	
Balance on Ashad end 2079	**266,911,056**	**469,274,037**		**-**	**736,185,093**	**714,479,403**
Accumulated Amortization						
As on Shrawan 1, 2078		207,824,938			207,824,938	177,017,731
Transfer from Merger/Acquisition					-	-
Amortization for the year		32,577,478			32,577,478	30,807,206
Disposals					-	
Balance on Ashad end 2079	**-**	**240,402,415**	**-**	**-**	**240,402,415**	**207,824,938**
Net book value:						
As on Ashad 31, 2077 Restated	**266,911,056**	**240,269,800**			**507,180,856**	**28,288,609**
As on Ashad 31, 2078 Restated	**266,911,056**	**239,743,409**	**-**	**-**	**506,654,465**	**507,180,856**
As on Ashad 32, 2079	**266,911,056**	**228,871,622**	**-**	**-**	**495,782,678**	**506,654,465**

4.15 Deferred Tax

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax assets are recognized for all deductible temporary differences, carried forward unused tax losses (if any), to the extent it is probable that taxable profit will be available against which the deductible temporary differences, carried forward unused tax credit and unused tax losses can be utilized. Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates that have been enacted at the reporting date.

Amount in Rs.

	Group			Bank		
	Current Year			Current Year		
	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)
Deferred tax on temporary differences on following items						
Loan and Advance to B/FIs						-
Loans and advances to customers						-
Interest receivable on loans to customers	-	-	-			-
Investment properties	-	-	-			-
Investment securities	117,927,302	77,018,847	40,908,455		77,018,847	(77,018,847)
Property & equipment	29,194,411	213,181,777	(183,987,365)	28,015,677	193,511,877	(165,496,200)
Employees' defined benefit plan	401,043,126	-	401,043,126	393,740,667		393,740,667
Lease liabilities	49,473,685	-	49,473,685	28,397,863		28,397,863
Provisions	1,411,871	-	1,411,871			-
Other temporary differences	4,479,873	-	4,479,873	508,984		508,984
Deferred tax on temporary differences	**603,530,268**	**290,200,624**	**313,329,644**	**450,663,191**	**270,530,724**	**180,132,467**
Deferred tax on carry forward of unused tax losses						-
Deferred tax due to changes in tax rate						-
Net Deferred tax asset/(liabilities) as on Ashad 32, 2079			**313,329,644**			**180,132,467**
Deferred tax (asset)/liabilities as on Shrawan 1, 2078			75,360,825			85,873,988
Transferred From Merged Entities/Adjustments						
Origination/(Reversal) during the year			**(237,968,819)**			**(94,258,479)**
Deferred tax expense/(income) recognised in profit or loss			(238,095,272)			(98,172,554)
Deferred tax expense/(income) recognised in other comprehensive income			126,455			3,914,076
Deferred tax expense/(income) recognised in directly in equity						

Amount in Rs.

	Group			Bank		
	Previous Year			Previous Year		
	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)
Deferred tax on temporary differences on following items						
Loan and Advance to B/FIs	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-
Interest receivable on loans to customers	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-
Investment securities	-	110,907,176	(110,907,176)	-	109,463,245	(109,463,245)
Property & equipment	24,565,375	193,511,877	(168,946,502)	27,495,574	193,511,877	(166,016,303)
Employees' defined benefit plan	357,900,060	-	357,900,060	355,817,906	-	355,817,906
Lease liabilities	4,485,906	-	4,485,906	4,485,906	-	4,485,906
Provisions	4,652,834	-	4,652,834	-	-	-
Other temporary differences	-	19,766,219	(19,766,219)	1,049,724	-	1,049,724
Deferred tax on temporary differences	**391,604,175**	**324,185,273**	**67,418,902**	**388,849,110**	**302,975,122**	**85,873,988**
Deferred tax on carry forward of unused tax losses						-
Deferred tax due to changes in tax rate						-
Net Deferred tax asset/(liabilities) as on Ashad 31, 2078			**67,418,902**			**85,873,988**
Deferred tax asset/(liabilities) as on Shrawan 1, 2077			72,122,405			88,061,074
Transferred From Merged Entities			(6,513,440)			-
Origination/(Reversal) during the year			**(1,809,937)**			**2,187,086**
Deferred tax expense/(income) recognised in profit or loss			(50,187,427)			(41,615,019)
Deferred tax expense/(income) recognised in other comprehensive income			48,377,490			43,802,104
Deferred tax expense/(income) recognised in directly in equity						-

4.16 Other Assets

Other assets includes those assets which are not classified separately in the financial statements. Accrued income, prepayments, security deposits, account receivables and prepaid employee benefit balance are classified as other assets. Prepaid employee benefits are the benefits which arises as a result of lower interest rate on the staff loans. These benefits are amortized over the term of the staff loan availed by the employees.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Assets held for sale	-			-
Other non banking assets	-		-	-
Bills receivable	-		-	-
Account receivables	689,031,666	1,445,296,384	638,988,770	1,173,360,697
Accrued Income	-	-	-	-
Prepayments and deposit	264,052,160	226,803,912	261,028,221	223,383,686
Income tax deposit	74,986,501	29,655,988	74,986,501	29,655,988
Deferred employee expenditure	1,768,101,435	1,566,422,086	1,768,101,435	1,566,422,086
Other assets	643,878,323	556,967,615	640,606,897	542,930,266
	3,440,050,086	**3,825,145,985**	**3,383,711,824**	**3,535,752,722**

4.16.1: Deferred Employee expenditure

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
opening balance	1,566,422,086	1,336,179,440	1,566,422,086	1,336,179,440
adjustment for new loan granted	389,024,445	418,264,057	389,024,445	418,264,057
adjustment for settled loan	(88,496,732)	(96,298,902)	(88,496,732)	(96,298,902)
charge to personnel expenses	(98,848,363)	(91,722,509)	(98,848,363)	(91,722,509)
closing balance	**1,768,101,435**	**1,566,422,086**	**1,768,101,435**	**1,566,422,086**

4.17 Due to Bank and Financial Institutions

Interbank borrowings and deposits from banks and financial institution are classified as due to bank and financial institutions. These are subsequently measured at amortized cost using effective interest rate. All the transaction cost are considered in calculating effective interest rate. The bank has not incurred any additional cost in collecting the deposits or borrowings from the banks. Deposits from BFIs are in nature of term, current deposits from B, C and D class financial institutions.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Money market deposits	-	-	-	-
Inter bank borrowings	2,657,317,800	1,127,643,934	-	-
Deposits from BFIs	9,594,870,797	14,914,792,251	9,594,870,797	14,914,792,251
Settlement and clearing accounts	-	-	-	-
	12,252,188,597	**16,042,436,185**	**9,594,870,797**	**14,914,792,251**

4.18 Due to Nepal Rastra Bank

Group has classified any amount due to Nepal Rastra Bank as subsequently measured at amortized cost using effective interest rate. All the transaction cost, incurred if any, are considered in calculating effective interest rate. The group has not incurred any additional transaction cost in taking the refinance facility from the Nepal Rastra Bank.

The Bank has borrowed fund of Rs. 518,505,701 from the Nepal Rastra Bank under the program "Sustainable Economic Development in Rural Areas", a program of German Financial Cooperation implemented by KFW (Kreditanstalt für Wiederaufbau) German government owned development bank and Government of Nepal (represented by Ministry of Finance) in December 2017. These borrowing is used to provide access to financial services to Micro Small and Medium Enterprises (MSMEs).This borrowing is classified as financial liability and are measured at amortised cost. The borrowing carry the interest rate as defined in the agreement between Nepal Rastra Bank which has acted as On - lending Agent and Global IME Bank acting as Project - Executing Agency. The borrowing will mature in 15 years with a grace period of up to 3 years from the first date of disbursement and payable in consecutive semi-annual installments.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Refinance from NRB	7,982,622,739	10,823,233,053	7,982,622,739	10,396,233,053
Standing Liquidity Facility	6,000,000,000	-	6,000,000,000	-
Lender of last resort facility from NRB	-	-	-	-
Securities sold under repurchase agreements	-	-	-	-
Other payable to NRB	456,285,017	497,765,473	456,285,017	497,765,473
Total	**14,438,907,756**	**11,320,998,526**	**14,438,907,756**	**10,893,998,526**

4.19 Derivative financial instruments

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorised as trading unless they are designated as hedging instruments. The Group uses the derivatives presented below for risk management purposes.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Held for trading				
-interest rate swap	-	-	-	-
-currency swap	-	-	-	-
-forward exchange contract	-	-	-	-
-others	-	-	-	-
Held for risk management				
-Interest rate swap	-	-	-	-
-Currency swap	-	-	-	-
-forward exchange contract liabilities	1,271,009,520	5,440,370,187	1,271,009,520	5,440,370,187
-others	-	-		-
	1,271,009,520	**5,440,370,187**	**1,271,009,520**	**5,440,370,187**

4.20 Deposit from Customers

Deposit from customers are the deposits accepted by bank from the individuals, corporate entities and other organized institutions. These deposits are in the form of saving, time, call, margin and demand. Deposit from customers are recognized when the funds reaches to the banks. These are measured at amortized cost using the effective interest rate. Any transaction cost incurred if any are considered in determining the effective interest rate payable on deposit from customers. Bank launches the deposit collection programme, dormant account activation, new deposit products awareness on regular basis to the employees of the bank. Bank provides incentives and bonus for the motivation to carry out the programme effectively. These incentives and bonuses has not been included as transaction cost in calculating the effictive interest rate of the deposits as these cost are in immaterial nature and allocation of the cost to individual deposit is not feasible.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Institutional Customers				
-term deposits	67,634,017,309	77,399,486,681	67,634,017,309	77,399,486,681
-call deposits	11,342,626,301	14,838,647,143	11,668,547,354	15,296,277,810
-current deposits	15,950,260,282	13,610,652,660	15,950,260,282	13,610,652,660
-other deposits	3,423,878,058	2,260,654,121	3,423,878,058	2,260,654,121
Individual Customers				
-term deposits	87,409,712,517	57,083,039,567	87,409,712,517	57,083,039,567
-saving deposits	92,078,027,980	103,377,914,924	89,116,757,373	101,239,233,135
-current deposits	1,671,718,965	1,515,138,876	1,671,718,965	1,515,138,876
-other deposits	90,017,766	29,308,753	90,017,766	29,308,753
	279,600,259,178	**270,114,842,725**	**276,964,909,623**	**268,433,791,603**

4.20.1: Currency wise analysis of deposit from customers

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Nepalese rupee	276,470,181,574	266,876,644,779	273,834,832,020	265,195,593,657
Indian rupee	-	-	-	-
United State dollar	3,019,327,542	3,186,183,918	3,019,327,542	3,186,183,918
Great Britain pound	15,354,771	9,251,237	15,354,771	9,251,237
Euro	29,101,390	26,049,246	29,101,390	26,049,246
Japanese yen	25,912,464	4,408,360	25,912,464	4,408,360
Chinese yuan	-	-	-	-
Other- AUD	40,413,437	12,305,185	40,413,437	12,305,185
Total	**279,600,291,178**	**270,114,842,725**	**276,964,941,623**	**268,433,791,603**

4.21 Borrowing

Borrowings are financial liabilities accepted by bank with fixed or determinable payments. Subsequent to initial recognition, these financial instruments are measured at amortised cost using effective interest rate. The Bank had borrowed an amount of USD 20 Million from International Finance Corporation in October 2019 with maturity in October 2022. Additionally the Bank has borrowed USD 25 Million from Commonwealth Development Corporation UK in December 2021 with three year tenure from the date of borrowing. The borrowing has been shown in equivalent NPR with revaluation at each year end at the closing rate. The borrowing interest rate is based on the Relevant spread plus LIBOR which changes on semiannually basis.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Domestic Borrowing				
Nepal Government	-	-	-	-
Other Institutions	-	-	-	-
Other	-	-	-	-
Sub total	-	-	-	-
Foreign Borrowing				
Foreign Bank and Financial Institutions	5,747,233,648	2,371,769,589	5,747,233,648	2,371,769,589
Multilateral Development Banks	-	-	-	-
Other Institutions	-	-	-	-
Sub total	5,747,233,648	2,371,769,589	5,747,233,648	2,371,769,589
Total	**5,747,233,648**	**2,371,769,589**	**5,747,233,648**	**2,371,769,589**

4.22 Provisions

A provision is recognised when the bank has a present legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. There hasn't been any instances or rise of any obligation for which the bank is required to make the provisions for them. Any provisions that arises are reviewed at each reporting date and adjusted to reflect the current best estimate.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Provisions for redundancy	-	-	-	-
Provision for restructuring	-	-	-	-
Pending legal issues and tax litigation	-	-	-	-
Onerous contracts	-	-	-	-
Other	-	-	-	-
Total	**-**	**-**	**-**	**-**

4.22.1: Movement in provision

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Opening Balance	-	-	-	-
Provisions made during the year	-	-	-	-
Provisions used during the year	-	-	-	-
Provisions reversed during the year	-	-	-	-
Unwind of discount	-	-	-	-
Closing Balance	**-**	**-**	**-**	**-**

4.23 Other liabilities

Creditors and accruals

Creditors and accruals are financial liabilities which are initially measured at fair value, and subsequently measured at amortised cost. These includes any payables to the vendors by bank for service gained from them in the business operation.

Liability against employees

Bank makes the provisions for long term benefits in the form of gratuity and accrued leave which are payable at the time of retirement or termination. These long term benefits are provided on the basis of actuarial valuation. The bank also makes a yearly provision for staff bonus at 10% of profit before tax and bonus as a short term benefits for the service rendered to the bank.

Defined benefit obligation has been valued as per actuarial valuation. Actuarial valuation has been conducted only for the parent. Liabilities accrued for subsidiaries are not valued using actuarial valuation. All the disclosures in Note 4.23.1 to 4.23.6 are the disclosure pertaining to the bank financial statements.

Statutory liabilities

Bank is under obligation to deposit the tax deducted at source collected from the payment of interest on deposits, borrowings, and other vendors by the 25th of next month. These liabilities to inland revenue are presented separately from other liabilities.

Other liabilities

All other liabilities in the form of bills payable, interest payable on deposits and borrowings, excess interest payable on excess premium charged to the loan customers, unpaid dividend are measured at amortized cost. Lease liabilities as per NFRS 16, are included under other liabilities.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Liability for employees defined benefit obligations	885,683,331	833,057,429	863,676,045	819,908,541
Liability for long-service leave	464,541,842	464,275,721	448,792,847	451,637,785
Short-term employee benefits	487,805	449,226	130,181	154,969
Bills payable	12,714,369	52,909,332	12,714,369	52,870,417
Creditors and accruals	3,608,907,634	2,189,300,203	2,669,157,829	1,503,780,888
Interest payable on deposits	180,188,375	250,207,880	78,288,521	130,303,855
Interest payable on borrowing	335,064,697	245,489,002	327,425,617	241,875,742
Liabilities on defered grant income	-	-	-	-
Unpaid dividend	63,018,682	30,769,090	63,018,682	29,978,666
Liabilities under Finance Lease	-	-	-	-
Employee bonus payable	820,531,118	724,074,911	780,731,661	663,119,783
Other statutory liabilities	308,909,589	235,297,670	308,326,448	234,723,929
Excess Interest Payable	450,000,000	-	450,000,000	-
Other liabilities	2,175,014,265	255,975,823	2,081,857,152	182,557,642
Total	**9,305,061,704**	**5,281,806,290**	**8,084,119,351**	**4,310,912,217**

4.23.1: Defined benefit obligations

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Present value of unfunded obligations	1,339,077,871	1,271,546,326	1,312,468,892	1,271,546,326
Present value of funded obligations			-	-
Total present value of obligations	**1,339,077,871**	**1,271,546,326**	**1,312,468,892**	**1,271,546,326**
Fair value of plan assets			-	
Present value of net obligations	1,339,077,871	1,271,546,326	1,312,468,892	1,271,546,326
Recognised liability for defined benefit obligations	**1,339,077,871**	**1,271,546,326**	**1,312,468,892**	**1,271,546,326**

4.23.2: Plan assets

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Equity securities			-	-
Government bonds			-	-
Bank deposit			-	-
Other			-	-
Total			-	-
Actual Return on Plan Assets			-	-

4.23.3: Movement in the present value of defined benefit obligations

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Defined benefit obligations at Shrawan 1	1,292,681,993	884,809,252	1,271,546,326	884,809,252
Actuarial losses/(gains)	(201,853,237)	211,672,094	(199,785,402)	211,672,094
Benefits paid by the plan	(85,782,902)	(111,533,156)	(85,782,902)	(111,533,156)
Acquisition/Business Combination/Divestiture				-
Current service costs and interest	334,032,017	286,598,136	326,490,870	286,598,136
Defined benefit obligations at Ashad end	**1,339,077,871**	**1,271,546,326**	**1,312,468,892**	**1,271,546,326**

4.23.4: Movement in the fair value of plan assets

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Fair value of plan assets at Shrawan 1			-	-
Contributions paid into the plan			-	-
Actuarial losses			-	-
Benefits paid by the plan			-	-
Expected return on plan assets			-	-
Fair value of plan assets at Ashad end			**-**	**-**

4.23.5: Amount recognised in profit or loss

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Current service costs	144,039,888	234,526,281	139,801,920	234,526,281
Interest on obligation	110,243,494	73,375,432	108,098,460	73,375,432
Expected return on plan assets	-	-	-	-
Total	**254,283,382**	**307,901,713**	**247,900,380**	**307,901,713**

4.23.6: Amount recognised in other comprehensive income

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Acturial (gain)/loss for the period	(122,104,602)	190,368,517	(121,194,912)	190,368,517
Total	**(122,104,602)**	**190,368,517**	**(121,194,912)**	**190,368,517**

4.23.7: Actuarial assumptions

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Discount rate			11%	9.0%
Expected return on plan asset			0%	0%
Future salary increase			As per Level	As per Level
Withdrawal rate			11%	11%

4.23.8: Maturity Analysis of Lease liabilities

The Bank has recognized a right of use of asset and lease liability as per NFRS 16 Leases. The right to use of assets and lease liability is the present value of the total lease payments up to the contract date from the start of contract inclusive of any increments on the payment of the rent. The right to use of assets is depreciated over the lease term on straight line basis. The lease liability is amortised over the lease term. The recognition impact and the maturity analysis of lease liability is shown as below.

Amount in Rs.

	Right to Use of Assets	Leased Liabilities
Initial recognition on 1st Shrawan 2078	2,152,502,762	2,152,502,762
Less: Depreciation	(298,801,041)	
Add: Interest Cost		132,096,180
Less: Rent Paid for the Year		(336,237,677)
Balance 32nd Ashad 2079	**1,853,701,721**	**1,948,361,264**

	Current Year	Previous Year
Less Than 1 Year	7,690,620	-
1- 5 Year	1,195,964,327	-
More than 5 Year	744,706,317	-
	1,948,361,264	**-**

4.24 Debt securities issued

The bank had issued 1,500,000 debentures of Rs 1,000 each which carries an interest rate of 10.25 % per annum payable semi-annually and 5 years maturity from the date of issue. The date of issue of this debenture was Chaitra 2076. Similarly the bank has issued 3,000,000 debentures of Rs 1,000 each which carries an interest rate of 8.50 % per annum payable semi-annually and 10 years maturity from the date of issue on Chaitra 2077. Debenture is measured at amortized cost using the effective interest rate. All the transaction cost incurred upto the time of allotment formed part of effective interest rate. As per the NRB directive No. 16 licensed institutions which have issued the debentures shall compulsorily create the debenture redemption reserve proportionately for the maturity term. Nepal Rastra Bank has exempted from creating the debenture redemption reserve on the year of issue of debenture and year of redemption. During the financial year Rs. 708,333,333 has been transferred to debenture redemption reserve for both the debentures. The total Debenture Redemption reserve as at 32nd Ashad 2079 is Rs. 1,387,609,649.00.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Debt securities issued designated as at fair value through profit or loss	-	-	-	-
Debt securities issued at amortised cost	4,492,869,348	4,491,996,856	4,492,869,348	4,491,996,856
	4,492,869,348	**4,491,996,856**	**4,492,869,348**	**4,491,996,856**

4.25 Subordinated Liabilities

These are the liabilities which are in lower ranks to the borrowers and other debts in terms of obligations. These are the unsecured liabilities which are repaid only after the depositors in case of liquidation. The bank has not issued any subordinated liabilities till the date of reporting from its inception.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Redeemable preference shares	-	-	-	-
Irredemable cumulative preference shares (liabilities component)	-	-	-	-
Other	-	-	-	-
	-	-	-	-

4.26 Share capital

Ordinary share capital represents the par value of ordinary shares issued. Share issuance cost which were incurred for raising the capital has not been shown as deduction from share capital but are charged to statement of profit or loss. Share premium represents the excess consideration received by the bank over the par value of ordinary shares issued, and is classified as equity.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Ordinary shares	23,795,753,339	21,632,503,035	23,795,753,339	21,632,503,035
Convertible preference shares (equity component only)	-	-	-	-
Irredeemable preference shares (equity component only)	-	-	-	-
Perpetual debt (equity component only)	-	-	-	-
Total	**23,795,753,339**	**21,632,503,035**	**23,795,753,339**	**21,632,503,035**

4.26.1: Ordinary shares

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Authorized Capital				
250,000,000 Ordinary share of Rs. 100 each	25,000,000,000	25,000,000,000	25,000,000,000	25,000,000,000
Issued capital				
237,957,533 Ordinary share of Rs. 100 each	23,795,753,339	21,632,503,035	23,795,753,339	21,632,503,035
Subscribed and paid up capital				
237,957,533 Ordinary share of Rs. 100 each	23,795,753,339	21,632,503,035	23,795,753,339	18,975,879,857
Total	**23,795,753,339**	**21,632,503,035**	**23,795,753,339**	**18,975,879,857**

4.26.2: Ordinary share ownership

	Current Year		Previous Year	
	Percent	Amount	Percent	Amount
Domestic ownership	**100%**		**100%**	
Nepal Government	0.11%	27,356,777	0.11%	24,869,797
"A" class licensed institutions	0.00%		0.00%	
Other licensed institutions	0.00%		0.00%	
Other Institutions	11.01%	2,620,517,254	11.01%	2,382,288,413
Public	48.65%	11,576,728,769	48.65%	10,524,298,881
Other	40.22%	9,571,150,540	40.22%	8,701,045,945
Foreign ownership				
Total	**100%**	**23,795,753,339**	**100%**	**21,632,503,036**

4.26.3: Share ownership 0.5% and above

Name of shareholder	Current Year		Previous Year	
	No.of Shares	Percent	No.of Shares	Percent
IME Holdings Pvt Ltd	9,649,356	4.06%	8,772,143	4.06%
IME Investment Pvt Ltd	8,705,253	3.66%	7,913,867	3.66%
Sumit Kumar Agarwal	4,858,044	2.04%	4,416,404	2.04%
Bishnu Prasad Neupane	4,851,039	2.04%	4,165,532	1.93%
Continental Investment	4,002,244	1.68%	3,638,403	1.68%
Uttam Kumar Nepal	3,293,059	1.38%	2,993,690	1.38%
Nimisha Investment Pvt Ltd	2,578,411	1.08%	2,344,010	1.08%
Homeland Developers	2,526,040	1.06%	2,843,008	1.31%
Hem Raj Dhakal	2,332,353	0.98%	2,120,321	0.98%
Cabinet Shrestha	2,206,641	0.93%	2,006,038	0.93%
Sandeep Agarwal	1,992,154	0.84%	1,811,048	0.84%
Kamadhenu Investment	1,887,639	0.79%	1,823,487	0.84%
Suraj Kumar Shrestha	1,678,600	0.71%	1,580,697	0.73%
Binod Kumar Bhimsaria	1,588,497	0.67%	1,440,491	0.67%
Durga Prasad Neupane	1,263,343	0.53%	1,148,494	0.53%
Rastriya Beema Sansthan	1,189,018	0.50%	1,080,926	0.50%

4.27 Reserves Statutory Reserves

Statutory reserves represents the mandatory reserves maintained by the bank as per Nepal Rastra Bank directives. This includes general reserve,exchange equalization reserve, capital redemption reserve, investment reserve, interest capitalized reserves, corporate social responsibility reserve, training and development reserve and other reserve notified by Nepal Rastra Bank. These reserves are not available for distribution of dividends.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Statutory general reserve	6,376,947,207	5,328,505,718	6,250,610,171	5,240,888,345
Exchange equilisation reserve	203,845,520	190,223,700	203,845,520	190,223,700
Corporate social responsibility reserve	69,866,160	50,309,622	65,694,761	45,488,637
Capital redemption reserve	1,387,609,649	679,276,316	1,387,609,649	679,276,316
Training Reserve	49,522,336	9,798,829	49,522,336	9,798,829
Interest capitalized reserve	-	-	-	-
Investment adjustment reserve	403,260,000	403,260,000	403,260,000	403,260,000
Capital reserve	-	6,439,432	-	-
Other reserve	298,567,070	282,550,665	266,911,056	266,911,056
Assets revaluation reserve	451,527,713	451,527,713	451,527,713	451,527,713
Dividend equalisation reserve	-	-	-	-
Deferred Tax Reserve	-	-	-	-
Fair value reserve	179,710,644	261,205,206	179,710,644	255,414,240
Regulatory reserve	1,629,624,013	1,265,141,227	1,502,642,200	1,221,538,366
Actuarial gain/(loss)	(56,487,464)	(141,689,926)	(56,853,487)	(141,689,926)
Total	**10,993,992,848**	**8,786,548,501**	**10,704,480,563**	**8,622,637,276**

a. Statutory General Reserve

According to Banks and Financial Institutions Act, 2073 amount equal to 20% of net profit from each year is transferred to the general reserve fund. No dividend (cash or bonus share) shall be distributed from the amount in general/statutory reserve fund without prior approval of Nepal Rastra Bank.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	5,240,888,345	4,407,857,977
Transfer during the period	1,009,721,826	833,030,368
Withdrawal during the period		-
Balance as on Ashad end	**6,250,610,171**	**5,240,888,345**

b. Exchange Equalization Reserve

Financial Institutions which has earned foreign exchange revaluation gain on foreign currency other than Indian Currency has to allocate 25% of such revaluation gain to his reserve as per Banks and Financial Institutions Act, 2073.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	190,223,700	163,922,276
Transfer during the period	13,621,820	26,301,424
Withdrawal during the period		
Balance as on Ashad end	**203,845,520**	**190,223,700**

c. Corporate Social Responsibility

As per NRB directive financial institutions are required to allocate 1% of its Net profit on Corporate Social Responsibility Fund which will be expensed in the next financial year. Bank has used the fund in economic transformtion mainly in the field of education, financial awareness, community conservation and community health, directly or by support to various event organizers.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	45,488,637	37,322,668
Transfer to COVID Fund NRB	-	(3,383,751)
Less: CSR Expenses during the period	(29,386,124)	(30,101,798)
Add: Transfer to reserve (1% of Net Profit)	49,592,247	41,651,518
Balance as on Ashad end	**65,694,761**	**45,488,637**

d. Debenture Redemption Reserve

As per the NRB directive No. 16 financial institutions which have issued the debentures shall compulsorily create the debenture redemption reserve proportionately for the maturity term. Nepal Rastra Bank has exempted from creating the debenture redemption reserve on the year of issue and redemption of debenture.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	679,276,316	379,111,842
Transfer during the period	708,333,333	300,164,474
Withdrawal during the period		-
Balance as on Ashad end	**1,387,609,649**	**679,276,316**

e. Training Reserve

As per NRB directive financial institutions are required to incur minimum 3% of its total employee's salary and allowances expenses of previous year on training and development of their employees. This reserve is created for the training and development of the Bank's employees as per said directives.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	9,798,829	9,798,829
Less: Training Expenses during the period	(19,102,255)	-
Add: Transfer to reserve	58,825,762	-
Balance as on Ashad end	**49,522,336**	**9,798,829**

f. Investment Adjustment Reserve

Investment adjustment reserve are created as a cushion for adverse price movements in the bank's investments as per the directive issued by Nepal Rastra Bank. These reserve are created against those investments whose public shares have not been listed in Nepal Stock Exchange for period of three years from the date of investment except for those exempted by Nepal Rastra Bank.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	403,260,000	421,680,000
Transfer during the period		2,500,000
Withdrawal during the period		(20,920,000)
Balance as on Ashad end	**403,260,000**	**403,260,000**

g. Fair Value Reserve

The fair value reserve comprises the cumulative net change in the fair value of financial assets that are measured at fair value and the changes in fair value is recognized in other comprehensive income, until the assets are derecognized. As per the clarification from Accounting Standard Board Nepal dated 4th Kartik 2077, for sale of investments measured at FVTOCI, fair value gain on investments recognized up to previous year of sale will be recognized in Other Comprehensive income and additional realization after recognizing in Other Comprehensive Income will be recognized in profit and loss. The bank has withdrawn the amount of fair value recognized in previous year for those sold shares, from fair value reserve to retained earnings accordingly.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	255,414,239	19,951,368
Transfer during the period	13,680,793	237,028,048
Withdrawal during the period	(89,384,388)	(1,565,176)
Balance as on Ashad end	**179,710,644**	**255,414,239**

h. Regulatory Reserve

Regulatory reserve represents the reserves created as a result of first time adoption of NFRS in Nepal. These reserve are the amounts allocated from profit or retained earnings of the Bank as per the Directive of Nepal Rastra Bank for the purpose of implementation of NFRS. These include interest income recognized but not received in cash, fair value of investment property, amount equal to deferred tax asset in financial statement, amount equal to actuarial loss recognized till date or reporting. Interest realised in cash upto 15th Shrawan 2079 from the overdue interest as on 32nd Ashad 2079 has been considered in allocation of regulatory reserve. These reserves too are not available for distribution of dividend to shareholders. The Bank has created asset revaluation reserve for the fair value of property during business combination with then Janata Bank Nepal Ltd during FY 2076-77, where retrospective accounting treatment has been provided. The Bank has provided the deferred tax liability for the revaluation reserve so created. Accordingly the bank has restated the amount of regulatory reserve to be created against Deferred Tax Assets retrospectively.

Amount in Rs.

	Deferred Tax Reserve	Investment Property	Fair Value of Investment	Accrued Interest	Actuarial (Gain) / (Loss)	Total Regulatory Reserve
Balance as on 31st Ashad 2077	**281,572,951**	**211,241,555**	**-**	**753,587,866**	**8,431,964**	**1,254,834,335**
Less: Transfer for deferred tax liability	(193,511,877)					**(193,511,877)**
Restated Balance as on Shrawan 1 2077	**88,061,074**	**211,241,555**	**-**	**753,587,866**	**8,431,964**	**1,061,322,458**
Transfer during the period		12,187,281	-	16,957,752	133,257,962	**162,402,994**
(Withdrawal) during the period	(2,187,086)					**(2,187,086)**
Balance as on 31st Ashad 2078	**85,873,988**	**223,428,835**	**-**	**770,545,617**	**141,689,926**	**1,221,538,366**
Transfer during the period	94,258,479	129,023,578	-	142,658,215	-	**365,940,272**
(Withdrawal) during the period	-	-	-	-	(84,836,438)	**(84,836,438)**
Balance as on 32nd Ashad 2079	**180,132,467**	**352,452,413**	**-**	**913,203,832**	**56,853,487**	**1,502,642,200**

i. Actuarial Gain/Loss

Actuarial gains and losses comprise the difference between the payments actually made by an employer and the expected amount for the defined benefit obligation. A gain occurs if the amount paid is less than expected. A loss occurs if the amount paid is higher than expected. Actuarial gain or loss can also arise from either change in assumption or experience adjustments / variance. The change in assumption can be financial as well as demographic. Nepal Rastra Bank has mandated to keep the additional reserve for the loss arising on actuarial loss.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	(141,689,926)	(8,431,964)
Transfer during the period	-	(133,257,962)
Withdrawal during the period	84,836,438	
Balance as on Ashad end	**(56,853,487)**	**(141,689,926)**

j. Other Reserve

Goodwill on business combination is recognized on the acquisition date at the excess of (a) over (b) below as per the explanatory notes issued by ICAN:

(a) The aggregate of:

(i) The consideration transferred measured in accordance with the NFRS 3, which generally requires acquisition-date fair value

(ii) The amount of any non-controlling interest in the acquiree measured in accordance with the NFRS 3; and

(iii) In a business combination achieved in stages, the acquisition-date fair value of the acquirer's previously held equity interest in the acquiree. (b) The net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed measured in accordance with the NFRS 3.

Goodwill in a business combination effected through exchange of equity interest of the acquirer is measured by considering the business valuation of acquiree computed based on the similar terms as for the purpose of computing swap ratio. Agreed price between the acquirer and acquiree (inlcuding merger) duly approved by the general meeting of both the entities have been considered for the purpose of calculating purchase consideration, being the fair value (includes adjusted) as per due diligence audit. The excess of consideration paid by the acquirer over the business value of the acquiree is only considered as goodwill because it represents the expected synergies and other benefits arising from combining the businesses. Resulting difference at the date of acquisition after recognition of face value of equity instruments issued shall be recognized as other components of equity. Accordingly the following amount is credited to other components of equity and shown as other reserve. These reserves too are not available for distribution of dividend to shareholders.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	266,911,056	266,911,056
Transfer during the period	-	-
Withdrawal during the period	-	
Balance as on Ashad end	**266,911,056**	**266,911,056**

Calculation of Other Components of Equity in relation to recognition of Goodwill.

	Hathway Finance Company Ltd*	Janata Bank Nepal Ltd	Total
Value of Price Used for Purchase consideration	164	237	
Goodwill Calculation			
Consideration transferred by Acquirer	206,325,000	17,066,616,427	17,272,941,427
Less: Business Value taken over	205,500,000	16,800,530,371	17,006,030,371
Goodwill	825,000	266,086,056	266,911,056
Other Components of Equity	**825,000**	**266,086,056**	**266,911,056**

* Consideration transferred includes bonus shares issued subsequently to the acquisition date

k. Asset Revaluation Reserve

NFRS 3 Business Combination requires the acquirer to measure the identifiable assets acquired and the liabilities assumed at their acquisition date fair values." Accordingly all the the identifiable assets and liabilities are measured at their individual fair values as on acquisition date. Those assets and liabilities acquired are brought in the books of the acquirer at same values as at the acquisition date. The change in fair value over the book value is transferred to asset revaluation reserve, which were valued by independent valuators as on acquisition date.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	451,527,713	451,527,713
Transfer during the period	-	-
Withdrawal during the period	-	
Balance as on Ashad end	**451,527,713**	**451,527,713**

Retained earnings

Retained earnings represents the cumulative net earnings or profit after accounting for dividends paid to shareholders and mandatory reserves required as per directives issued by Nepal Rastra Bank before distributing dividend.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-opening balance	4,235,392,671	2,209,750,484	3,183,715,393	1,867,121,850
-add: profit for the year	5,067,692,484	4,785,499,612	4,959,224,743	4,165,151,840
-add: transfer from merger	-	15,025,670	-	-
-less: transfer to regulatory reserves	(299,567,647)	(160,215,908)	(281,103,834)	(160,215,908)
-less: transfer from regulatory reserves	-	5,556,904	-	-
-add: transfer from statutory reserves	91,204,806	67,321,421	89,384,388	67,321,421
-less: transfer to statutory reserves	(1,917,098,935)	(1,232,344,677)	(1,791,606,610)	(1,171,045,986)
-less: cash dividend for FY 2076-2077	-	(389,998,847)		(379,517,597)
-less: scrip dividend for FY 2076-2077	-	(1,248,321,052)		(1,205,100,227)
-less: cash dividend for FY 2077-2078	(805,512,606)		(757,137,606)	
-less: scrip dividend for FY 2077-2078	(2,345,606,504)		(2,163,250,304)	
-closing balance	**4,026,504,269**	**4,052,273,607**	**3,239,226,171**	**3,183,715,393**

4.28 Contingent liabilities and commitments

Even though these obligations may not be recognized on the statement of financial position, they do contain credit risk and are therefore part of the overall risk of the Bank. Letters of credit and guarantees (including standby letters of credit) commit the Bank to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Guarantees and standby letters of credit carry a similar credit risk to loans.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Contingent Liabilities	59,783,199,356	43,592,503,746	59,783,199,356	43,592,503,746
Undrawn and undisbursed facilities	22,377,359,901	22,430,842,566	22,377,359,901	22,430,842,566
Capital commitments	-	-	**-**	**-**
Lease commitments	-	-	-	-
Litigations	440,320,671	139,675,936	440,320,671	139,675,936
	82,600,879,928	**66,163,022,248**	**82,600,879,928**	**66,163,022,248**

4.28.1: Contingent liabilities

Contingent liabilities are possible obligations that arise out of past events and whose existence will be confirmed only by the occurrence of or non-occurrence of one or more uncertain future events not wholly within the control of the Bank. These can also be present obligations that arise from past events but they are not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or the amount of the obligation cannot be measured with sufficient reliability. Contingent liabilities are measured with the provisions of as defined in Nepal Accounting Standard- NAS 37 - Provisions, Contingent Liabilities and Contingent Assets.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
1. Acceptances & Endorsements	12,184,451,596	3,894,297,969	12,184,451,596	3,894,297,969
2. Documentary Credit	11,309,569,642	8,799,671,103	11,309,569,642	8,799,671,103
3. Bills for collection	-	-	-	-
4. Forward exchange contracts	-	-	-	-
5. Guarantees/Bonds	36,289,178,118	30,898,534,674	36,289,178,118	30,898,534,674
6. Underwriting commitment	-	-	-	-
7. Other Commitments	-	-	-	-
Total	**59,783,199,356**	**43,592,503,746**	**59,783,199,356**	**43,592,503,746**

4.28.2: Undrawn and undisbursed facilities

To meet the financial needs of customers, the Bank enters into irrevocable commitments like financial guarantees, letters of credit and other credit commitments.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
1. Undisbursed amount of loans	2,233,319,251	3,708,846,298	2,233,319,251	3,708,846,298
2. Undrawn limits of overdrafts	11,749,871,120	11,924,226,672	11,749,871,120	11,924,226,672
3. Undrawn limits of credit cards	1,137,776,510	977,615,550	1,137,776,510	977,615,550
4. Undrawn limits of letter of credit	7,255,893,019	5,819,614,047	7,255,893,019	5,819,614,047
5. Undrawn limits of guarantee	500,000	540,000	500,000	540,000
Total	**22,377,359,901**	**22,430,842,566**	**22,377,359,901**	**22,430,842,566**

4.28.3: Capital commitments

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Capital commitments in relation to Property and Equipment				
Approved and contracted for			-	-
Approved but not contracted for			-	-
Capital commitments in relation to Intangible assets				
Approved and contracted for			-	-
Approved but not contracted for			-	-
Total			**-**	**-**

4.28.4: Lease commitments

Lease commitments entered by bank for the leasing of spaces for expanding branch operations but provision not made in financial statements.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Operating lease commitments				
Future minimum lease payments under non cancellable finance lease, where the bank is lessee				
Not later than 1 year				
Later than 1 year but not later than 5 years				
Later than 5 years				
Finance lease commitments				
Future minimum lease payments under non cancellable finance lease, where the bank is lessee				
Not later than 1 year				
Later than 1 year but not later than 5 years				
Later than 5 years				
Total	**-**	**-**	**-**	**-**

4.28.5: Litigation

a. Income Tax

Tax assessment cases which are pending for decision under Supreme Court, Revenue Tribunal and Inland Revenue Department are provided below. Except for the below cases there are no other litigation cases, which will give rise to material outflow of bank's resources and affect the going concern of the bank. The amount presented as below includes the probable fines and interest calculated till the date of assessment.

Amount in Rs.

Cases at	Current Year	Previous Year
Supreme Court	133,236,582	55,942,704
Revenue Tribunal	128,781,723	66,069,039
Inland Revenue Department	178,302,366	17,664,193
Total	**440,320,671**	**139,675,936**

4.29 Interest income

Interest income is recorded using the effective interest rate (EIR) method. Interest incomes include interest income on loans and receivables to financial institutions and customers, on cash balances and on bonds and other interest bearing securities in all financial assets. Using the Carve Out issued by Institute of Chartered Accountants of Nepal, the origination fees on loans to customers or financial institution has not been considered in calculating the EIR. The Bank has not recognized the interest income that has been accrued on the bad loans due to the uncertainty of the cash flows. Further the Bank does not recognize accrued interest on Substandard and Doubtful classified loans, unless such interest along with principal are covered by the collateral valuation as defined by Nepal Rastra Bank Directives.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-from cash and cash equivalents	236,204,264	149,313,217	220,422,323	130,562,847
-from due from Nepal Rastra Bank	-	-	-	-
-from placements with bank and financial institutions	7,816,933	-	-	-
-from loans and advances to banks and financial institutions	892,530,272	684,550,364	1,069,126,239	749,508,690
-from loans and advances to customers	26,596,604,998	19,857,007,376	25,451,894,843	19,178,546,355
-from investment securities	2,198,527,556	1,536,157,548	2,198,527,556	1,536,157,548
-from loans and advances to staff	117,252,035	98,426,220	117,252,035	98,119,212
-from others agency balance	1,144,017	688,132	1,144,017	688,132
	30,050,080,076	**22,326,142,857**	**29,058,367,013**	**21,693,582,784**

4.30 Interest expense

Interest expense is recorded using the effective interest rate (EIR) method to the extent material and practicable . Interest expenses include interest on deposits from customers, deposits from banks, debt securities issued, and other interest bearing financial liabilities. Expenses for promotion and incentives provided to bring the deposits are not included in the calculation of effective interest rate because of the immaterial nature and allocation of the cost to individual deposit is not feasible.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-on dues to bank and financial institutions	512,158,999	267,684,524	512,158,999	193,318,889
-on dues to Nepal Rastra Bank	187,670,723	21,466,423	187,670,723	19,353,190
-on deposit from customers	17,730,129,751	12,225,938,665	17,575,201,938	12,112,671,395
-on borrowings	298,208,518	-	82,645,496	-
-on debt securites issued	411,134,242	229,111,767	411,134,242	229,111,767
-on subordinated liabilities	-	-	-	-
	19,139,302,233	**12,744,201,379**	**18,768,811,399**	**12,554,455,241**

4.31 Fees and Commission Income

Fees and commission income earned from services that are provided over a certain period of time which includes fees and commission collected from issuance of letter of credit, guarantees, and card related fees are recognized on time proportion basis. The Bank has availed the option provided as per the Carve-out on NFRS for transactions cost to be included in computing the EIR. Loan administration fees, service fees swap fees are collected at the time of issuing new loans or renewal of underlying credit facilities. These fees collected by the bank for managing the loans and are collected at the range of 0% to 1 % of the loan size. The management estimates that these fees collected are not an alternative for reduction of interest rate charged to the customers and does not form part of calculating the effective interest rate. Other fees include commission income from remittance, custody and advisory fees as well as fees from insurance brokerage, foreign exchange transactions.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-from loan administration fees	348,010,279	444,109,297	348,010,279	444,109,297
-from service fees	358,449,916	238,288,683	124,276,645	120,955,990
-from consortium fees	-	-	-	-
-from commitment fees	11,428,645	7,995,437	11,428,645	7,995,437
-from D.D/ T.T/swift fees	41,827,945	36,673,916	41,827,945	36,673,916
-from credit card/ATM issuance and renewal fees	592,560,684	493,423,124	592,560,684	493,423,124
-from prepayment and swap fees	13,205,362	20,247,567	13,205,362	20,247,567
-from investment banking fees	-	-	-	-
-asset management fees	24,107,677	-	-	-
-from brokerage fees	-	-	-	-
-from remittance fees	236,656,324	210,048,794	236,656,324	209,709,549
-from commission on letter of credit	293,226,957	165,680,946	293,226,957	165,680,946
-from commission on guarantee contract issued	344,526,116	257,664,591	344,526,116	257,664,591
-from commission on share underwriting/issue	141,899,078	-	-	-
-from locker rental	12,097,550	10,057,100	12,097,550	10,057,100
-from other fees and commission income	210,281,463	248,420,386	200,011,348	147,768,943
Total fees and commission income	**2,628,277,994**	**2,132,609,842**	**2,217,827,855**	**1,914,286,460**

4.32 Fees and commission expense

Fee and commission expense relate mainly to transactions and services fees which are expensed as the services are received. Fee and commission expense are recognized on an accrual basis.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-on ATM management fees	-	-	-	-
-on VISA/Master card fees	224,913,891	140,820,982	224,913,891	140,820,982
-on guarantees	-	-	-	-
-on brokerage	-	-	-	-
-on D.D/ T.T/swift fees	14,949,511	12,929,396	14,949,511	12,929,396
-on remittance commission	149,074,085	119,927,107	149,074,085	119,927,107
-other commission expenses	260,222,474	101,331,026	146,579,021	106,572,420
Total fees and commission expense	**649,159,961**	**375,008,511**	**535,516,508**	**380,249,905**

4.33 Net trading income

Net trading income includes all gains and (losses) from changes in fair value, related capital gains/ losses, foreign exchange trading gains/ (losses), interest income from trading assets and dividend from financial assets measured at fair value through profit or loss.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-from changes in fair value of trading assets	(359,888,262)	48,100,326	-	-
-from gain/loss on disposal of trading assets	22,305,561	456,091,208	-	-
-from interest income on trading assets	-	-	-	-
-from dividend income on trading assets	-	-	-	-
-from gain/loss foreign exchange transation	594,205,883	666,455,087	594,205,883	666,455,087
-from other trading income	-	-	-	-
Total net trading income	**256,623,182**	**1,170,646,621**	**594,205,883**	**666,455,087**

4.34 Other operating income

Gain/ (loss) from sale of investment securities, dividend on investment securities, gain/ (loss) on sale of investment securities and properties, gain/ (loss) from trading of gold and silver and subsidies received from the government or other financial institutions are recognized in other operating income. Subsidy received for the purchase of equipment are deducted from the cost of related equipment. Profit / (loss) on sale of property and equipment are recorded when the control over those are transferred to the buyer and fair consideration has been received.

Profit / (loss) on sale of repossessed collateral classified as investment property are recorded when control over those collateral are transferred and a fair consideration has been received from the buyer. Dividend income from assets is recognized when the bank's right to receive the payment is established.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-from foreign exchange revaluation gain	54,487,278	105,205,695	54,487,278	105,205,695
-from gain/loss on sale of investment securities	92,607,063	221,083,532	92,607,063	221,083,532
-from fair value gain/loss on investment properties	-	-	-	-
-from dividend on equity instruments	66,290,978	19,837,792	47,734,533	14,199,713
-from gain/loss on sale of property and equipment	(61,236)	180,992,930	(412,742)	182,581,388
-from gain/loss on sale of investment property	9,538,843	11,197,381	9,538,843	11,197,381
-from operating lease income	-	-	-	-
-from gain/loss on sale of gold and silver	10,772,585	7,142,056	10,772,585	7,142,056
-from others	258,240,238	98,082,228	258,120,238	69,867,203
Total other operating income	**491,875,750**	**643,541,615**	**472,847,798**	**611,276,969**

4.35 Impairment charge/(reversal) for loan and other losses

Net impairment charge or reversal on loans are the movement in collective impairment allowance and specific impairment allowance from the previous year on the basis of individual assessment of loans and historical loss experience on loans. The Bank has applied the carve out as issued by Institute of Chartered Accountants of Nepal applying the "Incurred Loss Model to measure the Impairment Loss on Loan and advances" which gives the direction to charge the impairment amount higher of incurred loss model calculation and as per NRB directives. Net impairment losses relate to allowance recognized both at individual and portfolio (collective) level.

Impairment charge/ (reversal) for loans and other losses comprise of impairment losses and reversal of impairment on, investments, cash and bank balance measured at amortized cost and the account receivable balance identified for impairment.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-on loans and advances to B/FIs	5,671,349	48,708,815	5,671,349	58,549,693
-on loans and advances to customer	507,994,617	1,107,897,751	460,759,739	1,067,087,014
-on investment securities	-	-	-	-
-on cash and cash equivalents	-	(378,274)	-	(378,274)
-on placement with banks and financial institutions	-	-	-	-
-on property and equipment	-	-	-	-
-on goodwill and intangible assets	-	-	-	-
-on investment properties	-	-	-	-
-on account receivables	-	-	-	-
Total impairment charge/(reversal)	**513,665,966**	**1,156,228,292**	**466,431,088**	**1,125,258,433**

4.36 Personnel Expense

The cost of all short-term employee benefits is recognized as an expense during the period in which the employee renders the related service. Accruals for employee entitlements to salaries, bonus and annual leave represent the amount which the bank has a present obligation to pay as a result of employees' services provided up to the reporting date.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-salaries	1,090,223,744	1,024,392,235	957,539,998	936,293,725
-allowances	1,159,303,678	1,082,707,689	1,064,824,078	1,024,565,015
-gratuity	203,412,836	166,411,535	194,471,960	161,966,769
-provident fund	107,301,682	100,261,653	95,535,523	92,629,108
-uniform	-	-	-	-
-training and development expenses	23,526,544	32,132,208	19,102,255	30,306,344
-leave encashment	58,362,791	150,474,353	53,428,420	145,997,307
-medical insurance	6,897,001	6,746,092	6,897,001	6,746,092
-life insurance	12,474,416	12,416,535	11,139,647	11,469,191
-employee incentives	-	21,491,587	-	-
-cash settled share-based payments	-	-	-	-
-pension expenses	-	-	-	-
-finance expense under NFRS	105,465,270	91,722,509	105,465,270	91,722,509
-other staff expenses	17,096,620	-	1,590,000	-
	2,784,064,583	**2,688,756,394**	**2,509,994,152**	**2,501,696,058**
-employees bonus	820,153,861	747,765,009	780,731,661	663,119,783
Total personnel expenses	**3,604,218,445**	**3,436,521,404**	**3,290,725,813**	**3,164,815,841**

4.37 Other operating expense

Bank operates in a competitive environment for making the banking service easily available and accessible to the public. The bank incurs various expenses in form of lease rent, travelling, security, fuels and electricity, communication and advertisements and directly related expenses. These expenses are incurred and accounted on an accrual basis and are charged to income statement unless those expenses form the capital nature.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-directors' fees	3,211,000	5,730,300	2,488,000	3,883,000
-directors' expenses	3,085,165	2,133,971	2,446,091	1,523,066
-auditor's remuneration	3,243,100	3,195,250	2,858,900	2,858,900
-other audit related expenses	1,341,354	1,214,662	904,000	900,000
-professional and legal expense	23,890,376	16,777,905	23,816,863	16,710,081
-office administration expenses	1,247,586,684	1,004,996,574	1,195,113,668	938,978,774
-operating lease expenses	70,778,597	390,973,340	57,748,686	374,472,801
-operating expense on investment properties	-	-	-	-
-corporate social responsibility expenses	31,899,089	30,101,798	29,386,124	30,101,798
-onerous lease provisions	-	-	-	-
-other operating expenses	132,096,180	11,105,183	132,096,180	-
Total operating expense	**1,517,131,545**	**1,466,228,983**	**1,446,858,511**	**1,369,428,420**

4.37.1 office administration expenses

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Water & electricity	71,813,234	59,914,816	69,874,026	58,887,098
Repairs and maintenance				
(a) Building	1,155,079	301,711	1,155,079	301,711
(b) Vehicle	13,882,173	9,409,078	12,997,222	8,740,127
(c) Computer and accessories	2,446,023	2,238,908	2,446,023	1,138,333
(d) Office equipment and furniture	16,403,956	9,287,845	16,403,956	9,250,315
(e) Other repairs	14,548,271	10,110,265	13,730,238	9,720,326
Insurance	13,864,740	14,932,307	13,043,700	14,254,734
Postage, telex, telephone,fax	90,297,710	82,799,543	86,958,069	79,639,537
Printing and stationery	68,439,677	79,162,007	61,581,366	72,483,360
Newspaper, books and journals	14,759,202	4,188,944	14,709,535	4,152,487
Advertisement	109,003,694	75,549,100	108,369,014	75,131,622
Donation	-	-	-	-
Security expenses	257,757,262	215,082,753	256,635,347	214,154,760
Deposit and loan guarantee premium	100,137,309	88,301,597	100,137,309	88,301,597
Travel allowance and expenses	44,198,538	35,361,350	38,836,345	32,835,298
Entertainment	4,259,429	2,526,497	4,107,304	2,525,877
Annual/special general meeting expenses	2,490,928	1,077,837	495,053	971,986
Other				
(a) ATS/AMC expenses	86,994,140	80,157,988	85,643,935	80,157,988
(b) Bank charges	16,573,435	10,226,436	16,556,311	10,226,436
(c) Business promotion	57,111,411	15,075,822	56,847,287	15,075,822
(d) Cleaning & gardening	15,343,607	15,038,522	14,827,991	14,635,352
(e) Fees & taxes	37,320,926	23,546,754	33,749,889	23,546,754
(f) Fuel & other lubricants	47,657,377	29,551,087	43,213,404	26,970,768
(g) Membership fees	4,357,993	2,767,290	3,747,262	1,470,022
(h) Office goods and supply	16,218,115	8,598,213	14,091,189	7,865,725
(i) Pantry expenses	14,535,723	10,899,663	12,846,420	9,854,994
(j) Share registration expenses	6,416,605	8,042,754	6,416,605	7,816,605
(k) Others	119,600,127	110,847,489	105,693,791	68,869,142
Total operating expense	**1,247,586,684**	**1,004,996,574**	**1,195,113,668**	**938,978,774**

4.37.2 operating lease expenses reconciliation

Rent expenses as per GAAP	408,939,383
Expenses on acconting of NFRS 16	(336,237,677)
Reversal of lease liabilities as per NAS 17	(14,953,020)
Rent expenses booked for FY 2078-79	**57,748,686**

4.38 Depreciation & Amortisation

Depreciation of Property, and Equipment

Bank provides depreciation from date of assets being put to use on a straight line basis over the periods appropriate to the estimated useful lives of asset's future economic benefits are expected to be consumed by the bank. Freehold lands are not depreciated as they are non depreciable assets. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or the date the asset is derecognised.

Amortization of Intangible Assets

Intangible assets,except for goodwill, are amortized on a straight line basis in the Statement of Profit or Loss from the date of put to use, over the best estimate of its useful economic life based on a pattern in which the asset's economic benefits are consumed by the Bank.

Assets	Useful Lives
Land	Non Depreciable
Buildings	Upto 40 Years
Machinery	Upto 7 Years
Office Equipments	Upto 7-10 Years
Motor Vehicles	Upto 7 Years
Leasehold Improvement	Upto 10 Years
Software and Intangibles	Upto 5-10 Years

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-on property and equipment	643,883,573	312,957,860	614,554,231	303,055,547
-on investment property	-	-	-	-
-on software and intangibles	33,615,898	31,560,860	32,577,478	30,807,206
Total Depreciation & Amortisation	**677,499,470**	**344,518,720**	**647,131,708**	**333,862,753**

4.39 Non operating income

Non-operating income are those generated by activities outside of the core operating activities of the banks. These includes recovery for earlier written off loans. Share of profit from investment in associates are shown separately as non-operating income as equity method has only been applied while preparing consolidated financial statements.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-from recovery of written off loans	3,268,779	10,547,342	3,268,779	10,547,342
-from other income	-	5,194,872	-	-
-from share of profit from investment in associates	65,829,135	220,934,293	-	-
Total non operating income	**69,097,913**	**236,676,507**	**3,268,779**	**10,547,342**

4.40 Non operating expense

Non-operating expenses are those incurred outside of the core operating activities of the banks. These includes write off for uncollectible loans and others like expenses of redundancy and restructuring.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-Loan written off	162,960,906	-	162,960,906	-
-redundancy provision	-	-	-	-
-expense of restructuring	-	-	-	-
-other expense	1,496,447	-	1,496,447	-
Total non operating expense	**164,457,354**	**-**	**164,457,354**	**-**

4.41 Income tax expense

Current Taxation

Current tax is the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax receivable or payable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted, as at the reporting date. Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purpose in accordance with the provisions of the Income Tax Act.

Deferred Taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and
- taxable temporary differences arising on the initial recognition of goodwill.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
current tax expense				
income tax expense based on profit for current year	2,326,491,087	2,073,511,142	2,165,532,758	1,844,541,228
adjustment for prior years under/(over) provision	(88,384)	(151,811)		
	2,326,402,704	**2,073,359,331**	**2,165,532,758**	**1,844,541,228**
deferred tax expense				
origination and reversal of temporary differences	(238,095,272)	(50,187,427)	(98,172,554)	(41,615,019)
change in tax rates	-	-		-
recognition of previously unrecognised tax losses	-	-		-
	(238,095,272)	**(50,187,427)**	**(98,172,554)**	**(41,615,019)**
Total income tax expenses	**2,088,307,432**	**2,023,171,904**	**2,067,360,204**	**1,802,926,209**

4.41.1: Reconciliation of tax expense and accounting profit

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Profit before tax			7,026,584,948	5,968,078,049
Tax Amount @ 30%			**2,107,975,484**	**1,790,423,415**
Add: Tax effect of expenses that are not deductible for tax purpose			183,041,994	167,975,973
Less: Tax effect on exempt income			(14,320,360)	(4,259,914)
Less: Tax effect of expenses that are deductible for tax purpose			(111,164,360)	(109,598,246)
Total Income tax	**-**	**-**	**2,165,532,758**	**1,844,541,228**
Effective tax rate			**30.82%**	**30.91%**

4.42 Earning Per Share

The bank presents basic and diluted Earnings per Share (EPS) for its ordinary shares. Basic earnings per share (EPS) is calculated by dividing the net profit for the year attributable to ordinary equity holders of Bank by the weighted average number of ordinary shares outstanding during the year. Diluted Earnings per Share is determined by adjusting both the profit attributable to the ordinary equity holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares if any.

a. Earnings per Share: Basic

	Bank	
	Current Year	Previous Year
Amount used as the numerator		
Profit after tax for the year attributable to equity holder (Rs)	4,959,224,743	4,165,151,840
No. of ordinary shares used as the denominator		
Weighted average number of ordinary shares	237,957,533	216,325,030
Basic earnings per ordinary shares (Rs)	**20.84**	**19.25**

b. Earnings per Share: Diluted

	Bank	
	Current Year	Previous Year
Amount used as the numerator		
Profit after tax for the year attributable to equity holder (Rs)	4,959,224,743	4,165,151,840
No. of ordinary shares used as the denominator		
Weighted average number of ordinary shares	237,957,533	216,325,030
Diluted earnings per ordinary shares (Rs)	**20.84**	**19.25**

c. Weighted average Number of Ordinary Shares for Basic/Diluted EPS

	Current Year	Previous Year
Number of Shares held at 1st of Shrawan	216,325,030	189,758,799
Add: Number of shares issued due to final bonus	21,632,503	26,566,232
Adjusted Number of Shares eligible EPS calculation	**237,957,533**	**216,325,030**

4.43 Proposed and Distributed Dividend

Provision for final dividend are recognised at the time the dividend is recommended by the Board of Directors (on the date of approval of financial statements on 23rd October 2022), and approved by the shareholders. Following are the details for dividend paid and proposed during the financial year.

Amount in Rs.

	Current Year	Previous Year
Final dividend paid for the years 2077-78 & 2076-77 respectively		
Bonus shares distributed	2,163,250,304	2,656,623,180
Cash dividend paid	757,137,606	379,517,597
	2,920,387,910	**3,036,140,777**
Dividend paid per ordinary share of Rs 100 each	**13.50**	**16.00**
Final dividend proposed for the years 2078-79 & 2077-78 respectively		
Bonus shares Proposed	713,872,600	2,163,250,304
Cash dividend proposed	2,522,349,854	757,137,606
	3,236,222,454	**2,920,387,910**
Dividend proposed per ordinary share of Rs 100 each	**13.60**	**13.50**

ADDITIONAL DISCLOSURES AND INFORMATION

5.1 RISK MANAGEMENT

Risk is inherent in the Bank's activities, it is managed through an integrated risk management framework, including ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her responsibilities. The Bank is exposed to Credit Risk, Liquidity Risk, Market Risk and Operational Risk. It is also subject to country risk and various operating and business risks. The primary purpose of any risk management practice is to protect the quality of its assets by being fully aware of the inherent risks that might arise during the course of operation of a bank.

5.1.1 Definitions

A. Credit Risk

Credit Risk is the failure of customers (companies, individuals, banks, financial institutions, states etc) to perform their obligation towards Bank. Credit risk is paramount that bank is exposed to during the normal course of lending and credit under writing. Global IME Bank's Credit Policy Guidelines is the highest level policy document and it reflects long-term expectations and represents a key element of uniform, constructive and risk-aware culture throughout the Bank.

B. Liquidity Risk

Liquidity risk is the risk arising from our potential inability to meet all payment obligations when they come due or only being able to meet these obligations at excessive costs. Liquidity risk can be a situation arising from where short-term assets values are not sufficient to match short-term liabilities or unexpected cash outflows. Liquidity Risk arises from funding needs during challenging money market conditions. The Bank has been maintaining Liquid Assets to Deposit Ratio as per approved guidelines of the bank and has been monitoring the ratio in the daily basis. The major liquid assets of the Bank includes investment government securities, which is easily convertible into cash level funds during times of liquidity tightness.

C. Market Risk

Market risk is the risk that the value of an investment will decrease due to changes in market factors. These factors will have an impact on the overall performance on the financial markets and can only be reduced by diversification into assets that are not correlated with the market – such as certain alternative asset classes. Market risk is sometimes called "systematic risk" because it relates to factors, such as a recession, that impact the entire market.

D. Operational Risk

Operational Risk is the risk of loss resulting from inadequate or failed internal processes, people and system or from external causes, whether deliberate, accidental or natural and includes legal risk

Operational Risk Management unit under Integrated Risk Management Department oversees the operational risk aspect. Operational risk is inherent in all business activities. Whilst risks can never be eradicated, Bank follow a number of procedures and practices to manage and mitigate them to preserve and create value of our business. Bank manages operational risks through standardization of internal processes and monitoring mechanisms. Staffs allowed participating in various trainings, workshops, conferences in different arena of the banking function to minimize operational risk caused due to lack of knowledge and skills on the part of staffs.

5.1.2 Risk Mitigation

Risk mitigation involves taking action to reduce an organization's exposure to potential risks and reduce the likelihood that those risks will occur again. Risk mitigation is one of the steps in risk management, which includes identifying the risk, analyzing the risk, and mitigating the risk.

Risk Committee

In order to maintain highest standard of risk culture in the Bank various committees have been formed. Risk issues are regularly discussed in such committees. The committees that have been formed are:

- Risk Management Committee (RMC-Board Level)
- Management Level Risk Management Committee (Integrated Risk Management Committee)

For appropriate management of all types of risk through a single unit/department, Integrated Risk Management Department is in place which ensures monitoring following risks of the Bank.

A. Credit Risk

Credit Control Unit (CCU) under Integrated Risk Management Department (IRMD) manages the credit risk of the bank. The objectives of this unit are:

to support Business Unit to develop healthy Risk Assets by critical review of the credit proposals.

to develop preemptive measures of risk identification, suggest/ guide the risk mitigating measures ensuring that the overall credit portfolio of the Bank is maintained healthy, and any adversities are monitored and tracked timely so that it provides ample opportunity to the management to manage any adversities on ensuring extensive review of the overall portfolio of the bank, review of product papers, policies and manuals related to credit etc.

to review industry trend of major industries on periodic basis and provide necessary suggestion and recommendation.

CCU provides an independent view, highlights the risks associated while assessing Risk Assets of the bank and suggests necessary mitigating measures/covenants.

Risk Officers under CCU do not have any lending authority

The unit is headed by Chief Credit Control (CCC) who reports to Chief Risk Officer (CRO).

Credit Approval and Implementation Process

The Bank's credit assessment is based on risk perspective.

All credit proposals above NPR 10 Million are routed through CCU with few exceptions of requests meeting risk mitigating terms and conditions.

The lending / recommending officers address the remarks made by CCU.

Each borrower is rated under different parameters to assess the risk associated with the relationship.

Approved loans are forwarded to Credit Administration Department that administers the post approval processes including review of security documentation, contracts and other legal paper in line with NRB directives, Bank's Credit Policy and Credit Guidelines, Product Papers and as per the approved terms and conditions.

Credit Administration Department verifies the certification and completion of all formalities and disburses the loan in the system.

Credit Risk Appetite

Credit Risk Management Policy (CRMP) focuses towards defining Bank's approach towards credit risk management along with the procedural framework and roles and responsibilities of different authorities in the credit management process.

CRMP also defines Bank's overall risk tolerance/risk appetite level in relation to credit risk under various parameters (sector wise, product wise, borrower concentration, NPA, industry wise etc.) which are reviewed at least on quarterly basis other than specifically mentioned where monthly and annual review is also conducted in some parameters.

Credit Monitoring

Credit exposures once approved / disbursed are effectively monitored and reviewed on annual basis to determine changes in risk levels. Bank has standard procedures for credit review and monitoring systems.

Credit monitoring includes the activities like business / assets inspection, customer calls, drawing power calculation, fixed assets collateral inspection etc.

Besides that, regular inspection mechanism from province, corporate office and internal audit is also in place

B. Liquidity Risk

The Management defines the liquidity and funding risk strategy for the bank, as well as the risk appetite, based on recommendations made by the Asset Liability Committee ("ALCO"). The Board reviews and approves the limits which are applied to measure and control liquidity risk as well as Bank's long-term funding and issuance plan.

Treasury is mandated to manage the overall liquidity and funding position of the bank, and is responsible for reviewing the liquidity risk framework, proposing the risk appetite to ALCO and the validation of Liquidity Risk models which are developed by Treasury, to measure and manage the Bank's liquidity risk profile.

Treasury manages the maturity analysis of assets and liabilities. Modelling of assets and liabilities is necessary in cases where the contractual maturity does not adequately reflect the liquidity risk position. The most significant example in this context would be immediately repayable deposits from retail and transaction banking customers which have consistently displayed high stability throughout even the most severe financial crises. Financial assets and financial liabilities must be disclosed by their by their contractual maturity, based on undiscounted cash flows.The gap is monitored on periodic basis to maintain the sufficient liquidity by the Asset Liabilities Committee.

Treasury manages liquidity and funding, in accordance with the Board-approved risk appetite across a range of relevant metrics, and implements a number of tools to monitor these and ensure compliance. In addition, Treasury works closely in conjunction with ALCO, and the business, to analyze and understand the underlying liquidity characteristics of the business portfolios. The Bank has been regularly maintaining the minimum liquidity required to be kept as assigned by Nepal Rastra Bank. Further, bank has regular conducting Stress Tests to assess stress hypothetical scenarios on liquidity. ALCO is able to use this information as well as other analyses such as GAP to manage liquidity effectively for the Bank.

C. Market Risk

Bank's investments in form of foreign/local placements and foreign borrowings are subject to market risk. Risk can arise from changes in interest rates, credit spreads, foreign exchange rates and other relevant parameters, such as market volatility and market implied default probabilities.

Bank's aim to accurately measure all types of market risks by a comprehensive set of risk metrics reflecting economic and regulatory requirements. In accordance with economic and regulatory requirements, Bank measure market risks by several internally developed key risk metrics and regulatory defined market risk approaches.

The Risk Management Department of bank is responsible for monitoring market risk, reporting and analyzing, making proposals, setting limits and guidelines, and formulating and implementing plans relating to market risk management. Assets Liabilities Committee of the Bank have been monitoring the market risk as on date and Market Risk Unit is established to closely monitor the fluctuations in interest rate and price and shall be involved in developing the policies related to market risk management.

D. Operational Risk

The Chief of Country Operation (COCO) is fully accountable for the setup and maintenance of the Operational Risk Management Framework, including the adherence to all applicable legal and regulatory requirements. COCO oversees its ongoing development as well as the capital calculation process and manages relevant model risks and sets up appropriate controls.

Bank manage operational risk using the Operational Risk management Framework which enables us to determine our operational risk profile in comparison to our risk appetite, to systematically identify operational risk themes and concentrations, and to define risk mitigating measures and priorities.

In order to cover the broad range of risk types underlying operational risk, Bank's framework contains a number of operational risk management techniques. These aim to efficiently manage the operational risk in our business and are used to identify, assess and mitigate operational risks.

The continuous collection of operational risk loss events, as a prerequisite for operational risk management, includes analyses and provision of timely information to senior management. The Lessons

Learned process is triggered for events. This process includes, but is not limited to:

- systematic risk analyses, including a description of the business environment in which the loss occurred, previous events,
- root cause analysis,
- review of control improvements and other actions to prevent or mitigate the recurrence, and
- assessment of the residual risk exposure.

The bank has adopted the following strategies and measures in its endeavor to create an effective system of operational management and its impact on capital adequacy of the bank:

- Centralized monitoring and approval process of branch operations activities through central operations unit. Branch visits and surprise cash verification, vault checking is carried out on a periodical basis to ensure the branch has properly managed the vault and cash operations.
- Compliance policy of the bank to the suggestions and instruction on shortcomings as observed in internal, external audit and periodical inspections from Nepal Rastra Bank. Audit reports are reviewed periodically and follow up are made with the branch to update pending instances within the deadline as per commitments made by the branches.
- Periodical review of branch operations functions by dedicated team of Operational Risk Management Unit and Internal Audit Department.
- Periodical review, amendments and implementation of operational manuals and guidelines to address each aspect of branch operations.
- Communication and regular monitoring and follow up of policies, circulars and directives issued by Nepal Rastra Bank timely through the Compliance Department.
- Regular training and orientation of staffs of the Bank on various operational processes and procedures.
- Periodic visit, review and assessment of operational activities in branches by the central operations unit.
- Implementation of the system for data recording, management and reporting system for monitoring branch operation activities. Updates for additional field in system for mandatory requirement of customer data, KYC information has been implemented for required MIS and reporting purpose. Restriction has been placed in the system for user limits in cash transaction for proper control and double-check mechanism to avoid the instances of wrong postings and mistakes.
- Procedures for review of customer in case of account opening and draft issuance for sanction screening through sanction screening software has been procured and is to be implemented shortly.
- For central record and monitoring of draft and TT issuance for import related transaction, a system is being developed to insert transaction details by branches on issuance of draft/TT.
- Monitoring of pending documents, limit of applicants, follow up and NRB reporting shall be monitored through the system.

Other potential risks associated with banking operation in current scenario are listed as follows:

Compliance Risk
Compliance Risk is the risk resulting from non-compliance with laws and regulations and lack of adequate documentation to demonstrate compliance and risk from failure to comply with financial reporting standards, agreements or regulatory requirements. The main Compliance Risk components are generally referred to as regulatory, financial reporting and legal risk. Bank is constantly monitoring and mitigating compliance risk through the adoption of appropriate policies and timely reporting as per the regulatory requirements.

Compliance Risk is the current or prospective risk to earnings and capital arising from violations or non-compliance with laws, rules, regulations, agreements, prescribed practices or ethical standards and can lead to fines, damages and/ or the voiding of contracts and can diminish an institution's reputation. Compliance Risk is managed by the Bank's Compliance department (supported by the Bank's business divisions and infrastructure functions) through identification of the adherence to material rules and regulations where non-compliance could lead to endangerment of the Bank's assets as well as acting to implement effective procedures for compliance and the setup of the corresponding controls. The Compliance department further provides advisory services on the above and performs monitoring activities in relation to the coverage of new or changed material rules and regulations and assesses the corresponding control environment; regularly reporting the results to the AML/CFT Committee.

Environment and Social Risk Management
The Bank has its own E&S Risk Management Policy and Guidelines based on which integration of E&S Risk Management System (ESMS) with Credit Risk Management system of the Bank is completed. Bank has dedicated E&S Risk Officer to ensure smooth implementation of ESMS and for E&S capacity building of staffs. Bank is planning to further strengthen E&S unit in terms of manpower and capacity. Bank is planning to fully digitize ESMS for proper recording, review and reporting. Bank is committed to contribute in sustainable banking practices and shall continue to strengthen ESMS with adherence to national laws and regulations as well as global E&S standards/ practices as applicable.

Legal Risk
Legal Risk is the potential loss that a company or individual could face as the result of a legal issue. It could be a claim made against them, a change in the law or failure to take the proper legal measures to protect themselves. The Legal Department, is committed to the management of the Bank's legal risk.

Human Risk
Human Resource Department is involved in managing people who are considered as one of the biggest assets of the organization. Hence, HRD is engaged in a broad range of human resource management practices to capitalize on those assets. In this regard, the risk is basically associated with the human capital and processes for their mitigation are cited follows:.

Major Risk	Risk Mitigation Strategy
1. Submission of Fake Sheet along with all other Academic Credentials 2. Internal Fraud 3. Biasness in Performance Appraisal 4. Mismanagement in handling Staff Facilities 5.Out dated and inadequate HR policies and procedures 6. Late Attendance 7. HRIS System Failure 8. Poor Staff Management 9. Payroll Misappropriation 10. Lack of Departmental Co-ordination	The Bank has prepared and implemented Personnel policy guidelines to mitigate risk related to the people. Operational risk can occur due to poor or failed transaction processing or poor management of the process. These losses could be due to individual mistakes or due to a poor process itself like data entry errors, accounting errors, memos delivery failures, incomplete legal documentation etc.

Information Security Risk

Bank functions in a dynamic operating environment marked by rising customer expectations, constantly changing economic landscape, widening scope and intensity of industry regulation, and leveraging technological innovation, while staying vigilant against evolving Information Technology risks. Further, the success of the banking sector is contingent upon maximizing the shareholders' wealth while controlling the financial health of the world economy with fairer practices amidst increasing transparency.

Major Risk	Risk Mitigation Strategy
1. Hardware system failure 2. Software system failure 3. Cyber Security and incident response 4. Electrical / Power system failure 5. Network / Connectivity system failure 6. System Intrusion **7.** Risk of Human Errors	The Bank has a separate Information Security Unit (ISU) under Integrated Risk Management Unit that oversees overall information security aspect and works closely with IT department and other digital units/department of the bank to ensure utmost IT security. ISU is responsible for implementing and maintaining organization-wide information security policies, standards, guidelines, and procedures. ISU provides security awareness education and ensure that everyone knows his or her role in maintaining security. ISU works with departmental system managers, administrators and users to develop securities policies, standards and procedures to help protect the assets of GIBL.

5.2 CAPITAL MANAGEMENT

The dynamic growth of financial markets and the increased use of complex banking products have brought about substantial changes in the business environment faced by the banks and financial institutions today. These challenges require functioning system for the limitation and targeted control of each institution's risk situation. In addition to describing methods for calculating regulatory capital requirements, the new regulatory capital framework (Basel lll) places increased emphasis on risk management and integrated bank wide risk management. Therefore, to ensure the capital adequacy level of banks in commensurate with their risk profiles at all times, need to undertake in-depth analysis of their total risk exposure and capital and put in place the suitable procedures and systems. The ICAAP framework is rooted in the implementation of the Capital Adequacy Framework which implements BASEL framework as well as in the implementation of "ICAAP Guidelines (2012)" prescribed by NRB.

The ICAAP is therefore, based on the three pillars of Basel, in particular, the second pillar - Supervisory Review Process (SRP). The three-pillar model of Basel ll ensures that banks not only have adequate capital to support all the risks in their business, but also to encourage banks to develop and use better risk management techniques in monitoring and managing their risks. Therefore, ICAAP enables banks to ensure this through stringent Board and Senior Management Oversight, Sound Capital Assessment, Comprehensive Assessment of risks, Monitoring & Reporting and internal Control Review. It further provides guidelines for the calculation of capital requirements and defining extended disclosure requirements.

Thus, in accordance with the model, GIBL is constantly faced with the challenge of developing the most efficient internal procedures and systems in order to ensure that the bank possesses adequate capital resources in the long run with due attention to all material risks involved.

The bank's management has introduced Internal Capital Adequacy Assessment Process (hereinafter referred to as ICAAP). The ICAAP comprises the Bank's procedures and measures designed to ensure the following:

a. An appropriate identification and measurement of risks to which the Bank is or might be exposed to.

b. An appropriate level of internal capital in relation to Bank's risk profile; and

c. Application and further development of suitable risk management systems for the Bank.

1 Capital Structure and Capital Adequacy

Tier 1 Capital and breakdown of its componenets

Amount in Thousand.

Particulars	Current Year	Previous Year
Tier 1 Capital [Core Capital (CET 1 + AT 1)]		
Common Equity Tier 1 (CET 1)		
Paid Up Capital	23,795,753	21,632,503
Share Premium	-	-
Proposed Bonus Equity Shares	-	-
Statutory General Reserve	6,250,610	5,240,888
Retained Earning	3,239,226	2,990,204
Capital Redemption Reserve	1,387,610	679,276
Capital Adjustment Reserve	-	-
Dividend Equalization Reserve	-	-
Other Free Reserve	-	-
Less: Intangible Assets	(495,783)	(239,610)
Less: Deferred Tax Asset	-	-
Less: Investment in equity of institutions with financial interests	(886,687)	(853,674)
Less: Purchase of land & building in excess of limit and unutilized	(31,356)	(31,356)
Adjustment under Pillar II	**33,259,374**	**29,418,232**
Less: Loans & Facilities extended to related parties and restricted lending	-	-
Common Equity Tier 1 (CET 1)	**33,259,374**	**29,418,232**
Additional Tier I Capital (AT1)		
Perpetual Non-Cumulative Preference Share Capital	-	-
Perpetual Debt Instruments	-	-
Total Additional Tier I Capital (AT1)	**-**	**-**
Tier 1 Capital [Core Capital (CET 1 + AT 1)]	**33,259,374**	**29,418,232**

Tier 2 Capital and breakdown of its componenets

Amount in Thousand.

Supplementary Capital (Tier 2)	Current Year	Previous Year
Cumulative and/or Redeemable Preference Share	-	-
Subordinated Term Debt	3,300,000	3,600,000
Hybrid Capital Instruments	-	-
Stock Premium	-	-
General Loan Loss Provision	4,093,152	3,190,902
Exchange Equalization Reserve	203,846	190,224
Investment Adjustment Reserve	403,260	403,260
Assets Revaluation Reserve	163,271	-
Other Reserves	-	-
Total Tier 2 Capital	**8,163,529**	**7,384,386**
Total Capital [Tier 1 Capital + Tier 2 Capital]	**41,422,902**	**36,802,617**

Information about the Subordinated Term Debts .

Amount in Rs

Particulars	10.25% Debenture	8.5% Debenture
Issue Size	1,500,000,000	3,000,000,000
Issue Date	11th April 2019	5th April 2021
Maturity Date	10th April 2024	4th April 2031
Interest Rate per annum	10.25%	8.50%
Term from date of Issue	5 Years	10 Years
Debenture Redemption Reserve up to Ashad 2079	**1,054,276,316**	**333,333,333**
Amount Considered for Capital fund	**300,000,000**	**3,000,000,000**

Capital adequacy Ratios

Particulars	Current Year	Previous Year
Common Equity Tier 1 Capital to Total Risk Weighted Exposures	10.17%	10.55%
Tier 1 Capital to Total Risk Weighted Exposures	10.17%	10.55%
Tier 1 and Tier 2 Capital to Total Risk Weighted Exposures	12.67%	13.20%

2 Risk Exposures

Risk weighted exposures for Credit Risk, Market Risk and Operational Risk

Amount in Thousand.

Particulars	Current Year	Previous Year
Risk Weighted Exposure for Credit Risk	300,690,805	255,272,200
Risk Weighted Exposure for Operational Risk	16,281,536	14,418,718
Risk Weighted Exposure for Market Risk	307,310	301,896
Total Risk Weighted Exposures	317,279,651	269,992,813
Add: 2% of the total RWE as per NRB directives (6.4 a 9) (2% in previous year)	6,345,593	5,399,856
Add: Desired level of disclosure requirement has not been achieved. Add 3% of RWE (6.4 a 10)	-	-
Add: additional capital charge of 3% of Gross Income as per NRB directives (6.4 a 7)	3,362,664	3,324,486
Total Risk Weighted Exposures (After Bank's Adjustments of Pillar II)	326,987,908	278,717,155

Risk Weighted Exposures under each of 11 categories of Credit Risk

Amount in Thousand.

Particulars	Current Year	Previous Year
a) Claims on government & central bank	-	-
b) Claims on other official entities	454,870	370,000
c) Claims on banks	4,990,158	4,301,656
d) Claims on corporate & securities firms	155,062,925	137,389,638
e) Claims on regulatory retail portfolio	32,585,495	37,864,731
f) Claims secured by residential properties	15,031,748	12,986,486
g) Claims secured by commercial real state	560,680	2,292,980
h) Past due claims	1,385,553	4,943,673
i) High risk claims	42,052,682	11,448,347
j) Other assets	12,420,115	17,258,306
k) Off balance sheet items	36,146,580	26,416,383
Total Risk Weightage Assets	**300,690,805**	**255,272,200**

Details of Non-Performing loan

Amount in Thousand.

Particulars	Current Year	Previous Year
Restructured and rescheduled loan	248,939	1,294
Substandard loan	463,694	783,210
Doubtful loans	488,807	632,603
Bad loan	2,276,199	2,005,130
Gross NPL	**3,477,639**	**3,422,237**
Provision For Loss	2,671,925	2,516,382
Net NPL	**805,714**	**905,855**
NPA/ Total Loan	**1.28%**	**1.41%**

5.3 Classification of Financial Assets and Liabilities

Financial instruments are measured on an ongoing basis either at fair value or at amortized cost. The following table analyses the carrying amounts of financial instruments by category as defined in Nepal Financial Reporting Standard NFRS 9 (Financial Instruments) under headings of Statement of Financial Position.

Amount in Rs.

	Note	As on 32nd Ashad 2079			
		At Amortized Cost	At FVTPL	At FVTOCI	Total
Financial Assets					
Cash and Cash Equivalents	4.1	18,221,952,024			18,221,952,024
Due from Nepal Rastra Bank	4.2	11,930,868,071			11,930,868,071
Placement with Bank and Financial Institutions	4.3	-			-
Derivative financial instruments	4.4		1,265,935,824		1,265,935,824
Other trading assets	4.5		-		-
Loan and advances to B/FIs	4.6	10,751,322,217			10,751,322,217
Loans and Advances to Customers	4.7	258,087,531,601			258,087,531,601
Investment Securities	4.8	44,551,073,161		1,962,438,212	46,513,511,373
Investment in subsidiaries	4.9	370,695,250			370,695,250
Investment in associates	4.10	652,916,735			652,916,735
Investment property	4.12	559,448,275			559,448,275
Other Assets	4.16	1,540,623,888			1,540,623,888
Total Financial Assets		**346,666,431,221**	**1,265,935,824**	**1,962,438,212**	**349,894,805,257**
Financial Liabilities					
Due to Banks and Financial Institutions	4.17	9,594,870,797			9,594,870,797
Due to Nepal Rastra Bank	4.18	14,438,907,756			14,438,907,756
Derivative financial instruments	4.19	-	1,271,009,520		1,271,009,520
Due to Customers	4.20	276,964,909,623			276,964,909,623
Borrowings	4.21	5,747,233,648			5,747,233,648
Other Liabilities	4.23	3,918,622,309			3,918,622,309
Debt Securities Issued	4.24	4,492,869,348			4,492,869,348
Total Financial Liabilities		**315,157,413,482**	**1,271,009,520**	**-**	**316,428,423,002**

	Note	As on 31st Ashad 2078			
		At Amortized Cost	At FVTPL	At FVTOCI	Total
Financial Assets					
Cash and Cash Equivalents	4.1	15,593,942,410			15,593,942,410
Due from Nepal Rastra Bank	4.2	25,336,114,039			25,336,114,039
Placement with Bank and Financial Institutions	4.3	-			-
Derivative financial instruments	4.4	-	5,663,649,824		5,663,649,824
Other trading assets	4.5	-			-
Loan and advances to B/FIs	4.6	10,367,176,716			10,367,176,716
Loans and Advances to Customers	4.7	228,651,426,527			228,651,426,527
Investment Securities	4.8	46,847,958,987		2,053,775,977	48,901,734,964
Investment in subsidiaries	4.9	370,695,250			370,695,250
Investment in associates	4.10	644,186,910			644,186,910
Investment property	4.12	354,648,945			354,648,945
Other Assets	4.16	1,939,674,649			1,939,674,649
Total Financial Assets		**330,105,824,433**	**5,663,649,824**	**2,053,775,977**	**337,823,250,234**
Financial Liabilities					
Due to Banks and Financial Institutions	4.17	9,594,870,797			9,594,870,797
Due to Nepal Rastra Bank	4.18	14,438,907,756			14,438,907,756
Derivative financial instruments	4.19		5,440,370,187		5,440,370,187
Due to Customers	4.20	276,964,909,623			276,964,909,623
Borrowings	4.21	2,371,769,589			2,371,769,589
Other Liabilities	4.23	2,569,058,935			2,569,058,935
Debt Securities Issued	4.24	4,492,869,348			4,492,869,348
Total Financial Liabilities		**310,432,386,049**	**5,440,370,187**	**-**	**315,872,756,236**

5.4 Operating Segment Information

1 General Information

Chief operating decision maker uses the branch wise information to make the decision. These information are generated on a daily basis. The bank has established the province office which will monitor their respective branches.

2 Information about profit or loss, assets and liabilities

Particulars	Province 1	Province 2	Bagmati Province	Gandaki Province	Lumbini Province	Karnali Province	Sudur Paschim Province	Others	Total
Revenue from external customers	2,995,468,023	2,689,253,884	16,628,701,936	1,592,661,373	3,451,104,246	380,606,251	1,031,484,274	3,574,047,443	32,343,327,429
Intersegment revenues	190,544,166	113,912,741	10,677,465,227	555,327,167	1,083,396,472	171,419,689	269,828,739	601,506,905	13,663,401,106
Gross Revenues	**3,186,012,189**	**2,803,166,624**	**27,306,167,163**	**2,147,988,540**	**4,534,500,718**	**552,025,939**	**1,301,313,013**	**4,175,554,348**	**46,006,728,535**
Interest Revenue	3,002,456,097	2,655,374,226	26,232,706,951	2,060,617,002	4,304,194,444	529,159,627	1,220,276,394	2,717,165,006	42,721,949,747
Interest Expenses	2,197,807,109	1,932,247,211	20,693,240,496	1,363,124,769	2,877,287,058	303,948,521	830,403,389	2,234,335,579	32,432,394,132
Net Interest Revenue	**804,648,987**	**723,127,015**	**5,539,466,455**	**697,492,233**	**1,426,907,386**	**225,211,106**	**389,873,005**	**482,829,427**	**10,289,555,615**
Depreciation and amortisation	22,552,915	20,401,239	71,448,029	22,759,070	36,940,227	8,061,331	14,763,061	151,404,796	348,330,667
Segment profit/(loss)	**403,649,587**	**538,925,142**	**4,500,780,846**	**408,153,424**	**1,052,996,107**	**157,707,619**	**230,011,880**	**(265,639,657)**	**7,026,584,948**
Entity's interest in the profit or loss of associates accounted for using equity method	-	-	-	-	-				-
Other material non-cash items	**-**	**-**	**-**	**-**	**-**				**-**
Impairment of assets	993,673,091	468,682,997	3,781,504,028	262,185,798	873,683,740	68,279,040	272,806,053	44,262,834	**6,765,077,581**
Segment assets	27,356,784,628	24,654,081,463	160,629,319,987	15,176,869,264	31,551,180,157	3,404,670,965	9,493,310,020	5,427,330,878	**277,693,547,362**
Segment liabilities	16,712,966,169	12,203,251,695	190,961,163,803	18,912,083,226	33,838,373,590	4,493,639,782	8,396,295,735	1,042,006,421	**286,559,780,420**

3 Any transactions that occurred between the reportable segments are recorded using interbranch transaction account. This account is used mainly for accounting the inter branch revenue. These reveneus are cancelled out at the reporting date. There is no difference between the measurement of reportable segment's assets and entity's assets.

4 Reconciliation or reportable segment revenues, profit or loss, assets and liabilities

a	**Revenue**	Amount in Rs.
	Total Revenues for reportable segments	**46,006,728,535**
	Elimination of intersegment revenues	(13,663,401,106)
	Entity's revenues	**32,343,327,429**

b	**Profit or loss**	Amount in Rs.
	Total profit/loss for reportable segments	**7,026,584,948**
	Elimination of intersegment revenues	-
	Profit before Income Tax	**7,026,584,948**

c	**Assets**	Amount in Rs.
	Total assets for reportable segments	**277,693,547,362**
	Other assets	3,383,711,824
	Unallocated amounts- Staff Loans & Int Receivable	3,392,264,830
	Unallocated amounts- Cash and Balance with NRB	24,286,411,376
	Unallocated amounts- Investment Securities	47,537,123,358
	Unallocated amounts- Current Tax Assets	2,238,645,152
	Unallocated amounts- Investment Property	559,448,275
	Unallocated amounts- Derivative financial Instruments	1,265,935,824
	Unallocated amounts- Deferred Tax Assets	180,132,467
	Entity's Assets	**360,537,220,469**

d	**Liabilities**	
	Total liabilities for reportable segments	**286,559,780,420**
	Other liabilities	8,084,119,351
	Unallocated amounts-Due to Nepal Rastra bank	14,438,907,756
	Unallocated amounts- Current tax liabilities	2,203,840,353
	Unallocated amounts- Derivative financial Instruments	1,271,009,520
	Unallocated amounts-Debt Securities and Borrowing	10,240,102,996
	Entity's Liabilities	**322,797,760,397**

5	**Information about products and services**	*Amount in Rs.*
	Loans and advances	28,116,613,219
	Investment securities	2,420,093,896
	Remittance	236,656,324
	Card services	596,925,637
	Others	973,038,353
	Total Entity's Revenue	**32,343,327,429**

6 Revenue from Geographical areas	*Amount in Rs.*
Domestic	
Province 1	2,995,468,023
Province 2	2,689,253,884
Bagmati Province	16,628,701,936
Gandaki Province	1,592,661,373
Lumbini Province	3,451,104,246
Karnali Province	380,606,251
Sudur Paschim Province	1,031,484,274
Others	3,574,047,443
Foreign	
Total	**32,343,327,429**

7 Information about major customers

The bank does not have any customer, which generates more than 10% of the entity's revenue.

5.5 Share options and share based payment

The bank does not issue shares and options to its employees that would be accounted as per NFRS 2 " Share based payments".

5.6 Contingent liabilities and commitment

Details of contingent liabilities and commitments have been explained in Note 4.28.

5.7 Related party Disclosures

The bank carries out transactions in the ordinary course of business with the parties who are defined as related parties in the Nepal Accounting Standard – NAS 24 (Related Party Disclosures), the details of which are reported below:

Name	Type	Relationship with Bank	Date of Joining/ (Resignation)
Mr. Chandra Prasad Dhakal	Key Management Personnel	Chairman	
Mr. Sudarshan Krishna Shrestha		Director	
Mr. Cabinet Shrestha		Director	
Mr. Ram Bahadur Bhandari		Director	
Mr. Krishna Prasad Sharma		Director	
Mr. Devendra Pratap Shah		Director	
Mr. Ratna Raj Bajracharya		CEO	
Global IME Laghubitta Bittiya Sanstha Ltd	Entities where control exists	Subsidiary	
Global IME Capital Ltd		Subsidiary	
JBNL Securities Ltd		Subsidiary	
Mero Microfinance Bittiya Sanstha Ltd	Entities where significant influence exists	Associate	
First Microfinance Laghubitta Bittiya Sanstha Ltd		Associate	
IME Life Insurance Company Ltd		Associate	
Reliable Nepal Life Insurance Company Ltd		Associate	
Nepal Clearing House Ltd		Associate	
Nepal Electronic Payment System Ltd		Associate	
Smart Choice Technologies Ltd		Associate	
Banking Insurance and Financial Institution Ltd		Associate	
Parent and ultimate controlling party			
The bank does not have an identifiable parent of its own.			

Key Management Personnel

As per Nepal Accounting Standard – NAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of entity.

A person can not be considered as a KMP unless such person has both the authority and responsibility to carry out all three activities metioned in the above definition (i.e. planning, directing and controlling the activities of entity). In considering each possible related party relationship, attention is directed to the substance of the relationship, not merely the legal form.

Accordingly the board of directors and chief executive officer are considered as Key Management Personnel of the bank.

Amount in Rs.

	Current Year	Previous Year
Employment benefits		
-salaries and allowances	19,718,334	13,245,000
-post employment benefits	759,600	733,200
Director's fees and expenses	4,934,091	5,406,066
	25,412,025	**19,384,266**

In addition to above, the bank has also paid non cash-benefits such as fuel, repairs, telephone to KMPs who are employee of the bank in line with the approved benefit plans of the bank.

Close Family Members (CFM) of Key Management Personnel

CFMs of the KMP are those family members who may be expected to influence or be influenced by that KMP in their dealings with the entity. They may include KMP's domestic partner, children of the KMP's domestic partner and dependents of the KMP.

Entities Controlled by the Key Management Personnel and their Close Family Members

The Bank has conducted transaction with entities associated with IME Group where, Mr. Chandra Prasad Dhakal Chairperson of the Bank is Co Founder and Chairman of the IME Group. Transaction with the entities which are controlled by KMPs and CFM of KMPs are conducted in arm's length price and the details are provided below with nature of services.

Entity	Nature of Service	Transaction Amount (Rs)	Outstanding Balance
IME Travels	Air Ticket Purchase	1,869,883	-

IME Ltd.	**Bought Amount**	**Sold Amount**	
USD Purchase against NPR	912,920,000	110,993,001,700	
AED Purchase against USD	5,182,635,900	200,586,261	
AUD Purchase against NPR	299,000	26,358,930	
JPY Purchase against NPR	2,000,000	1,957,000	

Subsidiaries and associates

The bank has subsidiaries with an equity interest of 75%, 57.48% and 100% in Global IME Capital Ltd, Global IME Laghubitta Bittiya Sanstha Ltd and JBNL Securities Ltd. The subsidiaries nature of business are mentioned in Note 1.1.

The bank has associate entities with following equity interest:

Ownership of Bank

	Current Year	Previous Year
First Microfinance Dev Bank Limited (P)	10.00%	12.05%
Mero Micro Finance Bittya Sanstha Ltd (P)	14.00%	14.00%
IME Life Insurance Co. Limited	10.00%	10.00%
Reliable Nepal Life Insurance Co. Limited	10.00%	10.00%
Nepal Clearing House Limited	7.15%	7.15%
Smart Choice Technologies Ltd	15.50%	15.50%
Nepal Electronics Payment System Ltd.	17.61%	17.61%
Banking Finance And Insurance Institution Ltd.	6.67%	6.67%

Transactions with Related Parties

Amount in Rs.

	Current Year	Previous Year
Keey Management Personnel		
-loans and receivables		
-deposits	308,918,851	
For the year ended		
-interest paid on deposit	37,119,161	
-interest received on loans		
Global IME Capital Limited		
-loans and receivables		
-deposits	329,543,604	392,421,585
For the year ended		
-interest paid on deposit	2,640,714	1,038,032
-dividend received	40,313,225	9,957,367
-other commission received by Bank	2,384,865	5,241,394
-other commission paid by subsidiary	2,384,865	5,241,394
Global IME Laghubitta Bittiya Sanstha Limited		
-loans and receivables	1,976,821,092	1,881,680,725
-deposits	2,259,011	2,761,284
For the year ended		
-interest received on loans	176,595,967	57,705,197
-interest paid on deposit	-	47,060
-service fee received by Bank		
-service fee paid by Subsidiary		
JBNL Securities Limited		
-deposits	62,937,853	62,447,798
For the year ended		
-interest paid on deposit	683,077	714,458
Mero Microfinance Bittiya Sanstha Limited		
-loans and receivables	818,547,827	878,104,011
-deposits	7,706,594	10,466,999
For the year ended		
-interest received on loans	74,048,004	27,142,810
-interest paid on deposit	179,235	235,324
First Microfinance Laghubitta Bittiya Sanstha Limited		
-loans and receivables	1,265,741,605	1,347,043,517
-deposits	1,691,824	147,387,258
For the year ended		
-interest received on loans	131,703,447	59,289,324
-interest paid on deposit	47,422	150,302
IME Life insurance co. Ltd.		
-deposits	151,753,877	184,398,183
For the year ended		
-interest paid on deposit	31,600,017	14,200,812
Reliable Nepal Life insurance co. Ltd.		
-deposits	280,430,834	275,426,580
For the year ended		
-interest paid on deposit	42,124,537	19,129,598
Smart Choice Technologies Ltd		
-deposits	1,525,504	
For the year ended		
service fees paid	372,480	
Banking Finance And Insurance Institution Ltd.		
-deposits		
For the year ended		
Training Expenses Paid	368,605	
Nepal Electronics Payment System Ltd.		
-deposits		
For the year ended		
Revenue Sharing Expenses	30,011,588	
Banking Finance And Insurance Institution Ltd.		
-deposits		
For the year ended		
Revenue Sharing Expenses	30,011,588	

5.8 Merger and Acquisition

The Bank has entered into merger agreement with Bank of Kathmandu Ltd a "A" Class Financial Institution on 16th June 2022. The Bank has already obtained preliminary approval from the Nepal Rastra Bank for the merger. The merger will be completed after the completion of Due Diligince Audit carried out by the independent consultant for both the financial institution.

5.9 Additional dislosure of non consolidated entities

All the subsidiaries of the bank are consolidated and presented as a single entity.

5.10 Events after reporting date

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the Financial Statements are authorized for issue. No circumstances have arised except proposed dividend as disclosed in Note 4.43 since the reporting date which would require adjustments to, or disclosure in the financial statements.

Risk Weighted Exposure for Credit Risk

Rs. In Mio

A. Balance Sheet Exposures	Book Value	Eligible CRM	Net Value	Risk Weight	Risk Weighted Exposures	Previous Year
	a	c	d=a-b-c	e	f=d*e	
Cash Balance	5,866	-	5,866	0%	-	-
Balance With Nepal Rastra Bank	11,931	-	11,931	0%	-	-
Gold	-	-	-	0%	-	-
Investment in Nepalese Government Securities	32,324	-	32,324	0%	-	-
All Claims on Government of Nepal	116	-	116	0%	-	-
Investment in Nepal Rastra Bank securities	10,878	-	10,878	0%	-	-
All claims on Nepal Rastra Bank	-	-	-	0%	-	-
Claims on Foreign Government and Central Bank (ECA 0-1)	-	-	-	0%	-	-
Claims on Foreign Government and Central Bank (ECA -2)	-	-	-	20%	-	-
Claims on Foreign Government and Central Bank (ECA -3)	-	-	-	50%	-	-
Claims on Foreign Government and Central Bank (ECA-4-6)	-	-	-	100%	-	-
Claims on Foreign Government and Central Bank (ECA -7)	-	-	-	150%	-	-
Claims On BIS, IMF, ECB, EC and MDB's recognized by the framework	-	-	-	0%	-	-
Claims on Other Multilateral Development Banks	-	-	-	100%	-	-
Claims on Domestic Public Sector Entities	455	-	455	100%	455	370
Claims on Public Sector Entity (ECA 0-1)	-	-	-	20%	-	-
Claims on Public Sector Entity (ECA 2)	-	-	-	50%	-	-
Claims on Public Sector Entity (ECA 3-6)	-	-	-	100%	-	-
Claims on Public Sector Entity (ECA 7)	-	-	-	150%	-	-
Claims on domestic banks that meet capital adequacy requirements	15,502	-	15,502	20%	3,100	2,495
Claims on domestic banks that do not meet capital adequacy requirements	33	-	-	100%	-	-
Claims on foreign bank (ECA Rating 0-1)	6,496	-	6,496	20%	1,299	443
Claims on foreign bank (ECA Rating 2)	414	-	414	50%	207	89
Claims on foreign bank (ECA Rating 3-6)	384	-	384	100%	384	1,192
Claims on foreign bank (ECA Rating 7)	-	-	-	150%	-	-
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	905	-	905	20%	181	82
Claims on Domestic Corporates (Credit rating score equivalent to AAA)	-	-	-	50%	-	-
Claims on Domestic Corporates (Credit rating score equivalent to AA+ to AA-)	-	-	-	70%	-	-
Claims on Domestic Corporates (Credit rating score equivalent to A+ to A-)	-	-	-	80%	-	-

A. Balance Sheet Exposures	Book Value	Eligible CRM	Net Value	Risk Weight	Risk Weighted Exposures	Previous Year
	a	c	d=a-b-c	e	f=d*e	
Claims on Domestic Corporates (Credit rating score equivalent to BBB+ & below)	-	-	-	100%	-	-
Claims on Domestic Corporates (Unrated)	155,061	179	154,882	100%	154,882	137,390
Claims on Foreign Corporates (ECA 0-1)	-	-	-	20%	-	-
Claims on Foreign Corporates (ECA 2)	-	-	-	50%	-	-
Claims on Foreign Corporates (ECA 3-6)	-	-	-	100%	-	-
Claims on Foreign Corporates (ECA 7)	-	-	-	150%	-	-
Regulatory Retail Portfolio (Not Overdue)	45,334	1,886	43,447	75%	32,585	37,865
Claims fulfilling all criterion of regularity retail except granularity	-	-	-	100%	-	-
Claims secured by residential properties	25,053	-	25,053	60%	15,032	12,694
Claims not fully secured by residential properties	-	-	-	150%	-	-
Claims secured by residential properties (Overdue)	631	-	561	100%	561	292
Claims secured by Commercial real estate	1,386	-	1,386	100%	1,386	2,293
Past due claims (except for claims secured by residential properties)	6,600	0	3,998	150%	5,998	4,944
High Risk claims	25,668	1,631	24,037	150%	36,055	15,989
Lending against securities (bonds)	-	-	-	100%	-	-
Trust Receipt Loans for Trading Firms	1,267	-	1,267	120%	1,520	-
Investments in equity and other capital instruments of institutions listed in stock exchange	1,784	-	1,784	100%	1,784	1,829
Investments in equity and other capital instruments of institutions not listed in the stock exchange	9	-	9	150%	13	2,594
Staff loan secured by residential property	2,931	-	2,931	**50%**	1,466	1,251
Interest Receivable/claim on government securities	606	-	606	0%	-	-
Cash in transit and other cash items in the process of collection	-	-	-	20%	-	-
Other Assets	9,952	-	7,637	100%	7,637	7,044
TOTAL (A)	**361,584**	**3,697**	**352,868**		**264,544**	**228,856**
B. Off Balance Sheet Exposures						
Revocable Commitments	-	-	-	0%	-	-
Bills Under Collection	-	-	-	0%	-	-
Forward Exchange Contract Liabilities	1,266	-	1,266	10%	127	1,406
LC Commitments With Original Maturity Upto 6 months domestic counterparty	8,014	854	7,160	20%	1,432	1,265
Foreign counterparty (ECA Rating 0-1)	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	150%	-	-
LC Commitments With Original Maturity Over 6 months domestic counterparty	2,912	163	2,749	50%	1,375	795
Foreign counterparty (ECA Rating 0-1)	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	150%	-	-
Bid Bond, Performance Bond and Counter guarantee domestic counterparty	31,548	862	30,686	40%	12,274	10,346
Foreign counterparty (ECA Rating 0-1)	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	150%	-	-

A. Balance Sheet Exposures	Book Value	Eligible CRM	Net Value	Risk Weight	Risk Weighted Exposures	Previous Year
	a	c	d=a-b-c	e	f=d*e	
Underwriting commitments	-	-	-	50%	-	-
Lending of Bank's Securities or Posting of Securities as collateral	-	-	-	100%	-	-
Repurchase Agreements, Assets sale with recourse	-	-	-	100%	-	-
Advance Payment Guarantee	4,741	78	4,663	100%	4,663	4,134
Financial Guarantee	-	-	-	100%	-	-
Acceptances and Endorsements	12,184	-	12,184	100%	12,184	3,894
Unpaid portion of Partly paid shares and Securities	-	-	-	100%	-	-
Irrevocable Credit commitments (short term)	12,888	286	12,602	20%	2,520	2,580
Irrevocable Credit commitments (long term)	2,233	-	2,233	50%	1,117	1,854
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	-	-	-	20%	-	-
Other Contingent Liabilities	283	75	208	100%	208	106
Unpaid Guarantee Claims	129	6	123	200%	246	35
TOTAL (B)	**76,199**	**2,324**	**73,875**		**36,147**	**26,416**
Total RWE for credit Risk Before Adjustment (A) +(B)	**437,783**	**6,021**	**426,743**		**300,691**	**255,272**
Adjustments under Pillar II						
Add 10% of the loans & facilities in excess of Single Obligor Limits to RWE					-	
Add 1% of the contract (sale) value in case of the sale of credit with recourse to RWE					-	
Total RWE for Credit Risk after Bank's adjustments under Pillar II	**437,783**	**6,021**	**426,743**		**300,691**	**255,272**

Eligible Credit Risk Mitigants

Rs. In Mio

Credit exposures	Deposits with Bank	Deposits with other banks/FI	Gold	Govt.& NRB Securities	G'tee of Govt. of Nepal	Sec/G'tee of Other Sovereigns	G'tee of domestic banks	G'tee of MDBs	Sec/ G'tee of Foreign Banks	Current Year Total	Previous Year Total
	(a)	(b)	(c)	(d)	(e)	(f)	(g)	(h)	(i)		
Balance Sheet Exposures											
Claims on Foreign government and Central Bank (ECA -2)										-	-
Claims on Foreign government and Central Bank (ECA -3)										-	-
Claims on Foreign government and Central Bank (ECA-4-6)										-	-
Claims on Foreign government and Central Bank (ECA -7)										-	-
Claims on Other Multilateral Development Banks										-	-
Claims on Domestic Public Sector Entities										-	-
Claims on Public Sector Entity (ECA 0-1)										-	-
Claims on Public Sector Entity (ECA 2)										-	-
Claims on Public Sector Entity (ECA 3-6)										-	-
Claims on Public Sector Entity (ECA 7)										-	-
Claims on domestic banks that meet capital adequacy requirements										-	-
Claims on domestic banks that do not meet capital adequacy requirements										-	-
Claims on foreign bank (ECA Rating 0-1)										-	-
Claims on foreign bank (ECA Rating 2)										-	-
Claims on foreign bank (ECA Rating 3-6)										-	-
Claims on foreign bank (ECA Rating 7)										-	-
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement										-	-
Claims on Domestic Corporates (Credit rating score equivalent to AAA)										-	-
Claims on Domestic Corporates (Credit rating score equivalent to AA+ to AA-)										-	-
Claims on Domestic Corporates (Credit rating score equivalent to A+ to A-)										-	-
Claims on Domestic Corporates (Credit rating score equivalent to BBB+ & below)										-	-
Claims on Domestic Corporates (Unrated)	179									179	71
Claims on Foreign Corporates (ECA 0-1)										-	-
Claims on Foreign Corporates (ECA 2)										-	-
Claims on Foreign Corporates (ECA 3-6)										-	-
Claims on Foreign Corporates (ECA 7)										-	-
Regulatory Retail Portfolio (Not Overdue)	1,882		5							1,886	609
Claims fulfilling all criterion of regularity retail except granularity										-	-
Claims secured by residential properties										-	-
Claims not fully secured by residential properties										-	-
Claims secured by residential properties (Overdue)										-	-
Claims secured by Commercial Real Estate										-	-
Past due claims (except for claims secured by residential properties)			0							0	1
High Risk claims	1,631									1,631	525
Lending against securities (bonds)										-	-
Trust Receipt Loans for Trading Firms										-	-
Investments in equity and other capital instruments of institutions listed in stock exchange										-	-

Credit exposures	Deposits with Bank	Deposits with other banks/FI	Gold	Govt.& NRB Securities	G'tee of Govt. of Nepal	Sec/G'tee of Other Sovereigns	G'tee of domestic banks	G'tee of MDBs	Sec/ G'tee of Foreign Banks	Current Year Total	Previous Year Total
	(a)	(b)	(c)	(d)	(e)	(f)	(g)	(h)	(i)		
Investments in equity and other capital instruments of institutions not listed in the stock exchange										-	-
Other Assets										-	-
Total	**3,692**	**-**	**5**	**-**	**-**	**-**	**-**	**-**	**-**	**3,697**	**1,205**
Off Balance Sheet Exposures											
Forward Exchange Contract Liabilities										-	-
LC Commitments With Original Maturity Upto 6 months domestic counterparty	854									854	490
Foreign counterparty (ECA Rating 0 -1)										-	-
Foreign counterparty (ECA Rating 2)										-	-
Foreign counterparty (ECA Rating 3-6)										-	-
Foreign counterparty (ECA Rating 7)										-	-
LC Commitments With Original Maturity Over 6 months domestic counterparty	163									163	57
Foreign counterparty (ECA Rating 0-1)										-	-
Foreign counterparty (ECA Rating 2)										-	-
Foreign counterparty (ECA Rating 3 -6)										-	-
Foreign counterparty (ECA Rating 7)										-	-
Bid Bond, Performance Bond and Counter guarantee domestic counterparty	862									862	836
Foreign counterparty (ECA Rating 0-1)										-	-
Foreign counterparty (ECA Rating 2)										-	-
Foreign counterparty (ECA Rating 3-6)										-	-
Foreign counterparty (ECA Rating 7)										-	-
Underwriting commitments										-	-
Lending of Bank's Securities or Posting of Securities as collateral										-	-
Repurchase Agreements, Assets sale with recourse										-	-
Advance Payment Guarantee	78									78	64
Financial Guarantee										-	-
Acceptances and Endorsements										-	-
Unpaid portion of Partly paid shares and Securities										-	-
Irrevocable Credit commitments (short term)	286									286	-
Irrevocable Credit commitments (long term)										-	-
Other Contingent Liabilities	75									75	21
Unpaid Guarantee Claims	6									6	1
Total	**2,324**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**2,324**	**1,468**
Grand Total	**6,015**	**-**	**5**	**-**	**-**	**-**	**-**	**-**	**-**	**6,021**	**2,673**

Risk Weighted Exposure for Operational Risk

Rs. In Mio

Particulars	Fiscal Year			Previous Year
	2075-76	2076-77	2077-78	
Net Interest Income	8,639	9,643	9,139	
Commission and Discount Income	1,791	1,678	1,914	
Other Operating Income	230	212	611	
Exchange Fluctuation Income	642	658	666	
Gross income (a)	**11,301**	**12,191**	**12,331**	
Alfa (b)	**0**	**0**	**0**	
Fixed Percentage of Gross Income [c=(a×b)]	**1,695**	**1,829**	**1,850**	
Capital Requirement (d) (average of c)	**1,791**			**1,586**
Risk Weight (reciprocal of capital requirement of 11%) in times (e)	**9.09**			**9.09**
Equivalent Risk Weight Exposure [f=(d×e)]	**16,282**			**14,419**

Risk Weighted Exposure for Operational Risk

Rs. In Mio

Currency	Open Position (FCY)	Exchange Rate	Open Position (NPR)	Relevant Open Position	Previous Year Relevant Open Position
INR	309.57	1.60	496	496	4,939
USD	0.33	127.90	43	43	197
GBP	0.03	151.28	4	4	109
EUR	0.05	128.24	7	7	7
THB	0.05	3.48	0	0	1
CHF	0.01	129.95	2	2	10
AUD	0.03	86.15	2	2	26
CAD	0.15	97.83	14	14	4
SGD	0.03	91.14	3	3	1
JPY	6.84	0.92	6	6	45
HKD	0.11	16.29	2	2	5
DKK	0.22	17.21	4	4	12
SEK	0.00	12.08	0	0	1
SAR	0.22	33.71	7	7	268
QAR	0.11	34.46	4	4	680
AED	2.09	34.61	72	72	123
MYR	0.08	28.48	2	2	52
KRW	25.05	0.10	2	2	18
CNY	0.17	18.91	3	3	110
KWD	0.00	415.06	2	2	33
BHD	0.00	338.39	0	0	2
Total Open Position (a)				**676**	**6,642**
Fixed Percentage (b)				**5%**	**5%**
Capital Charge for Market Risk (c=a×b)				**33.81**	**332.12**
Risk Weight (reciprocal of capital requirement of 11%) in times (d)				**9.09**	**9.09**
Equivalent Risk Weight Exposure (=c×d)				**307**	**3,019**

Comparison of Unaudited and Audited Financial Statement of FY 2078-79

Rs. In Thousand

	Unaudited Financial Statement	Audited Financial Statements	Variance		Reason for Variance
	Rs	Rs	Rs	%	
Assets					
Cash and Cash Equivalents	17,223,943	18,221,952	998,009	5.48%	Note 1
Due from Nepal Rastra Bank	11,930,868	11,930,868	-	0.00%	
Placement with Bank and Financial Institutions	-	-	-	0.00%	
Derivative financial instruments	1,265,936	1,265,936	-	0.00%	
Other trading assets	-	-	-	0.00%	
Loan and advances to B/FIs	10,558,054	10,751,322	193,268	1.80%	Note 2
Loans and advances to customers	258,544,423	258,087,532	(456,892)	-0.18%	Note 2
Investment securities	47,211,552	46,513,511	(698,040)	-1.50%	Note 1
Current Tax Assets	2,238,645	2,238,645	-	0.00%	
Investment in subsidiaries	370,695	370,695	-	0.00%	
Investment in associates	652,917	652,917	-	0.00%	
Investment property	559,448	559,448	-	0.00%	
Property and equipment	3,386,345	5,884,767	2,498,421.94	42.46%	Note 3
Goodwill and intangible assets	228,927	495,783	266,855.23	53.83%	Note 3
Deferred Tax Assets	404,384	180,132	(224,252)	-124.49%	Note 4
Other Assets	3,113,928	3,383,712	269,784	7.97%	Note 5
Total Assets	**357,690,067**	**360,537,220**	**2,847,153**	**0.79%**	
Liabilities					
Due to Banks and Financial Institutions	9,067,768	9,594,871	527,103	5.49%	Note 6
Due to Nepal Rastra Bank	14,438,908	14,438,908	-	0.00%	
Derivative financial instruments	1,271,010	1,271,010	-	0.00%	
Deposit from customers	277,492,013	276,964,910	(527,103)	-0.19%	Note 6
Borrowings	5,755,500	5,747,234	(8,266)	-0.14%	
Current tax liabilities	2,309,842	2,203,840	(106,002)	-4.81%	Note 7
Provisions	-	-	-	0.00%	
Deferred Tax Liabilities	-	-	-	0.00%	
Other Liabilities	5,713,793	8,084,119	2,370,326	29.32%	Note 8
Debt securities issued	4,492,869	4,492,869	-	0.00%	
Subordinated Liabilities	-	-	-	0.00%	
Total Liabilities	**320,541,703**	**322,797,760**	**2,256,058**	**0.70%**	
Equity					
Share capital	23,795,753	23,795,753	-	0.00%	
Share premium	-	-	-	0.00%	
Retained earnings	3,199,536	3,239,226	39,690	1.23%	
Reserves	10,153,075	10,704,481	551,406	5.15%	Note 3
Total equity attributable to equity holders	**37,148,364**	**37,739,460**	**591,096**	**1.57%**	
Total Liabilities and Equity	**357,690,067**	**360,537,220**	**2,847,153**	**0.79%**	

	Unaudited Financial Statement	Audited Financial Statements	Variance		Reason for Variance
	Rs	Rs	Rs	%	
Interest Income	29,509,611	29,058,367	(451,244)	-1.55%	Note 8
Interest Expenses	18,768,993	18,768,811	(182)	0.00%	
Net interest income	**10,740,618**	**10,289,556**	**(451,062)**	**-4.38%**	
Fees, charges and commission income	2,210,238	2,217,828	7,590	0.34%	
Fees, charges and commission expenses	533,920	535,517	1,596	0.30%	
Net fee and commission income	**1,676,317**	**1,682,311**	**5,994**	**0.36%**	
Net interest, fee and commission income	**12,416,935**	**11,971,867**	**(445,068)**	**-3.72%**	
Net Trading Income	594,206	594,206	-	0.00%	
Other Operating Income	467,227	472,848	5,621	1.19%	
Total operating income	**13,478,368**	**13,038,921**	**(439,448)**	**-3.37%**	
Impairment charge/(reversal) for loans and other losses	503,790	466,431	(37,359)	-8.01%	Note 9
Net Operating Income	**12,974,578**	**12,572,490**	**(402,088)**	**-3.20%**	
Operating Expenses					
Personnel Expenses	3,409,190	3,290,726	(118,464)	-3.60%	Note 10
Other Operating Expenses	1,657,283	1,446,859	(210,425)	-14.54%	Note 11
Depreciation and Amortization	347,955	647,132	299,176	46.23%	Note 3
Operating profit	**7,560,150**	**7,187,774**	**(372,376)**	**-5.18%**	
Non operating income	3,269	3,269	-	0.00%	
Non operating expense	162,961	164,457	1,496	0.91%	
Profit before income tax	**7,400,458**	**7,026,585**	**(373,873)**	**-5.32%**	
Income Tax Expense					
Current tax	2,271,534	2,165,533	(106,002)	-4.89%	Note 7
Deferred tax	(77,532)	(98,173)	**(20,641)**	**21.02%**	Note 8
Profit for the period	**5,206,455**	**4,959,225**	**(247,230)**	**-4.99%**	

Note 1 Reclassification of T Bills with maturity less than 90 days to cash and cash equilvalents

Note 2 evision in Loan Loss Provision, classification of Interest receivable on loans to B/Fis and staff loan amortisation

Note 3 Recognintion of Right to use of Assets and Depreciation as per NFRS 16 , Goodwill Accounting and Fair Value recognition on propoerty as per NFRS 3

Note 4 Deferred Tax Assets Creation against lease liabilities

Note 5 Adjustment to Deferred Employee expenditure from staff loans and advances

Note 6 Reclassification of FCY deposit of BFIs from Customer Deposit to BFIs Deposit

Note 7 Cumulative effect ofchange in LLP and additional income/expenses

Note 8 Excess Interest Payable,Deferred Tax Recognition on Lease Assets and Liabilities as per NFRS 16

Note 9 Change in LLP provision during statutory audit

Note 10 Reclassification of actuarial gain on Leave encashment from Other Comprehensive Income to Profit and Loss

Note 11 Recognition of additional Lease expenses per NFRS 16

Statements of loan taken by Promoters/ Group of Promoters from Other Bank and Financial Institution against pledge of Promoters Shares

S. No.	Promoter's name	Lending BFI	Total no. of shares held	% of paid-up capital	No. of share pledged	Loan amount (Rs.)	% of pledged share
1	Ambar Bahadur Basnet	Nepal Credit & Commerce Bank Ltd	15,713	0.01	12,530	900,000	79.74
2	Ambika Prasad Ghimire	Rastriya Banijya Bank Ltd .	32,999	0.01	26,314	1,847,374	79.74
3	Ambika Prasad Paudel	Prabhu Bank Ltd .	10,374	0.00	9,430	763,830	90.90
4	Amit Agrawal	Laxmi Bank Ltd Ltd	56,493	0.02	45,050	3,401,275	79.74
5	Amit Shrestha	Civil Bank Ltd	8,682	0.00	7,892	639,252	90.90
6	Amita Agrawal	Civil Bank Ltd	44,143	0.02	35,201	2,361,899	79.74
7	Amod Prasad Shrestha Simangainda	Bank Of Kathmandu Ltd .	37,536	0.02	29,932	2,242,805	79.74
8	Anita Shrestha	Univest Saving And Credit Co-Operative	31,428	0.01	9,913	1,500,000	31.54
9	Anu Gautam	Rastriya Banijya Bank Ltd .	9,358	0.00	7,462	473,837	79.74
10	Archana Thakur Mishra	Jyoti Bikash Bank Ltd	7,506	0.00	5,569	1,017,719	74.19
11	Arjun Poudel Sharma	Sanima Bank Ltd .	262,034	0.11	182,042	14,210,021	69.47
12	Asharam Suwal	Mega Bank Nepal Ltd .	134,689	0.06	122,444	7,985,712	90.91
13	Ashok Govinda Rajbhandari	Siddhartha Bank Ltd .	138,390	0.06	110,358	9,250,000	79.74
14	Ashok Kumar Upreti	Nepal Bank Ltd	31,154	0.01	7,835	622,000	25.15
15	Base Enterprises Pvt. Ltd	Prime Commercial Bank Ltd .	36,577	0.02	21,081	3,165,000	57.63
16	Bharat Raj Sharma	Rastriya Banijya Bank Ltd .	86,296	0.04	78,451	6,354,531	90.91
17	Bharat Regmi	Laxmi Bank Ltd Ltd	46,790	0.02	46,789	3,789,909	100.00
18	Bhesh Bahadur Paudel	Nabil Bank Ltd .	108,528	0.05	86,545	6,014,000	79.74
19	Bhim Kumari Thapa	Nepal Investment Bank Ltd Nibl	16,018	0.01	13,200	6,460,000	82.41
20	Bhim Lal Paudyal	Nabil Bank Ltd .	64,883	0.03	58,984	4,600,000	90.91
21	Bhimsen Kumar Gautam	Rastriya Banijya Bank Ltd .	47,141	0.02	37,592	5,629,026	79.74
22	Bicky Hardware House Private Limited	Nabil Bank Ltd .	411,925	0.17	328,486	23,240,000	79.74
23	Bijaya Malla	Laxmi Bank Ltd Ltd	150,144	0.06	136,494	10,646,532	90.91
24	Bijesh Man Singh Bania	Siddhartha Bank Ltd .	40,417	0.02	36,741	2,976,000	90.91
25	Bikash Ghimire	Prime Commercial Bank Ltd .	6,006	0.00	5,460	439,066	90.91
26	Bimal Kumar Khadka	Nabil Bank Ltd .	15,016	0.01	11,974	748,000	79.74
27	Bimal Kumar Timilsena	Prabhu Bank Ltd .	10,111	0.00	10,100	1,633,170	99.89
28	Binaya Upadhyay	Muktinath Bikas Bank Ltd	36,740	0.02	13,407	1,541,805	36.49
29	Birendra Bahadur Adhikari	Prime Commercial Bank Ltd .	15,713	0.01	12,530	799,000	79.74
30	Bishnu Hari Bhandari	Nepal Credit & Commerce Bank Ltd	44,380	0.02	42,345	3,188,991	95.41
31	Bishnu Mani Gautam	Prime Commercial Bank Ltd .	61,837	0.03	49,000	3,518,813	79.24
32	Bishnu Prasad Ghimire	Nabil Bank Ltd .	13,241	0.01	12,037	938,000	90.91
33	Bishwamitra Lamichhane	Nmb Bank Ltd	10,386	0.00	8,281	609,916	79.74
34	Bodh Prasad Tripathi	Bank Of Kathmandu Ltd .	360,752	0.15	306,247	49,612,014	84.89
35	Buddha Lal Shrestha	Nepal Bank Ltd	63,419	0.03	50,000	8,100,000	78.84
36	Captive Investment Company Pvt.Ltd	Nabil Bank Ltd .	64,109	0.03	58,280	4,720,000	90.91
37	Chandra Bir Singh Tuladhar	Nepal Investment Bank Ltd Nibl	37,536	0.02	37,534	6,080,508	99.99
38	Chandra Lal Shrestha	Siddhartha Bank Ltd .	15,713	0.01	14,284	961,000	90.91
39	Chiranjivi Dwa	Agricultural Development Bank Ltd .	176,897	0.07	156,714	12,393,727	88.59
40	Dan Bahadur Karki	Mega Bank Nepal Ltd .	23,569	0.01	18,794	1,194,923	79.74
41	Dayaram Bhattarai	Siddhartha Bank Ltd .	15,713	0.01	14,284	1,155,000	90.91
42	Deepak Koirala	Mega Bank Nepal Ltd .	15,713	0.01	12,529	1,102,909	79.74
43	Deepak Kumar Faiju	Civil Bank Ltd	15,713	0.01	12,530	821,154	79.74
44	Deepak Kumar Karki	Prime Commercial Bank Ltd .	37,536	0.02	22,885	1,720,000	60.97
45	Devendra Baral	Mahima Multipurpose Co-Operative Ltd .	10,862	0.00	10,860	879,000	99.99
46	Dhan Bahadur Sherchan	Sunrise Bank Ltd	127,550	0.05	90,000	6,000,000	70.56
47	Dhruba Bhattarai	Nepal Bank Ltd	6,222	0.00	4,960	595,200	79.72
48	Dilip Narsingh Adhikari	Nabil Bank Ltd .	161,069	0.07	128,443	8,280,000	79.74
49	Dinesh Aryal	Sunrise Bank Ltd	77,655	0.03	47,558	3,672,000	61.24
50	Dipak Prasad Dahal	Civil Bank Ltd	32,960	0.01	26,283	1,940,540	79.74
51	Dipendra Karki	Rastriya Banijya Bank Ltd .	97,386	0.04	77,659	5,086,665	79.74
52	Dipesh Babu Tiwari	Nepal Investment Bank Ltd Nibl	1,597	0.00	1,272	190,800	79.67
53	Durga Kumari Karki	Rastriya Banijya Bank Ltd .	186,654	0.08	148,846	9,749,413	79.74
54	Durga Prasad Neupane	Himalayan Bank Ltd .	907,406	0.38	81,827	18,435,311	9.02
		Nepal Investment Bank Ltd Nibl		-	550,000	40,000,000	60.61
55	Gajendra Wagle	Lumbini Bikas Bank Ltd .	22,364	0.01	14,535	958,729	64.99

S. No.	Promoter's name	Lending BFI	Total no. of shares held	% of paid-up capital	No. of share pledged	Loan amount (Rs.)	% of pledged share
56	Gaya Prasad Shrestha	Siddhartha Bank Ltd .	39,285	0.02	31,327	2,305,000	79.74
57	Gayatri Kumari Sharma	Shree Investment And Finance Co.Ltd	25,001	0.01	13,660	2,720,210	54.64
58	Geha Nath Dhungana	Siddhartha Bank Ltd .	180,697	0.08	180,695	14,635,000	100.00
59	Giri Raj Pokhrel	Sanima Bank Ltd .	15,713	0.01	12,530	816,455	79.74
60	Gopal Dhakal	Dhansar Saving And Credit Cooperative Ltd. .	12,256	0.01	11,142	850,000	90.91
61	Guru Prasad Neupane	Mega Bank Nepal Ltd .	357,481	0.15	324,980	24,698,480	90.91
62	Gyanendra Lal Makaju	Siddhartha Bank Ltd .	64,426	0.03	51,376	3,315,000	79.74
63	Hari Bikram Kunwar	Kumari Bank Ltd	29,202	0.01	26,873	4,049,632	92.02
64	Hari Krishna Shrestha	Nabil Bank Ltd .	32,063	0.01	29,147	2,360,000	90.91
65	Hari Lal Kandel	Nmb Bank Ltd	12,099	0.01	10,998	835,848	90.90
66	Hari Narayan Shrestha	Sanima Bank Ltd .	15,016	0.01	11,974	765,618	79.74
67	Hari Om Makaju	Agricultural Development Bank Ltd .	35,101	0.01	31,910	5,169,420	90.91
68	Hari Prasad Giri	Bank Of Kathmandu Ltd .	31,429	0.01	28,571	4,885,641	90.91
69	Harihar Uperty	Century Commercial Bank Ltd .	68,709	0.03	54,790	4,022,819	79.74
70	Hathway Investment Nepal	Nepal Bank Ltd	337,463	0.14	306,784	20,737,000	90.91
71	Him Bahadur Gurung	Gurkhas Finance Ltd .	5,000	0.00	2,771	228,607	55.42
72	Hira Lal Khadka	Sanima Bank Ltd .	23,569	0.01	23,500	1,903,500	99.71
73	Homeland Developers	Nmb Bank Ltd	2,278,438	0.96	554,603	593,446,336	24.34
74	Homnath Upadhyay	Nava Yoog Multipurpose Co-Operative	15,713	0.01	15,712	1,508,352	99.99
75	Ishwari Prasad Pandey	Nabil Bank Ltd .	14,601	0.01	13,273	1,009,000	90.91
76	Ishwor Gopal Shrestha	Prime Commercial Bank Ltd .	10,386	0.00	9,557	724,431	92.02
77	Janesh Shrestha	Citizens Bank International Ltd.	217,712	0.09	144,149	21,766,499	66.21
78	Jay Bahadur Tandan	Nabil Bank Ltd .	52,778	0.02	42,087	2,630,000	79.74
79	Jeevan Kumar Bista	Civil Bank Ltd	20,770	0.01	18,881	1,460,959	90.91
80	Jhuma Vaidya	Siddhartha Bank Ltd .	60,059	0.03	28,756	2,894,000	47.88
81	Jiban Kumari Aryal Paudel	Mahalaxmi Bikas Bank Ltd .	223,734	0.09	66,191	5,234,715	29.58
		Muktinath Bikas Bank Ltd		-	150,923	22,185,681	67.46
82	Kailash Chandra Goyal	Rastriya Banijya Bank Ltd .	102,824	0.04	93,476	15,143,112	90.91
83	Kalpana Baral	Century Commercial Bank Ltd .	12,526	0.01	11,386	1,730,672	90.90
84	Kalpana Basnet Rana	Sanima Bank Ltd .	15,713	0.01	14,284	1,114,152	90.91
85	Kalpana Kharel	Laxmi Bank Ltd Ltd	37,536	0.02	29,932	4,011,000	79.74
86	Kamal Bhattarai	Mata Panchakumari Saving And Credit	54,314	0.02	23,946	2,300,000	44.09
87	Kamal K.C	Siddhartha Bank Ltd .	54,290	0.02	49,353	4,719,000	90.91
88	Kamal Kumar Shrestha	Nabil Bank Ltd .	86,286	0.04	68,808	4,919,000	79.74
89	Kamal Poudel	Ime Co-Operative Service Ltd.	251,751	0.11	153,980	21,200,000	61.16
90	Kamal Shrestha	Sanima Bank Ltd .	15,713	0.01	12,530	911,933	79.74
91	Kamlesh Kumar Rateria	Himalayan Bank Ltd .	30,029	0.01	15,490	2,364,180	51.58
92	Keshab Prasad Timalsina	Garima Bikas Bank Ltd Ltd	10,385	0.00	8,281	580,000	79.74
93	Keshav Bahadur Rayamajhi	Nabil Bank Ltd .	80,139	0.03	72,853	5,682,000	90.91
94	Khem Lal Kharel	Himalayan Bank Ltd .	45,044	0.02	35,920	6,363,510	79.74
95	Kiran Gautam	Nmb Bank Ltd	81,660	0.03	74,236	6,013,116	90.91
96	Kiran Malla	Laxmi Bank Ltd Ltd	39,284	0.02	39,282	3,240,766	100.00
97	Kishor Silwal	Nepal Investment Bank Ltd Nibl	466,951	0.20	330,260	24,696,017	70.73
98	Krishna Prasad Mainali	Siddhartha Bank Ltd .	23,186	0.01	21,077	1,665,000	90.90
99	Krishna Prasad Pandey	Bank Of Kathmandu Ltd .	400,293	0.17	319,213	47,420,687	79.74
100	Krishna Prasad Tamrakar	Nabil Bank Ltd .	39,285	0.02	31,327	2,004,000	79.74
101	Kul Chandra Humagain	Gurkhas Finance Ltd .	20,770	0.01	16,562	1,308,398	79.74
102	Kunal Kayal	Sanima Bank Ltd .	531,492	0.22	415,000	26,217,800	78.08
103	Lank Bahadur K.C	Century Commercial Bank Ltd .	712,272	0.30	573,000	35,405,000	80.45
104	Laxman Poudel	Lumbini Bikas Bank Ltd .	47,141	0.02	47,140	7,622,538	100.00
105	Madan Kumar Ingnam	Pokhara Finance Ltd Ltd	31,425	0.01	28,568	2,300,000	90.91
106	Madhav Gyawali	Kumari Bank Ltd	7,300	0.00	7,299	676,389	99.98
107	Mahesh Bahadur Shrestha	Prime Commercial Bank Ltd .	10,863	0.00	9,875	799,875	90.90
108	Mahesh Raj Pandey	Mahalaxmi Bikas Bank Ltd .	15,016	0.01	11,973	865,522	79.74
109	Manoj Marasini	Kumari Bank Ltd	14,601	0.01	13,272	2,150,000	90.90
110	Manoj Rathi	Mega Bank Nepal Ltd .	13,558	0.01	12,325	961,350	90.90
111	Mira Pandey	Mahalaxmi Bikas Bank Ltd .	37,535	0.02	20,052	1,000,000	53.42
112	Moti Prasad Paudel	Nabil Bank Ltd .	47,141	0.02	37,592	2,424,000	79.74
113	Moti Raj Gyawali	Mega Bank Nepal Ltd .	226,831	0.10	150,000	8,227,500	66.13

S. No.	Promoter's name	Lending BFI	Total no. of shares held	% of paid-up capital	No. of share pledged	Loan amount (Rs.)	% of pledged share
114	Mukunda Prasad Gautam	Prabhu Bank Ltd .	10,386	0.00	8,282	610,228	79.74
115	National Investment Company Pvt Ltd	Siddhartha Bank Ltd .	54,879	0.02	43,763	3,200,000	79.74
116	Nawa Datta Kaphle	Prime Commercial Bank Ltd .	75,072	0.03	59,865	4,482,991	79.74
117	Nimisha Investment Pvt.	Nepal Investment Bank Ltd Nibl	1,988,723	0.84	1,585,903	237,822,014	79.74
118	Nir Prasad Lamichhane	Nabil Bank Ltd .	105,451	0.04	95,861	7,477,000	90.91
119	Niraj Kharel	Laxmi Bank Ltd Ltd	15,016	0.01	11,973	1,604,000	79.74
120	Niraj Shrestha	Century Commercial Bank Ltd .	83,000	0.03	48,642	3,302,062	58.60
121	Pabitra Karki Rayamajhi	Nabil Bank Ltd .	55,468	0.02	50,425	4,084,000	90.91
122	Pawan Lal Pradhan	Nabil Bank Ltd .	37,536	0.02	34,123	2,661,000	90.91
123	Prabin Bahadur K.C.	Nepal Credit & Commerce Bank Ltd	15,713	0.01	12,530	1,879,500	79.74
124	Prabin Man Shrestha	Machhapuchchhre Bank Ltd .	62,410	0.03	44,139	6,536,545	70.72
125	Pradhyunna Prasad Panday	Manjushree Financial Institution Ltd	6,230	0.00	5,663	450,000	90.90
126	Pradip Nepal	Shine Resunga Development Bank Ltd. .	7,506	0.00	6,824	1,064,544	90.91
127	Prakash Chandra Subedi	Pokhara Finance Ltd Ltd	59,882	0.03	54,438	4,409,478	90.91
128	Prakash Joshi	Nepal Bank Ltd	93,567	0.04	67,830	9,292,710	72.49
129	Prakash Kumar K.C	Nabil Bank Ltd .	19,642	0.01	17,854	1,350,000	90.90
130	Pramesh Kunwor	Nmb Bank Ltd	32,063	0.01	23,284	3,318,750	72.62
131	Pramod Agrawal	Lumbini Bikas Bank Ltd .	62,854	0.03	11,156	857,854	17.75
132	Pramod Prasad Shrestha	Bank Of Kathmandu Ltd .	37,536	0.02	29,932	3,960,902	79.74
133	Pranya Kaji Kansakar	Prime Commercial Bank Ltd .	15,627	0.01	12,806	838,243	81.95
134	Pratima Koirala Poudel	Nabil Bank Ltd .	39,285	0.02	31,327	2,145,000	79.74
135	Purushottam Parajuli	Civil Bank Ltd	1,302	0.00	1,011	77,342	77.62
136	Pushpa Man Shrestha	Himalayan Bank Ltd .	224,082	0.09	178,693	28,948,266	79.74
137	Rabindra Karki	Mahalaxmi Bikas Bank Ltd .	23,569	0.01	18,794	1,263,897	79.74
138	Rachit Agrawal	Shangrila Development Bank Ltd .	5,542	0.00	4,417	250,000	79.71
139	Radha Kumari Basnet	Nepal Credit & Commerce Bank Ltd	15,713	0.01	12,530	900,000	79.74
140	Radheshyam Agrawal	Nabil Bank Ltd .	198,567	0.08	135,000	8,707,000	67.99
141	Raghav Agrawal	Sunrise Bank Ltd	31,429	0.01	28,571	4,628,502	90.91
142	Rajendra Khatri	Progressive Finance Ltd .	15,959	0.01	11,568	818,000	72.49
143	Rajendra Prasad Ghiraiya	Nmb Bank Ltd	148,197	0.06	118,179	7,559,615	79.74
144	Rajesh Gurung	Progressive Finance Ltd .	30,641	0.01	27,855	2,150,000	90.91
145	Rajesh Kumar Agrawal	Sanima Bank Ltd .	11,037	0.00	8,800	664,400	79.73
146	Rajesh Upadhyay	Nic Asia Bank Ltd.	430,209	0.18	172,285	159,978,000	40.05
147	Raju Sapkota	Prabhu Bank Ltd .	20,501	0.01	14,500	1,037,692	70.73
148	Ram Bahadur Koiri	Machhapuchchhre Bank Ltd .	29,201	0.01	29,200	4,730,400	100.00
149	Ram Gopal Chochhe Shrestha	Lumbini Bikas Bank Ltd .	15,713	0.01	12,530	946,015	79.74
150	Ram Kumar Timalsina	Mahalaxmi Bikas Bank Ltd .	10,384	0.00	8,280	592,641	79.74
151	Ram Prasad Adhikari	Siddhartha Bank Ltd .	14,345	0.01	11,439	848,000	79.74
152	Ram Prasad Ghimire	Himalayan Bank Ltd .	14,602	0.01	9,389	600,000	64.30
153	Ramchandra Shah	Machhapuchchhre Bank Ltd .	338,726	0.14	270,116	37,219,284	79.74
154	Ramesh Baral	Century Commercial Bank Ltd .	39,285	0.02	35,713	2,785,614	90.91
155	Ramesh Poudyal	Nepal Credit & Commerce Bank Ltd	52,530	0.02	41,889	2,755,877	79.74
156	Rameshwor Aryal	Nmb Bank Ltd	76,292	0.03	73,931	9,294,655	96.91
157	Ramshanker Karmacharya	Sanima Bank Ltd .	10,386	0.00	8,281	760,175	79.74
158	Renu Shrestha	Sunrise Bank Ltd	21,738	0.01	17,334	1,494,190	79.74
159	Richa Dahal	Muktinath Bikas Bank Ltd	45,239	0.02	34,000	4,309,160	75.16
160	Rishab Rungta	Mega Bank Nepal Ltd .	37,536	0.02	29,932	1,988,532	79.74
161	Roshani Swar	Himalayan Bank Ltd .	41,619	0.02	22,347	3,546,916	53.69
		Sapana Multipurpose Co-Operative		-	3,197	650,000	7.68
162	Ruchika Dugar	Nepal Credit & Commerce Bank Ltd	28,763	0.01	17,537	1,322,000	60.97
163	S R Hydro And Investment Pvt. Ltd.	Nepal Investment Bank Ltd Nibl	110,649	0.05	88,236	13,147,164	79.74
164	Sabin Maharjan	Lumbini Bikas Bank Ltd .	15,713	0.01	12,530	800,510	79.74
165	Sachin Kumar Agrawal	Bank Of Kathmandu Ltd .	3,191	0.00	2,900	452,400	90.88
166	Sagar Pangeni	Muktinath Bikas Bank Ltd	128,221	0.05	116,564	17,834,292	90.91
167	Sajjan Kumar Khetan	Siddhartha Bank Ltd .	46,444	0.02	37,033	2,736,000	79.74
168	Samita Shrestha	Siddhartha Bank Ltd .	37,536	0.02	29,932	1,900,000	79.74
169	Samsher Thapa	Carina Saving And Credit Co-Operative Ltd.	15,712	0.01	8,000	1,296,000	50.92
170	Sandeep Kumar Agarwal	Bank Of Kathmandu Ltd .	31,428	0.01	28,571	4,457,076	90.91
171	Sangeeta Gyawali	Ime Co-Operative Service Ltd.	30,195	0.01	13,928	1,900,000	46.13

S. No.	Promoter's name	Lending BFI	Total no. of shares held	% of paid-up capital	No. of share pledged	Loan amount (Rs.)	% of pledged share
172	Sangita Pradhan	Sincere Savings And Credit Co-Operative Ltd.	1,042	0.00	830	361,050	79.68
173	Sangita Sibakoti	Manjushree Financial Institution Ltd	39,713	0.02	22,012	2,100,000	55.43
174	Sanjay Adhikari	Prabhu Bank Ltd .	365,031	0.15	331,801	25,216,876	90.90
175	Sanjay Kumar Sureka	Citizens Bank International Ltd Ltd	143,810	0.06	114,000	17,784,000	79.27
176	Sanjeev Neupane	Nepal Credit & Commerce Bank Ltd	216,224	0.09	76,550	11,448,053	35.40
177	Santosh Babu Lohani	Nepal Investment Bank Ltd Nibl	180,513	0.08	164,100	12,000,000	90.91
178	Santosh Mani Nepal	Civil Bank Ltd	15,712	0.01	12,529	1,604,151	79.74
179	Saraswoti Sharma	Prabhu Bank Ltd .	53,786	0.02	40,316	8,336,278	74.96
180	Shankar Bahadur Tandan	Everest Bank Ltd Everest Bank Ltd	29,201	0.01	23,286	3,820,000	79.74
181	Shanta Man Shrestha	Civil Bank Ltd	15,713	0.01	3,183	252,921	20.26
182	Shanti Raman Pangeni	Muktinath Bikas Bank Ltd	148,860	0.06	135,327	21,111,012	90.91
183	Sharad Chenka	Mega Bank Nepal Ltd .	263,410	0.11	194,907	15,238,020	73.99
184	Shasikala Jajodiya	Mega Bank Nepal Ltd .	13,782	0.01	12,529	984,028	90.91
185	Shatrughan Poudel	Lumbini Bikas Bank Ltd .	47,141	0.02	37,593	6,196,830	79.75
186	Sher Bahadur Chhetri	Prime Commercial Bank Ltd .	37,536	0.02	26,270	1,983,385	69.99
187	Shikha Joshi	Century Commercial Bank Ltd .	114,167	0.05	91,041	6,180,318	79.74
188	Shila Kumari Pokharel	Siddhartha Bank Ltd .	28,763	0.01	17,537	1,392,000	60.97
189	Shiva Bahadur Thapa	Sanima Bank Ltd .	42,290	0.02	25,062	1,827,771	59.26
190	Shiva Prasad Sharma Paudel	Sanima Bank Ltd .	27,495	0.01	21,927	1,412,976	79.75
191	Shovakar Neupane	Nepal Credit & Commerce Bank Ltd	780,108	0.33	475,644	88,198,039	60.97
192	Shrawan Kumar Goyal	Nmb Bank Ltd	101,451	0.04	92,228	7,009,328	90.91
193	Shyam Bahadur G C	Jyoti Bikash Bank Ltd	3,255	0.00	1,984	142,848	60.96
194	Shyam Chandra Pradhan	Prime Commercial Bank Ltd .	14,212	0.01	12,919	1,000,000	90.90
195	Shyam Kumar Karki	Rastriya Banijya Bank Ltd .	21,728	0.01	19,752	1,580,160	90.91
196	Shyam Prasad Shrestha	Nabil Bank Ltd .	111,978	0.05	89,296	6,206,000	79.74
197	Sita Devi Poudel	Bank Of Kathmandu Ltd .	83,444	0.04	66,541	9,981,150	79.74
198	Sonam Gyatso	Sunrise Bank Ltd	286,476	0.12	260,432	42,189,984	90.91
199	Srijana Pandey Lamsal	Mahalaxmi Bikas Bank Ltd .	15,015	0.01	11,973	865,522	79.74
200	Subarna Kumar Shrestha	Civil Bank Ltd	7,507	0.00	5,985	445,883	79.73
201	Subhadra Shrestha	Nabil Bank Ltd .	15,713	0.01	14,283	1,114,000	90.90
202	Subhash Kumar Khetan	Siddhartha Bank Ltd .	18,864	0.01	15,040	1,005,000	79.73
203	Subit Agrawal	Nmb Bank Ltd	66,059	0.03	52,678	2,633,900	79.74
204	Sudhir Kumar Palanchoke	Nepal Investment Bank Ltd.	15,713	0.01	14,284	2,228,304	90.91
205	Suhrid Raj Ghimire	Sanima Bank Ltd .	741,551	0.31	564,962	42,211,922	76.19
206	Sujana Pradhan	Sincere Savings And Credit Co-Operative Ltd.	1,042	0.00	830	361,050	79.66
207	Sunita Sureka Agrawal	Nepal Bangladesh Bank Ltd .	249,924	0.11	159,848	12,006,183	63.96
208	Suraj Adhikary	Sunrise Bank Ltd	79,441	0.03	63,348	4,547,318	79.74
209	Suraj Ghiraiya	Nmb Bank Ltd	102,466	0.04	81,710	5,226,784	79.74
210	Surendra Bahadur Nhuchhe Pradhan	Sincere Savings And Credit Co-Operative Ltd.	14,199	0.01	11,323	4,925,505	79.74
211	Suresh Bhandari	Samriddhi Finance Co.Ltd .	15,016	0.01	10,701	1,626,552	71.26
212	Suresh Prasad Acharya	Muktinath Bikas Bank Ltd	45,045	0.02	40,949	6,224,248	90.91
213	Suresh Shah	Sanima Bank Ltd .	92,055	0.04	83,686	5,000,000	90.91
214	Sushma Dwivedi Lohani	Nepal Credit & Commerce Bank Ltd	99,282	0.04	60,534	4,343,315	60.97
215	Tikaram Neupane	Prabhu Bank Ltd .	840,466	0.35	594,436	105,199,478	70.73
216	Tila Rupa Bhandari Karki	Mega Bank Nepal Ltd .	23,569	0.01	18,794	1,672,892	79.74
217	Tirtha Raj Pangeni	Kumari Bank Ltd	9,124	0.00	8,294	1,244,598	90.90
218	Uma Devi Sharma Agarwal	Bank Of Kathmandu Ltd .	59,711	0.03	54,282	8,467,992	90.91
219	Urgen Dechem	Sunrise Bank Ltd	244,806	0.10	222,551	36,053,262	90.91
220	Uttam Prasad Vaidya	Civil Bank Ltd	39,285	0.02	31,327	2,088,258	79.74
221	Venture Trading & Investment	Siddhartha Bank Ltd .	18,405	0.01	16,732	1,355,000	90.91
222	Yagya Raj Ghimire	Citizens Bank International Ltd.	23,570	0.01	23,568	2,356,800	99.99
223	Yubak Rajbhandari	Nabil Bank Ltd .	39,285	0.02	31,327	2,004,000	79.74

PRINCIPAL INDICATORS

Particulars	Indicators	F.Y. 2078/79	F.Y. 2077/78	F.Y. 2076/77	F.Y. 2075/76	F.Y. 2074/75	F.Y. 2073/74	F.Y. 2072/73	F.Y. 2071/72	F. Y. 2070/71	F. Y. 2069/70
1. Percentage of Net Profit / Gross Income	%	38.03	34.85	28.44	40.72	41.24	43.41	35.03	30.32	41.05	24.40
2. Earnings Per Share	Rs.	20.84	19.25	17.99	23.47	23.64	25.51	19.33	15.58	19.57	16.15
3. Market Value per Share	Rs.	251.4	441	239	293	290	388	515	479	640.00	432.00
4. Price Earning Ratio	Ratio	12.06	22.90	13.29	12.48	12.27	15.21	26.64	30.74	32.70	26.74
5. Stock Dividend on share capital (Bonus Share)	%	3	10	14	13	16	10	16	23	21.00	15.00
6. Cash Dividend on share Capital	%	10.6	3.5	2	13	-	10	-	-	4.00	-
7. Interest Income/Loans & Advances	%	9.89	0.12	12.02	12.29	12.88	10.20	8.98	10.00	10.88	13.43
8. Employee Expenses/Total Operating Expenses	%	61.11	65.01	61.44	59.00	56.54	59.13	44.26	46.10	36.96	37.40
9. Interest Expenses to Total Deposits and Borrowings	%	6.59	4.92	6.99	7.18	7.26	4.24	3.06	4.21	4.74	5.97
10. Exchange Fluctuation Gain/Total Income	%	4.98	6.46	6.61	7.38	6.91	5.89	6.36	6.41	5.84	3.97
11. Staff Bonus/ Total Staff Expenses	%	23.73	20.95	18.71	24.90	22.16	26.92	29.77	22.02	34.43	22.51
12. Total Operating Expenses/Total Assets	%	1.49	1.41	1.47	1.77	1.85	1.54	1.70	1.99	1.69	1.99
13. Net Profit/Loans & Advances	%	1.75	1.65	1.40	2.42	2.25	2.62	2.27	1.91	2.26	1.66
14. Net Profit/ Total Assets	%	1.38	1.20	1.06	1.82	1.67	1.75	1.58	1.39	1.62	1.15
15. Credit to Deposit Ratio											
a. Total Credit / Deposit	%	94.99	85.59	88.25	91.62	84.70	79.30	81.47	83.47	82.27	79.13
b. CD/CCD Ratio as per NRB Directives*	%	89.21	72.65	73.18	78.69	75.35	71.24	72.96	74.41	73.64	72.28
16. Adequacy of Capital Fund on Risk Weightage											
Assets											
a. CET1	%	10.17	10.55	10.81	10.56	10.32	10.23	11.01	-	-	-
b. Core Capital	%	10.17	10.55	10.81	10.56	10.32	10.23	11.01	11.24	10.94	9.17
c. Total Capital Fund	%	12.67	13.20	12.48	12.31	11.47	11.37	12.35	12.69	12.38	11.14
17. Liquidity	%	23.55	29.89	24.58	22.13	25.34	33.54	35.14	30.12	31.11	32.25
18. Non Performing Loans/Total Loans	%	1.28	1.41	1.74	0.55	0.77	1.60	1.89	2.23	2.55	2.27
19. Weighted Average Interest Rate Spread	%	4.26	4.51	4.43	4.47	4.86	3.36	4.52	4.11	5.34	4.21
20. Book Net worth (Rs. in Mio)	Rs.	37,739	33,439	28,834	16,332	13,579	12,376	8,706	7,323	6,126	3,231
21. Total Employees	Number	2966	2961	3059	1696	1638	1348	1107	1117	1,098	838

* CCD Ratio Revised to CD Ratio from FY 2078/79

***Principal Indicators before financial year 2073/74 have been calculated based on the audited financials as per GAAP.*

ABOUT SPECIAL RESOLUTION TO BE PRESENTED BEFORE 16TH ANNUAL GENERAL MEETING OF GLOBAL IME BANK LIMITED.

Three Columns Format (Tin-Mahale) of the Amendments in the Memorandum of Association

S.N.	Clause	Existing Provision	Proposed Provision	Reason for the Amendment
1	5 (Ka)	The Authorised Share Capital of the Bank shall be Rs. 25,000,000,000.00 (Rupees Twenty Five Billion).	The Authorised Share Capital of the Bank shall be Rs. 50,000,000,000.00 (Rupees Fifty Billion only).	To increase Bank's Authorised Share Capital.
2	5 (Kha)	The Issued share capital of the Bank shall be Rs. 23,795,753,340.52 (Rupees Twenty Three Billion Seven Hundred Ninety Five Million Seven Hundred Fifty Three Thousand Three Hundred Forty and 52/100 only).	The Issued share capital of the Bank shall be Rs. 24,509,625,939.20 (Rupees Twenty Four Billion Five Hundred Nine Million Six Hundred Twenty Five Thousand Nine Hundred Thirty Nine and 20/100 only).	To increase Bank's capital after issue of bonus share to shareholders.
3	5 (Ga)	The Paid-up share capital of the Bank shall be Rs. 23,795,753,340.52 (Rupees Twenty Three Billion Seven Hundred Ninety Five Million Seven Hundred Fifty Three Thousand Three Hundred Forty and 52/100 only).	The Paid-up share capital of the Bank shall be Rs. 24,509,625,939.20 (Rupees Twenty Four Billion Five Hundred Nine Million Six Hundred Twenty Five Thousand Nine Hundred Thirty Nine and 20/100 only).	To increase Bank's capital after issue of bonus share to shareholders.

HEAD OF PROVINCE

Ravi Kafle	**Sujan Shrestha**	**Raja Aryal**	**Ishwari Prasad Joshi**	**Yogendra Rana**	**Bibhushan Shrestha**	**Pukar Subedi**
Province 1	Madhesh Province	Bagmati Province	Gandaki Province	Lumbini Province	Karnali Province	Sudurpashchim Province

BRANCH AND BRANCH MANAGER - PROVINCE 1

Branch	Branch Manager	Address	Phone Number
BIRATNAGAR BRANCH	Dhundi Raj Bhattarai	Biratnagar Metropolitian City, Ward - 7, Morang	9802261015
GHAIGHAT BRANCH	Lok Nath Paudel	Triyuga Municipality, Ward - 11, Udayapur	9802261022
DHULABARI BRANCH	Pradeep Kumar Neupane	Mechinagar Municipality, Ward - 10, Jhapa	9802261023
PHIKAL BRANCH	Manish Pokharel	Suryodaya Municipality, Ward - 10, Ilam	9802261027
ITAHARI BRANCH	Binod Karki	Itahari Sub, Ward - 6, Sunsari	9802261051
TAPLEJUNG BRANCH	Himalaya Bhattarai	Phungling Municipality, Ward - 5, Taplejung	9802261054
BIRTAMOD BRANCH	Pawan Kumar Poudyal	Birtamod Municipality, Ward - 5, Jhapa	9802261058
DHARAN BRANCH	Bhupal Ghimire	Dharan Sub, Ward - 9, Sunsari	9802261068
CHAINPUR BRANCH	Ram Krishna Khanal	Chainapur Municipality, Ward - 6, Sankhuwasabha	9802261069
PHIDIM BRANCH	Umesh Gautam	Phidim Municipality, Ward - 1, Panchthar	9802261074
TERHATHUM BRANCH	Binaya Dhakal	Myanglung Municipality, Ward - 1, Terhathum	9802261076
CHARALI BRANCH	Om Khanal	Mechinagar Municipality, Ward - 13, Jhapa	9802261077
Biratnagar Branch	Nitesh Man Baisyet	Main Road, Ward 2, Biratnagar Metropolitian City	9820126301
Itahari Branch	Anjani Kumar Subedi	Paschim Line Itahari Chowk, Ward 6, Itahari Sub-Metropolitian City	9820126304
Urlabari Branch	Jayanta Pandey	Urlabari Municipality, Ward - 7, Morang	9820126302
Birtamode Branch	Parash Adhikari	Bhadrapur Road, Ward 4, Birtamod Municipality	9820126305
Dharan Branch	Santosh Thapa	Deshi Line, Ward 2, Dharan Sub-Metropolitian City	9820126303
Buddhabare Branch	Gunan Dahal	Buddhashanti Rural Municipality, Ward - 3, Jhapa	9820126306
Kakarvitta Branch	Rudra Prasad Gautam	Mechinagar Municipality, Ward - 6, Jhapa	9820126307
Kanchanbari Branch	Om Prakash Bhandari	Biratnagar Metropolitian City, Ward - 4, Morang	9802261276
Damak Branch	Prabesh Lamsal	Damak Municipality, Ward - 5, Jhapa	9802261115
Biratchowk Branch	Chhatra Prasad Adhikari	Sundarharaicha Municipality, Ward - 10, Morang	9802261120
Bhotkhola	Bimal Kumar Karki	Bhotkhola Rural Municipality, Ward - 3, Sankhuwasabha	9802261139
Khotang Branch	Shamser Ghimire	Diktel Rupakot Municipality, Ward - 1, Khotang	9802261142
SoluKhumbu Branch	Reshmi Raj Gaire	Solu Dhudhakunda Municipality, Ward - 6, Solukhumbu	9802261143
Hile Branch	Anup Shakya	Dhankuta Municipality, Ward - 1, Dhankuta	9802261144
Bhojpur Branch	Diwakar Ghimire	Bhojpur Municipality, Ward - 7, Bhojpur	9802261146
Bhadrapur Branch	Bodha Nath Pandey	Bhadrapur Municipality, Ward - 5, Jhapa	9802261277
Okhaldhunga Branch	Saroj Tandukar	Siddhicharan Municipality, Ward - 11, Okhaldhunga	9802261154
Inaruwa	Binod Kumar Yadav	Inaruwa Municipality, Ward - 2, Sunsari	9802261164
Biratnagar	Mukesh Kumar Shah	Biratnagar Metropolitian City, Ward - 13, Morang	9802261165
Pakhribas	Krishna Prasad Luitel	Pakhribas Municipality, Ward - 3, Dhankuta	9802261175
Jirikhimti	Bhesh Bahadur Neupane	Myanglung Municipality, Ward - 9, Terhathum	9802261178
Katari Branch	Manish Kumar Magar	Katari Municipality, Ward - 3, Udayapur	9802261288
Khadbari Branch	Parash Rai	Khandabari Municipality, Ward - 1, Sankhuwasabha	9802261287
Dangihat brach	Rashmi Koirala	Belbari Municipality, Ward - 6, Morang	9802261199
Illam	Pitambar Khadka	Ilam Municipality, Ward - 7, Ilam	9802261231
Phaktanglung	Sudan Thapa	Phaktanlung Rural Municipality, Ward - 5, Taplejung	9802261241
Teenpaini	Rajesh Bista	Biratnagar Metropolitian City, Ward - 2, Morang	9802261243
Jhumka Branch	Binod Karki	Ramdhuni Municipality, Ward - 5, Sunsari	9802261270

BRANCH AND
BRANCH MANAGER - MADHESH PROVINCE

Branch	Branch Manager	Address	Phone Number
BIRGUNJ	Vivek Tibrewal	Birgunj Metropolitian City, Ward - 10, Parsa	9802261011
LAHAN BRANCH	Mahesh Kumar Mahato	Lahan Municipality, Ward - 3, Siraha	9802261016
JANAKPUR BRANCH	Bijay Kumar Shah	Janakpurdham Sub, Ward - 2, Dhanusa	9802261044
GOLBAZAR BRANCH	Shrawan Kumar Mahaseth	Golbazar Municipality, Ward - 6, Siraha	9802261055
MIRCHAIYAYA BRANCH	Suresh Kumar Shrestha	Mirchaiya Municipality, Ward - 6, Siraha	9802261056
SIRAHA BRANCH	Saroj Kumar Jha	Siraha Municipality, Ward - 1, Siraha	9802261060
RAJBIRAJ BRANCH	Manish Mahaseth	Rajbiraj Municipality, Ward - 7, Saptari	9802261063
LALBANDI BRANCH	Maheshwor Parajuli	Lalbandi Municipality, Ward - 7, Sarlahi	9802261073
Birgunj Branch	Suresh Yadav	Birgunj Metropolitian City, Ward - 10, Parsa	9820126310
Amlekhgunj Branch	Yadav Prasad Upadhayay	Jitpur Simara Sub, Ward - 21, Bara	9820126308
Janakpur Branch	Sanjay Mishra	Station Road, Ward 2, Janakpurdham Sub	9820126313
Lahan Branch	Sandesh Pokharel	Main Road, Ward 3, Lahan Municipality	9820126315
Mirchaiya Branch	Birendra Kumar Mandal	Katari Chowk, Ward 6, Mirchaiya Municipality	9820126316
Gadhimai Branch	Naresh Silwal	Gadhimai Municipality, Ward - 2, Rautahat	9820126312
Chhinamasta Branch	Binesh Kumar Shrestha	Chhinnamasta Rural Municipality, Ward - 3, Saptari	9820126314
Kalikamai Branch	Satish Kumar Singh	Kalikamai Rural Municipality, Ward - 5, Parsa	9820126311
Kalaiya Branch	Keshav Raj Adhikari	Kalaiya Sub, Ward - 4, Bara	9820126309
Dhalkebar Branch	Dron Bahadur Khatri	Mithila Bihari Municipality, Ward - 6, Dhanusa	9802261272
Nijgadh Branch	Abinash Sapkota	Nijagadh Municipality, Ward - 9, Bara	9802261121
Dakneshwori Branch	Janendra Chaudhary	Dakneshwori Municipality, Ward - 5, Saptari	9802261127
Mithila Bihari Branch	Hari Narayan Sah	Mithila Bihari Municipality, Ward - 7, Dhanusa	9802261128
Feta Branch	Bidhyananda Chaudhary	Pheta Rural Municipality, Ward - 7, Bara	9802261129
Fatuwa Branch	Mukesh Kumar Thakur	Phatuwa Bijayapur Municipality, Ward - 8, Rautahat	9802261130
Belwa Branch	Raj Kumar Mahato	Birgunj Metropolitian City, Ward - 30, Parsa	9802261131
Bardibas Branch	Dharmendra Yadav	Bardibas Municipality, Ward - 1, Mahottari	9802261141
Nawalpur Branch	Ranjit Kumar Mahato	Lalbandi Municipality, Ward - 1, Sarlahi	9802261149
Bypass Road – Birgunj Branch	Mohan Prasad Sah	Birgunj Metropolitian City, Ward - 15, Parsa	9802261166
Gaur	Yam Prasad Mainali	Gaur Municipality, Ward - 1, Rautahat	9802261163
Hariwon	Sanjib Kumar Shah	Hariwan Municipality, Ward - 11, Sarlahi	9802261217
Chandrapur	Birodh Neupane	Chandrapur Municipality, Ward - 4, Rautahat	9802261218
Simraungadh	Kishwor Chaudhary	Simroungadh Municipality, Ward - 6, Bara	9802261225
Rupani	Basant Kumar Chaudhary Tharu	Rupani Rural Municipality, Ward - 6, Saptari	9802261233
Jeetpur	Bishwa Pratap Tripathi	Jitpur Simara Sub, Ward - 7, Bara	9802261223
Sukhipur Branch	Sanjay Adhikari	Sukhipur Municipality, Ward - 8, Siraha	9802261271

BRANCH AND
BRANCH MANAGER - BAGMATI PROVINCE

Branch	Branch Manager	Address	Phone Number
Kantipath Branch	Yadav Sharma	Kathmandu Metropolitian City, Ward - 30, Kathmandu	9802261001
New Road Branch	Surendra Sharma Dhakal	Kathmandu Metropolitian City, Ward - 24, Kathmandu	9802261002
Sitapaila Branch	Kabita Bartaula	Kathmandu Metropolitian City, Ward - 15, Kathmandu	9802261003
Gyaneshwor	Rajan Subedi	Kathmandu Metropolitian City, Ward - 30, Kathmandu	9802261004
Kirtipur Branch	Shova Neupane	Kirtipur Municipality, Ward - 10, Kathmandu	9802261005
Kuleshwor Branch	Prabhu Narayan Pradhan	Kathmandu Metropolitian City, Ward - 14, Kathmandu	9802261006
Lagankhel Branch	Merina Shrestha	Lalitpur Metropolitian City, Ward - 12, Lalitpur	9802261007
Dhapasi Branch	Sudip Bhakta Wagle	Kathmandu Metropolitian City, Ward - 5, Kathmandu	9802261008
Thamel Branch	Rajit Shrestha	Kathmandu Metropolitian City, Ward - 26, Kathmandu	9802261009
Banasthali Branch	Nabin Acharya	Kathmandu Metropolitian City, Ward - 16, Kathmandu	9802261010
Narayanghat Branch	Dhirendra Shrestha	Bharatpur Metropolitian City, Ward - 3, Chitawan	9802261018
Chetraparti Branch	Dipak Pokhrel	Kathmandu Metropolitian City, Ward - 18, Kathmandu	9802261025
Kupondole Branch	Rithee Shahi	Lalitpur Metropolitian City, Ward - 10, Lalitpur	9802261028
Naya Baneshwor Branch	Shusil Kumar Budhathoki	Kathmandu Metropolitian City, Ward - 10, Kathmandu	9802261029
Dillibazar Branch	Shruti Hada Shrestha	Kathmandu Metropolitian City, Ward - 30, Kathmandu	9802261032
Panipokhari Branch	Arjun Paudel	Kathmandu Metropolitian City, Ward - 3, Kathmandu	9802261033
Tripureshwor Branch	Ritu Pradhan	Kathmandu Metropolitian City, Ward - 10, Kathmandu	9802261034
Gongabu Branch	Bibekananda Aryal	Kathmandu Metropolitian City, Ward - 29, Kathmandu	9802261035
Koteshwor Branch	Pratiksha Shakya	Kathmandu Metropolitian City, Ward - 30, Kathmandu	9802261036
Chabahil Branch	Peshal Kumar Dahal	Kathmandu Metropolitian City, Ward - 7, Kathmandu	9802261037
Kalanki Branch	Laxmi Dumre	Kathmandu Metropolitian City, Ward - 14, Kathmandu	9802261038
Anamnagar Branch	Dipendra Budhathoki	Kathmandu Metropolitian City, Ward - 29, Kathmandu	9802261039
Satdobato Branch	Mahesh Maharjan	Lalitpur Metropolitian City, Ward - 14, Lalitpur	9802261040
Tadi Branch	Yubaraj Poudel	Ratnanagar Municipality, Ward - 1, Chitawan	9802261042
Hetauda Branch	Rabin Raj Dahal	Hetauda Sub, Ward - 2, Makwanpur	9802261046
Khusibu Branch	Pravin Acharya	Kathmandu Metropolitian City, Ward - 17, Kathmandu	9802261284
Suryabinayak Branch	Dipak Khanal	Bhaktapur Municipality, Ward - 14, Bhaktapur	9802261061
Tatopani Branch - Sindhupalchowk	Janga Bahadur Jhyari Magar	Bhotekoshi Rural Municipality, Ward - 2, Sindhupalchok	9841265272
Mangalbazar Branch	Kanchan Shrestha	Lalitpur Metropolitian City, Ward - 16, Lalitpur	9802261285
Kamaladi Branch	Rakesh Gyawali	Kathmandu Metropolitian City, Ward - 1, Kathmandu	9802261075
Barhabise Branch	Krishna Prasad Sapkota	Bahrabise Municipality, Ward - 9, Sindhupalchok	9802261078
Pulchowk Branch	Saroja Hada Nyachhyon	Lalitpur Metropolitian City, Ward - 13, Lalitpur	9802261080
Baireni Branch	Sayar Upreti	Galchhi Rural Municipality, Ward - 6, Dhading	9802261081
Sinamangal Branch	Achala Poudel	Kathmandu Metropolitian City, Ward - 9, Kathmandu	9802261084
Nakhu Branch	Prakash K. C.	Lalitpur Metropolitian City, Ward - 13, Lalitpur	9802261085
Gwarko Branch	Bibek Thapa	Lalitpur Metropolitian City, Ward - 7, Lalitpur	9802261088
Banepa Branch	Yek Raj Bartaula	Banepa Municipality, Ward - 7, Kavrepalanchok	9802261089
Thankot Branch	Rabindra Prasad Nepal	Chandragiri Municipality, Ward - 5, Kathmandu	9802261090
Sukedhara Branch	Bimal Dhakal	Kathmandu Metropolitian City, Ward - 3, Kathmandu	9802261091
Aason Branch	Nisha Shrestha	Kathmandu Metropolitian City, Ward - 27, Kathmandu	9802261095
Head Office - Kamalpokhari Branch	Sushma Shah	Kamalpokhari, Ward 1, Kathmandu Metropolitian City	9820126342
New Road Branch	Ramesh Nath Pyakurel	New Road, Ward 22, Kathmandu Metropolitian City	9820126339
Hetauda Branch	Ujendra Lall Shrestha	Bank Road, Ward 4, Hetauda Sub-Metropolitian City	9820126322

Branch	Branch Manager	Address	Phone Number
Gongabu Branch	Dharma Raj Devkota	Samakhusi Chowk, Ward 26, Tokha Municipality	9820126340
Balaju Branch	Sarita Shrestha	Kathmandu Metropolitian City, Ward - 16, Kathmandu	9820126334
New Baneswor Branch	Ratna K.c.	Kathmandu Metropolitian City, Ward - 10, Kathmandu	9820126341
Chabahil Branch	Bishnu Prasad Pokhrel	Chabahil Chowk, Ward 7, Kathmandu Metropolitian City	9820126333
Sankhu Branch	Aleena Shrestha	Shankharapur Municipality, Ward - 6, Kathmandu	9820126330
Balkhu Branch	Deepa Shrestha	Kathmandu Metropolitian City, Ward - 14, Kathmandu	9820126343
Pragatipath Branch	Laxmi Upadhyay	Bharatpur Metropolitian City, Ward - 1, Chitawan	9820126321
Old Baneshwor Branch	Madan Gautam	Kathmandu Metropolitian City, Ward - 9, Kathmandu	9820126332
Naxal Branch	Niraj Kumar Sirish	Kathmandu Metropolitian City, Ward - 1, Kathmandu	9820126329
Lanku Branch	Sanjeev Basnet	Bharatpur Metropolitian City, Ward - 6, Chitawan	9820126319
Indrachowk Branch	Jeetendra Bade Shrestha	Kathmandu Metropolitian City, Ward - 25, Kathmandu	9820126344
Kalanki Branch	Dil Maya Pandey	Tinthana, Ward 15, Chandragiri Municipality	9820126331
Imadol Branch	Huta Raj Dahal	Mahalaxmi Municipality, Ward - 1, Lalitpur	9820126326
Itachhen Branch	Pushkar Bala	Bhaktapur Municipality, Ward - 2, Bhaktapur	9820126325
Galchhi Branch	Kibin Ojha	Galchhi Rural Municipality, Ward - 7, Dhading	9820126336
Indrasarovar Branch	Shankar Muktan	Indrasarowar Rural Municipality, Ward - 2, Makwanpur	9820126323
Tinpatan Branch	Sanjeev K.c	Tinpatan Rural Municipality, Ward - 7, Sindhuli	9820126328
Khaniyabas Branch	0	Khaniyabas Rural Municipality, Ward - 4, Dhading	9820126335
Raksirang Branch	Rabindra Kalakheti	Raksirang Rural Municipality, Ward - 5, Makwanpur	9820126324
Lagankhel Branch	Sadichya Pandey	Lalitpur Metropolitian City, Ward - 5, Lalitpur	9851218741
Hakim Chowk Branch	Heera Kumar Moktan	Bharatpur Metropolitian City, Ward - 10, Chitawan	9820126318
Ruby Valley Branch	Rudra Raj Ghalan	Rubi Valley Rural Municipality, Ward - 3, Dhading	9820126337
Sundhara Ii Branch	Sarad Sharma Dhungel	Kathmandu Metropolitian City, Ward - -, Kathmandu	9802261099
Balaju Chowk Branch	Bimala Dhakal Gyawali	Kathmandu Metropolitian City, Ward - 16, Kathmandu	9802261286
Dhobighat Branch	Manisha Shah	Lalitpur Metropolitian City, Ward - 4, Lalitpur	9802261280
Manthali Branch	Sabin Maharjan	Manthali Municipality, Ward - -, Ramechhap	9802261100
Trishuli Branch	Karna Bahadur Shahi	Bidur Municipality, Ward - -, Nuwakot	9802261101
Dhadingbesi Branch	Janak Neupane	Nilkhantha Municipality, Ward - 3, Dhading	9802261283
Kholesimal Branch	Khem Nath Sharma Paudel	Kalika Municipality, Ward - -, Chitawan	9802261103
Belchowk Branch	Ramesh Niroula	Bharatpur Metropolitian City, Ward - -, Chitawan	9802261104
Gyaneshwor Ii Branch	Deepa Neupane	Kathmandu Metropolitian City, Ward - 30, Kathmandu	9802261107
Kurintar Branch	Ramhari Bhandari	Ichchha Kamana Rural Municipality, Ward - 4, Chitawan	9802261110
Bethanchowk Branch	Saroj K.c.	Bethanchowk Rural Municipality, Ward - 8, Kavrepalanchok	9802261111
Gothatar Branch	Shailaja Rajya Laxmi Shah	Kageshwori Manahara Municipality, Ward - 9, Kathmandu	9802261114
Corporate Branch	Sama Shah	Kathmandu Metropolitian City, Ward - 28, Kathmandu	9802261116
Jorpati Branch	Suresh Sharma	Gokarneshwor Municipality, Ward - 6, Kathmandu	9802261117
Manamaiju Branch	Devendra Prasad Rijal	Kathmandu Metropolitian City, Ward - 10, Kathmandu	9802261123
Hattigauda Branch	Khagaraj Acharya	Budhanilkhantha Municipality, Ward - 6, Kathmandu	9802261124
Sindhuli Branch	Ashutosh Khadka	Kamalamai Municipality, Ward - 6, Sindhuli	9802261140
Khadichaur Branch	Samjhana Shrestha	Balephi Rural Municipality, Ward - 7, Sindhupalchok	9802261147
Bhaisepati Branch	Priyanka Karki	Lalitpur Metropolitian City, Ward - 25, Lalitpur	9802261281
Nagarjun Branch	Deepak Dhakal	Nagarjun Municipality, Ward - 5, Kathmandu	9802261150
Charikot Branch	Pradeep Maharjan	Bhimeshwor Municipality, Ward - 2, Dolakha	9802261152
Maharajgunj - Ktm Branch	Pushpa Adhikari	Kathmandu Metropolitian City, Ward - 3, Kathmandu	9802261289
Dhunche	Subash Ghale	Gosaikunda Rural Municipality, Ward - 5, Rasuwa	9802261160

Branch	Branch Manager	Address	Phone Number
Chautara	Navin Shrestha	Choutara Sangachowkgadhi Municipality, Ward - 5, Sindhupalchok	9802261162
Narefat Branch	Santosh Prasad Dhungel	Kathmandu Metropolitian City, Ward - 32, Kathmandu	9802261290
Kumaripati	Bishal Dhwaj Shrestha	Lalitpur Metropolitian City, Ward - 5, Lalitpur	9802261167
Kalanki	Nitesh Rijal	Kathmandu Metropolitian City, Ward - 13, Kathmandu	9802261168
Balaju	Subodh Adhikari	Kathmandu Metropolitian City, Ward - 16, Kathmandu	9802261169
Chandole Branch	Vivek Dhakal	Kathmandu Metropolitian City, Ward - 4, Kathmandu	9802261291
Jyatha	Ganga Bahadur Roka	Kathmandu Metropolitian City, Ward - 30, Kathmandu	9802261173
Kalikasthan	Rokesh Krishna Sharma	Kalika Rural Municipality, Ward - 2, Rasuwa	9802261174
Dillibazar	Suresh Gautam	Kathmandu Metropolitian City, Ward - 5, Kathmandu	9802261177
Narayangarh	Laxman Paudel	Bharatpur Metropolitian City, Ward - 3, Chitawan	9802261179
Timure Branch	Deependra K.c.	Gosaikunda Rural Municipality, Ward - 6, Rasuwa	9802261181
Rampur	Nagendra Raj Gautam	Bharatpur Metropolitian City, Ward - 2, Chitawan	9802261182
Parsa	Reeshi Lohani	Khairahani Municipality, Ward - 4, Chitawan	9802261183
Geetanagar	Devendra Raj Adhikari	Bharatpur Metropolitian City, Ward - 5, Chitawan	9802261184
Madi	Pratap Kumar Tamang	Madi Municipality, Ward - 3, Chitawan	9802261187
Bharatpur	Keshab Prasad Woli	Bharatpur Metropolitian City, Ward - 10, Chitawan	9802261188
Panauti	Pawan Kc	Panauti Municipality, Ward - 5, Kavrepalanchok	9802261193
Bhakundebesi	Ujwal Pokharel	Namobuddha Municipality, Ward - 9, Kavrepalanchok	9802261194
Thapathali	Shambhu Karki	Kathmandu Metropolitian City, Ward - 11, Kathmandu	9802261195
Kuntabeshi	Laxman Kumar Regmi	Mandan Deupur Municipality, Ward - 8, Kavrepalanchok	9802261196
Putalisadak	Hemanta Acharya	Kathmandu Metropolitian City, Ward - 29, Kathmandu	9802261204
Tinkune	Sanat Acharya	Kathmandu Metropolitian City, Ward - 19, Kathmandu	9802261215
Battar	Prakash Shrestha	Bidur Municipality, Ward - 4, Nuwakot	9802261216
Gatthaghar Branch	Poonam Prasai	Bhaktapur Municipality, Ward - 3, Bhaktapur	9802261282
Sankhamul Branch	Sachin Neupane	Kathmandu Metropolitian City, Ward - 10, Kathmandu	9802261232
Bhandara	Ashok Rimal	Rapti Municipality, Ward - 5, Chitawan	9802261234
Doramba	Navin Gautam	Doramba Rural Municipality, Ward - 3, Ramechhap	9802261236
Naukunda	Ramesh Paneru	Naukunda Rural Municipality, Ward - 2, Rasuwa	9802261237
Thimi	Purushottam Acharya	Madhyapur Thimi Municipality, Ward - 4, Bhaktapur	9802261251
Sundhara	Anup Mangal Joshi	Lalitpur Metropolitian City, Ward - 7, Lalitpur	9802261252
Kirtipur	Jaya Maharjan	Kirtipur Municipality, Ward - 9, Kathmandu	9802261253
Kharibot	Rajendra Dhakal	Kathmandu Metropolitian City, Ward - 16, Kathmandu	9802261254
Thankot	Narayan Kumar Puwar Magar	Chandragiri Municipality, Ward - 4, Kathmandu	9802261255
Birendrachowk, Kadaghari	Surya Prasad Sedai	Kageshwori Manahara Municipality, Ward - 7, Kathmandu	9802261257
Khumaltar	Mandita Ghimire	Lalitpur Metropolitian City, Ward - 14, Lalitpur	9802261258
Baluwapati Branch	Ishwor Dhakal	Tokha Municipality, Ward - 3, Kathmandu	9802261260
Kamalbinayak Branch	Kalpana Devi Sharma	Bhaktapur Municipality, Ward - 10, Bhaktapur	9802261261
Sanagaun Branch	Bhawana Shrestha	Mahalaxmi Municipality, Ward - 6, Lalitpur	9802261264
Shantinagar Branch	Sagar Shrestha	Kathmandu Metropolitian City, Ward - 31, Kathmandu	9802261268
Kapan Branch	Rajan Dangol	Budhanilkhantha Municipality, Ward - 10, Kathmandu	9802261265
Tokha Branch	Sudhir Prasad Dhakal	Tokha Municipality, Ward - 6, Kathmandu	9802261269

BRANCH AND
BRANCH MANAGER - GANDAKI PROVINCE

Branch	Branch Manager	Address	Phone Number
Baglung Branch	Hem Raj Sharma	Baglung Municipality, Ward - 2, Baglung	9802261012
Pokhara Branch - New Road	Mandip Baral	Pokhara Metropolitian City, Ward - 8, Kaski	9802261014
Kushmishera Branch	Pushpa Mani Sharma	Jaimuni Municipality, Ward - 1, Baglung	9802261045
Beni Branch	Sokendra Thapa Magar	Beni Municipality, Ward - 8, Myagdi	9802261048
Kawasoti Branch	Sunil Poudel	Kawasoti Municipality, Ward - 8, Nawalparasi East	9802261052
Sabhagriha Chowk Pokhara	Bhuwan Wagle	Pokhara Metropolitian City, Ward - 8, Kaski	9802261065
Kusma Branch	Prakash Sharma	Kushma Municipality, Ward - 6, Parbat	9802261066
Manakamana Branch	Gautam Kaji Shrestha	Shahid Lakhan Rural Municipality, Ward - 2, Gorkha	9802261079
Besisahar Branch	Deepak Basnet	Bensi Shahar Municipality, Ward - 11, Lamjung	9802261092
Damauli Branch	Suman Panta	Byas Municipality, Ward - 3, Tanahu	9802261093
Galkot Branch	Shyam Prasad Dhakal	Galkot Municipality, Ward - 3, Baglung	9802261094
Bhotewodar Branch	Janmabhumi Gurung	Sundarbazar Municipality, Ward - 9, Lamjung	9802261096
Bhorletar Branch	Bikash Thapa	Madhya Nepal Municipality, Ward - 6, Lamjung	9802261097
Pokhara Branch	Baikuntha Kumar Sainju	New Road, Ward 9, Pokhara Metropolitian City	9820126346
Khairenitar Branch	Januka Dhungana	Shuklagandaki Municipality, Ward - 6, Tanahu	9820126349
Baglung Branch	Tanka Prasad Sharma	Kalikapath, Ward 2, Baglung Municipality	9820126345
Bagar Branch	Dharma Raj Gurung	Pokhara Metropolitian City, Ward - 1, Kaski	9820126348
Powerhouse Branch	Ganga Aryal	Pokhara Metropolitian City, Ward - 30, Kaski	9820126347
Amarapuri Branch	Hari Prasad Sharma	Gaidakot Municipality, Ward - 14, Nawalparasi East	9820126317
Burtibang Branch	Ishwor Rajbhandari	Dhorpatan Municipality, Ward - -, Baglung	9802261098
Sundar Bazar Branch	Santosh Bhandari	Sundarbazar Municipality, Ward - -, Lamjung	9802261105
Begnas Branch	Dinesh Adhikari	Pokhara Metropolitian City, Ward - -, Kaski	9802261106
Dumre Branch	Nirajan Shrestha	Bandipur Rural Municipality, Ward - -, Tanahu	9802261108
Siranchowk Branch	Yuba Raj Sharma	Siranchowk Rural Municipality, Ward - 4, Gorkha	9802261109
Gorkha Bazar Branch	Ram Chandra Kandel	Gorkha Municipality, Ward - 6, Gorkha	9802261119
Amarsinghchowk Branch	Ram Bahadur Kshetri	Pokhara Metropolitian City, Ward - 10, Kaski	9802261125
Gaidakot Branch	Kishan Shrestha	Gaidakot Municipality, Ward - 8, Nawalparasi East	9802261136
Udipur Branch	Chandra Kala Ghale Gurung	Bensi Shahar Municipality, Ward - 1, Lamjung	9802261148
Bandipur Branch	Shobhit Shrestha	Bandipur Rural Municipality, Ward - 2, Tanahu	9802261153
Pokhara Branch	Arun Bhat	Pokhara Metropolitian City, Ward - 9, Kaski	9802261159
Birauta Branch	Pradeep Baral	Pokhara Metropolitian City, Ward - 17, Kaski	9802261059
Balewa Branch, Baglung	Bishnu Prasad Poudel	Baglung Municipality, Ward - 14, Baglung	9802261292
Pame Branch - Pokhara	Ratna Thapa Magar	Pokhara Metropolitian City, Ward - 24, Kaski	9802261064
Daldale	Prakash Timalsina	Devchuli Municipality, Ward - 1, Nawalparasi East	9802261185
Lekhnath	Raju Shiva Bhakti	Pokhara Metropolitian City, Ward - 29, Kaski	9802261214
Lakeside Pokhara	Bhola Nath Paudel	Pokhara Metropolitian City, Ward - 6, Kaski	9802261219
Dordi Branch	Sandip Sedhai	Dordi Rural Municipality, Ward - 4, Lamjung	9802261220
Sulikot	Pradip Gurung	Barpak Sulikot Rural Municipality, Ward - 6, Gorkha	9802261224
Budhibazzar	Jeevan Gurung	Pokhara Metropolitian City, Ward - 26, Kaski	9802261227
Dumkibas	Lok Bahadur Bakabal Thapa	Binayi Tribeni Rural Municipality, Ward - 1, Nawalparasi East	9802261229
Waling	Rajesh Kumar Joshi	Walling Municipality, Ward - 8, Syangja	9802261230
Bungdikali	Prem Prasad Phuyal	Baudikali Rural Municipality, Ward - 2, Nawalparasi East	9802261246
Manang Branch	Pradeep Joshi	Manang Ngisyang Rural Municipality, Ward - 4, Manang	9802261275
Mustang Branch	Guru Prakash Paudel	Gharpajhong Rural Municipality, Ward - 3, Mustang	9802261263
Dulegauda Branch	Anish Karki	Shuklagandaki Municipality, Ward - 4, Tanahu	9802261266

BRANCH AND
BRANCH MANAGER - LUMBINI PROVINCE

Branch	Branch Manager	Address	Phone Number
Butwal Branch - B.p Chowk (Ram Mandir Line)	Sanjay Bagale	Butwal Sub, Ward - 4, Rupandehi	9802261017
Tribhuwan Chowk Nepalgunj	Vikash Shrestha	Nepalganj Sub, Ward - 8, Banke	9802261021
Bhairahawa Branch	Premsagar Agrahari	Siddharthanagar Municipality, Ward - 8, Rupandehi	9802261026
Ghorahi Branch	Dilli Raj Bhusal	Ghorahi Sub, Ward - 15, Dang	9802261041
Milan Chowk Butwal	Navin Kumar Panthi	Butwal Sub, Ward - 5, Rupandehi	9802261047
Arghakhanchi Branch	Pralhad Neupane	Sandhikharka Municipality, Ward - 1, Arghakhanchi	9802261049
Liwang Branch	Dinesh Kumar Gharti	Rolpa Municipality, Ward - 1, Rolpa	9802261050
Tulsipur Branch	Umang Adhikari	Tulsipur Sub, Ward - 4, Dang	9802261057
Nepalgunj Branch - Pushpalal Chowk	Lokendra Bhandari	Nepalganj Sub, Ward - 4, Banke	9802261062
Tamghas Branch	Yogendra Rayamajhi	Resunga Municipality, Ward - 1, Gulmi	9802261070
Majuwa Branch	Shiva Prasad Gaire	Chandrakot Rural Municipality, Ward - 8, Gulmi	9802261071
Wami Branch	Bishnu Kunwar	Musikot Municipality, Ward - 7, Gulmi	9802261072
Sulichaur Branch	Pradeep Gautam	Sunil Smriti Rural Municipality, Ward - 4, Rolpa	9802261082
Kohalpur Branch	Nirmal Raj Budhathoki	Kohalpur Municipality, Ward - 11, Banke	9802261083
Kapilvastu Branch	Kamal Kunwar	Banganga Municipality, Ward - 5, Kapilbastu	9802261086
Butwal Branch	Arjun Man Singh Pradhan	Butwal Sub, Ward - 4, Rupandehi	9820126360
Nepalgunj Branch	Naresh Upadhyay Baskota	Nepalganj Sub, Ward - 1, Banke	9820126368
Kohalpur Branch	Virat Bikram Verma	Main Bazar, Ward 11, Kohalpur Municipality	9820126367
Ghorahi Branch	Rajendra Kumar Neupane	Naya Sadak, Ward 15, Ghorahi Sub-Metropolitian City	9820126365
Tulsipur Branch	Sachin Lal Joshi	Kha Line Bp Chowk, Ward 5, Tulsipur Sub-Metropolitian City	9820126366
Tamghas Branch	Kshitij Upreti	Hospital Line, Ward 1, Resunga Municipality	9820126358
Sandhikharka Branch	Pradip Adhikari	Sandhikharka Municipality, Ward - 1, Arghakhanchi	9820126355
Rajapur Branch	Pushpa Raj Ghimire	Rajapur Municipality, Ward - 4, Bardiya	9820126369
Bhaluwang Branch	Prem Bahadur Thapa	Rapti Rural Municipality, Ward - 1, Dang	9820126364
Devdaha Branch	Sagar Lamichhane	Devdaha Municipality, Ward - 6, Rupandehi	9820126362
Bhairahawa Branch	Hari Pant	Siddhartha Marg, Ward 6, Siddharthanagar Municipality	9820126359
Bardaghat Branch	Anuj Singh Dadal	Bardaghat Municipality, Ward - 4, Nawalparasi West	9820126354
Isma Branch	Bhoj Raj Khanal	Isma Rural Municipality, Ward - 7, Gulmi	9820126356
Malika Branch	Bhanubhakta Ghimire	Malika Rural Municipality, Ward - 4, Gulmi	9820126357
Kalikanagar Branch	Yubak Ojha	Butwal Sub, Ward - 10, Rupandehi	9820126361
Manigram Branch	Bhuwaneshwar Paneru	Tilottama Municipality, Ward - 5, Rupandehi	9820126363
Parasi Branch	Dilli Raj Khanal	Ramgram Municipality, Ward - 3, Nawalparasi West	9802261278
Bhumahi Branch	Bimlesh Chaudhary	Sunawal Municipality, Ward - 12, Nawalparasi West	9802261102
Gaudakot Branch (Gulmi Burbar)	Krishna Prasad Nepal	Gulmi Durbar Rural Municipality, Ward - 3, Gulmi	9802261112
Tansen Branch	Bir Bahadur Saru	Tansen Municipality, Ward - 4, Palpa	9802261118
Purba Khola Branch	Suman Raut	Purbakhola Rural Municipality, Ward - 5, Palpa	9802261135
Holeri Branch	Himal Poudel	Runtigadhi Rural Municipality, Ward - 9, Rolpa	9802261151
Krishnanagar Branch	Madan Pokhrel	Krishnanagar Municipality, Ward - 2, Kapilbastu	9802261156
Bhairahawa Sez Branch	Sushma Sharma	Siddharthanagar Municipality, Ward - 1, Rupandehi	9802261157
Gulariya Branch	Suresh Raj Paudel	Gulariya Municipality, Ward - 6, Bardiya	9802261158
Sarawal Branch	Dadhiram Belbase	Sarawal Rural Municipality, Ward - 3, Nawalparasi West	9802261013

Branch	Branch Manager	Address	Phone Number
Pratappur	Santosh Bhakta Pant	Pratapapur Rural Municipality, Ward - 10, Nawalparasi West	9802261176
Butwal Milanchowk	Damber Thakurathi	Butwal Sub, Ward - 11, Rupandehi	9802261186
Murgiya	Padam Raj Pokharel	Sainamaina Municipality, Ward - 3, Rupandehi	9802261189
Sarai	Tej Narayan Neupane	Mathagadhi Rural Municipality, Ward - 7, Palpa	9802261190
Tahu	Prabin Dev Pant	Rambha Rural Municipality, Ward - 8, Palpa	9802261191
Pokharathok	Lil Bdr. Saru	Panini Rural Municipality, Ward - 5, Arghakhanchi	9802261192
Motipur	Uma Gyawali	Butwal Sub, Ward - 5, Rupandehi	9802261197
Chhahara Branch	Prem Singh Ale	Rainadevi Chhahara Rural Municipality, Ward - 1, Palpa	9802261198
Bardaghat	Anil Bhandari	Bardaghat Municipality, Ward - 4, Nawalparasi West	9802261200
Saljhandi	Ajaya Kumar Shrestha	Sainamaina Municipality, Ward - 11, Rupandehi	9802261201
Khaireni	Kamal Sharma	Devdaha Municipality, Ward - 5, Rupandehi	9802261256
Lumbini	Anil Karki	Lumbini Sanskritik Municipality, Ward - 4, Rupandehi	9802261202
Pravash	Madhav Prasad Gyawali	Tansen Municipality, Ward - 7, Palpa	9802261203
Chandrauta	Madhav Upadhyay	Shivaraj Municipality, Ward - 5, Kapilbastu	9802261205
Pipara	Prakash Deo	Banganga Municipality, Ward - 2, Kapilbastu	9802261206
Bangain	Manoj Sharma	Banganga Municipality, Ward - 7, Kapilbastu	9802261207
Bhalwari	Basanta Shrestha	Tilottama Municipality, Ward - 7, Rupandehi	9802261208
Kerwani	Raju Bhandari	Devdaha Municipality, Ward - 4, Rupandehi	9802261209
Maharajgunj Kapilvastu	Kamal Poudel	Maharajganj Municipality, Ward - 1, Kapilbastu	9802261210
Bijuwar	Dilip Bista	Pyuthan Municipality, Ward - 4, Pyuthan	9802261211
Devinagar	Pitamber Pokharel	Butwal Sub, Ward - 3, Rupandehi	9802261212
Nayamil	Bishnu Prasad Acharya	Tilottama Municipality, Ward - 5, Rupandehi	9802261221
Palpa Rampur	Baburam Lamsal	Rampur Municipality, Ward - 5, Palpa	9802261222
Bhurigaun	Laxmi Narayan Sharma	Thakurbaba Municipality, Ward - 1, Bardiya	9802261228
Duikholi	Anjan Pokhrel	Pariwartan Rural Municipality, Ward - 5, Rolpa	9802261244
Sukidaha	Sugam Shrestha	Gangadev Rural Municipality, Ward - 2, Rolpa	9802261245
Taulihawa	Prakash Acharya	Kapilbastu Municipality, Ward - 1, Kapilbastu	9802261242
Thawang	Bishnu Raut	Thawang Rural Municipality, Ward - 7, Rolpa	9802261259
Rukum East Branch	Sagar Thapa	Sisne Rural Municipality, Ward - 6, Rukum East	9802261273
Lamahi Branch	Renu Ghimire	Lamahi Municipality, Ward - 5, Dang	9802261274

BRANCH AND
BRANCH MANAGER - KARNALI PROVINCE

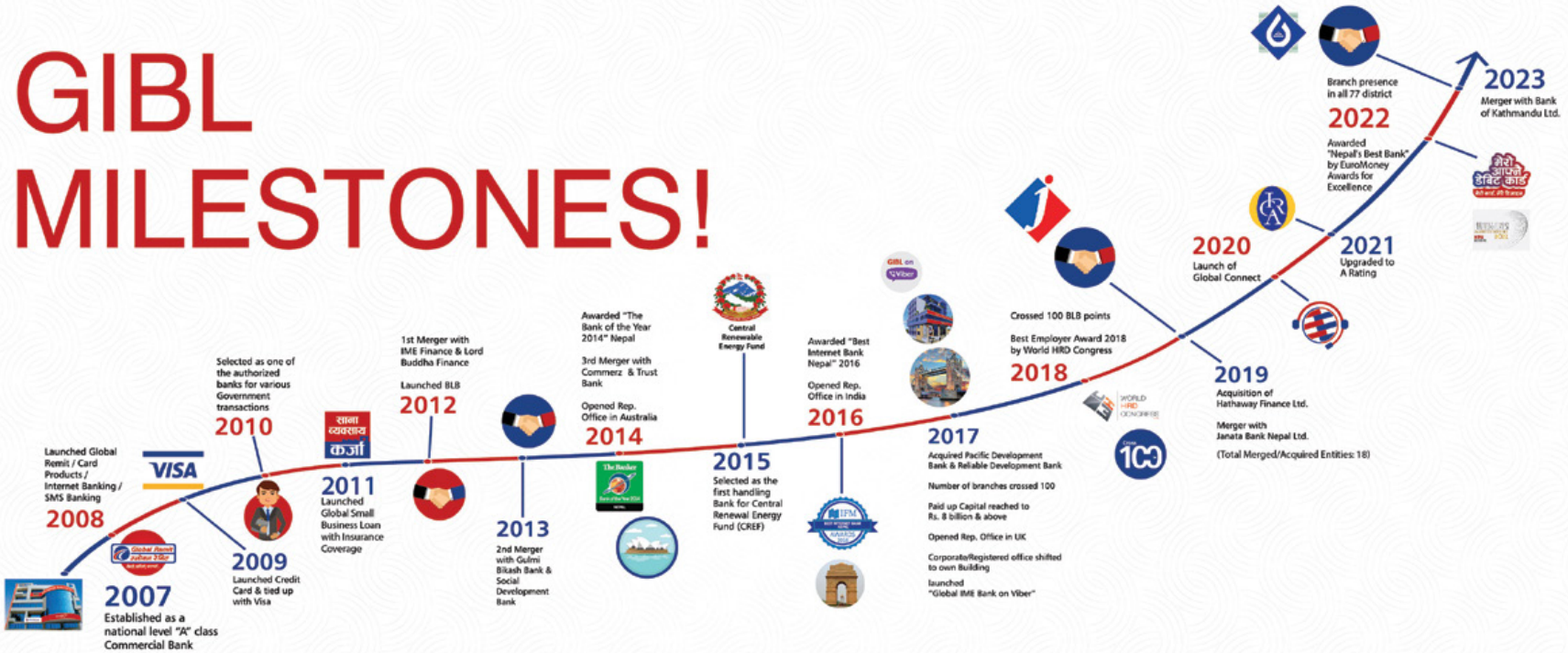
Branch	Branch Manager	Address	Phone Number
Surkhet Branch	Krishna Raj Barakoti	Birendranagar Municipality, Ward - 6, Surkhet	9802261030
Rukum Branch	Nimesh Puri	Musikot Municipality, Ward - 1, Rukum West	9802261053
Kalikot Branch	Nishan Bhattarai	Khandachakra Municipality, Ward - 1, Kalikot	9802261087
Surkhet Branch	Gyanendra Bhandari	Birendra Chowk, Ward 6, Birendranagar Municipality	9820126350
Jumla Branch	Surendra Bahadur Saud	Chandannath Municipality, Ward - 5, Jumla	9820126352
Dailekh Branch	Laxmi Kumari Dangi	Nayabazaar, Ward 1, Narayan Municipality	9820126351
Patarasi Branch	Karunakar Ojha	Patarasi Rural Municipality, Ward - 5, Jumla	9820126353
Raskot Branch	Bhupesh Thapa	Raskot Municipality, Ward - 5, Kalikot	9802261126
Salyan Branch	Subodh Jnawali	Sharada Municipality, Ward - 1, Salyan	9802261138
Dailekh Branch	Kirpa Charya Bhatt	Narayan Municipality, Ward - 1, Dailekh	9802261145
Tharmare	Anil Chaudhary	Bagachour Municipality, Ward - 2, Salyan	9802261213

Branch	Branch Manager	Address	Phone Number
Gurbhakot	Padam Timilsena	Gurbhakot Municipality, Ward - 8, Surkhet	9802261235
Tatopani Branch - Jumla	Binod Kumar Acharya	Tatopani Rural Municipality, Ward - 3, Jumla	9802261238
Chhedagad	Khushi Ram Sapkota	Chhedagad Municipality, Ward - 5, Jajarkot	9802261239
Aadanchuli	Ramesh Kumar Rawal	Adanchuli Rural Municipality, Ward - 3, Humla	9802261247
Chankheli	Govinda Gyawali	Chankheli Rural Municipality, Ward - 4, Humla	9802261248
Tajakot	Bhelen Bohara	Tanjakot Rural Municipality, Ward - 3, Humla	9802261249
Dunai Branch	Lokendra Bahadur Shahi	Thulibheri Municipality, Ward - 3, Dolpa	9802261293
Mugu Branch	Gehendra Bohara	Chhayanath Rara Municipality, Ward - 2, Mugu	9802261262

BRANCH AND
BRANCH MANAGER - SUDURPACHHIM PROVINCE

Branch	Branch Manager	Address	Phone Number
Dadeldhura Branch - Bagbajar	Prakash Datt Bhatt	Tuphandada, Amargadhi Municipality, Ward - 5, Dadeldhura	9802261019
Lamki Branch	Deepak Bahadur Kunwar	Lamki Chuha Municipality, Ward - 2, Kailali	9802261020
Dhangadi Branch	Mukunda Prasad Bhatta	Dhangadhi Sub, Ward - 3, Kailali	9802261024
Baitadi Branch	Khagendra Panday	Dasharathchand Municipality, Ward - 4, Baitadi	9802261031
Mahendranagar Branch	Dinesh Bahadur Thapa	Bhimdatta Municipality, Ward - 4, Kanchanpur	9802261043
Dhangadhi Branch	Sandesh Joshi	Dhangadhi Sub, Ward - 2, Kailali	9820126371
Attariya Branch	Mahesh Raj Joshi	Godawari 01 Attariya Kailali, Ward 1, Godawari Municipality	9820126373
Tikapur Branch	Janak Dhamala	Tikapur Municipality, Ward - 1, Kailali	9820126372
Dadeldhura Branch - Tuphandada	Amrita Shah	Bagbajar, Amargadhi Municipality, Ward - 5, Dadeldhura	9820126374
Belauri Branch	Netra Bahadur Chand	Belouri Municipality, Ward - 4, Kanchanpur	9820126375
Bajura Branch	Rajan Pokhrel	Badimalika Municipality, Ward - 8, Bajura	9802261279
Purchoudi Branch	Keshab Raj Joshi	Puchaundi Municipality, Ward - 1, Baitadi	9802261113
Bogtan Branch	Paresh Bista	Bogatan Phudsil Rural Municipality, Ward - 1, Doti	9802261122
Purbi Chauki Branch	Shridhar Man Shrestha	Purbichouki Rural Municipality, Ward - 4, Doti	9802261132
Ajayameru Branch	Sushil Pant	Ajayameru Rural Municipality, Ward - 3, Dadeldhura	9802261133
Dogada Kedar Branch	Liladhar Bhatt	Dogada Kedar Rural Municipality, Ward - 3, Baitadi	9802261134
Attariya Branch	Bhuban Prasad Bhatt	Godawari Municipality, Ward - 2, Kailali	9802261137
Piplabazar Branch	Surendra Kumar Joshi	Dipayal Silgadhi Municipality, Ward - 4, Doti	9802261155
Dhangadi	Thek Raj Binadi	Dhangadhi Sub, Ward - 4, Kailali	9802261170
Achham	Krishna Sodari	Mangalsen Municipality, Ward - 6, Achham	9802261171
Darchula	Arogya Joshi	Mahakali Municipality, Ward - 5, Darchula	9802261172
Gokuleshwor	Bashu Dev Bhatt	Shailyashikhar Municipality, Ward - 4, Darchula	9802261180
Tikapur	Harish Chandra Bhatt	Tikapur Municipality, Ward - 1, Kailali	9802261226
Naugad	Bharat Bahadur Saud	Naugad Rural Municipality, Ward - 5, Darchula	9802261240
Baliya	Bishal Bhatta	Lamki Chuha Municipality, Ward - 4, Kailali	9802261250
Bajhang Branch	Hari Chandra Regmi	Jayaprithbi Municipality, Ward - 10, Bajhang	9802261267

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